Tejas Networks (TEJASNET)

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Call: Jun 2023

June 27 , 2023
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Transcripts of the 2 3rd Annual General Meeting

Please find enclosed the transcript of the 23rd Annual General Meeting of the Company held on Ju ne 20 , 202 3.

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

“Tejas Networks Limited ”
23rd Annual General Meeting
June 20, 2023

Management : Mr. N. Ganapathy Subramaniam – Chairman
Mr. Chandras hekhar Bhaskar Bha ve – Independent Director and Chairman, Audit Committee
Mr. P. R. Ramesh – Independent Director, Chairman, Ris k Management Committee and NRC.
Shri. A. S. Lakshminarayanan – Non-Executiv e and Non -Independent Director.
Mrs. Alice G. Vaidyan – Independent Director
Professor Bhaskar Ramamurth i – Independent Director, Chairman, Stakeholders Relationship Committee
Mr. Sanjay Nayak – Chief Executive Officer a nd Managing Director
Mr. Anand Athreya – Chief Executive Officer and Managing Director Designate
Mr. Arnob Roy – Chief Operating Officer and Executive Director
Mr. Venkatesh Gadi yar – Chief Financial Officer
Mr. N. R. Ravi krishnan – Company Secretary
Mr. Darshan – Messrs. Price Waterhouse , Chartered Acco untants, LLP
Mr. Niraj – Internal Auditor, Singhvi Dev an d Unni, LLP
Mr. C. Dwarakanath – Secretarial Auditor, Practicing Company Secretaries
Mr. Krishna Murthy – Cost Auditor, GNV and Associates

Moderator: Dear shareholders, good afternoon and very warm welcome to the 23rd Annual General Meeting of Tejas Networks Limited through video conferencing or other audio -visual facilities. As a reminder, for the smooth conduct of the meeting, the shareholders will be in the mute mode and audio and video will be opened when they will speak at the AGM as per th e pre -registration. Please note that, for the requirements, the proceedings of the Annual General Meeting will be recorded and available on the website of the company. I now hand over the proceedings to Mr. N. Ganapathy Subramaniam, Chairman of Tejas Netwo rks L imited. Over to you, sir.
N G Subramaniam: Thank you, moderator. Good afternoon, everyone. I welcome the shareholders to the 23rd Annual General Meeting. Hope all of you are doing great. This meeting is being held through video conference in accordanc e with the circular issued by the Ministry of Corporate Affairs and SEBI. Participation of shareholders through video conference is being reckoned for the purpose of quorum as per the circulars issued by the MCA and SEBI. The quorum being present , I call this meeting to order.
Before we start the main proceedings of the meeting, I take great pleasure in introducing my fellow directors who are joining this Annual General Meeting through video conference. Firstly, Mr. Chandras hekhar Bhaskar Bha ve, Independent Director and Chairman, Audit Committee. Mr. P. R. Ramesh, Independent Director, Chairman, Risk Management Committee and NRC. Shri. A. S. Lakshminarayanan, Non -Executive and Non -Independent Director. M rs. Alice G. Vaidyan, Independent Director. Professor B haskar Ramamurth i, Independent Director, Chairman, Stakeholders Relationship Committee. Sanjay Nayak, MD and CEO. Anand Ath reya, CEO and MD Designate. Arno b Roy, COO and Executive Director. Mr. Venkatesh Gadiyar, Chief Finan cial Officer and Mr. N. R. Ravik rishnan, Company Secretary. I confirm that the Chairperson of Audit Committee, Mr. Chandras hekhar Bhaskar Bha ve and Chairperson of the Stakeholders Relationship Committee, Professor Bhaskar Ramamurth i are present for the meeting through the video conferenc e.
I also confirm that the statutory auditors, Mr. Darshan from Messrs. Pricewaterhouse, Chartered Accountants, LLP. Internal Auditor, Mr. N iraj from Singh vi Dev and Unni, LLP. Secretarial Auditor, Mr. C. Dwar akanath, Practicing Company Secretary. Cost Auditor, Krishna Murthy, GNV and Associates are present for the meeting through video conference. I now request the Company Secretary, Mr. N. R. Ravi krishnan to provide general instructions to the shareholders regarding participation in this Annual General Meeting. Over to you, Ravi.
N R Ravikrishnan: Thank you. Good morning, good afternoon and good evening wherever you are. Shareholders may note that this Annual General Meeting is being held through video conference in accordance with the Companies Act a nd Circulars issued by the Ministry of Corporate Affairs in SEBI. Facility for joining this meeting through video conference or other audio -visual means is made available for the shareholders. The Company also provided webcast facility to view the live proceedings of this Annual General Me eting on the Company's website.

The register of directors and key managerial personnel and register of contracts or arrangements has been made available electronically for inspection by the shareholders during the AGM. Shareholders seeking to inspect such documents can send the request to agm@tejasnetworks.com. As the AGM is being held through video conference, the facility for appointment of proxies by the shareholders is not applicable and hence a proxy register for inspe ction is not available. The Company has received requests from few shareholders to register themselves

as speakers at the meeting.
Accordingly, the floor will be open for the shareholders to ask questions or express their views. The moderator will facilita te this session once the Chairman opens the floor for questions and answers. It may be noted that the Company reserves the right to limit the number of shareholders asking questions depending upon the availability of the time at the AGM. The Company has provided the facility to cast votes electronically on all resolutions set forth in the notice. Shareholders who have not cast their votes yet electronically and who are not participating in this meeting will have an opportunity to cast their votes during the meeting or through e -voting system provided by NSDL.
Shareholders can click the vote tab on the video screen to avail this feature. Shareholders are requested to refer to the instructions provided in the notice or appearing on the video conference page fo r a seamless participation through video conference. In case shareholders face any difficulty, they may reach out on the helpline numbers. Shareholders may kindly note that the AGM is recorded. Thank you very much.

N G Subramaniam: Thank you, Ravi. The Co mpany has taken all feasible efforts under the current circumstances to enable shareholders to participate through video conference and vote at the AGM. I thank all the shareholders, colleagues on the Board, auditors and the management team for joining thi s meeting over video conference.
Moderator: Thank you. I now request Mr. N. Ganapathy Subramaniam, Chairman, to address the shareholders. Over to you, sir.
N G Subramaniam: Dear shareholders, good afternoon. As your chairperson, I take pleasure in welcomin g you all to the Company's 23rd Annual General Meeting. On behalf of the Board of Directors and everyone at Tejas Networks Limited., I would like to thank you for the trust and confidence that you have placed and look forward to your continued support to t he Board of Directors and the management. The annual report for the year ended 31st March 2023, along with the Director's report and audited annual accounts of the Company have been shared with you and may I reque st that these be taken as read.
I would now like to outline the salient aspects of your Company's financial and operational performance for the financial year 2022 -23 and I will also follow it up with an overview of the overall business environment for your Company. Let me first cover the performan ce highlights.
During FY23, we successfully navigated several supply chain challenges, continued our

investments in the wireless product development and successfully participated in the proof of concept ph ase of BSNL 4G, 5G opportunity.
The summary of our FY23 financial performance on a consolidated basis is as follows. Net revenue was at INR919.6 crores and year -on-year growth of 67%. The loss after tax was INR36.4 crores. Net working capital increased to INR935 crores, mainly due to increased inventory levels. Our order book at the year -end was INR1,934 crores, mainly driven by optical product wins. INR1,306 crores in cash and cash equivalents with no debt. During the year, we significantly expanded our m anufacturing capacity by signing up four new EMS partners in India.
So that we not only are geared to successfully execute the orders on hand, but also lay the foundation to scale our business for the coming years. Your company has also been declared eligible under the design -linked PLI scheme and our investment outlay under this scheme for this period is expected to be INR750 crores. The integration of Saankhya Labs with Tejas is progressing well in line with our s trategic transformation agenda.
The transf ormation would lead to your company becoming a telecom OEM of significance by A. building reliable and high -performing telecom equipment B. the products are differentiated

by being software -driven and C. with a strong sense of innovation towards our sustai nability goals. Becoming a global telecom OEM requires deep expertise in multiple domains, a strong product management function, commitment to international standards, both for contribution and to adoption, and a long -term investment outlook wi th solid cus tomer endorsements.
I am pleased to inform you that your company is maturing in all these dimensions. We continued our research and innovation journey during the FY23. As of March 31, 2023, Tejas and Saankhya had cumulatively filed 445 global patent applic ations and owned a rich portfolio of 330 plus semiconductor -related IPs. You will also be happy to know that your company has developed a comprehensive portfolio of end -to-end optical, GPON, and 4G, 5G products. These products have been installed internati onally and have garnered numerous global awards for innovation.
Our flagship product, TJ1400UCB, was selected as the broadband innovation of the year at the 6th Mobile Breakthrough Awards in California, USA from over 2,700 nominations. TJ1400UCB was also recognized as the best Made-in-India telecom innovation at the 2022 India Mobile Congress. TJ1400UCB is a unique product that converges multiple functions such as 4G /5G RAN, GPON /XGSPON, OLT for fiber broadband access and MPLS -TP/MPLS -based 4G, 5G backhaul in a compact shelf. Moving on to our people and community, as an R&D driven company, hiring and retaining premier technical talent is critical to t he company’s long -term success.
In FY23, we continue to accelerate hiring across all key functions t o support our growth plans. As of 31st March 2023, on a standalone basis, the company had 1,305 employees on its rolls, which is a 41% increase over the last fiscal. Over 60% of the employees are in R&D. As an environmentally responsible company, we are committed to adopting global best practices in environmental, social and governance areas and ensure long -term value creation for all the

stakeholders. We have plans to use full solar power generation for our manufacturing facility in Bangalore, wh ich we hope to commission during the current financial year.
Let me move on to give you some business outlook for the next 12 to 18 months. I would like to take this opportunity to provide you an update firstly on the progress we have made in our trials wi th Bharat Sanchar Nigam Limited for our 4G, 5G radios. These products have undergone rigorous testing in real network environments, focusing on critical key performance indicators such as coverage, capacity and experience. As a consortium partner, we are a ctively contributing to the development of one of the most advanced 4G, 5G mobile networks in the country.
The future of networks is largely expected to be non -proprietary and programmable. That will make the network intelligent on the edge and that opens up a lot of possibilities. This will also disaggregate the network elements and innovations such as Open RAN will gain further ground. Our investments and resulting product architecture is keeping some of these advancements in mind. Telcos and enterprises worldwide are re -looking at alternative products for making their network intelligent, secured and reliable with a tremendous focus on return on investment, ability to personalize an d bundle products and services.
All these will certainly create internatio nal opportunities for your company that will enable Tejas to gain global economies of scale to compete effectively in India and abroad. The company needs to do this with a lot of responsibilities and this is no doubt going to put enormous onus on the Tejas team and we are fully prepared to scale up our operations on multiple fronts. On behalf of the Board of Directors of Tejas Networks, I would like to extend our heartfelt gratitude to the respective g

overnments, Department of Telecommunications, nodal agen cies in Indi a and abroad for their support.
Our appreciation also goes out to our valued customers, passionate employees, supportive shareholders, reliable suppliers and our bankers for their diligence. I would also like to record my appreciation for my fe llow directors for their valuable guidance to me and the company. A special thanks to Ambassador Madam Leela Ponnappa who had been your director for a long time and just earlier in the year retired as a director of your company. We are genuinely thrilled about our prospects and as we execute on our strategy, we are confident of delivering positive outcomes for all our stakeholders in the years to come. Thank you.
Moderator: Thank you, sir. I now request Mr. Sanjay Nayak, CEO and MD to ad dress the shareholders with a presentation. Over to you, sir. Thank you.
Sanjay Nayak: First of all, thank you for, Chairman sir, to give the overall view of the company and the future that lies ahead of us. I will take you through some of the salient acco mplishments of last year, the foundation that we have created for future and how do we perceive the future for us. In terms of FY23, I think it was a solid year of performance. In all dimensions, I think we did very well. We had the highest ever net revenu es of INR920 crores, which was a year -over-year growth of 67%.
And more importantly, we delivered four consecutive quarters of Q -on-Q as well as Y -on-Y growth. And we also successfully navigated the global chip shortage, which was affecting many

players in the electronics industry. In terms of focus, the company wanted to really make sure that we used the year to create a solid platform, and we really invested a lot of our profits back into the business in terms of generating the growth momentum as well as building the capabilities for future. In terms of the order book, which was a good indication of the competitiveness of our products and the success we are having in terms of customers, we again had a yea r-over-year growth of 65%.
And primarily, as our Cha irman had pointed out, it was on the back of optical and data networking products that we have in the company. We also had the highest ever single purchase order of INR696 crores that we won during the year, and that was for one of the router products that we have done for a Pan India rollout. We also had a successful engagement with our customers and completed the proof of concept as well as the initial supplies for 200 sites for a Pan India 4G network. And that, again, as our Chairman had pointed out, is very, very complex technologies, and your company came out with flying colors in terms of meeting all the critical performance criteria.
As a part of the consortium that we are building the BSNL, we will be supplying the radio equipment or the radio base s tations for both 4G and 5G for the entire 100,000 -site project, which is expected to be rolled out or completed within the next 18 to 24 months. We are also among the first companies and among the largest applicants of the design -linked PLI scheme of the Government of India, and again, we have made a INR750 crores commitment in terms of

capex, which includes R&D.
And I am again very pleased to say that the first -year criteria or the eligibility conditions for both investments as well as revenues were met by your company, and we will be applying for getting the incentives in the coming quarters. From a balance sheet perspective, thanks to the investments from the Tata Sons, which is Pan atone Finvest, we have a very strong balance sheet. We have 1,3 06 crores of cash and cash equivalents, no debt, and that gives us a very, very solid financial foundation to be able to scale up our business and achieve the success that we are looking forward to in the coming y ears.
So if you really see what w

e did at t he next level in terms of commitment to the growth and commitment to the future, we really built a very solid platform for growth. Manpower, R&D, our team, our technology, that is really a core of our company, and we have really continued to invest in R&D. We now have 1,305 employees, which is a 41% year -on-year growth, and on top of that we also have additional around 150 employees working in our subsidiary Sa ankhya Labs. And R&D was around 28% of our total overall expenses in terms of revenues, and which is among the highest among all l isted companies in the country.
We also set up that we need to hire very, very high -quality talent for our R&D teams on a continual basis because we have a lot of exciting projects and commitments to complete, and we have se t up a Tejas Academy, which is basically a boot camp where we hire exceptionally talented people, put them into a very, very strong training environment on real -life projects so that they can come in and start working and contributing to projects as early as within a quarter of joining in.

And we have again been focusing on IPR and patents, and we have 445 patents between Tejas and Saankhya . We expanded our product portfolio during the year. The advanced IP /MPLS routing products were released to the market , and that led to one of the largest wins that I talked about a few minutes back. Our 4G, 5G, multiband, high -powered radios and base stations were again released in record time, and again, the time it takes to mature and develop these complex products, I' m very proud to say that your company has done in a very short period of time compared to what other global pla yers have taken over the years.
We also upgraded our FTTX portfolio for multipon and software as a service for certain kind of customers so that our XPON applications can get a much wider market appeal. While a lot of business is coming in, a lot of orders are flowing in, we needed to make sure that we scale up our manufacturing operations to be able to deliver significantly larger volumes of produ cts that we have ever done in the past.
And in that aspect, we have had a very asset -light model of manufacturing, so we have signed up four new EMS partners who are contract manufacturers, both spread between south as well as north of India from a geograp hical diversity point of view, and we are very confident that whatever capacity that we need to scale up to fulfil our customer commitments, we have already built that. On top of that, we have really re -engineered a lot of internal processes and are workin g with external partners to make sure that our efficiency of overall supply chain improves quite significantly, including that of cost reductions, because we wanted to make sure that from last year we are able to improve our margins this year as well.
We h ave also taken advanced inventory actions, because there are still certain components which have long lead times, and we have covered for that. Again, the objective being that whatever customer commitments we have, we should be able to meet them comfortabl y. And internally in Bangalore, we are setting up a new manufacturing production and warehousing capabilities in the existing campus where we currently have, and that will allow us to make sure that for the next few years we have enough capacity in -house t o be able to do all the kind of system assembly and manufacturing that is required.
And again, we acquired Saankhya Labs last year. The amalgamation process is going on. The 5G teams have already been integrated and are working extremely well together. We are also getting a lot more products which are in the adjacent areas, such as broadcast, direct to mobile, as well as satellite IoT, and we are quite excited about the in -house chip design capabilities that have also come along with the acquisition of

Saan khya . If you see this chart, it is a very interesting chart in terms of the different elements of a product that go in building a telecom network.
So if you really see, we are covered on all the bases, whether it is optical transmission, wireless, as well as satellites. So if you see on the left -hand side, we are doing 4G and 5G base stations, which is the, you know, which is the radios that go in building a wireless network, along with

all the FTTX technologies. So when you are having a high -speed broadban d at your home or in the office, you are using GPON and XGSPON technology, so we have that. And of course, the traditional Ethernet and Fast Ether net or G igabit Ethernet technologies we have.

So any form of access, whether wireline, wireless, or satellite, is something that we already have in the company. The transport architecture, which is for metros, as well as high -capacity backbones, was something which has been a strong point of the company, and we've been continuing to augment that to make sure that we are state -of-the-art from going up to 600 gig of lambda and going further in the years to come. Net -net, all of this positions us in a very unique position that there are only a handful of companies in the world who have such a rich portfolio of products which can be used to bui ld end -to-end telecom networks.

Additionally, as our chairman had pointed out, the world needs today a lot of trusted telecom products. And I think with the kind of capabilities we have built in, the kind of investments we have made, both in the wireline side as well as wireless side, we have a very, very mature and very exhaustive portfolio of telecom products that can be used to build trusted networks. Another effect of all the R&D investments we've been making and made during the last fiscal year is an addressable market on a worldwide basis which is around $67 billion in 2022 and expected to go to around $86.6 billion in 2028, out of which the wireless will be from $45 billion going to $50 billion, and wireline, which is where we have quite a good mature product, is going to grow from $22 billion to $36 billion.

So naturally, as you can see from a strategy point of view, our objective is that the matured wireline products that we have today, we need to go and get a lot more percentage of market share worldwide, and wireless products, as we start getting more traction in India with the rollout that are visible, we should be able to again go after the large addressable market that we have around the world. The next slide j ust kind of gives you a quick summary of what does this foundation really mean in terms of success of a company, because in our industry, th e entry barriers are very high.

And for our company, we have really done a lot of things over the years, which have really become a rock solid foundation. So cumulatively, we have done more than 9,000 crores of sales with 3,000 crores international, we have equipment in more than 75 countries, and more than 500 networks. We are market leaders in the GPON area. And I'm v ery confident in the years to come, there'll be a few more areas of technology where we'll easily get into top 10. We have now a rich portfolio of technology from optical transmission to broadband access to switches, routers, 4G and 5G radi os.

And of cours e, all our products are award winning. I mean, as our chairman had pointed out, we really have focused on innovation. And we have more than 50 products of different kinds, 3 million lines of code, 30 prestigious awards that have won for our products. More than 60% of our team is in R&D, that gives you the kind of commitment we have. And again, by filing patents and all the things that we have, and a unique software defined hardware architecture, which allows us to build products much faster, mature them muc h faster by using a comm

on technology
architecture is something that your company has a very, very strong foundation.

Our team remains our strength. And when I say our team, it's not just the R&D, but R&D, supply chain, sales, support, these are all things which are required to be a well-rounded company on a global arena. And I'm very confident that the processes and systems are in place. And from a shareholder value creation, as you know, we are the first deep tech product company, which

went from being a startup to an IPO. And since our IPO, our market cap has, you know, grown more than four times. And that again, you know, shows our commitment to building shareho lder and all stakeholder value.

Net-net, we clearly see an opportunity to build a global telec om and networking OEM from India for the world. A couple of other things, since we are talking about the world, is that it's very important for us to make sure that our brand is recognized worldwide, customers feel comfortable doing business, customers fee l excited of doing business with a company like Tejas, because of the innovation, because of the strength, because of our success in India, which is probably world's toughest market in terms of winning new business.

So we have been participating in all the global events and got tremendous response during the last year, whether it be the Mobile World Congress in Barcelona, the Indian Mobile Congress in

New Delhi, or all the trade shows in US, Africa, and many other parts of the world. And again, in terms of awards, I think when global, you know, foundations and agencies recognize what we have done, it gives us a lot of encouragement that we are on the right track.
And we really won a lot of awards, both for Tejas as well as Saankhya from the broadband innovat ion of the year to the best Indian product at Indian Mobile Congress, the Techno vision Award from Indian Semiconductor Association, Telecom Person of the Year Award from Voice and Data, the Pathbreaker of the Year Award from Dataquest , and our Saankhya team also won very, very prestigious award like the Mark Ri cher Medal, Industry Medal from ATSC Corporation in the US, the Hall of Fame 2022 from TSDSI, and the CEO Award World Marketing Congress.
So this again gives us a good comfort and sense that we are all heading in the right direction, and the world is starting to look up at the potential of Tejas as a global company. In terms of the fundamental growth drivers for the business, which keep us quite excited, number one is really the 4G and 5G rollout s which are happening around the world. While India had some success in 5G in terms of initial rollouts, I'm pretty sure that there's a long runway, there are a lot of ne w use cases which will come up.
There are many, many other markets in the world, which are starting to go on the 5G journey and finding the right use cases, and I'm very confident that our company will be ready with our products and be able to address those markets. 4G is still a very, very relevant technology for many applications around t he world, and many markets are still finding that 4G is possibly a very attractive technology from getting the customer experience as well as making a financial success out of the networks, and we are very confident that in those areas, all the deployment, both from wireless side as well as the backhaul that you will need because the amount of data that will be generated on the networks will be very high, will create a new capex cycle on wireline and wirele ss, which we are excited about.
Number two, as you all know, we are all used to now getting a higher and higher amount of bandwidth at our homes and our offices, which basically creates a need for technology like GPON, which many of you have at your homes, and if not, it will be going there soon. For examp le, India only has less than 10 or 15% broadb

and penetration, and over the next few years,

it is expected to go to about 30% to 35%. So that again presents a very large growth opportunity for us.
The third interesting thing happening around the world, esp ecially from an international market perspective, is what we call the rip and replace opportunity. Many countries in the western world and many other parts of the world have realized that telecom infrastructure is a very critical asset that needs to be onl y built on trusted products. So there is a mandate by various governments around the world where they are asked to rip and replace equipment from certain countries and replace it by trusted telecom products. India as a country over the years has earned a l ot of respect worldwide for creating such products, and we are very confident that this gives us a large customer pool in many, many markets.
Another aspect where our company has been seeing a lot of success and we are among the global leaders in this spac e is the utility segments, the networks of rail, power, oil and gas, defence , smart cities, safe cities. This again, the backbone of all of these applications is a very robust and trusted telecom infrastructure. The utility networks typically are a little bit slow to move in terms of transitioning to new technologies, and again we have all the technologies available to address this very, very high growth segments around the world.
And last and very, very important from another angle is the home market. Indi a is among the largest home market in the world for telecom, and the focus of government for being Atmanirbhar in telecom products is something that is very, very good for our company and we are playing a very critical role in helping India achieve the mis sion of being Atmanirbhar in terms of telecom products.
In terms of the big picture in the strategy, and this is something we have been sharing, so our vision is very simple, to create a global scale telecom and networking product company from India. There are three pillars of our strategy. First is the products. We have to create state -of-the-art products for building end -to-end networks, whether we do it with augmentation of in -house talent or through external acquisition, both of those options we have be en doing and will continue to do so.
Sales strategy, we got to use India's large home market and we have seen around the world all successful global OEMs over the last 25 years have leveraged their home market success to go global, and I think with we bein g in India and getting the economies of scale is something that we are very excited about and we are well on track to achieve that. International markets I already

talked about that there is a market pull for trusted telecom products and we have a very wid e range of products that can help us achieve that.
And last part of the strategy is really to have rock -solid operational capabilities. We should be able to manufacture at scale, at cost, with highest quality and in time, and the schemes like PLI scheme t hat we have from Government of India definitely make us a lot more competitive in terms of manufacturing within the country and we believe that we have made enough investments and will continue to do so, both in terms of facilities, people, processes, so that we are able to scale up and do that.

So in terms of our FY ’25 or ‘24 goals, we really want to make sure that we execute on the significant portion of the order book that we started the year with. We are already seeing a lot of new orders, especially for the BSNL Pan India 4G network which will again be rolled -out in the next 18 months to 24 months. And we want to really start planting a lot more seeds aggressively for the international expansion of our products which are already matured and really use the Ta

ta
brand and the global relationships to get t hat and make sure that we continue to invest in R&D, supply chain and sales and support teams, so that as our business grows, we are ready to execute that success.
In summary, I really see an extremely exciting future for our company. FY ‘23 was a fantasti c year in terms of growth. Our healthy order book in terms of the business that we won and the business that we will be getting soon in terms of the new orders gives us a very good revenue momentum for not only FY ’24 but for FY ‘25 as well. Our product po rtfolio has been expanded, especially with the introduction of 4G, 5G RAN and the IP/MPLS router that we added last year. And we have also scaled up our R&D as well as manufacturing capacity to be able to deliver on what we have. And last but not the lea st, you need a lot of cash and strong balance sheet to do that and we have already got that with the association and the investment from the Tata Sons and Tata Group.
And I am again very happy to say that, as you may have heard and seen, I have also announ ced my retirement from the board of the company. But this transition has been very smooth. Over the last one quarter, I have been working with Anand who has joined us on April 1, and we are trying to make sure that the transition of the company, the leader ship happens very smoothly.
And at this point in time, I also want to thank all the investors, all the shareholders, all the Board of Directors, current as well as past, all the employees, management, everybody that I have worked with and everybody who has put a lot of trust and confidence in me.
And it has been a pride and a privilege to lead Tejas over the last 23 years. And under the able guidance of the Tata Group, led by our Chairman, NGS, I am very, very excited, confident that our company is poised f or a lot of success and a lot of growth and we will become an iconic company in the times to come. And we will clearly make sure that from India we created a world -class OEM which is not just successful for India but for the world. Thank you very much.
N G Subramaniam: Thank you Sanjay for a comprehensive coverage on the company's performance, strategy, vision and the goals that you have set for us for FY ‘24. On behalf of my fellow Directors and everyone at Tejas and our shareholders, I would like to take this opportunity to recognize the outstanding contribution made by Mr. Sanjay Nayak during his tenure of 23 years with Tejas Networks. And on the same count, I also take the opportunity to welcome Anand Atreya as someone who is stepping into Sanjay's shoes with your consent, with your concurrence and approvals. All the best to both of them for their future.
I now request Ravi, Company Secretary, to provide a summary of the auditor's report.
N R Ravikrishnan: The Statutory Auditors, M/s. Price Waterhouse & Co Chartered Accountant LLP and the Secretary Auditors, Mr. C. Dwaraknath, Practicing Company Secretary has expressed unqualified opinion in the respective audit reports for the financial year 2022 -23. There were no

qualifications, observations or advers e comments on the financial statements on matters which have any material bearing on the functioning of the company. The Statutory Auditors' Report on standalone financial statements and consolidated financial statements are available in the annual report. The Secretary Auditor's report is also enclosed as Annexure V to the Board's report of the annual report. Thank you, Mr. Chairman.
N G Subramaniam: Thank you, Ravi. As the notice is already circulated to all the shareholders, with the consent of the share holders, I take the notice convening the meeting as read. Before we proceed, I am

pleased to bring to your notice that as required under the Companies Act 2013, the company had provided you all the facility to cast your vote elec

tronically on all resolutio ns set forth in the notice. Shareholders who have not cast their vote electronically and who are participating in this meeting will have an opportunity to cast your votes through the e -voting system provided by NSDL. Shareholders may please note that there will be no voting by show of hands. Further, shareholders can seek clarifications and or offer comments on items of business, if any.
The results of the AGM resolutions shall be declared not later than two working days from the conclusion of the AGM of th e company. We now take up the resolutions as set forth in the notice.
The floor will be open for any questions by shareholders after all the resolutions are tabled.
Item number one, adoption of audited standalone financial statements. The audited standalon e financial statements of the company for the financial year ended 31, March 2023, together with the reports of the Board of Directors and auditors thereon.
Item number two, adoption of audited consolidated financial statements. The audited consolidated fi nancial statements of the company and its subsidiaries for the financial year ended March 31, 2023, together with the report of the auditors thereon.
May I request my fellow Director, Professor Bhaskar Ramamurthi to call out the item number three, please.
Bhaskar Ramamurthi: Thank you. Item number three, appointment of N. Ganapathy Subramaniam, DIN number 07006215 as a Director liable to retire by rotation of the company.
N G Subramaniam: Thank you, Professor Ramamurthi. Item number four, appointment of Alice G Vaidyan, DIN number 07394437 as a Non -Executive Independent Director of the company.
Item number five, appointment of Mr. Anand S. Athreya, DIN number 10118880 as a Director of the company.
Item number six, appointment of Anand S. Athreya, DIN numb er 10118880 as Executive Director, Managing Director and CEO designated from April 21, 2023 to June 20, 2023 and as Managing Director and CEO from June 21, 2023 till April 20, 2028.
Item number seven, material related party transactions with Tata Communica tions Limited, a related party of the company. The proposal is to approve the entering of the material related party transactions with Tata Communications Limited, a related party of the company subject to a maximum of INR500 crores to be entered for the f inancial year 2023 -'24.

Item number eight, material related party transactions with Tata Consultancy Services Limited, a related party of the company. The proposal is to approve the entering of the material related party transactions with Tata Consultancy Services Limited, a related party of the company subject to a maximum of INR15,000 crores to be entered for the financial year 2023 -'24.
Item number nine, ratification of the remuneration of cost auditors.
Item number 10, appointment of branch auditors. The text of the resolutions along with the explanatory statement is provided in the notice circulated to the shareholders.
May I request the Company Secretary to take the proceedings forward.
N R Ravikrishnan: Dear shareholders, thank you for joining our 23rd AGM today and for taking time to participate in today's AGM. Before we go live with the question -and-answer -session, here are some points to note for your convenience. Kindly turn on your video and when you are projected on the broadcast screen, unmu te yourself and proceed to ask the questions. Please mention your name fully and number and location from where you are joining. Each shareholder has two minutes for the questions. To order the petitions, the board can respond to all questions at the end. Once when you have asked the questions, you can log off and continue to watch the proceedings.
Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, we will now begin with the question -and-answer -session.
Request everyone to please remain conne

cted. While the speaker shareholders assemble. We take the first question from speaker shareholder, Mr. Arun Kumar Boppana. We request you to accept the prompt on your screen and unmute your audio and video and you may proceed with your question.
Arun Boppana: Namaskar to everybody there. Good afternoon, everybody. Sir, ours is a networking company and communication company. There is hardly any networking from the Secretar ial Department or communication. I would have been happy had somebody called me from the Se cretar ial Department asking for my questions or giving my speaker serial number and etcetera. Nobody called. I think they must watch our Tata Elxsi meeting. I think Cauveri Sriram does it excellently.
Because I found something missing. Tata's name is miss ing before the Tejas and Tata's culture also.

We have treated with so much -- we are pampered so much, NGS sir, you know that. You have been seeing me in Bombay for the past 20 years. We expect the same pampering. I will never ask any Favor from you. Sanja y Nayak's speech was fantastic, as good as Narendra bhai Modi's so powerful. I am proud of it. Thank you, Sanjay, for all your services. I welcome Anand too.
An AGM is a perfect place for all of us to share our experiences and be happy with a lot of smiles. It is not that we complain about anything. But this kind of networking and communication is important in Tata companies. Compliments for developing and manu facturing India. I think Modi sir will be too happy. A strong emphasis on R&D investments in cutting edge technology and for innovative solutions. And for customizing offerings to meet specific customer requirements. Addressing unique ch allenges for India, which there are plenty.

And my question, sir. Digital India, Bharat Net , our USP and optical network solutions. How favourable is it for Tejas? Because Indian economy is growing with a lot of opportunities. Your comments on that. And w ith economic survey forecast, our healthy GDP of 6.8%. How does Tejas use the digital mission transformation to stay competitive and adapt to evolving technologies?
In today's world of scams and cybercrimes, sir, regulations are required to avoid. But cybe rcriminals are ruthless, shameless and faceless too. Can Tejas help the victims of cybercrimes? And what are the investments for cyber security? Plans to explore uncharted territories? Are we doing enough? Staying at the forefront of these emerging technol ogies and investing in R&D for various segments in telecom sector. And to stay competitive with advanced technologies too.
How does Tejas use AI, Machine Learning , 5G for intelligent solutions across businesses? What are Tejas plans in emerging markets suc h as Southeast Asia, Africa, etcetera? What are Tejas plans for skill mismatch with new age courses like coding, AI, robotics? What are plans for telemedicine, patient monitoring for health care solutions for good outcomes? How does Tejas provide efficient , scalable, cost -effective solutions for high speed transmission and growing bandwidth demand for usability and accessibility?
How is Tejas prepared for domestic and international competition in terms of market share and pricing? Tejas plans for the automa ted cars, advanced driver assistance systems for seamless connectivity and communication. What is the specialization designing and manufacturing of optical network products? And Tejas plans to improve further broadcasting engineering. Video streaming is im portant because I think video streaming is going to be the order of the day for AGMs with multi -screen solutions too. Will Tejas stay to provide cost -effective networking solutions with leverage on optical network, offering competitive pricing without comp romising on quality or performance? And what are plans to make products attractive to service providers in emerging markets?

In conclusion, sir, the potential is huge. We are merely scratching the surface of the potential. I wish Tejas all the best and nex t AGM, I'm sure Tata's name will be there with the Tata's culture. Thank you very much. Namaskaram.
N G Subramaniam: Thank you, sir.
Moderator: Thank you. We take the next question from speaker shareholder, Mr. Vivek N. Mr. Vivek, kindly unmute your audio and you may proceed with your question.
Vivek N: Thank you very much for this opportunity. At this juncture, we are privileged to be led by the management that we have at Tejas Networks. A special mention for Mr. Sanjay's contribution over the years to bui ld it to a company that we are very proud of as Indians and to Mr. Anand for the journey ahead. I'd like to address Mr. NGS, your statements are always a rallying call for what this company and this industry should be for India. You mentioned that we would like to see this company Tejas as a top 5 company globally in the telecom OEM telecom space.

Sir, with the kind of transformation projects that we have won at BSNL, which will change the face of India, we have this huge tailwind of business. But going for ward, how do you see the balance between government projects like BSNL and the corporate kind of projects that we have, both domestic and international? Further, are we looking to actively back customers only after the rollout of the BSNL 4G, 5G or will it be parallel?
And if you can give us a sense of the roadmap of revenue for what we see right now, we are close to being a $1 billion supply company in the next two years thanks to the BSNL project.

But if you want to be a top 4, top 5 company, which is aro und $14 billion to $15 billion company, where do you see that scaling coming from and what should we as supporters of the company expect to look forward to? All the very best to the team at Tejas. Thank you.
N G Subramaniam: Thank you, Mr. Vivek.
Moderator: Thank you. Our next speaker member, Mr. Sadanand Shastri, who had registered to ask a question. However, he is not connected. So we move to our next speaker shareholder, Mr. Ramasamy Vasudev. Sir, we request you to kindly accept the prompt on yo ur screen. You may unmute your audio and video and you may proceed with your question.
Ramasamy Vasudev: Namaskaram, sir. How are you? Sanjay Nayak, other board members and team at Tejas. I am Ramasamy speaking from Delhi. Sanjay, I used to cherish the mem ories of meeting you since the physical AGM days. I met him once or twice in the physical AGM. I will continue to cherish it. Mr. Sanjay, we will miss you greatly. All the good work done by you, it is a paying off now. So again, welcome, Mr. Anand. I hope you take forward the legacy of the company and you sail the company to the greater side. So congratulations on the nice annual report. Mr. Ravi and his team has done a good work on it.
So, Mr. Chairman, my only one question to you is, BSNL, we have been to ld about the modus operandi as to how the company's operation will be taken care of etcetera, now that the numbers are missing here, in the next 18 months to 24 months, where are we, you know, how are we placed in the numbers? And we are talking in the ann ual report that BSNL order will create global opportunities for us as to how we are taking the global opportunity from the BSNL order. So one suggestion to the Chairman, sir, as you are aware, investor AGM, if we could attend the meeting physically, it giv es a lot of opportunity for us to meet all our senior colleagues etcetera, and networking etcetera.
And if we organize a physical Annual Investor Day, it will enable us to showcase ourselves to the investor community, HMIs, MFIs, Dis, etcetera. And it will give an opportunity for us also to meet our new investors. So since the physical AGM is missing, we are all missing this and we have to be satisfied with

the video interaction only. Where there is, it is not two way, it is just one way communication. You listen to us and we listen to you. So the physical touch is missing. So we propose for a physical Investor Annual Day, sir. So, I have already voted in favour of all the resolutions. Thanks to Mr. Ravi and his team for the flawless participation in this me eting. Thanks a lot for the opportunity, sir. Namaskar and Jai Hind, sir. All the team members.

N G Subramaniam: Thank you, sir.
Moderator: Thank you. We now move to our next speaker shareholder, Mr. Naveen Bothra. Mr. Naveen, we request you to kindly acce pt the prompt on your screen. You may unmute your audio and video and proceed with the question.
Naveen Bothra: Very warm wishes and greetings to our respected Chairman NGS, MD and CEO, Mr. Sanjay Nayak , Lakshmi sir and other distingui shed board members and management team of Tejas. Naveen Bothra attending the 23rd AGM virtually from Delhi. I would request Chairman sir, to kindly consider if it is feasible to have hybrid AGM from next year onward so that we can have opportunity to meet and interact with the management and have views about the compan y before the AGM or after the AGM. We look forward to that from next year onward. If it is feasible, we can also have it in hybrid.
Very warm send -off to Mr. Sanjay Nayak, founding member and managing director who has nurtured Tejas from the initial stage. You were always available to investors, Mr. Sanjay sir, and we will miss you. It is our pleasure to welcome our incoming CEO and M D, Mr. Anand at Tejas. Welcome, Mr. Anand, to Tejas family. A long way to go.
First of all, I would like to congratulate the team Tejas led by Mr. Sanjay Nayak . Under your able guidance Chairman sir, for getting the prestigious large order along with TCS from the BSNL for founding one of the most modern 4G, 5G networks in the country and on the solid operational performance for the financial year ended FY ‘22 -FY ‘23 with highest ever order book and also for various awards and accolades won and received dur ing the year.
Just in light er vein , Yeh Dil Mange More. I have the following points for your consideration. You have already in your Chairman's speech as well as Mr. Sanjay has outlined in his presentation quite comprehensively about the strategy t o be a global telecom and networking product company, I would not like to repeat this query and will come to the next one about the Saankhya Lab. Saankhya Lab, a kudos to team at Saankhya for winning the prestigious ATSC Research Medal Award recently for o ur pioneering D2M solution. Congratulations to team Saankhya.

My curiosity remains around the Saankhya's product, our D2M solution. We are doing pilot project with Prasa r Bharti in Bengaluru. In Delhi, it is continuing. . I would like to have your considered views about the opportunities for this D2M solution being a convergent solution in between the broadcast and the telecom sector. What are the opportunities we see in the Indian market as well as in the inter national market?
I think, we have done some pilots internationally also with Sinclair US, and about our broadcasting and other capabilities in Saankhya. Also, one of the good things that semiconductor and electronic policy in India is getting ready for future leap ahead. We have fab less chip design capabilities at Saankhya. We would like to have your views regarding all these two three possibilities of the product solutions we have at Saankhya, D2M. Our capabilities at

semiconduct or and fab less chip design would like to have your considered views for the benefit of all the shareholders.
Being a technology veteran, we consider the investor community and industry at large would like to -- recognize you as a technology veteran. We would like to

have your thoughts on the
short term impact of the generative AI hulla-bulla going on . It is definitely going to have some short term impact, and how it will impact our company business in the short run? And we are planning to leverage this in the long term.
Does this mean that the generative AI will need huge lot of training and a lot of models are coming? This will need huge processing power also. As a company being in the telecom equipment and networking products company, what ar e the positive impacts it will create for us new opportunities? We would like to have your views.
Just to conclude, I wish the management team, all the very best in the coming times ahead. I have already voted in favour of all the time resolutions and also propose a vote of thanks to the board. Thanks to Mr. Ravikrishnan, our Company Secretary and IR team for smoothly coordinating this flawless participation in the meeting. Thank you very much, sir. Thank you.
N G Subramaniam: Thank you, Mr. Bothra.
Moderat or: Thank you so much. We now move to our next speaker member, Ms. Celestine Elizabeth Mascarenhas. We ask you to accept the prompt on your screen. May I unmute your audio and video and you can proceed with your question.
Celestine Mascarenhas: Respected Chairman, other members of the board, my fellow shareholders, I am Mrs. C.E. Mascarenhas. I am speaking from Mumbai. First of all, I thank the secretarial team for sending me an e -annual report, but I would have been very happy if I would get a physical re port because the lot of things I was just going on the screen and many times my eyes started watering. So, if it is possible, please send me a physical copy because this company looks very, very interesting to me among all the Tata groups, which is acquire d recently. This is the young baby of the Tatas and I wish to see next time or at least on the 25th AGM that it should be Tata Tejas. I hope I can see such a name. Anyway, it's the board's decision.
I also like the way Sanjay Nayak did the presentation, which was really excellent. And if you could send on my email that presentation, it would enlighten more on what is happening on telecom and all. Next, thanks for the platform and also for this occasio n to speak. The revenue is up this year and also operational profit, but PBT backed down, so therefore no dividend. I don't know, maybe on the 25, we may get, because capital is very much required because there's a lot of growth story.
Next, I congratulat e for all the awards, prestigious awards for innovation as documented on page 46. Keep it up. And I would like to know anything we have won in the ESG platform. Have we applied? Because nowadays ESG is becoming more and more important. And if it is on ESG platform, there is more sort of market capitalization going. So could you throw some light on that?

Now we are building next general telecom networks for India and for the old and mostly R&D driven telecom equipment's , a company founded by the Techno plus . I would like to know, you said some figure stuff, but I would like to know, whether what is the attrition level in the R&D, because these people, these persons are very highly sort of innovative. So if you could throw some light on the attrition level.
Now on this developed and comprehensive portfolio end -to-end optical GPON and XGS -PON and 5G, 4G and 5G provider, which are installed internationally and locally. So what sort of

margin we enjoy, internationally is much better or locally is much better, bec ause this is some business, which is still we have to understand. Now we are under the PLI scheme, that's what I read, I could not just make out. I would like to know, how much amount we have received under the PLI scheme and which sort of platform, like w hich sort of device, we have received this PLI. We have an, next one is we have an order book o

f INR1,934 crores. How long this will be executed, how many months or how many years and what is the, and whether there is in the last three months fresh order o rders received. See 76% of our business is in India. So where do we wish to take further? Next one is, we have 1,305 employees, how many of that is women? We have this product wireless, in wireless 4G, 5G and in network management, wireline FTTx optical tr ansport switches and rotors. I would like to know in which, there is lot of demand in this three lines, there is more products, but three lines main, which are the most demand and where we are having good margins.

Then next one we have done 445 patents and 330 plus silicon IP s. How many more are there in the piping? Who is our main competitor? We have huge international opportunity as given on page 23, page 25. How are we going to grab these opportunities? Any further acquisition for inorganic growth as we have already taken two Saankhya and another one. So what is the view further acquisition?

Next is, we have taken BSNL. What about the MTNL? Because I have this BSNL is not listed, I have MTNL and I am thinking, when this something big change can happen in MTNL as it is rich in property, real estate. So rest, I many of my speakers have asked lot of questions and I was just hearing them and I am just anxious to hear about the answers. So I wish my company all the best. I wish, we grow and we see Tata's. O f course Tata's means there is rea l trust. So nothing we have to.

So we will also see you in Tata Elxsi. Cauveri will always call us out but here some more this thing because I am also attending for the first time Tejas, so next year, I probably our secret arial team will phone, have you got any questions? So we can many of the things no need of asking but we can get from the secretarial team, some of the answers. With this, I wish you all the best. Most important I wish the entire team very good health because where there is health, there is wealth. Thank you so much and wish to see you next year.

N G Subramaniam: Thank you madam.

Moderator: Thank you so much. We will now request the next speaker shareholder Mr. Bharat Raj to kindly accept the prompt on your screen. You may unmute your audio and video and you may proceed with your question. You can please go ahead.

Bharat Raj: Yes, very good afternoon sir. I am Bharat Raj from Hyderabad. First of all I am very proud to associate with Tejas network sir. Sir, nice pres entation given by our MD and CEO. Sir, he has given the total picture of our company sir. Sir, in present scenario the 5G, Indian government is encouraging the 5G sir. So how are you facing the challenges in the market sir? Because every city requires 5G n etwork. So how do you face the challenge sir? We are the number one in the market. So how is this government is planning to in 2030 to make the entire country 5G? So only five cities or six cities are providing the 5G network. So how do you face the challe nge? Are we ready to face the challenge, sir?

I thank my company for sending annual report sir. Thanks for [ABC] . Mr. Chairman, what can I say sir? Thanks for giving me this opportunity sir. Please look after the hospitality sir. I am very happy sir. I wi ll come and visit you personally sir. Next year please conduct the AGM physically. Thank you Mr. Chairman and I hope next year you will come with a dividend and a very good dividend pay -out for the shareholders. My best wishes to you sir. Take care. God bl ess you. Be safe. Be healthy sir.

N G Subramaniam: Thank you Mr. Bharat Raj.

Bharat Raj: Thank you.

Moderator: That was the last question. I now request Chairman sir, to proceed with the answers. Over to you sir.

N G Subramaniam: Thank you and thank you a ll the shareholders, who have spoken and at the outset, I want to sincerely thank all of you for b

eing here and also providing your best wishes and blessings, to the company and the management team and it is really humbling to see the kind of support that, you have all given us. Firstly, I think Mr. Boppana, thank you for your continued patronage and

yes indeed that, we have been interacting over seve ral meetings and several years.
Yes, I think the secretarial team will do their best to network with you, ev en better than what they did this year. I think the first question that, you had asked, you have asked a lot of questions. Hopefully some of these questions were answered by the presentation that Sanjay made but let me try and cover as many as possible.
Digital India, it is and the related opportunities that present for your company is quite good and Sanjay in his presentation also alluded to this, the fact that look, we have only 10% to 15% of broadband penetration in India and there is a huge opportunity on that count and plus the utility segment, rail, power and other areas are also giving us huge opportunities to penetrate with our products and services.

Overall, the environment that has been created for a digital India and the vision that is provided by the government and the push towards an Atmanirbhar initiative to ensure that the networks and the network equipment's are secured, robust and all the components are coming from trusted sources and some of those things are very important and all this mean s that, we have a huge responsibility on TCS and which is what our products are being worked upon.
Products rightfully have been installed in more than 75 plus countries including in almost every telecom network, whether it is with BSNL or Airtel or Jio a nd others, Tejas equipment s are in place and they are working flawlessly and with the desired level of ruggedness. So, we have a huge opportunity to capture the market that is posed in India, which is what rightfully in the strategy, Sanjay presented as a home market penetration. We will be a specific and special focus towards the same.
Cybercrimes, I am not sure whether we can help the victims per se, but then as a part of our business, the equipment s that, we roll out are secured. There are logs that, we keep generating and as per the requirements of our clients or the regulators or the government agencies, if there is a requirement to provide the necessary logs to facilitate such investigations, we w ill be able to do it and the equipment's are all coming up with has certain inbuilt features for doing such analysis, preventing some of this, predicting some of this and so and so on.
You talked about investments that, we are making in certain advanced t echnologies including AI and ML. Our focus is clearly on building a very strong network equipment , whether it is required for the telcos or required for the enterprises, including the base stations and the radio access networks, RAN as we call it and the n the routers, the switches that, we provide and the overall end -to-end solution that, we offer is something that we want to make sure that it is future proof and it is programmable and architecturally, it is something that is compatible and interoperable with any other equipment that conforms to international standards.
So, our focus is really about investing in technology, investing in standards and with more and more of th ese equipment are going to be software driven and programmable, the opportunity to collect data and compute on the edge and make analytics around the equipment on the edge is huge, which is the direction in which the modern networks are all being deployed, which is the direction in which, that standards are also evolving.
So, at T ejas, we have built certain capabilities on the edge in terms of our equipment's that we deploy into the network and we provide those feeds into tools, which are really capable of performi

ng such analytics in terms of optimizing the network and making sure , the network itself is composed as required by the network provider. Yes, the emerging markets is something, which is a focus for us.
As we outlined earlier, we are already servicing equipment s in over 75 countries. We support about 500 plus networks. T here is a Tejas team, which is providing on -call support for any of these networks, which comes around the globe across time zones on 24x7 basis. And the products are very stable and works as I said with the required ruggedness. So, the team is doing an ex cellent job in terms of keeping the equipment's running all the time.

The skill mismatch is something that, is evident, in every, any technology industry and not just to Tejas alone. So, there is a continuous up -skilling, the thrust on our employees to take up the required skills, required training is something that is there and the management has a dedicated training facility in Bangalore, where everyone goes through periodic training programs, in addition to the technology skills that are available on a digital basis, right. That includes usability and so on, everything els e included in this.

With respect to your question on patient monitoring, healthcare and some of those other domains, the way that we have looked at this particular business is across three dimensions. The first dimension is the network that, we offer for the telcos. The second dimension is the equipment’s that we provide for enterprises for their own private networks. And then the third dimension is the vertical domain applications, which could be leveraging the network components and then building softwar e and technologies for, let us say, improving the yield for agriculture or health, patient care and their remote health interventions and so on.

So, there is a verticalization that is possible, but at this point in time, Tejas as a company is extremely fo cused on dimension one and dimension two and enable the software providers and other companies to build such vertical applications on top of the networks at this stage. And we intend to partner with some of those companies, who have these vertical solution s, so that when we go to market for enterprises, there is an opportunity to bundle our network components and software solutions together. And this is pretty much work in progress. So, hopefully, we are in a position to give you a more recent update in the upcoming AGMs.

Both domestic and international markets are our focus and specifically for dimension one and dimension two that, we articulated. With reference to automated cars and others, we have not ventured into this particular field as yet. While the re are capabilities that, we have built on IoT and related areas, but specifically, we are not focusing at present on, let us say, electric vehicles or automated components and so on. And this is an area that is something that we need to explore. But we ha ve got enough things on our hand to ensure that, the equipment’s that we provide for 4G, 5G and looking into the 6G, there is a solid amount of heavy lifting that, the company has to do, both in terms of building products, testing it and branding it and taking it to market.

Not to mention about broadcast capability, t he convergence of broadcast and broadband is something is on the anvil. And there are companies that, they are trying to see that, they need to be converging. International standards are all evolving for such convergence. But from a Tejas and Saankhya pers pective, we have got a very good broadcast solution.

Saankhya has been doing some pilots in India as well as in Latin America and the United States in close association and cooperation with our client and investor Sinclair in Saankhya Labs. And these are very capable and very competent people and who have designed solutions, which is having

its own value proposition to even telcos. For example, the spectrum utilization by the telcos can be effectively used and optimized by simply offloading some of the vid eo contents and video usage, for example, to the direct to mobile kind of a situation.

So, these are still under discussions, regulations need to evolve in country, in many countries, including India. And we are closely watching this space and we are working with all the

stakeholders to see how convergence can lead to better digital inclusion and in India as well as elsewhere.

So, clearly, we have to make our products attractive, we have to make our products compliant, and we have to be leaning fo rward and ensuring that, we set the standards and define the standards, contribute to the standards, both regionally and internationally, and being making our products compliant. So, thank you for asking such a very comprehensive list of questions and it also gave us a feeling that, we are doing a lot of work.

Second is, Mr. Vivek, thank you for your question. I think, you used the word headwind and tailwind. That's the right way to put it. It's just not the tailwind that we have with BSNL. We also have th e headwind because it's a very huge responsibility, huge opportunity, a lot of work involved in rolling out a pan -India basis, the 4G, 5G, network, right. I think it's, the BSNL is looking at deploying over 1,00,000 sites in which, the 4G and 5G networks w ill have to be made available and that work has just commenced and the BSNL as such has delivered the advanced purchase order for the TCS -led consortium in which, your company is a member.

And the next 12, 18, 24 months is what, we have to clearly work wi th BSNL and also manufacture the radios in the required band and in required quantities and with the required quality and ensure that, the whole network is rolled out, planned, and there is a work has just commenced in all that front. We are working very c losely with BSNL in making that possible.

Now, with respect to 4G, 5G penetration across India is the responsibility of not just the BSNL but other telcos and operators and there's a huge opportunity for your company to provide equipment’s and the second question, you have asked for is also as, if you have to become a top five telcos company and, you have talked about revenues but in terms of product capabilities is the other thing.

And by looking at BSNL, think if we successfully execute BSNL, there is a , it is a huge reference in terms of, there are not many networks across the world, which has such a deep penetration in and deep volumes, very high volumes, connect and then the complexities of both voice, data and everything else, right. So, think that g ives the license for Tejas to go and truly claim its place in the international market and there is also another question with some, which maybe I will answer it there related to this but overall it is a great opportunity for the company and we are staying focused in making sure that, the products are compliant, products are attractive, competitive and of superior quality so that, we take Tejas to where it truly belongs.

The next question was from Mr. Ramasamy Vasudev. Thank you, sir. Thank you for asking t he questions. Your suggestion on physical annual investor day is appreciated. We used to do it and we have done more so on a one -on-one or a remote basis during the last two years, three years for the, due to the pandemic. We take forward your suggestions and we hope to conduct a physical annual investor day in the near future. In terms of the revenue profile and how it will happen, for BSNL over the next 18 to 24 months, it is still work in progress for us. We are awaiting the detailed purchase orders from BSNL to the consortium and then consortium to the Tejas and started to put some plans on this but as more things, we get to know

about it, we will
surely share some of those things in our quarterly results as we speak.

The next one, shareholder, Mr. Nave en Bothra, again thank you, sir. You have been a tremendous source of support, motivation for us. You keep calling us, whenever you are in Bangalore, you try to meet with us and so your support and your words during our interactions, the insights that you give us are extremely valuable. We really appreciate that. We also miss some of the physical AGMs and we hope that, we can do it as a physical AGM or a hybrid AGM next year. But we will see, how it turns out and then, we really look forward to seeing some of you in person as well.

The Saankhya Labs pilot project that you alluded to on satellite communications and direct to mobile is progressing well, both with Prasar Bharati as well as in other countries as I mentioned. But then these are new areas, standa rds are evolving and the ATSC 3.0 standards is something in which you know that Saankhya Labs, the work that they have done is extremely interesting and they also won an award, earlier this week for the innovation that they have achieved in adopting ATSC a nd supporting ATSC 3.0 standards in their solution as well as in the chipsets. So as I mentioned that, the broadcast broadband convergence is emerging and there is an opportunity and all the stakeholders have to come together including regulators. On that basis we will see, how this particular business pans out. But I can assure you that, both Tejas Networks and Saankhya Labs are extremely well positioned to leverage such opportunities that will emerge both in emerging and established countries.

And you also talked about fabless chip design capability that Saankhya has. Yes, indeed they have a very good capability in designing chips and they have produced three or four generations of the chip that they called as Himalaya chip as the brand in which, they launched it. It is very promising and they have used those chips in producing some of those solutions, specifically satellite IoT based solutions and so on.

Now we at Tejas, we are also looking at the possibility of embracing that chip or enhancing that chip to the needs of the 5G radios and 6G radios as we embark on our product development. And that is a natural synergy that we will have to establish and also work with other enterprises and other use cases, where such a chip and the di fferentiated chip it has in terms of a lower power consumptions and so on, is something that it has some certain applicability's.

Yes, it may even be considered for let us say producing central compute type of solutions for EV automakers and so on. There are some of these pointers are there, which, we have to see whether we want to go in that direction or clearly focus on the chip development itself specifically for benefiting Tejas in terms of the 5G, 6G, in which case that will be a – certainly be a prio rity.

Generative AI is a very fast evolving thing, sir. And I do not want to express anything loosely on this and there have been lots of news items, a nd many people have commented on it. But sufficient to say that it is going to be a – create e normous opportunities for improving one's efficiencies, one's effectiveness both internally and externally. There is going to be a huge amount of learning for us. But at any point in time, whatever we use generative AI for, we as an organization or I as an individual, we need to be on control of what I am going to be using and how that is going to be put to use responsibly.

And there is a lot of work that is going on, a lot of people have talked about it for wide consumer usage and enterprise usage. And it will be interesting to see, how the enterprise usage is evolving and what kind of competitive pricing mechanisms that will emerge

for these generative AI tools
before it becomes mainstream, in terms of enterprises.
But at Tejas, we have been adopting AI, ML to continuously optimize our own equipment s and the way that it functions, the way it self -optimizes, the way it self -heals and also, improve the efficiency of the network itself. For example, when absolutely there is no traffic, can we switch off the mobile towers and radios in standby mode so that power consumption is less, so it contributes to the overall green goals of the network provider and so on. So, many such things that one can look at, but it is all, work in progress, some are rolled out, bu t architecturally, the equipment s are enabled with the required level of AI and ML and to an extent, deep learning as we proceed in this direction.
And then I move on to Madam Mascaranhas. You know, thank you, ma'am, for your wholesome wishes for the company and we will ensure that we try and give you a physical report of Tejas annual report. This one, as well as in the upcoming – for the upcoming AGMs, we will connect with you and provide a physical copy of the report.
The copy of the presentation Mr. Sanjay Nayak made will also be made available to you. I am requesting the secretarial team to see that you get this. The sustainability and agenda and sustainability goals that you had asked for, lot of things, work is going on, ma'am, it is still work in progress as we outlined briefly. We want to make sure that to begin with, you know, our – we use renewable energy to the maximum for our own internal consumption and to that extent, I think, all our manufacturing facilities, the goal is to have solar powe red manufacturing facilities, hopefully in the next 12 to 18 months, as a first step.
The overarching goal for Tejas as a company to be carbon neutral and eventually becoming net zero, these are things that, we are still thinking internally and we will co me up with a comprehensive ESG plan in this year. And while we have put in place that our products will become – will be having certain green and sustainability goals as it was outlined in Mr. Sanjay Nayak's presentation.
I think the women employee's percentage is…
Sanjay Nayak: So, it is around 200 out of the 1 ,300, which is around 17%, 18% percent.
N G Subramaniam: Yeah, it is about 17%, 18% is what we have as out of the 1,305 employees we have. And then attrition that you had asked for, it is about approximately about 20% in the R&D segment.
Sanjay Nayak: Actually, last year, the R&D attrition came down to 15%. Overall was around 20%.
N G Subramaniam: Overall is around 20%. R&D, it is about 15%. Overall, it is about 20%. Thank you, Sanjay. And the m argins are mixed, as you can imagine that there are different segments, as you rightly called out, madam, wireless and wireline. Wireless is in where we are a new entrant. We are building the whole wireless equipment at this point in time. There are a lot of investments.

And currently, we are present in largely providing these equipment's in India. So, it is coming under certain cost and competitive pressures, margins are lower. Clearly, on the wireline side, we enjoy a decent and better margins. And li ke in any other business, the exports business always contributes to higher margins.
And as you rightly observed, there is a huge international opportunity, no doubt about it. I think there are five strategic areas of focus that Mr. Nayak outlined in his p resentation, which actually calls for those opportunities. And we will continue to explore those businesses and opportunities, ensuring that we first make sure that we have all what it takes both in terms of resources and people to execute that INR1,930 cr ores worth of order book that we already have.
And clearly, BSNL order is going to be a huge order to fulfil. And internally, we have already geared

up to execute that order. That is one of the reasons why we tied up with four new EMS partners. So, we have got what it takes to scale the business for the volumes that we expect in this year and the next two to three years.
Regarding inorganic growth, I think, we will continue to look for such opportunities in this business. I think anyone who has new products , someone, has certain patents that we want to have or there are synergies is something that we look for. If there is an opportunity, we will consider that. But at this point in time, I think we are all extremely focused as a company to mature the wireless products to the same level of maturity that we have in the wireline product segment.
BSNL is one and then the MTNL is something that we will have to work with BSNL, I guess. And we also look forward to delivering our equipment to MTNL as such opportunities emerge. Thank you again, madam, for joining us and providing your insights and blessings.

The next questions were from Mr. Bharath Raj. I think in terms of 5G, I think I already answered these questions in the earlier thing in terms of challe nges that we see in the market. I think, in providing these equipment s on a timely basis, we rely on certain components which are really linked to the semiconductor and supply chain. And the supply chain, still there are certain components which take 40 w eeks to 52 weeks lead time.

And we had taken some advanced calls in procuring some of these components in anticipation of some of these projects that we may have to execute. But having said that, still the supply chain delays is one big headache that we ha ve to overcome. Barring that, I think in terms of the people, resources, the manufacturing facilities, the quality assurance and testing facilities and the field support that is required on the ground, is something that we are working with internally as we ll as with our partners to ensure that the time that we take to complete or fulfil an order is kept as a minimum thing.

We also look forward to the physical interaction s as you had asked for. Thank you so much. And I think, you know, with this, I have prov ided all the answers to the questions that were raised by all of you. If there is anything that is missing or missed out or if you have any further questions, we are happy to provide such answers. Please do email those questions that you may have, you may see.

So, we are grateful to all our shareholders who have joined us today. And so, with that, let me come to the last item of the agenda. The Board of Directors have appointed Mr. Dwarakanath C, Company Secretary in practice, as the scrutiniser for the e -voting process. I hope all of you have taken part in the polling. Further, I hereby authorise Mr. N. R. Ravikrishnan, our Company Secretary, to declare the results of the voting and place the results on the website of the company at the earliest.

The resolu tions as set forth in the notice shall be deemed to be passed today, subjected to receipt of the requisite number of votes. Further, the combined results of remote e -voting and electronic voting during the AGM, along with the scrutiniser's report, shall be communicated to the stock exchanges. The results shall also be placed on the websites of the company and NSDL.

With this, all the items of today's AGM have now been transacted. Thank you for attending this meeting. And I once again want to sincerely appre ciate and look forward to your continued support and guidance. With this, I declare that the 23rd Annual General Meeting is closed. Thank you all very much.

Call: Jul 2023

July 28 , 2023
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q1 FY24 Earnings Conference Ca ll

Please find enclosed the transcripts of the Q 1 FY24 Earnings Conference Call held on July 21, 2023.

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited "
Q1 FY '24 Earnings Conference Call"
July 21, 2023

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND WHOLE - TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. VENKATESH GADIYAR – CHIEF FINANCIAL OFFICER - TEJAS NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER - TEJAS NETWORKS LIMITED

MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Tejas Networks Q1 FY '24 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by p ressing star then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rushad Kapadia from ICICI Securities Limited. Thank you, and over to you.
Rushad Kapadia: Good evening, ladies and gentle men, and welcome to the Q1 FY '24 results conference call for Tejas Networks. We have with us from the management, Mr. Anand

Athreya , Chief Executive Officer and Managing Director; Mr. Arnob Roy, Chief Operating Officer and Whole -time Director; Mr. Venkate sh Gadiyar, Chief Financial Officer; and Dr. Kumar Sivarajan, Chief Technology Officer. So without further delay, I would now like to hand over the floor to the management for their opening comment s. Thank you, and over to you, sir.

Arnob Roy: This is Arno b Roy, the Chief Operating Officer of the company, and welcome, everyone, to our quarterly earnings call. On the first slide, we start with a quick update for the quarter. So we had a net revenue of INR 188 crores for Q1, as opposed to INR 126 crores in Q1 of FY '23. We also had a loss of INR 26 crores as opposed to a loss of INR 7 crores in Q1 of FY '23. We are a zero -debt company with cash and cash equivalents of INR 943 crore. And we also had a healthy order book at the end of Q1 of INR 1,909 crore.

Some of the key highlights that happened during the quarter are that our business momentum for wireline continues to be strong. Some of the significant events were receiving initial orders for the deployment of our GPON OLT supply to a Tier 1 telco in India, a nd this is for the ir nationwide deployment.

We also commissioned a nationwide end -to-end Tejas product -based network across GPON access, packet aggregation, and OTN/DWDM core for a large customer in Italy. This is a very significant showcase network for us in Europe, and it is managed end -to-end by our network management software .

We have also turned up a very high -capacity DWDM long-haul link connecting data centers for an operator in Africa, using our state -of-the-art 400 gigabit per channel WDM technolog y.

In the wireless business, the highlight was the successful commissioning of a pilot network of 200 sites for BSNL's 4G network in Punjab. And so, from this quarter on, we will be ramping up volume supplies.

And the BSNL has also announced a successful b eta launch of the network on July 15 based on these 200 sites that we deployed. On the supply chain front, we've appointed Sembian Venkatesan as our Chief Supply Officer. Sembian is an industry veteran of 30 years in manufacturing and supply chain manageme nt.

We also significantly increased our capacity for executing the upcoming large sh ipment volumes for BSNL network. We have also received several awards during the quarter. We were awarded Dataquest's Pathbreaker of the Year Awards for our outstanding wor k and contributions to India's ICT industry. Saankhya Labs received a Mark Richer Industry Leadership Award from ATSC for their contribution to the standards as well as their innovative products in this area. We also granted 50 patents during the year, tak ing our total patents to 267.

I'll now hand it over to our CFO, Venkatesh Gadiyar, to walk us through our dedicate numbers for the quarter.

Venkatesh Gadiyar: Yes. Thank you, Arnob . We'll have a financial update for Q1 FY '24.

Our net revenues were of INR 188 crore. We saw a year -on-year growth of 49 percent. While we have ramped up our revenues during the 4 quarters of the last year, during this quarter, especially Q1, there was a disr

uption in the EMS planned transition, and there were also a few component delays that have resulted in the overdue delay.

This was a short -term issue, and we have faced it in this quarter. We have fixed it now and will improve on our supply chain deliveries from Q2 onwards. In addition to this, we had to pay some spot charges to secure our components , where costs could not be fully passed on to our customers, and the margins remain challenged in this quarter. And we have been reviewing closely and talking to our vendors, and w e believe the situation is expected to improve at the close of this financial year.

The quarter's EBIT loss and PBT loss were INR81 crores and INR66 crores, respectively. In terms of the cost, we have been continuing to invest upfront primarily on account of the hiring on the R&D front, which is meant for future readiness. We incurred losses during Q1 as we could not absorb some fixed costs, and the product margins have been impacted due to the increased component prices.

The PAT includes the additional deferred tax credit on account of the tax loss and the MAT credit amounting to INR18.7 crores, which has been recognised during Q1. And the earnings loss was INR 1.56 per share.

Next slide. Yes. The cash outflow from operations for the quarter was INR289 crores, primarily due to inventory growth. We continue to build on inventory, and we have secured a long lead component for expediting the delivery of several critical large orders. Inventory has increased by INR 225 crores during Q1, and the total inventory stands at INR 872 crores as of June 30, 2023.

The working capital has been increased in Q1 by INR 263 crore, primarily due to an increase in inventory, which has been built up for the expanding delivery of current critical large orders. Receivables have been marginally reduced, and the closing receivables as of June 30 were INR 501 crores. We have healthy cash and equivalents as of June 30, 2023, of INR 943 crore, and we don't have any debt. And finally, th e net worth is strong at INR 2,984 crore as of June 30, 2023.

With this, I'll hand over to Arnob once again.

Arnob Roy: Thanks, Venkatesh. We move to the next slide. So, this gives a profile of the business that we executed in Q1. The right -hand side chart shows that run rate revenues were 79% of our overall business in Q1. There was growth in all segments of our business, including India government, India private and International. However, while the run rate business is 79% right now, we expect the India segment to dominate for the next 12 to 18 months because of the large BSNL 4G orders.

We also have a healthy closing backlog of INR 1,909 crore, and about 50% to 60% of this will be executed in this financial year. And we also have a situation where largely the backlog is in India, and a portion of that is for the international sector.

Next slide. Yes. This is just to refresh for those who have not been tracking our products and business. So we now have a comprehensive end -to-end portf olio across wireline and wireless. In wireless, we have a comprehensive solution of 4G and 5G products where we continue to invest and grow our R&D investment s in. In Wireline, we also have products that can build end-to-end networks for carriers and servi ce providers across access with a wide variety of access solutions and metro aggregation solutions around packet technologies and OTN, and the metro core and long -haul technology built on high capacity, WDM transport, and OT N specifically.

So with this por tfolio, we address a very large addressable market globally. And so with this portfolio, we have the ability to build a n etwork across wireless and wireline and provide optimised solutions to customers that r educe their capex and opex costs .

Yes. So in summary, with a healthy order book of INR 1,909 crores for wireline business and the outlook for significant wireless busi

ness this year, we expect to accelerate our quarterly
revenue growth significantly. We have successfully commi ssioned the pi lot network of 200 BSNL 4G lines. The product is working very well.

And with the state of the network, BSNL has launch ed a soft launch of the network , and we expect to ramp up our supplies or deployments from this quarter. We continue to make significant i nvestments in R&D and manufacturing operations as we scale up our business and look forward to healthy business growth over the next few quarters and years.

So I come to the end of the presentation, and we'll open the floor for questions.

Moderator: The fi rst question comes from the line of Vimal Gohil from Alchemy Capital.

Vimal Gohil: I formally welcome Mr. Anand Athreya on his first earnings call at Tejas. Sir, I just wanted to understand. I mean, the company has had or has faced numerous challenges in terms of raw material shortages with vendors because of which they could not execute their order book. How different are the challenges at this point in time? And given the outlook that you've offered, do you see us crossing our quarterly revenue run rate o f INR 300 crores next quarter? That would be my question number one.

Arnob Roy : So we don’t give quarterly revenue guidance. But yes, as you mentioned, there were challenges in the past. And they are there while it is coming down slowly they are still there. However, this quarter, we also had the one -time event of one of our EMS partners moving their plant from one location to another. So that caused the one -time disruption of our supply chain business, but we hope to catch up on our shipments for supplie s and shipments in the subsequent quarters.

Vimal Gohil: And, sir, would you be able to quantify this impact?

Arnob Roy : Do you mean quantifying the impact of the EMS transition?

Vimal Gohil: Yes, yes, sir. And what was the impact of t heir vendor transitioning to

Arnob Roy : I would not like to quantify that, but we would have had a larger quarter for sure with this impact of 6 to 7 weeks that we had. And so, but this is behind us now, and we have caught up, and I think things are in full swing right now. So we'll be in much better shape than before.

Vimal Gohil: Right. No, because if I were to look at the quarterly decline, it's quite large, close to 40%. So the majority of it has come because of that discovery?

Arnob Roy : Yes. Tha t's correct.

Vimal Gohil: Understood. Now coming to the order book, sir, over the last year in FY '23, we consistently reported improvement in our cable order book. We started FY '23 with about INR 1,200 crore in order book and ended with almost INR 2,000 crore. This quarter, we have not seen that order accretion, which we would typically expect on a quarter -on-quarter basis. So why has that happened? That is part one. And the second part is just a clarification. This is just a wireline order book, right? T his does not include wireless at this point in time.

Arnob Roy : That's correct. That's correct.

Vimal Gohil: Okay. So, this does not include the wireless business, right?

Arnob Roy : This does not include the wireless business.

Vimal Gohil: Okay. Okay. And sir, what would be the reason why we're seeing a slight decline

in the order book on a Q -o-Q basis?
Arnob Roy : Yes. So there is —first of all, we do not give Q -o-Q numbers. We just gave you the outstanding order book. And one of the reasons is that, of cour se, we executed part of the order book. And secondly, because of our outstanding supplies to many customers, right, what is happening is that a lot of the customers are waiting for the shipments to happen for backfilling the order book as -- so that should come back, it should get filled up soon, as when we start executing and delivering on our supplies.
Vimal Gohil: So Q2 of FY '24 should also see some improvement in the outstanding order book. Fair assessment,

sir?
Arnob Roy : Yes. Well, it's —I don't want to quantify that right now. But yes, our bookings and all as we progress along the year, yes. From the business outlook that we see, our order book will remain strong for the year.
Vimal Gohil: Understood, sir. And the last question for me is on margins. I understand. I mean, in terms of component prices, what we have been reading, if you can correct us, has been about the raw material prices pulling down for several components. Whereas our margins don't really reflect that. So what is the issue at hand? Wh en can we see a significant improvement in margins purely because of the reduction in your raw material prices?
Arnob Roy : Yes. So yes, while we have been hearing and experi encing improvements in the chip supplies, this h as not happened across the board enough for us to be able to control the process. This is bec ause what happens on the cost of goods or margins is that when we don't get time to supply, we have to look around and source compo nents at higher costs with expedite fees or spot buys and all, whic h are basically one -time events that don't reflect our product costs and margins. But basically, the lead time is what leads to this. As and when this component supply situation and lead time situation come under control, our product margins will return to normal.
Moderator: The next question comes from the line of Sugandhi Sud from InCred Asset Management.
Sugandhi Sud: I wanted to understand; we get a lot of information on the scope of the contract at BSNL, but you already...
Arnob Roy : We lost you, Sugandhi.
Moderator: We have lost Ms. Sugandhi. Next in line is Mr. Vimal Gohil.
Vimal Gohil: Yes, sir. So, sir, my follow -up would be in terms of the breakup at this point in time. Would it be fair to say that our entire revenue is coming from Saankhya, wh ich is about INR 20 crores? That would be wireless business, and the rest of the INR 167 crores will be wireline. Would that be a fair breakup of our business for wireless and wireline?
Arnob Roy : Yes, that would be a fair breakup. I mean, wireless is a co mbination of the different products they have for broadcast, platforms, and all those combinatio ns of those. And all of the Tejas' business is entirely wireline.
Vimal Gohil: Sir, just one clarification. In the India government piece. I think last year or last quarter, we saw about INR 87 crores worth of orders for the India government, which has fallen quite substantially despite servicing some of the government, or rather BSNL, contracts. So why has the revenue fallen? Is it that we have executed the orde r and did not build them? Or is it that the money has yet to come from that?
Arnob Roy : So, the question was, Why has the India government business fallen?
Vimal Gohil: Yes, yes. That's it.
Arnob Roy : As compared to last quarter, yes. So one of the reasons was that last quarter was the initial ramp of the major supplies for one particular customer, where the major shipments happened for this project. And so that time we saw a big jump —a bigger number over ther e— because the majority of supplies happened in t he last quarter and the tai l-end of that and other government supplies happened in this quarter. So that's why it's kind of a one -off event.
Vimal Gohil: Right. Sir, can I go ahead with one more if it's okay?
Arnob Roy :Sure.
Vimal Gohil: Yes. So s ir, in ter ms of the EMS supplies that we are working with, I'm sure these are not exclusive suppliers; they will be working with some of the other players as well. So is it that for temporary, maybe our size is a bit of a disadvantage with our scale and our competit ors in this space will be much larger -- so they would probably be given more priority in some sense, in terms of components, in terms of tech component supplies? So is it an industry -wide problem? Or is it that our scale is a bit of a disadvantage for the mome

nt?
Arnob Roy : Okay. No. First of all, I think the EMS partners manufacture. The sourcing or component suppliers are different from the EMS partners that we have, who basically put the product together, run it significantly, and stuff like that. So th ose people have a lot of capacity. One of these is with large EMS vendors who have a lot of capacity, and we have not seen any shortage of capacity from them to execute on our business. I think whatever shortfall we have

is because the components did not a rise in time, okay? And so that has been the root cause, not the capacity at the EMS.

However, having said that, in anticipation of much larger shipments happening over the next 3 quarters, we have proactively scaled up our EMS capacity also by signing up for three more EMS partners in addition to what we have right now, okay?

Vimal Gohil: Understood. And sir, what would be our order book in the wireless segment right now?

Arnob Roy : Yes. So we don't state that. And as you know, as we mentioned, our current order book is entirely wireline, and our wireless order book will be driven largely by BSNL 4G, among others, but that would be the dominant part. And we are yet to disclose that right now.

Vimal Gohil: Okay. So in the future, are we looking to disclose that?

Arnob Roy : We will disclose that as and when we can. As I said, we are ramping up for supplies this quarter. The process of the PO and execution is happening as and when the POs come in, we will certainly disclose.

Moderator: The next question comes from Aashka Trivedi from Kedia Securities Private Limited. Ms. Trivedi, please go ahead with your questions.

Aashka Trivedi: So my question is that we've seen the initial orders on GPON OLT supplies from a Tier -1 telco in India. So can you quantify the ord er size for this order?

Arnob Roy : No, because this is also a run -rate customer, and with run -rate customers, we have a multiyear agreement for sourcing quarter -by-quarter. So while we have an idea of the business that we're going to execute over the next 3 years of the 3 -year cycle, There is no one -time order or one -time number that we can talk about, and we also don't disclose the customer -specific business. We just wanted to indicate that the Tier 1 customer has a long procurement cycle and a long -term p rice contract as well.

Aashka Trivedi: So as far as I understand, it is an incremental order, like this is not a one -time order, right?

Arnob Roy : So this is like th e Tier I process, which happens like that. Once you get quali fied and once we finish our field trials and early deployments because we have an agreement in terms of the number of years or quarters of supply and they keep buying every quarter and deploy, okay? There's no one -time buy, which happens for 1 or 2 years, kind of thing. It's not a tender. It's like a running forecast and run rate order, which happens. So there is no —so that's how it happens. I mean, it's not really what we termed as incremental. It is a run -rate order, which will happen quarter -over-quarter over the next 3 years.

Aash ka Trivedi: Okay. And sir, we hav e successfully launched the Beta launch of the BSNL network in Amritsar. So, sir, what is the plan going forward? Like, which city are we targeting next? If you can just highlight that,

Arnob Roy : Yes. So the supply deploym ents will happen as per the BSNL plan. So they are doing a nationwide rollout. So they are kind of telling us circle -wise where they will be deploying, what quantities, what brands, and all those kinds of things. So as and when we manufacture, we will be s hipping as per that requirement. So it is not a target for us to say that this city or that cit y It will —the next few supplies requirement s will happen across multiple cities at the same time based on their deployment plan.

Aashka Trivedi: Okay. And sir, apart from supplying the wireless, we are also maintaini

ng
contracts for BSNL?

Arnob Roy : So maintenance contracts, yes. For any product supply, always follow with service orders, AMCs, and stuff like that. For supporting the products and the networks that we have supplied, that's typical and always happens with any product supply. So yes, that should also be part of our business.

Moderator: Thank you. The next question comes from Sugandhi Sud from InCred Asset Management.

Sugandhi Sud: Okay. Thank you. So I wanted to understand the wireless contract for BSNL. Is there any? Can you give us an indication of the pace of rollout of the broad scope of the contract over the next 1 to 2.5 years? How do you want to spread it out in terms of 30% or 20% per year?

Arnob Roy : Yes. So I'll give you an overall idea. The entire supply chain and rollout are expected to take 12 to 18 months. And this r ange will depend on how fast we supply and how fast BSNL is able to deploy, but there is a very aggressive rollout plan as of now because BSNL wants to roll out that network very quickly and get into the 4G business. So 12 to 18 months is our understanding and agreement with them i s the time line for supplying and deploying the network.

Sugandhi Sud: Sir. And I understand. So ho w can we expect -- what kind of impact should we expect on the -- in terms of your inventory situation or the receivable situation given that this would be a compressed order -- in terms of -- we've seen some pressure on receivables in the past with govern ment -related contracts? So if you can give us some indication of what kind of broad terms, in terms of the number of DSO days, etc., can be expected or compared to

where we are currently, how would that trend?
Arnob Roy : Yes. You asked several questions over here for both with respect to the inventory situation. As you have seen and as Venkatesh mentioned, we have already started pu lling in components and started manufacturing for executing the volume supplies . So definitely, what happens is that manufacturing happens in a particular quarter, and shipment happens towards the end of the quarter or early next quarter. So you will see a lot of inventory build -up as well as shipments happening over the next few qua rters along with this network, right?
And so as regards payments and all our concerns that we have, we fully understand the milestone -based payment of supplies in this project for supplies, deployment, etcetera. And we have worked out our processes with TC S, our SI partner, to ensure timely project execution and collections.
Sugandhi Sud: Got it. So another bookkeeping question is that, in terms of last year, you capitalised R&D to the tune of around INR 180 crore. And I noticed that your R&D headcount has also doubled —nearly doubled. So could you give us an outlook on how much more capacity creation you would be doing over the next 2 years on the employee front?
Arnob Roy : I think we're in a significant investment mo de right now because what we're seeing —the opportunities right now —is basically the start of what we see —what our plans are for the people. We want to definitely see it in our current business. We want to go international and scale our international business significantly. And as part of this, we will also expand our product portfolio.
So, with that kind of vision, we're continuing to invest in order to grow. So the growth of R&D headcount and supply chain capacity will certainly happen over the next few quar ters. That's certainly going to continue over the next few quarters.
Sugandhi Sud: So we can expect simil ar terms of growth this year ?
Arnob Roy : Yes, yes.
Sugandhi Sud: And could you give us some idea about how the government, which is becoming a very la rge portion this year, would impact your gross margins? I mean, changes in the component supply side —if that were to remain as it is today, what kind of margin change can we expect?
Arno

b Roy : Given the size of the business, given the size of the volume of the government orders, and given that we knew what was coming and what was generally manufactured, we are working closely with our component suppliers to be able to manage optimise costs based on this large volume. Y es, it is a challenging deal, but we are managing it with our design optimisation and our negotiation s with our partner. So overall, I think the margins will be well within our expectations, and we are fully prepared to manage this.
Sugandhi Sud: Sir, my question was more along those lines. Traditionally, you've done 40% sort of gross margins, and wireless is becoming an international business for us, and this is our first quarter. So as an investor, what kind of impact can we expect the changing product mix to have on gross margins?
Arnob Roy : So see, the product drops slightly in terms of mix, and because of this government, you understand the business size is also very large, right? So given the size of the business, we can also work with slightly lower product margins because of the overall size of the business, right?
But as I said, the impact of this is in terms of being able to negotiate with component vendors and having a slight impact on our other businesses with common components. Overall, the blended marg in for our business will not be impacted. I think there will be —it will be as we see it right now.
Moderator: Next question comes from the line of Ritesh Poladia from Girik Capital.
Ritesh Poladia: Sir, in wire line business, is the GPON OLT for broadband, or is the application different?
Arnob Roy : Yes. The applicati on is residential and enterprise broadband.
Ritesh Poladia: Okay. Yes. Sir, on BSNL 4G, one of your other consortium partners has already declared an INR 3,900 crore purchase order. So why is th ere a delay in signing up for a purchase order with Tejas?
Arnob Roy : No, no, no, there is no —okay, we are not aware of that, but the consortium has received the purchase order from BSNL, as you are aware, right? And you know the full scope of their order as well. So what is happening is that our purchase order is based on circles and deliveries to each and every circle, right? So we are expecting our purchase orders to come in circle -wise.
So that's the reason why it's not a one -time order. And as and when these orders come in, we'll be sharing with you the business that we're getting for BSNL 4G. So there is no delay. It's basically breaking up the plan into smaller units based on states, circles, and all these kinds of things. And that's what we will receive. We'll keep receiving as we execute our projects.
Ritesh Poladia: So apart from that consortium partner, all the sites would be done by you? Or will there also be another partner sharing it?

Arnob Roy : So all of the RAN (radio access network) equip ment, the radio and the baseband units, and all the sites will be supplied by Tejas. There's another consortium partner i.e C -DoT that will be supplying the core software; that's what they will be supplying. And we'll be supplying the RAN; the radio equipm ent is what we'll be supplying, but for the entire network.
Ritesh Poladia: Okay. I'll be a little clearer. See, there is extreme filing by ITI Limited. And they have said that they will manufacture the RAN for the 23,633 sites. So if you c an give us some clarity on this.
Arnob Roy : They are basically going to manufacture Tejas equipment, okay? Our equipment is what they're going to manufacture, and we have a manufacturing agreement with them to manufacture and supply for their purchase order, but it's goin g to be on all of Tejas equipment.
Ritesh Poladia: Okay. So ITI is going to manufacture Tejas equipment only?
Arnob Roy : Yes, yes. That's correct.
Ritesh Poladia: Okay. So this INR 3,900 crore order book for 23,000 sites would be the ITI portion, or some of that will come to Tejas

also?
Arnob Roy : So the ITI portion is going to be executed with Tejas equipment for the equipment portion of that; a large portion of that is going to come to Tejas.
Ritesh Poladia: Okay, will this also come to Tejas only?
Arnob Roy: Yes, yes.
Ritesh Poladia: Okay. So all the sites —about 1 lakh sites —that's what the newspaper is talking about. Everything is made by Tejas. Some portion will go to ITI, and they will supply the BSNL base?
Arnob Roy : Yes. So the supply, all of it, wi ll be Tejas equipment, some of it supplied by ITI, some of it supplied by TCS.
Moderator: The next question comes from Mukul Garg from Motilal Oswal Financial Services.
Mukul Garg: First on this whole ITI versus TCS issue of -- so just to understand this b etter than ITI's kind of sharing that they will have a specific amount of production capacity for this order, Does that not give us visibility in terms of how much revenue is generated?
Yes, so I was just trying to understand the ITI part of the equation. I understand that for the other part, shareholder approval has happened, and I think the final purchase order is still not in place. But for the ITI, what they have announced is the order portion, their portion of the order; does that mean that you have re ceived the order from them? Or is it mostly indicative of their end?
Arnob Roy : Yes, it is -- like, as you know, the consortium has also received the purchase order, right, of a very large amount of -- INR15,000 crores or so were published at the consortium. So they need a whole deal size before they are published. And similarly, ITI has published the size of the order. But when it comes to supplies, that will be broken down into circle -wise purchase orders as well for ITI, ok ay? So it will be the same mechanism, except that here, ITI will be the supplier, and there TCS will be the supplier, and we will be the equipment supplier to both of them.
Mukul Garg: Right. And is it fair to assume that the inventory build -up that has h appened over the last few quarters is mainly to kind of prepare for this large order given that the time lines will be quite compressed?
Arnob Roy : You got it right. That's exactly c orrect. Distribution of compressed delivery time lines. We have ordered, a nd we have started building up inventory of components and finished goods so that we can deliver quickly.
Mukul Garg: Understood. The second question was on this DWDM order in Africa. Is it fair to assume that this is a long -haul order?
Arnob Roy : Yes. So basically, it is for one of our regular cu stomers. It is not —I mean, this is not just one order. As you know, we build pan -African networks for this customer. It is more of where -- the point was more of a -- some of our new technologies have gone into tur ning up some of the links or some of the very high capacity links connecting data centres of some of their web -scale customers.
As a result, this was a new high -end technology. And so this was a significant milestone from our side. So that was highlighted. But it's not a single order. The same technology is going to be rolled out across their network across Africa.
Mukul Garg: Right. But does this imply that you guys have expected it to be a long -fall set of optical networks as well with this kind of client confirmation, and that would kind of expand your addressable market there? Or is it more of a client -specific thing? And you really are not putting too much on the long -haul side of the equation?
Arnob Roy : So we are in long -haul WDM, okay? This was more of a capacity expansion with high-speed data carrying waves, let me put it that way, right? So like people build the long -haul network, they can build it with 100 gigabit lambdas or wave s, 200 gigabits, 400 gigabits, so we have all the technology. So this was more of a show -case network for demonstrating a very high -capacity long -haul WDM technology. But we hav

e been building long -haul networks
with our WDM technology for a while.
Mukul Garg: Okay. Coming to this, the GPON OLT order each order, which you ha ve received, in what sense was this in the pipeline for a long time? Are you kind of getting signs from this customer that they are finally starting to accelerate meaningfully? Or is this still the case that the visibility on this client's spending acceler ation is quite low?
Arnob Roy : No. I think they have started their rollout significantly. We are getting rolling run rate orders, kind of quarter -over-quarter. So now the rollout is accelerating right now, and our business with them is growing. So we have passed the initial phase of the supplies and piloted them for government and trials and then software integration and all those kinds of things. I think, Basically, this means that we have passed all that phase. And now it's just ramping up supplies and deployments for the customer. We are in that phase right now.
Moderator: Thank you. The next question comes from Sohan Joshi from ASC Consultants.
Sohan Joshi: I just want to ask, when are the benefits from our partnership with Renesas going to come? I mea n, what was the partnership with Renesas? Was it into manufacturing, designing, or end -to-end solutions, or was it going to help sort out our profitable supply chain because the government has intended to spend more on BharatNet, and with massive strength like private telcos and capex for 5G, the opportunity is massive.
I just wanted to understand -- I mean, the Renesas, the management of Renesas recently on a visit to India, and also the top official of the government. So did we progress more on that partn ership? I just wanted to get the colour of it.
Arnob Roy : Yes. I think Renesas partnership was two -dimens ional. One was as a supplier for our new products, especially in wireless. So they are one of our suppliers. So that's one part of the partnership. The other part of the partnership is also the joint development of some new technologies, which we cannot disclose right now. But we are also working with them to specify the next integration —integration of semiconductor components —that we are going to use. S o we are not getting into specifics. So these are the two dimensions of our partnership agreement with Renesas.
Sohan Joshi: Okay. Okay. That's it from my side. Thanks. I wish you good luck.
Moderator: The next question comes from the line of Vimal Gohil from Alchemy Capital.
Vimal Gohil: Yes, Sir, I have a slightly long -term question, given the fact that we are seeing a lot of growth ahead. Of course, that comes with the opportunity that is present at this point in time. How is the top management, who see m to balance revenue growth and profitability, taking that approach that we want to capture as much growth as possible? And probably after that, we will be looking to stabilise our profitability goals, or will it be a balance of both? How should we look at this over a longer period of time?
Arnob Roy : I think this is a good question. And , the short answer is yes; we are driving towards profitability over the year, and we have taken all steps, as we understand. So we have some short -term challenges right now. The products are very well optimised and d esigned, and we expect the standard margins that we have had over the years.
We've run into component supply issues since COVID. And very recently, some of our EMS partner challenge s have been logistics challenges. But we expect these are all one -off events; there are short -term events, and very soon, things will stabilise, and we'll be back to normal business with the normal margins that we've been enjoying all alon g. So this is not a question of buying out the business with zero margins and then looking at how to improve our margins. It's not like that. I think we are working with healthy margins.
So some of the deals may have lower

initial margins than our standard , but we have a clear cut
margin recovery plan in place so that over time we can get back to normal a nd recover our margins . And so we are not distracted by short -term events happening that have been addressing our supplies, business, and margins. But long term, we don't see any issues going away and coming back to a steady state with our normal operations and normal costs.
Vimal Gohil: So it's going to be growth along with profitability —it's not either or?
Arnob Roy : Absolutely, absolutely.
Vimal Gohil: It's great to hear that. Thank you so much, and all the best.
Moderator: The next question comes from Mubasher Hussain Ansari from the Hyderabad Investment Forum.
Mubasher H. Ansari: Yes. My concern is also about the margins. Recently, the CEO of TCS gave an interview, saying that this 4G project of BSNL is for nation -building and not for margins. So in this context, are we also going to get some margins? Or is it going to be like a communist enterprise? Just focus on the top line and don't make any profit. So I need some clarity on this.
Arnob Roy : Yes. I think that was a comment from his side, which basically indicated the commitment of TCS towards this business and building this network. And so just to qualify that, he kind of said that, whic h is more important than anything else and profits and all this kind of thing. And this is more about the vision of the business, but no one is in this business to lose money or not make any money. And certainly not us, I can assure yo u that.

And our products are designed to be profitable even in our highly competitive industry. And the good thing is that the large volumes also allow us to drive down product costs to ensure that we are healthy and profitable in this field.
Moderator: The next question comes from Aditya Mehta from G. K. Capital.
Aditya Mehta: So my question is with regards to the BSNL 4G order that the consortium has seen. So what will be Tejas share in the overall order? And how much do we plan to execute in this financi al year?
Arnob Roy : As far as execution is concerned, as I said, the goal is to start this quarter and finish within 12 to 18 months. Regarding a specific share of the orders that the consortium has received, I mean, I cannot share any numbers right now. But as we told you, we are going to receive the circle -wise POs and start shipping. And as soon as we receive this deal, we're going to disclose the size of the business. Upfront, we don't want to disclose the absolute numbers or the size of the overall de al, and you can work out whatever the equipment portion is and all those kinds of things.
Aditya Mehta: Okay. So this INR 15,000 crore advance purchase order that we have received would cover 1 lakh sites because there were some articles that said the deal value would be around INR 24,000 crore.
Arnob Roy : This covers 1 lakh sites of 4G equipment.
Aditya Mehta: So that INR24,000 crore order has been revised to INR15,000 crore?
Arnob Roy : Yes, because it's 100,000 sites and it's 4G. And as and when the number of sites increases, those will go up. But I think once we start executing on the orders, all those things will come.
Aditya Mehta: And last question on our receivables: So will we be g etting payments from BSNL or via consortium?
Arnob Roy : We'll be getting payments from TCS.
Moderator: The next question comes from Venkata Suresh Kumar from Burrams Financials.
Venkata Suresh Kumar: My two questions My question is whether Tejas is plannin g to take over Saankhya Labs. You are going to semiconductor? This is my first question. The second question is:
Arnob Roy : I couldn't hear your first question. Your voice c lipped in between. Something related to semiconductors, you are saying? Could you please repeat?
Venkata Suresh Kumar: Sir, your takeover of the Saankhya Lab in Bangalore You are planning on going for bu

siness transient in semiconductor business?
Arnob Roy : Yes. So I think, as you know, we are very big consumers of semiconductors in designing our products. And so with Saankhya's capability, that also gives us the opportunity to design, optimise, and begin to serve other markets, where semiconductors are required, right?
So we are kind of crafting our strategy in this space. But yes, we d o intend to use Saankhya's capabilities in semiconductor design and manufacturing to both grow and impact our business, as well as other opportunities in other sectors.
Venkata Suresh Kumar: Okay. And one other question. Actually, you got the BSNL long - back tower. You are making total equipment; your Tejas is making any other partners like ITI and Valiant; CT somewhat is giving another order? We will be a bit stimulated. You can understand my question.
Arnob Roy : Yes, I can understand. So basically, fo r this BSNL 4G order, all of the radio access network equipment will go from the base station to the tower, which includes the radio equipment at the top of the tower and the baseband equipment at the bottom of the tower. All of that equipment is completel y designed and manufactured by us for all 100,000 sites.
As I previously stated , ITI is another partner, like T CS, who will source equipment from us and supply it. But all of the requirements are going to be pure Tejas equipment.
Venkata Suresh Kumar: Okay. Okay. Any other CT consultants and Valiant also at the partner -- if any equipment, any other orders, sir, CT...
Arnob Roy : Not in this network. We do work with Valiant for other applications in our wireline sales, but in this particular application, again, there is no partnership with Valiant for this...
Venkata Suresh Kumar: Only for wired networks.
Arnob Roy : For our wireline business, we have some partnerships for some complementary equipment, but not into the wireless space inside the safety piec e?
Venkata Suresh Kumar: And Cybersecurity.
Arnob Roy : Cybersecurity?
Venkata Suresh Kumar: Cybersecurity products in some Tejas market stalls in conducting U.S.A. exhibitions with Valiant
Arnob Roy : No, we are not into making cybersecurity products. We us e cybersecurity products, but we do not make cybersecurity software or hardware. We don't do that.
Venkata Suresh Kumar: Actually, you are conducting a stall in the U.S.A., Tejas, and joint

Valiant. You're conducting the stall. That company is only for your joint products.
Arnob Roy : You were talking about the trade show in the U.S. So I think one of the trade shows is for the utility sector, and we participate d in that. And as I said, some of our solutions in the wireline space, es pecially for the utili ty sector , are in partnership with Valiant, where we make complementary products that work together for the smart grid. And that is the solution we demonstrated at one of the U.S. trade fairs.
Venkata Suresh Kumar: Okay. You are a utility partner, a utilit y sector joint venture of...
Arnob Roy : No, no, there is no joint venture. There's a joint solution with our product solution, yes.
Moderator: Our next question comes from Hirenkumar Thakorlal Desai, an individual investor.
Hirenkumar T. Desai: Yes. My que stions have been more or less answered. I have just one question. So to be able to build this huge BSNL order inventory, will you be required to take on some debt on our book?
Arnob Roy : Take on what?
Hirenkumar T. Desai: Some debt loans.
Arnob Roy : So as of now, I think we have planned our cash flows, balancing our supplier payments, our receivables, and our collection s. So as of now, we have worked out the cycles that ensure that we will be able to manage our wor king capital properly to execute these orders. So maybe one last question, please.
Moderator: Thank you. Should I take the last question?
Arnob Roy : Yes.
Moderator: All right. The next question comes from Bhavya Doshi, an

individual investor.
Bhavya Doshi: Yes, I have two questions. One was on the geopolitical side. We are seeing the U.S. ban some chips and China ban some new materials that are going to affect some semiconductor supplies. Are you seeing any component disruptions happening within our supply chain? Is there any kind of earl y stress? That was one. And second, if you can shed some light on the TATA Tele deal that we have won recently and also what kind of order book we are going to get during this financial year of INR 1900 c rores.
Arnob Roy : Yes. So first of all, it's the U.S .-China geopolitical tensions. I think that has been going on for a while, right? So I don't think this issue has parti cularly impacted our supply chain or our semiconductor supplies. A lot of the high -end semi -conductor components anyway don't come from C hina, or the use of Chinese components is very low in our product s. So this particular issue has not created any problems. In fact, our good diplomatic relations with the U.S. have only helped us in this regard. So this has not been a problem. That's first of all. Second, relating to Tata Tele. So Tata Tele uses several technologies and several kinds of products in its network. They have been using WDM equipment. And very recently, they also bought our GPON equipment, so it's like a combination of equipment that they have bought. Very recently, they have also bought switches and all those kinds of things for building the ir network. So Tata Tele also has customers that use multiple products as a solution for building their network. So it's not one product, an d they are also a pretty good run -rate customer for us.
Bhavya Doshi: Okay, and how much of the order book has been executed in this financial year out of the INR 1900 crores?
Arnob Roy : Yes. As I mentioned, around 50% to 60% of that will be executed in th is financial year.
Bhavya Doshi: Okay. And just one last question, if I can squeeze it in. So on the profitability side, you've explained that you're trying to strike a balance between growth and margin. But do we have any internal targets? And at what tim e are we expecting to become cash flow positive, at least on the operating level? Do you have any further internal targets?
Arnob Roy : Yes. As I mentioned, we are driving for profitability for this financial year.
Bhavya Doshi: Okay. This financial year, you're expecting to be cash flow positive on an operating level, at least?
Arnob Roy : We are working towards that, yes. Thanks, everyone , hand over to Anand, our CEO & MD , for any last closing comment s.
Anand Athreya : Yes. So the closing comment s are that, actually, I'm pretty excited to be here. We have a good, healthy order book for this year and beyond to execute and I'm also excited about the significant wireless business. T his actually puts us on the global map. I'm also very excited about the successful pilot of 200 sites for BSNL 4G, and we are planning to pull out all the stops to ensure that the sup ply for deployment happens in Q2 .
And, as we consider profitability, we will invest to expand. At the same time, we want to very closely operate, manage our manufac turing operations to scale up our business, and also control costs. So I think we are going to be on a trajectory, and I'm pretty excited to be part of that trajectory . Arnob?
Arnob Roy: Yes. So tha nks, Anand, and thanks everyone, for attending the call, and we look forward to interacting with you over the quarter s in the future as well. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Jan 2024

January 25 , 2024
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q3 FY24 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 3 FY24 Earnings Conference Call held on January 19, 2024 .

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited
Q3 FY '24 Earnings Conference Call"
January 19, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND
WHOLE -TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER -- TEJAS
NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER --
TEJAS NETWORKS LIMITED

MODERATOR : MR. ASHVIK JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Tejas Networks Limited Q3 FY '24 Earnings Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorde d.
I now hand the conference over to Mr. Ashvik Jain from ICICI Securities Limited. Thank you, and over to you, sir.
Ashvik Jain : Thank you. Thank you. Good evening, everyone. Thank you for joining on Tejas Networks Limited Q3 FY '24 Results Conference Call. We have Tejas Networks' management on call represented by Mr. Anand Athreya, Chief Executive Officer and Managing Director; Mr. Arnob Roy, Chief Operating Officer and Whole -Time Director; Mr. Sumit Dhingra, Chief Financial Officer; and Dr.

Kumar N. S ivarajan, Chief Technological Officer.
I would like to invite Mr. Anand to initiate with opening remarks, post to which we will have a Q&A session. Over to you, sir.
Anand Athreya : Thank you. Good evening. Welcome to the FY '24 Q3 earnings call. This is A nand Athreya, CEO and MD of Tejas Networks. And I have here Arnob Roy, COO; Sumit Dhingra, our CFO; and Dr. Kumar Sivarajan, our CTO, is on the call.
I'm just happy to inform you that we had a very strong revenue growth this quarter of INR560 crores. And the last 9 -month revenue in FY '24 exceeded the entire FY '23 revenue. And we have a strong order book of INR9,028 crores. We had a loss of INR45 crores in this quarter. And we continue to focus on execution and also investment to set Tejas for good growth in the coming quarters.
Thank you. I'll now hand it over to my colleague Arnob to go over the details on this call.
Arnob Roy : Thanks, Anand. So in the next few minutes, I give you a color of the business that we had in Q3. And after that, our CFO, Sumit , will walk you through the details in the financials.
So first of all, we continue to see good business traction, both for our wireless as well as our wireline business . On the wireless segment, we continued to ramp up our BSNL 4G RAN shipments, and several thousand systems have been shipped which are a comb ination of single and dual-band radios in Band 1 and Band 28.
Also we received additional purchase order of INR107 crores for additional sites as part of the network build -out for BSNL 4G.
Another important highlight was that our subsidiary Saankhya Labs received INR96 crores provisional purchase order from N ational Space India Limited of Department of Space for the deployment of 2 -way Satcom transponders for communicati on and support system on mari ne fishing vehicles.

This is a very niche application and is part of the vehicle tracking system solution that Saankhya has developed. And this particular application is for enhancing the safety and security of fishing vessels operating along our coastal waters, providing navigation assistance and weather alarms and boundary crossing alarms and so on for our fishermen .
So it's a v ery strategic project which will lead to many other applications, bot h land -based as well as marine . We look forward to seeing how we can replicate this success in other countries as well as in other applications.
We also continue to see strong traction for our wireline business after successfu lly deploying 150 -plus DWDM channels of 100 gigabit rates on a pan -India network lighti ng up several thousand kilometers of fiber on an existing WDM infrastructure. This was add -on order to a pan -India deployment of a similar size that we had implemented earlier .
So this is a very unique application in that our WDM equipment wi

ll be served, where given an
existing optical infrastructure that an operator has built, and he wants to add capacity onto that by adding additional data channels. We provide the technology which can do it on any foreign infrastructure in the sense that infrastructure built by third -party vendor equipment .
For the BSNL 4G network, we also started supplying the backhaul equi pment of IP/MPLS routers which we had announced earlier. This is a project in several hundred of crores for deploying more than 15,000 routers. This will enable the backhaul network of the BSNL 4G nationwide network.
A major International highlight included the successful commissioning of a high-capacity metro network in the U.S. for video producti on and distribution. The network has been implemented using our state -of-the-art WDM process ing equipment with 600 gigabits per channel capacity. This will be a showcase network for us as the application involves low -latency distribution of video.
We also executed a commercial contract for supply of optical networking backbone equipment for a leading government telco in Africa. This is the initial order. And with the success of this, we expect to see future build -outs in the network as well.
We also continue to see success in the utility sector. A s you know , our utility business in India is very strong, especially for the modernizat ion of utility networks . And we could replicate the same success for a leading power utility in Southeast Asia, where these older TDM based network is getting upgraded with PTN and IP/MPLS technology. So the same project that we've done in India, we've been able to replicate in other countries as well.
And on the same token, in a power utility company in India, we've commissio ned a high -capacity national optical backbone, includin g the access portion of the networ k using a combination of our PTN as well as our high -capacity WDM network.
From a revenue pe rspective, in the 9 months of FY ’ 24, around 55% of our business has been for India Private. And let me also tell you at this poi nt that our BSNL 4G radio order, we consider as part of India Private because our direct customer is TCS, and that's how we categorize our revenues.

The International has been 15% of our business until now, and India Government has been the rest.
We have a strong closing backlog of INR9028 crores out of which international was INR221 crores. So in all aspects, it has been a very good quarter for u s, especially compared with our revenues in FY '23.
I'll now hand over to Sumit to walk us through the financial update.
Sumit Dhingra : Thanks, Arnob. Good evening, everyone. Our cons olidated revenue for Q 3 of FY '24 was INR560 crores, which is more than double the revenue we reported in the same quarter previous year. As compared to the previous quarter, t hat is quarter 2, we've grown at a 41% growth rate.
EBIT for the quarter was negative INR56 crores, and PAT was negative INR45 crores. On a 9 -month basis, we had aggregate revenue of INR1,144 crores, which is a growth of 84% over the previous year. We con tinue to make our investments to ramp up the R&D team and our operations, which are essential to deliver the growth potential that the company has going forward.
Moving to some other financial details. We have a net worth of INR2,980 crores as of December 23, inventory of INR2,683 crores. The inventory has grown as compared to the previous quarter. This is mainly to secure long -lead items that we require for meeting our delivery time lines for some of the larger projects that we are executing.
Trade recei vables stand at INR855 crores. We had cash and cash equivalents of about INR559 crores at the end of the quarter with borrowings of INR274 crores. This is for funding the working capital requirements that the company has at this point in time.
With thi

s, I'll hand it over to Arnob to take this forward .
Arnob Roy : So a few other updates from a corporate standpoint is that in this quarter, we received several awards and recognition s. Tejas and its subsidiaries w ere granted 31 patents during Q3 FY '24 and our total patents granted grew to 313.
An important update was being recognized as a representative vendor in the 2023 Gartner® Market Guide for Optical Tra nsport Systems. So basically, leading global analyst s will be tracking our business and help in attract ing global customers for our optical transport products .
In one of the events that happened in Q3 which is Network X in Paris, which was the e rstwhile Broadband World Forum, o ur FTTH solution won the award for the leading PON -based Smart City solution for an application that we have built in India. In the Indian Mobile Congres s in New Delhi this year, our TJ1 600 optical a nd packet transmission product was selected as the Best Indian IPR of the Year in Telecom.
From the corporate update persp ective, from a Saankhya Labs merger, that's in progress. And we have made good progress over here. And the next upcoming event over here is the Equity Shareholders and Unsecured Creditors Meetings that's going to be held in early February as per the direc tion of the NCLT. So this is the next step in the merger process.
So before I hand it over for questions, just wanted to refresh all our investors regarding our

products. And as you know, we have a very comprehensive wireline and wireless equipment portfol io comprising 4G/ 5G radio and baseband units, our multi -gigabit fiber broadband access, our converged access and edge solutions and also our hig h-capacity WDM backbone network.
And on top of that, we have added our switching and routing portfolio. So altogether these products can be used to build com plete end -to-end network for telecom operators. And now the unique selling point is that also it is managed using a single network management system.
Next one. And using this technology, some of the key applic ations that we serve is 4G, 5G mobile network as well as the backhaul network -- fiber based backhaul network, services for wholesale and enterprise data between critical infrastructure for power, gas and utilities and for home and business broadband. All of these sectors are showing high growth globally. And we are in markets and product s and applications where we expect good growth in the upcoming future.
So thank you. So with that background , I'd like to hand it over for the Q&A.
Mod erator : Thank you very much. The first question is from the line of Santosh Sinha from Emkay Global. Please go ahead.
Santosh Sinha : My first question is regarding this margin. You have seen a low margin for this company. So what kind of margins we can expect for the BSNL project and other government projects that the company is executing?
And the second is regarding trade receivable s, increase in trade receivable s. What has caused this? And what kind of trade receivable -- a working capital increase we can see from the ex ecution of this BSNL project?
Sumit Dhingra : So on the margin front, while w e don't give any guidance on project -specific margins, what we've also stated in the past is that wireless segment, to begin with may have slightly lower margins compared to the wi reline segment. But given the order of magnitude of the project and the opportunity, it would, on an aggregate basis, compensate for the lower margin percentage. And on the working capital, could you please repeat the question? I didn't get the first part.

Santosh Sinha: So there ha s been a marked increase in trade receivable s. So what actually has caused this?
Sumit Dhingra: Trade receivables?
Santosh Sinha: Yes.
Sumit Dhingra: So as you would see, our revenue for the quarter was INR560 crores. That's a re aso

nable accretion
in revenue compared to the previous quarter. And a part of this is what has contributed to growth
in receivables, and we are expecting these to be realized over the next few months.
Santosh Sinha: Okay. My next question is regarding the BharatNet project. So any idea, any color in terms of
bring ing this project execution? When will BharatNet III start and what kind of opportunity that
can create for Tejas?

Arnob Roy: Yes. So I will take this one. T he BharatNet project is currently under d efinition. DoT and other
stakeholders are working towards finalizing various aspects in terms of its scope, technologies
and specifications of the equipment that will be procured for this project.
And the technologies and the products are pretty much acces sible and addressable by Tejas. And
we look f orward to significant success on this project . It is going to be a very exciting opportunity
for us going forward.
In terms of time line, right now, from what we know, the specs are still getting finalized. The
government is in conversations with all parties regarding finalizing the specs and the tenders
should get rolled out in the next few mo nths and targeting potentially the latter half of FY’25 .
Santosh Sinha: My last question -- last two questions. One is wh ether there are other POs that are expected with
respect to BSNL project, like maintenance projects or other projects that are expected with respect
to BSNL project from TCS or ITI?
Arnob Roy: As you know, the BSNL order we received for the 4G RAN project is for the first 100,000 sites.
So there will be additional sites for expanding coverage across the country. So that is expected to
come. That's one part.
And second part is that the tender also calls for a 5G upgrade of 40,000 sites. So that part of the
business has not yet come to us. I think that will happen after the initial network gets deployed.
So this tender also has a scope for additional business for us as part of this project. After the
network is deployed and after the warranty period, of course , the services are involved for many
years. We will receive that order at a later stage.
Santosh Sinha: Thanks for taking my question.
Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital
Management. Please go ahead.
Vimal Jamnadas Gohil: Sir, my first question is again on the cost front. If I were to look at the raw material cost, the
sequential growth in raw material cost has been higher as compared to the revenue. Is it mainly
because of the increase in th e wireless business? Or are we still sort of -- the problem of increased
component prices for us is still not completely behind? That's question number one.
The second question is on working capital. So if I were to see, starting this year FY '24, till dat e,
we have had incremental inventory of roughly INR2,000 crores. And just to take forward
Santosh's question here, if I were to look at our working capital days, right now, we are operating
at around 213 days versus our working capital was down considerabl y last quarter at about 150
days.
I mean when I -- sorry, our inventory days were down by almost 150 days. Now it is at 213. So if
you can highlight for this incremental inventory of INR2,000 crores, the timeline of realization of
revenues, which you can help us a bit? Thanks.
Sumit Dhingra: Okay. So maybe I can take the margin question first and request Arn ob to supplement that. T he

increase in raw material costs this quarter is on account of multiple factors I would say.
One is essentially the product m ix within the wireline segment, which tended towards slightly
lower margin products during this quarter as compared to previous quarters. That essentially is
one of the key factors where you would see why the material costs as

a percentage of revenues
have gone up.
Also from a contribution standpoint, if you see this quarter, export revenues were slightly lower
than the previous quarter, which had an incremental impact on the material cost as a percentage
of revenue. These are the key aspects as to why our material cost looks a bit higher.
As we go along, I think we would expect the project profitability for wireline business also to
kick-in and some of these things to normalize over the next quarter. Arnob, you want to add
anything here?
Arnob Roy: Yes. So just to add to this, in terms of margin profile, you can see when we ship equipment for

our network, there are different components of the network which come at different margins, right, where the blended margin is, of course, what it is that we ha ve for the company.

But for example, in the network, the access part of the networ k, wherein has customer -premise equipment, lowe r capacity, lower cost devices usually have lower margin, but as we move deeper into the network and go to the higher capacity elements. That's where the cost and the margins are also much higher.

So what happens there, in the network typically it's a blend of all of these things that go on. What happens is that quarter -by-quarter based on the blend of shipment that happens, there is a small amount of margin movement.

So I think in this particular quarter, perhaps based on what we have shipped out during the quart er, it has gone more towards lower -margin components, which will basically compensated in the next quarter s by the othe r part of the network that we want to ship. So it's like a tempo rary phenomenon in terms of why you see the higher cost to our revenue.

Vimal Jamnadas Gohil: And sir, on the working capital, incremental inventory?

Sumit Dhingra: Yes. So on the working capi tal front, I think, see, we are in the middle of executing the large projects both on the wireline and the wireless side. Now as we've mentioned in the past as well, in order to manage the lead time for some of the key components and to be ready for execut ion, we've been taking inventory actions for specific situations, specific components. And that is getting reflected in the inventory number that you see.

The point to note also is that while -- if you look at it from the base of current revenue, I think i t may throw up a picture where you were referring to, let's say, 200 days, etcetera. But given the phase that the company is in and where it is evolving from the current revenue levels to executing INR9,000 crores worth of order book over the next few quar ters, I think the increase in inventory has to be looked at i n context of that number.

And as we go forward, this INR2,600 crores worth of inventory is essentially to be predominantly used for some of these large projects, which will get executed over the next few months. And hence, this increase in inventory has, let's say, days of order book maybe a better metric to look at instead of days of revenue or the historical data in the context of where the company is right now.

Vimal Jamnadas Gohil: Understood. And sir, just one follow -up on the margin part, as you explained. So if I understand it correctly, there are some components in the wireline side, which happens to be, by the way, are better margin business. But there are certain components within that al so which are probably like maybe a pass -through or have lower margins, which are higher in terms of mix this quarter, which is causing a lower gross margin. Is that understanding correct, sir?

Arnob Roy: That's correct. That's correct. The network alw ays h as a blend of equipment as it shows the entire equipment, where I talked about lower -cost ac cess equipment customer premises as the margins are lower and the aggregation and the core has higher cost and higher margins.

And another example is in a WDM

netwo rk, the traffic carrying equipment at the end points, they actually pump in hundreds of gigabits and ter abits of traffic. They have higher cost s and higher margin s, whereas the transmission chain with the optical component s, they have a lower margin.

So, w hen we ship a network, the blend of this is what gives us the overall margin, and in this quarter, the blend has been for one part of it with lower margins. When we ship the other components of the network, the blended margin for that particular network or that particular shipment will come back to us.

Vimal Jamnadas Gohil: So this -- that shipment is expected -- so the higher capacity shipment where our margins are higher is expected to kick in from Q4?

Arnob Roy: Yes, yes. That's part of the same project. So part of it gets executed in Q3. Part of it will get executed in Q4. So that's how it's going to happen.

Vimal Jamnadas Gohil: Understood. All right, sir. Thank you so much. There are certain other questions, but I think I'll join back in the queue. Tha nk you.

Moderator: Thank you. The next question is from the line of Sangam Iyer from Consilium. Please go ahead.

Sangam Iyer: Sorry to harp on the working capital again. The receivables that we saw shooting up significantly in this quarter, was it primarily due to shipments more happening towards the latter half of the quarter? Or is this the new norm in terms of the receivables for the -- for this execution of this project? Just want to understand that first.

Sumit Dhingra: It's related to the reve nue that got shipped during the quarter. And we will collect this as per the payment terms and as per the collection cycle as we go along over the next few months, not specifically limited only towards the shipments that happened towards the end of the qua rter.

Sangam Iyer: Okay. Because for an incremental INR560 -odd crores of revenue generated, our receivables went up INR370 crores. So that's why I was just trying to understand what's the kind of payment term

for this particular project.
Because the project is large, and this could actually stretch the balance sheet incrementally, given that our cash -- net cash balance has also come down to INR200 -odd crores. So that's why I was just trying to understand how to look at the incremental cash flow that would come in based on the execution of the project?
Arnob Roy: So I think while as Sumit explained, it's nothing to do with the shipment profile. But usually, during the quarter, the shipments all build up so that as the quarter p rogresses and towards the end like any other business, the following shipment increases over the weeks as it goes towards the end of the quarter. So from that point of view, yes a larger volume happened in the subsequent months and towards the subsequent weeks and so on, but I don 't think most of this is connected to the time that the shipment happened.
Sangam Iyer: Got it. And secondly, on the margin front, I understand that we have product mixes that can alter margin on a quarter -on-quarter basis. So on an annualized basis, when you look at the mix of order backlog that we have and the mixing towards more wireless, should one be assume -- should one be looking at closer to 30% as a base case -- stable state gross margin? Or is that something too early to predict for now?
Arnob Roy : What was the number you mentioned, the margin?
Sangameswar Iyer: Around 30% gross margin. Is that something which would be more stabilized, given the kind of mix that we have between wireline and wireless in the order backlog?
Arnob Roy: See we don't giv e any guidance on margins. But as you've seen our blended margins in the past, and directionally, that's where we'll be at as our business continues.
Sangameswar Iyer: Got it. Perfect. Thank you.
Moderator: Thank you. The next question is from the line of Saloni Jain from Nirma

l Bang.
Manish Ost wal: Yes, t his is Manish Ost wal from Nirmal Bang. I have a question on our export opportunities. So how we are seeing the traction over there. And secondly, the investment which we are making on R&D side. So how long this will continue because in the presentation, you said that loss because of the R&D investment. So the investments in R&D, how long it will continue at this pace? Thanks a lot.
Arnob Roy: So as far as exports are concerned, I think we have a focus on growing our export business, because of which we will continue to invest in international territories, in our direct sales force as well as signing up with partners in different territories. Our goal is to increase our international business substantially. But as you know, we started the process a couple quarters. And it will take some time since there's a gestation period to winning initial deals and getting a footprint in different countries and building on top of that.
So it is going to take some time be fore we see large projects internationally, replicating what we have in India. But I think the investment and the focus is certainly there. As far as R&D investments

are concerned, R&D investments are going to happen for some time because there's a lot of products and a lot of areas, technology as well as project commitments that we have upcoming. So we will continue to invest. But at the same time, I would say that as our business grows, as we keep delivering on the large backlog that we have that business will certainly start offsetting the investments that we are seeing up till now. But yes, investments will continue to happen for some more time. W e see a large opportunity going forw ard and we are seeking to build a global company with world -class products. So we still have some time in terms of investment s like this.
Manish Ostwal: Thank you, sir. All the best.
Arnob Roy: Thank you.
Moderator: Thank you. The next question is from the line of Mukul Garg from Motilal Oswal Financial Services.
Mukul Garg: Yes, hi. Thank for taking my question. Couple of questions from my end. First, to Anand. Anand, I was just trying to understand the revenue you guys have recognized for international business this quarter, it seems a bit low compared to -- and especi ally when during the prepared remarks, you guys have mentioned that you guys implemented a couple of kind of solutions in the US and in Africa.
So can you just help understand, is this more about having mismatch between the kind of revenue recognition and implementation? Or is there something else which is going on for the international revenues to kind of show such a large dip in this quarter?
Anand Athreya: Hi, Mukul. So yes, it is actually a timing mismatch. We are making the necessary investments to build the team out. I'm sure you know this -- so it takes time for that to materialize. There's a lot of activity and proof of concepts and customer interest that's happening in Americas, in par ticular. So we hope those will start bearing fruit in the coming quarters.
Mukul Garg: Understood. So do you expect the international revenues to kind of see a meaningful ramp -up from here because this growth – Am I getting the number right, it's only INR9 crores of international

revenue?
Arnob Roy: No, I don't think that's correct. We don't give the split obviously, but that's not correct. And as Anand mentioned, yes, there's a timing gap because we ship in one quarter, project implementation happens in another quarter. So whatever we're reporting in terms of product implementation is something that got shipped earlier. Whatever we're shipping right now will get implemented next quarter and so on.
So to your point , as Anand also mentioned, that proportionately, it was long but not what you are indicating. And we have a strong focus on export g

rowth. There's already a backlog of international, that you see, all of us want to really grow that business.
Mukul Garg: Understood. The second question was, I mean, a follow -up to one -- what earlier participants have kind of al so alluded to, and this is like for both Anand and Sumit. You guys currently are sitting

on about INR500 -odd crores of net cash. Your working capital is something around INR1,300 crores. You still have INR8,000 -plus crores of domestic, predominantly public sector, execution to do.
Is there a kind of a risk of requirement of additional fund raise maybe in the coming years to fulfil the requirements? Or do you think the payment timelines will be comfortable enough for you to convert this into cash and not re quire incremental money for working capital? And I would also want to throw in, if this would not leave any flexibility for potential inorganic scaling up for Tejas. So if you can just help us understand, is this something which might require incremental funding?
Sumit Dhingra: Currently, we don't envisage any equity funding requirement. Like you rightly mentioned, the increase in working capital requirements are there, and they're expected to be there for the next few months as we execute these large cont racts. But th ese are generally going to be short -term funding arrangement s, short -term facilities that we would intend to look at as compared to longer sourc es of capital like equity or anything else .
Also, we expect to continue our focus on collections, and that should help us in managing this workin g capital requirements as we go along. F rom the point of view of investments in particular, I think the way we see it, currently, the business should be able to meet its future growth aspirations based on the current expectations out of the business. We don't expect any incremental equity right now in the immediate future .
Mukul Garg: Understood. And then final one for Arnob. Arnob, you mentioned about, again, the impact of the products, which kind of got expen sed out this quarter. But if I look back at the history of the business, we have never had this high kind of equipment or raw material cost in our business even though we have previously had cases or instances where we shift towards the product profiles, which were relatively lower profits.
Is this something which is partially also on account of these deliveries which you are makin g on BSNL er go in our gross margins should remain below where we have historically seen going forward as well? Or am I reading too much into this?
Arnob Roy: Yes, I think you're reading a little bit too much into this. The reason you're seeing it now and didn't see it, first of all, because our overall business for wireline has also gone up, right? So if you see if the overall bus iness has increased, then the proportion of the low -margin component s of the network and the high margin component s of the network will have also gone up, right?
And it just happened that it's more of a timing issue that in this quarter, a lot more of the low-margin component s got shipped, and the other component s will get shipped subsequently. So it is -- and I hope that answered that question that while yes, on a smaller revenue base, you saw the effect of the blended margin of the network. On a larger b ase, we are predominantly seeing the effect s of the lower -margin part. I think it's nothing more than that.
Mukul Garg: Understood. Now that’s clear. Thanks for taking my question. I'll get back into the queue.

Moderator: Thank you. The next question is fr om the line of Hirenkumar Thakorlal Desai, an Individual Investor. Please go ahead.
Hirenkumar Desai: Thank you for giving the opportunity. I have two questions, one of them is again related to the margin. So our gross margin has been declining as

pretty m uch everybody has mentioned. I mean do we see the sort of bottom around this place? Or now see the significant chunk of the business will be dominated by BSNL 4G supplies ? So I mean does this have anything to do with this margin profile? Are we around the bottom? I'm not asking for any guidance or number.
Arnob Roy: Yes, as Sumit explained, there are two parts of the business. One is the wi reline and the wireless part. For the wireline business, you basically know what our overall company gross margins are, and that is done in the past. So there is no change to that, except that as far as you talked about the

blend of margin that have to happen for existing products.
The wireless project has slightly lower margin s. That was something we have talked about in the past but the costs get offset by the higher volume of the business, right? So that's about it. And there is nothing in terms of overall -- I mean that's the overall story about the margin.
There are two components, one where there is a margin prot ection, and we continue with -- or we don't see any impact overall to that on the wireline side. And wireless, at least for this project, with the large volume s, will have slightly lower margins but will get offset by the higher -volume business.
Hirenkumar Desai: The second part is about the currency movement. So now especially the wireless part, wireless sales I assume, contracts or sales or whatever is in rupees versus most of the components in dollars.
Is the company doing something?
Arnob Roy: Hiren, we lost you, could you repeat that question, please? We lost the first part.
Hirenkumar Desai: Yes, yes. The question is, again, the next few quarters, the revenue profile will be dominated by BSNL 4G business. And I'm assuming that you can correct me if I'm wrong, I'm assuming that our revenue will be in rupees contractual value, but the raw material is in dollars, right, for the components. So are we doing something to protect margins in that aspect?
Arnob Roy: Yes, yes. So basically on our forex management and I'll let Sumit answer that question.
Sumit Dhingra: So I could only partly hear. I think what you're saying is, while our revenues are going to be in rupees, our procurement is in dollars. So from a forex ma nagement point of view, we actively hedge ou r exposure through various instruments. We continue to monitor the currency risk or the currency exposure that we have. And we will suitably hedge our short - to medium -term exposures in particula r as we go along .
Arnob Roy: I'd also like to add that especially for our BSNL radio products, we've done a significant amount of localization of the comp onents that go into the product. L ot of the costly portions which are there. I did not mean the electronic components, but there are many other components th at go into the radio design. And we have significantly localized that.

And a lot of our partners are manufacturing in India or we have original Indian manufacturers who we have used a lot of the time. So I think while there is a significant dollar compone nt, it is not as dominating as we would expect because of the amount of localization that we have done in the product.
Hirenkumar Desai: Thank you.
Moderator: Thank you. The next question is from the line of Moid Ansari from Hyderabad Investment Forum. Please go ahead.
Moid Ansari: Yes. My question i s with regard to 4G technology fo r the BSNL that we have developed. There are a lot of questions in the market with regards to how effective or how developed the technology is. Recently, the BSNL employee union has written to the telecom minister that our technology is not up to the mark, and that is causing delay in rollout of 4G by BSNL. Similar questions were raised by the opposition in the parliament also that indigenous technology which the government is pro moting is

subpar and not up to the mark.
So there are lots of questions regarding the efficacy of our technology that we have developed. Can you explain in detail? Means are you up to the mark? How is it compared? How are we performing vis-a-vis our compe titors? Some explanation is needed on this issue because as investors, we are having a lot of concerns on this particular point. Everybody seems to be blaming Tejas only.
Arnob Roy: Yes. So I'd also request Kumar to add to this. The 4G technology we have d eveloped has gone through extensive trials for over a year on a large testbed in North India (Punjab). Our products have been selected after pretty hea vy testing through a proof of concept with a large amount of traffic flowing on the network.
So fr om a technology point of view, I don't think there is any concern since it’s been extensively tried and tested. The only concerns I've recently heard about are in terms of the pace of the network build -outs, and not the actual technology itself. Further, the pe rformance and robustness of our products have been compared with those of the leading world -class foreign vendors and only after that have the contracts been awarded. So there is no issue with respect to that.
I think the project rollout is where they're concerned in terms of getting the network built out in time so that they can grow their business around it. So based on whatever I've seen that seems to be the issue.
Moid Ansari: Yes, I have a follow -up question also. We are supposed to get an order from supply of equipment from ITI. Only TCS, has received the purchase order? Why has the ITI order not come? Means we are supposed to be the ones who are supplying equipment for both ITI and TCS. Can you give some clarification on that?
Arnob Roy: So we had di scussed earlier also that the ITI order is coming through TCS. So whatever is 100,000 - plus site orders that we are working on t hat includes the ITI component also.
Moid Ansari: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Sa chin Jain, an individual investor. Please go ahead.
Sachin Jain: Thank you for the opportunity. My question is more on your international side. Can you offer me some qualitative comments on business development effort on international side? Basically, what kind of traction you are getting over there? Or can you also highlight in terms of how our product, particularly wireless, getting perceived in international market? Where are we in a business development journey? Or when can you expect some significant e vent in those markets?
And why I'm asking because once, in next 18 or 24 months, you are done with BSNL or some part of BharatNet probably it's a traction in international markets which will keep our revenue momentum on. And so that's the context.
Arnob R oy: I think very, very valid q uestions. And we are also cognizant of that. And a lot of investment is happening not only as a direct investment from our side in terms of investing in our sales teams and support teams but we're also using our partnershi p with the TATA Group companies such as TCS, Tata Communication and TCTS and using those channels and partnerships as well to get access to customers across the globe.
So we have seen initial traction. There have been ways that we have worked together with th em, and there are many other customers that have got connected to interactions and all, where we have been able to access.
So we are also, apart from our direct business development, I mean, leveraging the brand and the relationsh ips of the group as well. However in this business, any business development, any significant results take time.
So while we are focusing on the smaller network opportunities where we can get in quickly and do our business. We're also working with good companies as well as direct ly for the larger
op

portunities in Tier 1 operators across the globe. So the focus is there, and we hope to see results sometime down the line.
I mean we are just conscious of the fact that these things take time and effort. And once we have significant breakthrough, in certainly some market. The replicating them in the areas becomes that much easier and that's what our focus is on.
Sachin Jain: So in your initial discussion with customers, can you give some qualitative input in terms of how we're getting perceived in those markets post we are doing this BSNL order bid? And I understand this business development takes time. But internally, when you guys are thinking, how far we must be from a good win, a sizable win? Just need your qualitative inputs.
Anan d Athreya: So maybe I can take this. So as Arnob said, this is going to take time, that's number one. The second thing is, I think we have to get to a point where there is a reasonable size d rollout in BSNL because everybody is watching. We are doing it fo r the first time here. So I think when that happens, then I think people will be more interested in doing proof -of-concept trials and all other good stuff.

So again, our focus is going to be twofold. One is developing countries, and there has been a lots of them in Africa, in Southeast Asia and othe r places. B ut also in developed countries, where there are rip -and-replace programs where we will definitely have an opportunity to participate. But I think net net takeaway is everybody is going to be watching this. And when we pull this off, then I think the doors will open up.
Sachin Jain: Thank you.
Moderator: Thank you. The next question is from the line of Sohan Joshi, an individual investor. Please go ahead.
Sohan Joshi: Just one question. When we'll be ab le to monetize our Renesas strategic partnership? I mean are we going to -- are we looking at the revenue after the BSNL project is executed? And what will be approximately R&D spend? Is the R&D spend currently which is getting reflected -- is of the Renes as partnership? Or it will get recognized in the P&L from the subsequent quarters?
Arnob Roy: Which partnership what you're referring to?
Sohan Joshi: Renesas, Renesas.
Arnob Roy: No, I don't think anything over here is reflective of any par tnership with R enesas. The technology partnership we have with them is for innovating technology and co -development . But the R&D spend shown is not connected to our partnership with Renesas.
Anand Athreya: Yes. So, we have time for one last question.
Sohan Joshi: That's it from my end.
Moderator: Thank you. The next question is from the line of Ranjit, an individual investor. Please go ahead.
Ranjit: Hi, good evening. Thanks for the opportunity. I have a question about this margin blend and product mix. So the question i s, do we have any strategic business product plan for enhancing the margin mix? And the second part of the question is, are the low -margin products are necessity for

winning higher -margin business? And if so, is there any plan to partner with a third party so that the company focuses on -- more on the higher margin? That's my question. Thank you.

Anand Athreya: So let me take a stab at this. So a couple of things. As a n OEM company, we will always constantly look at our products to see how we can make it fa ster, better, cheaper. And there are many ways to do it with alternate design, working with our suppliers. So that is a constant work in progress. So that's number one.

Then in order to win deals like this, it is always good to have a complete portfolio w here it makes sense. And also, we are definitely open. And where if it does not make cost sense for us to build it on our own, we can partner and outsource it from someone. We definitely look at it all the time. So it's actually a combination of all of these three. And f

inally, once you have a complete portfolio, then it increases the chances of winning a deal. And it also helps in how we can struc ture the deal.

Ranjit: So in terms of the business wins, or the plan for the business wins, is there any conscious effort in controlling this mix of low and high margin?

Arnob Roy: Any deal, any network that we supply for, we have a mix of low margin and h igh margin products. So we have all aspe cts of the portfolio. So when we ship all of the products in a network, the blended m argin is what you see usually.

It's not that we are currently shipping low-margin products, and we are looking to ship high-margin products. I mean we have the entire portf olio, which is a combination of low margin, lower -cost products and higher margin, higher -cost products.

Ranjit: Thank you so much.

Moderator: Thank you. We have no further questions, sir. I would now like to hand the conference over to Mr. Anand Athreya for closing comments. Over to you, sir.

Anand Athreya: Thank you. So as I said in my opening statement, we had a strong revenue growth this quarter, and Tejas will continue to focus on investment and execution becau se we have a job to deliver. We have large opportunities and commitment s to our customers, and we will continue to focus on execution.

And I'm really happy with the progress that's been made on wireless as Arnob said in the begin ning. Our Band 1, Band 28 and dual-band r adios are looking good and operating well. So t hat gives us a lot more confidence and optimism that we are ready to take off. And the optical products too are getting delivered. Over the last couple of quarters, we've been focusing on buildi ng all of this and delivering with v olume and scale. So I think the stage is being set and you will start to see the results of these efforts in the coming quarters.

And last but not the least, supply chain used to be a problem. Now I believe it's in a reasonably good shape . There are some long lead items, but I think it's more predictab le and more in control than it has ever been since I'm here. With that, I would like to close this call. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Anand Athreya: Thank you very much. Bye, bye.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Apr 2024

April 26, 2024
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q4 FY24 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 4 FY24 Earnings Conference Call held on April 22 , 2024 .

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited Q4 FY '24 Earnings
Conference Call"

April 22, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , TEJAS NETWORKS
LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND
WHOLE -TIME DIRECTOR , TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER ,
TEJAS NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY
OFFICER , TEJAS NETWORKS LIMITED
MODER ATOR : MR. ASHVIK JAIN – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to the Q 4 FY '24 Tejas Networks Limited Conference Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ashvik Jain from ICICI Securities. Thank you, and over to you, sir.
Ashvik Jain: Thank you , Sagar . Good evening, everyone. Thank you for joining Tejas Networks Limited Q 4 FY '24 Results Conference Call. We have Tejas Networks' management on call represented by Mr. Anand Athreya – CEO and Managing Director; Mr. Arnob Roy – Chief Operating Officer and Whole -Time Director; Mr. Sumit Dhingra – Chief Financial Officer; and Dr. Kumar N. Sivarajan – Chief Technological Officer.
I would like to invite Mr. Anand sir to initiate with opening remarks, post which we will have earning presentation and Q&A session. Over to you, sir .
Anand Athreya: Thanks, Ashvik. Welcome to Q4 FY '24 Tejas Earnings call. G ood evening. My name is Anand Athreya . I am the CEO and MD of Tejas Networks and I have Arnob Roy who is the Co-founder and COO ; Dr. Kumar Sivarajan who is the Co-founder and CTO and Sumit Dhingra who is our CFO.
I am happy to inform you that Tejas ha d the best ever quarter and the best ever year in its history and a profitable one, too. Over the last year, Tejas has been insanely focused, and we have been executing ruthlessly on major projects such as BSNL 4G MAAN and many other projects.
What you have witnessed in this recent quarter is growth in all segments and we have also secured the supply chain. So, I am very pleased , having completed one year at Tejas , at the progress that we have made. And I will hand it over to Arnob Roy to go into other details. Thank you.
Arnob Roy: Thanks, Anand. I will take you through our quarterly presentation that we have uploaded, which has two sections. One is the results of Q4 and giving some color and details to it, as well as a refresh of our products and technologies and the outlook for the future.
So, this first update is about Q4. As Anand mentioned, we ended the year on a very strong note, a very strong revenue growth. We scaled our business to achieve profitability and ended the year with a strong order book for execution in FY '25 and beyond.
So, for the quarter, we had a net revenue of 1,327 crores, which is a significant jump over year - over-year, and a profit after tax of 147 crores. For the year, we ended with 2,471 crores, again a

strong growth from the previous year, and a PAT of 63 crores. We also ended the year with an order book of more than 8,200 crores.
To add some more color to the quarter, we made a lot of progress in all f ronts of both wireless and wirel ine business . For wireless, we shipped a lot of equipment for the 4G/5G RAN in the BSNL network. We have shipped cumulatively more than 10,000 sites, and the installations are progressing quite well.
Apart from this, we also engaged with several other customers for our RAN products, and as of now, we have multiple ongoing proof of concepts , POC, with potential customers. So, we have started making business development progress beyond the immediate BSNL opportunity.
We have made good progress for our wireline business as well. I think one of the highlights was completing the supply of large quantities of IP/MPLS routers for BSNL 's MAAN network , which is the backhaul network for the 4G/ 5G wireless network. This is one of the largest deployments of indigenous IP/MP

LS routers in India. There are close to 15,000 routers deployed in the BSNL network and we have completed the supplies, and the installation , commissioning and deployment is going on as we speak .
We also had several strategic wins for our WDM and our Switching/Routing products in the Critical infrastructure sector. We entered into a strategic partnership with Telecom Egypt for our FTTx GPON equipment , which includes, apart from local manufacturing and supplies, sharing the experience of BharatNet and NKN Network projects in India and also contributing to the training and manpower development in Egypt. There are also gateways to many countries in which they have a free trade agreement and there could be a potential gateway for supplies to many countries in Africa and Middle East.
Some of the o ther highlights are the approval of our PLI application and the grant of 32 .66 crores for the past year of FY ‘22 -23 and also Saankhya Labs , our subsidiar y, also got approved under the semi conductor P LI scheme and received the incentives as well.
During Q4, Tejas and its subsidiaries were granted 22 patents and the total approved patent count of 335.

A few corporate updates . We received the Voice and Data Excellence Award in the "Make in India" category for our Carrier Router portfolio , which are basically the I P/MLS - products that we shipped to BSNL for the MAAN network.
We are also starting to get recognized globally as key v endors for our products and for our wireless products from Gartner , a very respectable industry analyst . They recognized us as a representative vendor in their Open RAN/ vRAN market report and Omdia , which is a leading analyst in the wirel ine space, they also recognized us in their F TTX report as an established PON OLT vendor in the rest of Asia and Oceania markets.

Apart from that, our merger process with Saankhya is progressing well and the resolution was approved by the equity shareholders and the unsecured creditors of the company and after the voting that was conducted as per NCLT direction s. We expect the next few steps to get completed over the next couple of quarters for a formal closure of the merger.
So, I, Arnob Roy , was reappointed as the Executive Director and COO. Mr. Bhav e, who has been a director for many years, he retired as a non -executive independent director on the completion of his tenure and Mr. Lakshmi narayan an also resigned as a no-executive non-independent director to spend tim e for his professional commitments.
Some c olor on the revenue profile for F Y '24. We see on the right -hand side, the Indian government was 36% of the overall business, Indian private was 54%, and international was 10% of our revenue and this is an area that we are focusing a lot in terms of growth for our international business.
I woul d like to definitely remind you that the shipments that are happening for BSNL 4G are being categorized as India private, because our immediate customer is TCS, which is a private entity. And just to reiterate, we have a strong closing backlog of 8,200 odd crores of which a substantial part is India at 7,900 odd crores and international is 263 crores.
I will now hand over to our CFO – Sumit to give some details about the financials.
Sumit Dhingra: Good evening, everyone. From a financial perspective, we had a revenue of 1,327 crores for the quarter. This was a growth of 343% over the previous year same quarter. EBIT of 248 crores and PAT of 147 crores. This implied an EPS of 8.6. From a full -year perspective, consolidated revenue was 2,471 crores , EBIT of 83 crores and PAT of 63 crores with an EPS of 3.7. So, from both a quarter -on-quarter perspective and on a year -on-year perspective, we had a strong growth in quarter.
Now the other key financial indicators, if you look at

the net worth of about Rs. 3,150 crores,
inventory of Rs. 3, 738 crores increased compared to the previous quarter, which was around Rs. 2,683 crores. Predominantly because, as mentioned in the previous call as well, we are securing long-lead items for expedited delivery of large projects, including the BSNL 4G. And as we go along, as the project continues to get executed, the inventory will eventually get absorbed.
Our trade receivables stand at around Rs. 1 ,458 crores at the end of the year. This is partly also linked to the revenues that we have done during the quarter. We had collection over Rs. 650 crores this quarter. Working capital increased by 1 ,519 crores, again driven mainly by inventory and receivables. Our cash position at the end of the year was Rs. 641 crores and working capital borrowings of Rs. 1 ,744 crores, which is essentially all for working capital.
Arnob Roy : Thanks, Sumit. So, as a recap of what happened in FY '24, FY '24 has been a milestone year for us. We have a significant growth in revenue and a turn to profitability, starting with Q4. We

have growth in all the product segments driven by wireless and all the different product segments in wireline as well. We had a successful entry into two new large product technology segments with high growth. The 4G /5G RAN and the Service P rovider Switching/Routing market. We entered these market s with large projects in hand, which we are executing successfully.
We are execut ing the largest network built in India, with indigenous technology in 4G /5G RA N, Routers, as well as Satellite transponders , which we talked about last quarter for the vessel tracking system (VTS) project that is getting executed by Saankhya Labs .
We demonstrated our ability to scale manufacturing by executing shipments in record time. We finished March shipment of 15,000 routers in literally two months. And we made significant investments for enabling future growth.
We grew our headcount by 42%, mainly in R&D , manufacturing, sales and support. We have expanded our facilities for supporting our growth in R&D and manufacturing operations. And we also made major capital investments in R&D and manufacturing. We have been talking about this over the la st couple of quarters as well.

So, I quickly switch on to a little bit of a refresh of our business. As you know, we make end -to-end products for building telecom networks . We have an entire range of products, starting with, on the left -hand side, wirele ss and wireline access in the wireless 4G, 5G radios and wireline access, GPON/XGS -PON equipment , and also Ethernet and IP /MPLS, customer premise s equipment for broadband and enterprise services.
We also have the metro aggregation products, which is in the middle of the slide, in the middle section of the slide, with multiple technologies within the metro aggregation network . And then we have the metro core and long -haul products using DWDM and O TN technologies , and all of these can be managed by a singl e network management solution. So, this gives us a unique advantage of being able to build complete end -to-end network for any customer.
So, that's where we are today as our products , and the key applications that we serve are the four key applications. One is the mobile RAN, the 4G/5G mobile RAN network, and the backhaul network . That's the big project that we are executing right now. We do our equipment business for both retail and enterprise data services. A big section of our business is home and business broadband, and we develop where we are deployed in I SPs, several ISPs globally. And also network for a critical network infrastructure, such as utilities, power, rail, oil and gas, where our equipment is used to build their critical networks for the capt ive networks of the SCADA applica

tions and also for the ir wholesale network b andwidth business.
So, our products are targeted towards high growth market segments in wireless and wireline and on the left -hand side, you will see the addressable mark et for the RAN network , which is g rowing significantly in large markets over the next five years.

And also, on the right -hand side, you can see the wirel ine market. These are our addressable markets, which has even stronger growth. And all the segments that we are in are seeing strong growth globally, both in India as well as in global markets.
So, looking forward to the future, beyond the overall market growth, we are looking at several high-scale opportunities, both in India as well as internationally. In India, we have several large projects. One part of it is, of course, the BSNL 4G /5G continued investment. There are going to be more investments in 4G saturation networks, for the pan -India 5G networks, and for the ir back haul expansion.
For the private telcos , we see a lot more CAPEX investments happening for the 4G /5G networks. And similarly , for the Crosshaul networks for the mobile applications. We also have the BharatNet Phase -3 project, the initial specification s and tender documents have come out and it's in the process of getting finalized. And just the CAPEX that you see, which has been asked for, is more than $500 million. That's the initial estimate, and it's going to be more than that.
And the other part is that the broadband roll -outs in India continue to pick up steam, and we see in the plans of all the private operators and the 5G, where more than $600 million of investments are planned over the next few years .
So, these are summaries of all the significant projects and opportunities that we see which are addressed by the product portfolio that we have. Similarly, globally, there are huge investments going out in broadband equipment, where more than $100 billion are getting spent in the U .S. and E urope, as you know, the BEAD project and the others in Europe, which is actually b ridging the digital divide in the different countries by expanding their rural broadband network and a huge investment is going over there . There is a large replacement marke t of replacing high -risk vendor equipment in EU and the U.S. and more than $5 billion have been assigned for that market.
In some of the emerging economies in Africa and Asia, we see a lot of investments which are planned for expanding 4G /5G networks because the deployment is initially starting right now and peaking at this time, and we see that as an opportunity to grow in this market. And a lot of invest ments are actually plan ned for utility modernization . But there is more than $8 billion of additio nal market for helping transition utility networks from the traditional SONET/SDH equipment to IP -based networks and that's one of the technologies that we are very strong in.
So, net net in summary, I will give you a picture of FY '24 and our outlook for the next few years and our continued investments. I will stop over here, and we will open up the floor to Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sohan Joshi from A SC Consultants. Please go ahead.
Sohan Joshi: Congratulations for these numbers. So, this backlog order of 8 ,200 doesn't cover the 5G order site, right? It's just for the 4G coverage of one lakh site, right?

Arnob Roy : That's correct. It just covers our existing backlog using 4G and other wireline order books that we have. This doesn't cover the 5G upgrades.
Sohan Joshi: My second question is, this system on chip IP design regarding the semiconductor developed by the Saankhya, I presume it

will be captively consumed for first 5G wireless equipment and then
we will market it for outside market, right?
Arnob Roy : So, the current SOCs are actually getting used in one of their chips for their satellite transponder products , which has been designed using the semiconductor. The newer chips that they are designing, I mean, we will evolve our products subsequently when the chips are ready. But our current 5G products are not held up by that because our current generation produc ts are getting designed and will get launched this year. And when their semiconductor gets ready at th at time, we will try to optimize the equipment at that point of time.
Moderator: Thank you. The next question is from the line of Santosh Sinha from Emka y Global . Please go ahead.
Santosh Sinha: My question is regarding the BSNL project. So, what exactly is the timeline for this project? Is the whole of many portion will be excluded in FY '25 alone or will they be excluded in FY '26 as well? Is there any resource related to BSNL, sir?
So, my question is regarding this BSNL project. So, we were reading about some news articles that there has been concern regarding delays in the project and BSNL is also looking for help from the vendors as suc h. So, do you want to comment on that? And the last question is , what kind of margins do we expect in the long run?
Arnob Roy : So, you have asked three questions, Santosh. The first thing is BSNL supplies. Yes, I think we expect to finish our supplies in this financial year, in FY '25 itself, right? And I think, again, most part of the network will also get deployed and commissioned during that time. So, this i s the answer to the first question.
Second question was about news reports that have come up an d just to reiterate what that report really meant. I will give you the subsequent clarification that came. See, the RAN equipment is actually getting deployed all across the country right now in different zones, right? North and then West and other zones a lso started right now.
But what has happened is the core has been deployed in a few of the zones, not in all of them. So, wherever our RAN is getting deployed and installed, at that time, whenever the CDOT core is not there, the equipment is getting inte grated to the existing core. So, when the CDOT core gets deployed in those circles, in those zones, they will get parented to the CDOT core as well.

So, this is just a temporary situation where the RAN is deployed. And in that zone, the core is not avail able. So, it is getting integrated with the existing core in the network. So, that is all that the report has meant.
Your third question was about margins. As you have seen, our margins have actually grown over the last quarter. And going forward, we don't comment on how the margins are going to look like. But as a combination of our wireless and wirel ine equipment, we keep saying that our long - term goal is to see a historical margin that we have in the company. Over time, we will be growing the projec tion and keeping those kinds of numbers in terms of margins and financials as well.
Santosh Sinha: Just two more questions. After that I will fall in the queue. One is regarding international. So, what kind of headway we are seeing at the international fr ont? Because ultimately FY '26 we will have to grow on the international side. So, what kind of, are we seeing any new interactions or interest from the client? And second is regarding BharatNet . So, what is the update there ? And where can we see actually the revenue coming from Bharat Net?
Arnob Roy : I am not sure we could follow your questions because your line was not too good. I think your question was, I understand was international business and what kind of opportunities we see and what do we see in B harat Net? If you recall the las

t slide that I presented on the immediate and
the upcoming opportunities in international market, we are increasing our focus and investments in international markets . We have given you a big picture of the opportunities tha t we a re looking at both in the U .S. and Europe as well as the kind of opportunities and utilities as well as emerging markets . There are several projects and the opportunities we are currently engaged in in these markets without giving a lot of details , but that's going to be a focus area for us . That's going to be where our investments are also going to happen in the next few quarters, that's internationally.
As far as Bharat Net is concerned, as you know, the project is already announced. Lot of the technical documents and tender documents are out, but right now, there are questions and clarifications are going on with that tender, and we expect that sometime during the year, the

tender will be picked and completed and so on. And a lot of the active equipment over there is
for IP/MPLS routers, the kind that we have and that we have shipped to BSNL and also for the
FTTx equipment or the xPON equipment OLT and ONT . So, we are well covered in terms of
products for the opportunities in BharatNet, in the upcoming BharatNet tender. I hope I have
answered your question.
Moderator: Thank you. The next question is from the line of Deep Mehta from Bank of India Mutual Fund.
Please go ahead.
Deep Mehta: Hi sir, thank you for the opportunity and congratulations for a very robust set of ex ecutions
which you have done for this quarter. I just have one question. This quarter we have seen
significant stretching of our working capital cycle. How should we look at this number as you

ramp up our orders and what can we steady state working capital cycle, if you can comment on
that?
Arnob Roy : I will let Sumit take your question . Please go ahead.
Sumit Dhingra: So, as we had commented earlier, the working capital currently needs to be looked at in context
of the BSNL 4G project. We are in the midst of executing this large project . This is 7,700 crores
worth of value over the next four quarters. A lot of working capital build up is in context or in
preparation or execution of that project. As we go along over the next couple of quarters, you
will see eventually the working capital tapering down as the execution progresses.
Moderator: Thank you. The next question is from the line of Ashish from JM Mutual Funds. Please go ahead.
Ashish: Sir, in terms of our RAN, if you could highlight the competitive scenario in the Indian market.
We understand there are international players also s elling similar radios. Is there a cost advantage
for private telcos? So, basically, are our products cost competitive ? And if you could also
highlight whether there is a difference in technology stack for 4G and 5G RAN between us and
those guys ?
Arnob Roy : Yes, we have bid and won this large BSNL network and BSNL has ensured that they get the
most competitive prices which are available in the market. So, you can be rest assured that the
products that we have designed and that we are selling are extremely competitive as far as the
global operators go. So, that's one part from a cost competitiveness perspective .
The other part is about technological differentiators. Yes, any product that we make are always
made with several technological differentiators and I will let Kumar , our CTO talk about that.
Kumar Sivarajan: One of the important differentiators we have is that we integrate optic al transport into the
wireless , which almost no one else is doing in the industry , and that's the key differentiator. We
also have the ability to integrate other forms of optical access into the same product , what we
call universal converged pro duct. So, that's the key differentiator.
This

integration actually helps bring down the total cost of ownership of the wireless operators
by doing multiple technology integration into our RA N equipment . So, they save a lot of money
in buying and building the backhaul equipment and as well as it gives them the platform for
launching other services apart from the mobile services which is like helping them address all
the home and the enterprise for broadband opportunities in and around the area where they are
installed. So, this is one of the key differentiators and the customer really appreciates this and is
leveraging this technological advantage as well.
Ashish: This is helpful. Secondly, on this private telcos, apart from BSN L, as far as the private telcos are
concerned, is there an opportunity for us ? Obviously , you have mentioned on the slide that more

than $3 billion of CAPEX will be rolled out in terms of opportunity size and are we in discussion
with some of the bigger private telcos as far as these radios are concerned?
Arnob Roy : So, as I mentioned in the earlier slides, that we are actually engaged in a few opportunities of
the telcos and in the critical infrastructure sector . And as we speak, to name them, we are into
multiple POCs where our radi os are actually deployed and undergoing trials. So, yes, even
beyond this, there are multiple opportunities , and we have started engaging with other customers
and they are all in India , and we hope to actually line up some opportunities internationally as
well.
Ashish: And l astly, do we have sufficient manufacturing capacity on our side ? And to that extent, would
you say that the borrowings would not increase from current levels or would stay at current
levels?
Arnob Roy : So, after the manufacturing capac ity has been built up, that is why the investments have been
happening over the last few quarters and now we have established a scale where we can execute
a project of this size within the time lines that are expected and these are very aggressive, right?

So, we have to invest in that kind of manufacturing capacity. So, that is there .
And I think your question was about the working capital going forward. See, the one part is the investment in manufacturing for filling it up, but a lot of the working capital is in procurement of components which go into these manufacturing lines . And that is a temporary phenomenon for executing this large project where existing inventory that is getting converted into the finished products and they will get shipped out and we are getting our collections in as well and that is where the working capital cycle will go through and go down over time.
Moderator: Thank you. The next question is from the line of Pavnish from Hridya Cars . Please go ahead.
Pavnish: Sir, I just wanted to make a request if we could release our results a bit early because today the conference call was scheduled at 7 and results were declared at 7.10. So, didn't get much time to analyze the presentation and ask the question. Otherwise, my questions have mostly been covered by other analysts. Just this request.
Anand Athreya : Sure. Yes, this was a first for us, but yes, definitely we will do it ahead of time.
Moderator: Thank you. The next question is from the line of Pratap Maliwal from MountIntra Finance. Please go ahead.
Pratap Maliwal: So, I just wanted to confirm that I was seeing in the presentation that these cumulatively shipped equipment for about 10,000 plus sites on the wireless business. So, just to confirm, the overall order was for about 100,000 sites. So, we will be looking to the remaining 90 ,000 in the next three or four quarters going ahead. Is that correct?
Arnob Roy : That's correct.

Pratap Maliwal: And just one more thing . We have had an improveme

nt in profitability as well this quarter . So, last quarter we have seen that the low margin parts of the network equipment were deployed more and that had consequently affected our profitability a little bit. So, has tha t actually been compensated for this quarter? And going ahead, can we expect this improvement to sustain now that the low margin parts are out?
Arnob Roy : So, yes, your observation is right. I mean, we mentioned that last quarter and that's correct. I think this quarter we shipped components of products with higher margin and that's what is showing in our overall margins .. So, going forward, I think the blended margin, as I said, we don't comment on future margins, but we can see the trend out there and as you said, our margin s, the blend of wireless and wireless products. So, yes, the trajectory is there and it will depend on the combination of products associated.
Pratap Maliwal: So, we do expect to hopefully maintain the improvement going forward as wel l?
Anand Athreya : We don't give guidance on that.
Moderator: The next question is from the line of Hirenkumar Thakorlal Desai who is an individual investor. Please go ahead.
Hirenkumar T. Desai: I have just one question. Do we have an estimate of what PLI incentives we may receive for FY '25?
Arnob Roy: The PLI estimates for the year are dependent on the revenues that we do for the year. For FY '25, since we don't give any guidance on the revenue, it will be difficult to give you that estimate.
Hirenk umar T. Desai: Can you provide some percentage of revenue as an incentive that is there? I mean, what is the percentage number?
Arnob Roy: Policy states that the PLI would be between 5% -6% of the manufacturing revenue, which is incremental revenue over the base year. So, for every year, whatever is the manufacturing revenue, less the revenue for the base year. On that number, you would get, let's say, 6% kind of PLI.
Moderator: Thank you. The next question is from the line of Prathamesh Dhiwar from Tige r Assets. Please go ahead.
Prathamesh Dhiwar: So, I was having just one question. How are we looking at a strategic partnership with Valiant Communications? Are we looking at any acquisition which will help us doing any backward integration, like... ?
Arnob Roy : Yes. So, with Valiant Technologies, we have a very strong partnership going over many years. They are our key partners for the utility markets. Their teleprotection technology gets integrated with our trans mission products to provide a n optimized solution to our utility and critical

infrastructure customers. So, that partner offers an orthogonal set of products, but they work very well together with our products to address this market. And this is going to continue. We are looking at opp ortunities together in markets, not only in India, but globally. But that's how it works.

Moderator: Thank you. The next question is from the line of Gurvinder Juneja from Fortuna Investment Advisors. Please go ahead.
Gurvinder Juneja: My first question is about getting some clarity on this proof of concept you are doing on the utility side. What does that mean? Is that including any work with Valiant? And second question is, I probably misunderstood or didn't understand the split of revenue you gave betw een India Government and India Private. What gets classified as India Government revenue and what gets classified as India Private? I just wanted some clarification. I missed that piece.
Arnob Roy : First of all, the POCs that we are doing is on our wirele ss 4G /5G RAN equipment . And this is not including Valiant. So, this is purely applications in wireless. So, these are multiple networks where they are getting tried out as you see for potential deployment.
Your second question is about India government and all.

As you see, as you know, we split our revenue in terms of three sectors. One is the Indian government, which is mainly the public sector companies, the operators, the EPC companies, BBNL, BSNL and so on. And then the Indian private, which are the telcos, private telcos and I SPs in India. And the third part is the international customers .
So, the clarification we gave was, in India private in the last few quarters , our shipment to BSNL 4G is categorized as India private, because actually our immed iate customer i s TCS and not BSNL. And we look at our immediate customer who we are shipping to, to kind of classify the business segment. So, we just want to make sure that we understand that the India private numbers that we are showing, reporting, that includes the BSNL 4G /5G shipment.
Moderator: Thank you. Our next question is from the line of Harsh it from Wallfort PMS . Please go ahead.
Harshit: Just wanted to get a sense of the kind of order book build -up that we can have going forward. Could you give some sense on that?
Arnob Roy : We don't give guidance on future business. You know, you have the order book and a kind of painted color of the opportunities in front of us, both in India as well as internationally. So, I think that's the best that we can do, right? Talk about our products, talk about our current order book and talk about the market for these products and the immediate large opportunities that we see in front of us. I think that's the best we can do.
Harshit: So, globally, sir, the kin d of business that we do, globally, how many competitors would be there, comparable competitors, if you can just put that kind of a number?

Arnob Roy : Well, if you look at it in India, all the global vendors and our global competitors are actually doing b usiness in India, right? I mean, all the names that you know of. So, internationally also, we compete against them in India and it's the same set of vendors that we compete against in the rest of the world. So, there is no difference. I think it's the same comparative environment that you see in India that you see internationally.
Harshit: And so, would you like to share how many tenders have we filled in or how many, what is the win ratio or something like that? Is that possible?
Arnob Roy : Yes, I think those are far more details of our business. Unfortunately, we cannot share, but I think bidding keeps happening all the time and we win some and lose some. . But those are numbers that we really don't share in terms of how many bids and win ratios and all t hose kind of things. I mean, that's really confidential information.
Harshit: Okay, sir, not a problem.
Moderator: Thank you. Our next follow -up question is from the line of Hirenkumar Thakorlal Desai , who is an individual investor. Please go ahead.
Hirenkumar T. Desai: One more question was just regarding the inventory part of it, or you may just say the entire inventory cycle. The fact that we are dealing with TCS in a way, do we have a sort of better estimate or better certainty in terms of how long that cycle will be? I mean, what is the inventory turnover that we need to maintain, especially for BSNL business?
Sumit Dhingra : See, as I mentioned, this project is a 7,700 crore s worth of projects. The execution in terms of number of sites is about 10, 000 sites, as against 1 lakh sites . So, it's about 90% yet to be executed. And from a lead time perspective , we have done some advanced procurement to be able to shi p these products in time.
Now, purely from that perspective, if you see the order size versus the inventory, we have inventory for the next few months of delivery. We have not fully yet procured all the inventory for the project, but a significant part of it is in place and it helps us have that assurance with respect to being able to delive r.
On

an overall basis, the operating cycle is less than 12 months from a working capital standpoint, but that would essentially, as we go along, it could ease off.
Arnob Roy: So, Hiren, I think the inventory is basically the time cycle between the time we procure the

components, and we actually manufacture them and ship them out. So, it's really not connected to TCS . It's connected to the cycle of manufacture and shipment to the warehouse, to TCS and regional warehouses.

Hirenkumar T. Desai: No, I understand. I mean, I am assuming the context that payment from TCS will be fairly predictable in that context.

Sumit Dhingra : Yes. The inventory levels wouldn't depend on the payments. That is something that we procure from our vendors and against that we would have payables in the books. And as we go along, as we ship and deliver the sites to TCS, then the payment cycle starts.

Hirenkumar T. Desai: Yes, you just mentioned that we have built inventory for a few months. Can you quantify a few months?

Arnob Roy : See, w hen I say a few months, I was referring in the context of the BSNL project execution.

Hirenkumar T. Desai: Yes, that's what my question is regarding.

Arnob Roy : Over the next two to three quarters is what we're looking to execute this project. And the inventory that we have is a portion of what we really need to execute that. There are some advanced actions that we have taken. So, this inventory would , let's say, peak up a little bit from here and thereafter as the execution progresses, we would progressively see it coming down.

Hirenkumar T. Desai: In that case, are you in a position to specify, okay, not exact, but some ballpa rk number , at what level will it peak?

Arnob Roy : It's difficult to give any guidance on what level would it peak. Maybe in the next three to four months is where you would see this peaking up and then possibly coming down. But as I said, it depends on the pace of execution of the project.

Moderator: Thank you. We will take our last question from the line of Sohan Joshi from ASC Consultants. Please go ahead.

Sohan Joshi: Thanks a lot , sir, for taking my follow -up question. I just want to u nderstand, when will the PO of the 5G sites will be out ? Will it be out by this year only or first the entire execution is completed, then the PO will be out for the 5G sites?

Arnob Roy : Yes. So, the PO, see, it's not designed to wait for the entire project to get over. We will be doing a POC for this 5G upgrade shortly. In the next few months, when all that is completed, I think we expect to get the 5G upgrade business, obviously.

Sohan Joshi: So, that will be for the 40% sites of the existing 1 lak h sites, right?

Arnob Roy : That's correct.

Sohan Joshi: So, the current order book doesn't contain that 40% of the upgradation , right?

Arnob Roy : That's correct. It does not contain that.

Sohan Joshi: And then the maintenance PO will be out, which is fo r the next seven years post three years?

Arnob Roy : That's correct.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Anand Athreya sir, for closing comments.

Anand Athreya: Thank you. So, as the FY '24 closes, first I would like to thank our employees, customers, board members, investors, and stockholders for your continued support. This has been a record year for us, and we will continue to stay focused and execute month -on-month and quarter -over-quarter to put Tejas on a world map. Again, I wish you all the best and thank you very much.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. Yo u may now disconnect your lines.

Note: This transcript has been edited for readab

ility and does not purport to be a verbatim record of the proceedings

Call: Aug 2024

July 2 9, 2024
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q1 FY25 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 1 FY25 Earnings Conference Call held on July 19 , 2024.

Kindly take the above information on record and acknowledge .

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited
Q1 FY '25 Earnings Conference Call"
July 19, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND WHOLE -TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER - TEJAS NETWORKS LIMITED

MODERATOR : MR. ASHVIK JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Tejas Networks Limited Q1 FY '25 Earnings Conference Call , hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there wil l be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being r ecorded. I now hand the conference over to Mr. Ashvik Jain from ICICI Securities. Thank you and over to you, sir.
Ashvik: Thank you. Good evening, everyone. Thank you for joining the Tejas Networks Limited Q1 FY '25 Results Conference Call .

We have Teja s Network Management on call represented by Mr. Anand Athreya, Chief Executive Officer and Managing Director; Mr. Arnob Roy, Chief Operating Officer and Whole -time Director, Mr. Sumit Dhingra, Chief Financial Officer; Dr. Kumar N. Sivarajan, Chief Technolog y Officer. I would like to invite Mr. Anand sir to initiate with opening remarks followed by a quarterly update, post which we will have a Q&A session. Over to you, sir.

Anand Athreya: Good evening . Thanks for attending the Q1 FY '25 Tejas Networks earnings call. I have my colleagues here, Arnob Roy, CEO and Executive Director; Dr. Kumar Sivarajan, CTO; and Sumit Dhingra, who is our CFO, with me in the room. I want to give you some key updates for Q1 FY '25. I'm happy to inform you that this has been the best quarter ever for Tejas. Our Q1 FY '25 net revenue was INR 1,563 crores, which was an 8.3x year -over-year. And the profit after tax in Q1 FY '25 was INR 77 crores. We ended Q1 with an order book of INR 7,091 crores. Let me talk briefly about our business.

We are primarily two segments, wireless and wireline. On the wireless business, our 4G/5G RAN installations for the BSNL's Pan India network is progressing well. We have cumulatively so f ar shipped approximately 27,000 sites as of end of Q1.

And we also have significantly scaled up our manufacturing capacity of the RAN equipment. We have also, in addition to the Band 1, Band 28, and dual -band radios, we have also made product ion releases of additional 4G radios, which are mostly, you know, kind of globally used bands also, which is Band 3, which is 800 megahertz, Band 5, 850 megahertz, and Band 41, which is 2,500 megahertz. And we are also engaging with several wireless provid ers for proof -of-concept, who could become our potential customers, both in private and utility verticals.

Now, I'll go on to the wireline business. As we talked about engaging with international customers, so I'm happy to inform you that we won a strateg ic deal with a Tier 2 operator in the U.S. for their network modernization project . and another telecom operator in Southeast Asia for a broadband rollout. We're also seeing repeat orders of our GPON, DWDM, and packet equipment from our existing customers in India, Southeast Asia, and also in Africa.

And as you know, we also h ave won one of the largest deployments of IP/MPLS routers in India, called the BSNL -MAAN project , and we made good progress on the installation and commissioning. You know, we delivered a lot of equipment last quarter, and the installation

commissioning is happening as we speak. One corporate update I want to give you is the merger of Saankhya Labs with Tejas.

It's in an advanced stage, and NCLT has reserved the matter for orders. So now I think it's a matter of time when these things come t ogether. Now I'll hand it over to my colleague Sumit Dhingra to talk about the financials. Thank you.

Sumit Dhingra: Thank you, Anand. Good evening, everyone. For Q1 financial year '25, we had our total revenue from operations of INR 1,563 crores. This co

nstituted revenue from sales and service of about INR 1,496 crores. This is a 8x revenue growth over the previous year, and 28% growth over the last quarter. Other operating revenue, which consists primarily of PLI incentive was INR 67 cror es for the quarter as compared to INR 156 crores in the previous quarter.

I would like to clarify that previous quarter included PLI receipt for FY '23 and for the full year FY '24. Compared to that, Q1 recognition of revenue for PLI includes only the Q1 '25 component. On an aggregate basis, the revenue grew at 18% growth over the previous quarter.

Our EBIT for the quarter was INR 167 crores as compared to negative INR 80 crores for the previous year and INR 258 crores in the quarter before that. However, as I mentioned, this also had the impact of other operating income in the two quarters. So if I take that out, previous quarter EBIT was INR101 crores and compared to that we are at INR100 crores for this quarter.

PBT for the quarter is INR122 crores com pared to INR233 crores for the quarter before that, and negative INR66 crores for the quarter one of the previous year. Profit after tax for the quarter is INR77 crores. This is compared to negative INR 26 crores on previous year's Q1 and INR147 crores for Q4.

Our full year profit after tax for the last year was INR63 crores compared to that in the current quarter itself we have INR77 crores of PAT. We can move to the next slide, which talks about key financial indicator s. Inventory increased from INR3, 738 crores to INR3 ,853 crores in the quarter. This increase is predominantly due to ramp up of wireless shipments and this will get converted over the next months into finished goods and get shipped. Trade receivables gre w from INR1,458 crores to INR2,052 crores. This again is increased due to higher shipments in Q1 but we made progress in terms of collections as well and we collected about INR1,170 crores during the quarter. Payables have come down from INR1,839 crores t o INR1,376 crores but at the same time the borrowings have gone up from INR1,744 to INR2,844 crores, which implies a net debt of about INR2,200 crores at the end of the quarter. Our cash position stands at INR612 crores. With this, I will hand it over to Arnob to take care of the next slide.

Arnob Roy: So in the next few minutes, I would like to give you a color of the business that we have done in Q1 and also the outlook for our business going forward. So as far as Q1 is concerned, the revenue mix of our business is reported in the three sectors, India Government, India Private and International. India Government was about 7% of our overall revenue for the quarter and saw a significant growth, a healthy growth of two and a half times year -over-year.

And this growth was led mainly by the network buildouts in the utility segment. The India private consisted 90% of our business and as you know we categorized the BSNL 4G shipment since it goes to TCS. We categorized that to India private and had a very strong growth of over 14x of Q1 of FY '24 and mainly dominated by the BSNL 4G shipments.
International business was largely flat with a slight decline and it was 3% of our overall revenue for the quarter. And as we mentioned earlier, this is the area that we have our significant focus on and we are increasing our sales and marketing presence in international territories and we are into a lot of engagements in the i nternational territories as well and I will talk about that a little bit. So in this quarter, we had, for international shipments, our key shipments happened to customers in Africa and in South Asia.
So we closed that quarter with a backlog of INR7,091 crores. It is much lower than the backlog that we closed in Q4 and largely because a lot of the wireless shipments happened as we expanded or increased our wireless shipments in the quarter

s. That's part of the reason we saw the backlog
went down.
And as part of the backlog, India still has a significant amount of INR 6,831 crores to dominate partly our BSNL 4G backlog. And the international logs are INR 260 crores. So going forward, some of the key opportunities being targeted and this is beyond, of course, our regular run rate business with our existing customers, who keep -on-buying on multi -year contracts. The key large opportunities we targeted is, one is the expansion of BSNL 4G network. We know that they have to build out for saturati on sites, as they call it, and it's called the backhaul network, which is an extension of the MAAN network.
And then BharatNet Phase 3, which has the tenders, which has come to an advanced stage and I think the bidding, the tender timelines got a bit pushed out, but this is also some of the big opportunities that we're targeting. And then the Kavach project of Indian Railways for the collision avoidance systems based on where our 4G technologies are a key part of the communication infrastructure. We ha ve done successful POC over here and we are waiting for the tender process to get through.
Then expansion of the network backbone in the utility segment. In this segment, we're seeing a strong demand in this segment, both for their captive network requir ements as well as their telco business, their wholesale bandwidth business. And we see a lot of opportunities during the year where they will scale up their Backbone network several times based on our optical transmission technologies.
We also, internatio nally, we are also engaged in several broadband opportunities with Tier 1, multiple Tier 1 opportunities in the Middle East. We are in a good position in the network, but it will take some time to close, but we're in an advanced stage in trials and other commercial engagements as well. And then in South Asia, we are also engaged in a wireless and a metro aggregation opportunity with a Tier 1 operator.
And in both of these include our 4G /5G equipment, our packet transport equipment, as well as our Metro WDM equipment. So this is also one of the large things that we're working on where we in

advanced stage. And we're looking forward to winning a significant part of these deals to be able to create our business backlog for the future.
I will next go on to giving you some color of our business outlook that we see over the next few years. And as you all know, the network traffic worldwide continues to grow rapidly. And right now, we're on the cusp of a significant growth, driven by newer genera tion applications like Generative AI.
It's one of the key drivers, one of the key applications driving the building of AI data centers and their interconnectivity, and that's generating a huge amount of traffic. Also applications like virtual reality and spatial computing, which is processing high amount of 3D data and doing a huge amount of computing as well as exchanging data with servers located in remote locations. Then multi - player gaming is consuming a high amount of bandwidth because we're working w ith high definition video, high definition graphics, and that's also causing a huge amount of network growth. And then the growth of streaming video that we are all familiar with. So all of this growth in the

technology and the network traffic is driven b y enablers of advanced communication technologies, the kind of stuff that we built, whether it's 4G/5G mobile broadband, multi -gigabit fiber broadband and transmission technology, and then it's computing devices at the edge of the network. So all of these is driving fresh investments in fixed and mobile networks worldwide.

So some of the things that are happening are the transformation in enterprises and clouds, AI data centers and their connectivity, high bandwidth connectivity. We see a long runway of deplo

yment
of 4G and 5G globally. 4G is primarily in a lot of the developing countries where deployment is at an initial stage, and 5G in many of the developed economies.

And th en massive investments in broadband connectivity that's happening the world over, including developed economies like Europe and the US, where there are massive investment programs going on. There's a modernization of utility networks, which is demanding th e transition from the old TDM to IP networks, and that has been happening for a few years, and we're seeing an acceleration of the adoption of this transformation. A digitalization of cities and economies, building out of smart and safe cities across the w orld.

So these are some of the many phenomena that's happening, and the outlook for business over the next few years still looks strong. All of this is driving our development of key technologies for wireless RAN and cross -haul, or multi -terabit packet an d optical transmission technologies, and high-speed broadband access using GPON and XGS -PON , and associated technologies. So in summary, the business outlook looks strong.

There are many new generation applications which are driving our business going forward, and so I think that is what is also driving our investment in technology, in R&D, and in catering to the requirements driven by this evolution. So with this, I will pause over here and we'll open the floor for questions.

Moderator: Thank yo u very much. We will now begin the question -and-answer session. First question is from the line of Rishabh Gang from Sacheti Family Office. Please go ahead.

Rishabh Gang: Yeah, set of numbers. Wanted to understand what is the total universe of sites which are eligible for 4G, 5G RAN? I understand for BSNL, we have done 100,000 sites as of now. So what is the universe for BSNL? Above that, how much percentage is eligible for a 5G RAN? Like, what is your best estimate?

How much sites will go to 5G upgrade? A nd what is the kind of cost which will be incurred? Let's say 100 rupees, it costed for 4G RAN equipment. So how much would it cost for the 5G upgrade? And regarding the 4G, 5G RAN, for the private telcos, like Jio and Airtel have done a good amount of capex some years ago. So when do you think the replacement cycle will come from the private telco site? Yes, sir.

Arnob Roy: Yeah, so as far as BSNL is concerned, we are seeing that a lot more investment needs to be done in 4G. And I talked about a good network expansion in terms of the saturation sites that are going to come up in BSNL. There's all the remote sites across the country. So the 4G expansion is a key part of our upcoming wireless business. As far as 5G is concerned, there are two parts to it. One part is the 5G upgrade in the existing 4G bands which is part of the existing tender that we are executing right now. So that's going to happen. And that's the business that is part of the tender but is going to be executed later on. Apart from that, BSNL is also going to come up with a nationwide tender for 5G in the performance ba ck in the high speed 3.5 GHz bands . So that is still in the works. There will be a process of POC of equipment and it will likely be a nationwide build out, depend ing on the scale at which they deploy 5G. And it is certainly going to be on the scale of what the private operators have done.

Rishabh Gang: Can you draw some comparison between the 4G spends per site and 5G spends per site? Like I want to ha ve some numbers or some percentage?

Arnob Roy: Yeah, so absolute numbers are difficult to give. But if you see the kind of spend that has happened in 4G, and if you take another 20 -30% more spend that's going to happen in 4G, then 5G is going to be not of that scale. It is going to be smaller because a lot of the initial 5G deployment happens in urban areas .

So it's going to be in a

smaller percentage of that. And then when 5G adoption happens, and 5G
monetization happe ns, then like the rest of the operators, I think a lot of increase in 5G deployment will also happen across the length and breadth of the country. It's going to happen in phases.

Rishabh Gang: So how much does an upgrade cost? Let's say 100 rupees is the 4 G cost. So how much is an upgrade for 4G to 5G?

Arnob Roy: So as I said, there are two parts. Upgrades of 4G to 5G in the existing 4G bands, that's a fraction. I mean, that's a smaller fraction because it comes with a small amount of hardware and so ftware upgrades.

But 5G deployment in the newer bands, in the performance bands, that spend is as much as that and if not more than that of 4G bands. Because especially if it's deploying elements like massive MIMO with 8 T8R, 32T32R and advanced technology which is very high performance radio capabilities, those costs are obviously higher. But on the average, you can look at -- so the 4G site

plus kind of thing as a per unit site cost.
Rishabh Gang: Got it. On t o private telco site, can you give some idea on when did the 4G, 5G capex actually started for players like Jio and Airtel? And when do you think the replacement cycle will come? And some idea on how much sites can come? Yes.
Arnob Roy: I mean, so 4G, we a lready know the 5G deployment that these operators have done. And you know, and right now, we see the first phase of deployment that has happened. And going forward as 5G usage goes up and 5G monetization goes up, I mean, we expect to see a lot more deploy ment to happen because this network is still small compared to the overall 4G network.
And 4G is still the backbone of the mobile data network of the operators. But as 5G becomes more and more popular, more cost effective and more newer applications come in, I think 5G network will go up as well and kind of cover the entire country and maybe over time replace the 4G network.
Rishabh Gang: What is the useful life of such equipment?
Arnob Roy: Well, useful, I think you can look at how, you know, the 2G netwo rk has been deployed and living and then how 3G got deployed. So it depends on the success of a particular technology. A particular technology can keep it alive for seven, eight, nine years, you know, if the technology is successful.
If the transition happ ens sooner, then it can happen in five years, I mean, you have to just look at how things evolved in India to get an idea of that.
Rishabh Gang: Got it. Very interesting. Sir we compete with players like Nokia, Cisco and Ericsson, right? So I wanted to ask , how much cost advantage do we actually have against these players? And how much of the cost advantage is taken away when these players have an Indian R&D and manufacturing setup? Because I believe all of these three players have R&D and manufacturing set up in India. So do we really have a cost advantage there?
Arnob Roy: Rishabh, I really suggest in the interest of time, we should give an opportunity to other people for asking their questions. I'm sure your questions will be covered during the call. I'm s ure people will have similar questions. And if not, I'll come back and answer at the end of conference.
Rishabh Gang: Okay. Thank you so much, sir.
Arnob Roy: Thanks, Rishabh.
Moderator: Thank you. Next question is from the line of Ashish Shriram Thavkar f rom JM Mutual Fund. Please go ahead.
Ashish Thavkar: Yeah, thanks for the opportunity. Sir if you can elaborate on the data center side, do we have a role? Obviously, you in your opening commentary did mention the play.
But are these L1 and L2 switches ar e probably going to be some differentiation on our part? And also, potentially, by what timelines are you targeting some of these plays?
Arnob Roy: Yeah, so I think there are two parts to the question. What is our role

in data centers? So our

communication equipment is a pplicable for the data center connectivity. We don't sell equipment inside the data center. It is mainly for the high bandwidth connectivity that is required between data centers as they exchange traffic, sometimes to build backups and those kind s of applications . So the data center interconnects is the market that we play in.
I also talked about, you also raised a question about our switches, the L2/L3 switches. So the switches that we have is mainly for building campus networks and enterprise networks. And the ir application is not inside data centers such as the top of rack switches . That's not where we play. Our switches are used mainly for building campus networks.
Ashish Thavkar: Okay, excellent. And Ericsson, they recently said that the telcos in the North American region have depleted all their excess inventory. And since we are now also deploying our investments to tap those markets, and obviously, we have won one of those deals. How do you see the landscape evolving, especially in the U.S. now?
Arnob Roy: No, I didn't get the point on excess inventory in the U.S. I didn't quite understand that. But in general, I think there's a lot of investment that is happening in the U.S., again, driven by the cloud, driven by AI, AI data centers and so on. I think it is for everyone to see, right, how the AI component suppliers, how that i s going.
All of that is going into building AI cloud centers and more and more applications running over there. So the phenomenon that I talked about of interconnectivity, that is also there, very strong in the U.S., right? Apart from that, we're also see ing a huge investment happening in the government,

what they call as the B EAD program, for rural connectivity across all of the U.S., because the U.S. is a very large country and population is well spread out. So there's a lot of investment going on in those markets for pr oviding broadband connectivity.
So all of these provide us opportunities. The initial opportunities that we have, apart from these things, some of the interesting opportunities that we are targeting is modernizing of very old networks in the U.S. As you know, U.S. has a very advanced econo my with telecom networks that have been built over a long period of time. So a lot of it is legacy networks which are getting transformed as we speak, and so we have very interesting technologies in the area which we are engaging with several customers the re.
Ashish Thavkar: Yeah, fair enough. Also, lastly, the entire BSNL execution that will happen in FY '25, that's first, and second, the EBITDA margins that we reported this quarter are around 15%. Is this a sustainable number for the entire year?
Arnob Ro y: I didn't get your question fully, but the first part I got, which is that, yeah, the current P.O. that we have, the current opportunity that we expect to complete in FY '25. Yeah.
Ashish Thavkar: And the EBITDA margins of 15% this quarter that we did, t hat's a sustainable number to assume going forward?
Arnob Roy: So we don't give any guidance on our margins and financials, but I think you can look at the trend and make your assumptions about that, but that's as such we don't give guidance on these

opera tions.
Ashish Thavkar: Yeah. Thank you. Thanks a lot. All the best.
Moderator: Thank you. Next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Pvt. Ltd. Please go ahead.
Vimal Gohil: Yes, sir. Thank you for the opportunity . I have two questions. One is on our visibility post FY '25 in terms of our GPON and DWDM, which is our cash cow, so to say, for our customers, ex of BSNL, which is India private and international customers. So what's the visibility looking like? Since w e have sort of increased o

ur manufacturing capacity, how do we sort of make sure that as and when the BSNL contract ramps down, we utilize our manufacturing capability to the most efficient possible extent?
So that's question number one. The second questi on is for Mr. Dhingra. Sir, on the wireless margins, how do you see the wireless margins panning out over a period of time? I do understand that you don't give out forward guidance, but as and when the BSNL contract comes into our numbers, do you expect th e wireless piece to sort of come in line with company average post FY '25? Thank you so much.
Arnob Roy: Yeah, so I'll address the first two questions about GPON and DWDM outside of BSNL. Yes, I mean, most of our GPON and WDM business right now is outside of BSNL, such as the private operators , from the utilities and from our international customers.
And as I mentioned, there is a huge demand for broadband connectivity and for upgrading of backbone networks. And these are the places where our equi pment is very applicable and very relevant. So as and when we win additional deals based on the increasing demand, I mean, that business looks healthy and will continue to grow.
I mean, that's what our expectation is. As far as manufacturing capacity is c oncerned, as we have mentioned earlier, we have a n asset -like manufacturing model, right? Where in the back end, we work with large EMS vendors of scale for building our PCB assemblies. You know, there's a hardware block that go into and get assembled into our systems. So as we scale up our manufacturing capacity, in the back end, we just sign up with multiple EMS partners and they have a lot of capacity.
For us, all we h ave to scale up is our system assembly and test capacity in our factory in Bangalore. So as we scale up our manufacturing capacity, the largest scale up happens in the back end, which is EMS. So, you know, it's a low effort or, you know, low intensity inve stment for us to really scale up and scale down our manufacturing because of the model that we follow. But, you know, the reason we have also scaled it up is not only for the BSNL business, but over time, over a long term, we are bullish about how our busi ness is going to grow both in wireless and wireline .
So a lot of the preparation and the investment that will happen is to address opportunities in the future as well. Thank you. So, wireless margin?
Sumit Dhingra: Yeah. See, as I mentioned earlier as well, this is the first wireless project that we're executing. And

as we go along, as we add more wireless orders going forward, we would expect the margins to improve. Now, there is no particular reason to suggest that the wireless margins wou ld be very

different from wireline margins in general. And as we ramp up our businesses and as we ramp up our international orders, you'll see the margins improve and potentially be at the same level for both wireless and wireline p roducts.
Vimal Gohil: Sir how does the visibility look for international orders for our wireless products post FY '25?
Arnob Roy: Yeah. So, as I said, we are engaged deeply with many opportunities in the international market. And these take some time to convert because they go through extensive trials and commercial cycles . So we are at the initial phase of international engagement with our wireless products. And they will close over a period of time. But we do see a lot of opportunities given the huge amount of 4G build -out that is happening in a lot of the emerging markets.
And also the 4G replacement that will happen, of very old 4G gear that's going to happen in those market as well, as well as the 5G expansion in the developed market s. So, all in all, it's a good opportunity space for us .
Vimal Gohil: All right, sir. Thank you so much. I'll go back to the queue.
Moderator: Thank you. Next question is from the line of Khush G

osrani from Incred Asset Management. Please go ahead.
Khush Gosrani: Yeah. Hi, sir. Thank you for the opportunity. Sir, I wanted to understand what is -- how much we would have bid for the BharatNet phase 3? What would be our opportunity sense over here?
Arnob Roy: Could you please repeat the question? I didn't….
Khush Gosrani Sir, for BharatNet phase 3, what kind of order size opportu nity is there for us?
Arnob Roy: Okay. See, the BharatNet phase 3 for us, as far as the equipment is concerned, comes with two parts. One is the GPON equipment, ONTs and OLTs. And the other part, our larger part, are the IP/MPLS routers, which are going to be used in BharatNet. So, for both of them, they are very relevant products and we are actively working with customers and our system integration partners to bid into this project. Initially, as you know, the BharatNet budget is quite a large one . Of around INR1,30,000 crores and the equipment budget is roughly 9% to 10% of that. And in the first phase, we see anywhere between INR4,000 to INR5,000 crores of equipment which is getting addressed in the initial tenders. But that is the overall landscape and we hope to win a significant part of that.
Khush Gosrani: Sure. And this would be for how many GPs? 1,67,000?
Arnob Roy: I am not sure about the number of GPs that are getting covered. I don't have the number upfront .
Khush Gosrani: Got it. And one last question, sir. What kind of debt numbers we would have to take more debt now going ahead for working capital purposes? What kind of peak debt we would have?
Sumit Dhingra: See, again, it's diffic ult to give guidance on future numbers, but as a trend, this increase in

borrowings is essentially for working capital purposes, which is predominantly led by the wireless project that is getting executed. Now, as mentioned earlier, this project, we're exp ecting to complete this year. And as shipments progress, working capital intensity would increase a little bit from here and thereafter keep coming down. So, I think within this year, you would see that the working capital w ould spike up and then gradually come down.
Khush Gosrani: Sure. Got it, sir. Got it. I will get back. Thank you.
Moderator: Thank you. Next question is from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.
Kaushal Kedia: Yeah. Sir thank you f or taking my question. My first question is what kind of an order book pipeline are we looking at on the Opportunities Fund that you mentioned that the BSNL 4G network, the BharatNet Stage 3, Kavach for Railways, expansion of utility networks. What is the kind of order book pipeline that we are looking for?
Arnob Roy: So these are not orders that we have won as of now . We have an order book of INR7,000 crores and these are some of the new opportunities, new large opportunities that we are targeting, right? So, they will give a flavour of what is the size of expansion of the BSNL 4G network or BharatNet Stage 3. I just talked abou t that right now.
So, similarly, I mean, there are the Indian Railways as well as, you know, broadband utility operators. These are all quite large opportunities which will enable our growth for the future and, you know, create our business pipeline as we ll as backlog for the future. But it is hard for me to quantify and say that this is going to be the number going forward quarter after quarter . Just wanted to give a flavour of what is coming.
Kaushal Kedia: Sure. Okay. So, one more thing, in the previous participant's question, you answered that BharatNet equipment budget is around INR4,000 to INR5,000 crores in Phase 1.
Arnob Roy: Yeah, this is actually called BharatNet Phase 3. YThe sanctioned budget is much more than that. But initially, what we are saying in this current phase, what is being tendered would be in the range of INR4,000 crores, I would say

, of the equipment.
Kaushal Kedia: Okay. Okay, sir. Thank you. That's it from me. Thank you.
Arnob Roy : Thank you, Kaushal

Moderator: Thank you. Next question is from the line of Sachin Jain, an individual investor. Please go ahead.
Sachin Jain: Yeah. Excuse me. My question is, the P OCs which we are doing for a lot of private and utilities, first is, are there international players we are doing this P OCs? And where are on this P OCs, what would trigger this success of business to get a confirmed order? And what is right to win over there? Essentially, we are fighting with Nokias o r Ericsson of the world. So, can you give more qualitative color on this aspect?
Arnob Roy: Yeah. So, I guess your question was specific to wireless to 4G, 5G, right? So, the P OCs which are ongoing are deployment s across a few sites, right? It coul d range anywhere from 5 to 10 sites to

even more than that. And it goes through an extensive field trial which also includes interoperability with the software, with the core, and also interoperability with other radio equipment which is deployed out there . Because in a lot of places handovers between POC sites are tested .
So, P OCs for wireless equipment is of this kind of a nature. My question is that, how do we compete with Nokia and Ericsson and ? So, there are few areas, ours is a more modern 4G equipment with support for many different bands which are deployed by operators. And then we also have a lot of efficient technolog ies which are built in. For example, our RAN equipment comes with integrated backhaul, integrated transport, right?
So, with technology like that, it saves a lot of capex and opex for the operator because typically RAN equipment is back -ended with a separate backhaul equipment, a rout er, or an equivalent equipment like that. But what we have done is we have integrated a lot of this technology into our RAN equipment, into our eNodeB. So, as a result of which, there is a significant saving to the customer for building his backhaul ne twork, both in terms of capex , but also in terms of opex and reduces the costs of having to manage a different backhaul network .
So, apart from that, I mean, our baseband unit, which is part of the RAN, is also what we call th e Ultra Converged Broadband Access equipment . So, whenever you deploy our BBU, the equipment is architect ed such that you could also insert hardware modules from where you could launch your broadband services for homes and enterprises . So, th ere is a huge amount of technology integration that we have done in our RAN equipment, and specifically in the baseband unit . So these are some of the big differentiators that we actually project and our customers also appreci ate, which helps them in optimizing their network costs.
So, these are some of the areas, and of course, there are many other finer details that we can't discuss right now.
Sachin Jain: Sir how big this opportunity would be, some of these opportunities, say, in the future?
Arnob Roy: Yeah . So, obviously, it is not going to be, you know, one shot as big as a large BSNL deployment of 100,000 plus sites. I mean, if you consider potential expansion, it's going to be even more. So, these are definitely not going to be one -shot things like that. Even if it is a greenfield deployment, you know, a lot of the emerging economies are smaller countries, right? So, each of them would be in several thousands or tens of tho usands of sites, but not in the scale of what you see in India. That would be there, but on the aggregate, there would be many opportunities like that. So, that's how we see at least the international opportunities. So these ar e all the greenfield networks, but whenever there's an existing 4G, 5G deployment, and they're trying to upgrade it's again going to be a portion of the network, a fraction of the network

that they want to upgrade, either w ith a
different band or replacing old 4G equipment with our kind of 4G, which is also upgradable to 5G .
And that's the refresh of 4G equipment that we can do . So, all of this will be portions of the network and will not be as large as one large BSNL network of 100,000 plus sites.
Sachin Jain: Opportunity for you in India, relevant opportunity sites for you, can you give some idea on that

also?
Arnob Roy: Relevant opportunity for India or in the global?
Sachin Jain: In the railway Kavach project.
Arnob Roy: In the railway Kavach, from what I know, it's like ly to be around 15,000 sites, which is covering the entire railway network. You know, that's our initi al estimate of what's coming in, so that's going to be tendered.
Sachin Jain: Opportunity for you, if you can highlight.
Arnob Roy: Yeah, so I think the overall scale is 15,000 and it depends on how it is tendered and whether it goes to a single party or i t is divided . So we don't know all the details yet, but that's just kind of the scope of the railway opportunity.
Sachin Jain: Or you are providing entire coverage system, entire?

Arnob Roy: Didn't understand the question.
Sachin Jain: On the Indian Railway Kavach, what part of opportunity you are addressing? Is it only the connectivity part or you are providing the entire solution?
Arnob Roy: Only connectivity. Only the wire less part.
Sachin Jain: Only connectivity. Yes, understood. Sir last question is, post 2025…
Arnob Roy: Sachin, can we give opportunities to the others also. And maybe you can…
Sachin Jain: Perfect. Thanks.
Arnob Roy: Yes, thanks Sachin
Moderator: Thank you. Next question is from the line of Prabir from Ratnabali. Please go ahead.
Prabir: Thank you, sir, for providing me the opportunity. I have a couple of questions. First, so far you have received the highest order in terms of BSNL 4G, so now is it fair to assume that in the next few years, the large tw o orders that you are expecting are BSNL 4G to 5G and BharatNet, is number one. Related to that, are we going to see a similar kind of execution cycle that we have seen for BSNL 4G in terms of, in case of this 5G as well as BharatNet, just 12 to 15 months?
Arnob Roy: So roughly you are right, it's going to be not 12 months, it is going to be more than that, based on the size of the networks that they are going to come up with . So there are going to be tenders, and also when the tender is going to happen. But once it is decided and once the execution happens, yes, each of the opportunit ies is going to be between 18 to 24 months, I would say, given the scale of things that are going to happen.
Prabir: And, sir, like what we have u nderstood, like in case of 5G, the number of base stations, am I correct

if you tell me that the 5G stations are more because the frequency is higher, wavelength is low compared to 4G, so the base station will be smaller and the number will be much bigger. So can we assume that as the numbers are bigger in the 5G, the order potential will be bigger also?
Arnob Roy: So if you look at 5G deployment, I think initial 5G deployments have been focused more towards the metros, right, towards the high usage and hig h paying customers. So initially, if you look at the 5G deployment that will happen on the private operators, it is smaller than the overall 4G network. Well, that's for a reason, because they wanted to focus on the customers who will be using it. As 5G b ecomes more popular and becomes widespread, the network will definitely become as big as the 4G networks. And also what will happen is that as more advanced technologies, advanced radios of massive MIMO , and the perf ormance goes up, I think the cost of those radios will also be higher as advanced technologies are coming o

ut. So that's the way to really look at it, that over time, the initial 5G deployments are small, but they're going to go and cover a lot of the geog raphy as we go forward and as our business matures.
And also, a lot of the high performance radios are going to come in, which is also going to drive a lot of capex for that deployment .
Prabir: Okay. So in July of this year, we have come across with the news that Chinese equipment makers like Huawei or ZTE, they're planning to make some JVs with Indian companies. So do you see more competition coming because when there will be JVs with Indian companies, so they can be considered as an Indian entity and they can bid also in Indian projects?
Arnob Roy: No, I think all the policies about JVs with Chinese companies, that is not yet clear how that's going to happen. But as far as Indian products are concerned, I think there's a very clear definition about what Indian indigenous products are, and that is not only designed and manufactured in India, but also the IPR s have to reside in India, ha ve to be owned in India and registered in India. And there are other rules in terms of where the profits of the companies have to reside and where the company headquarters are located .
So there are well-defined rules in terms of what defines a true Indian company making indigenous technolog ies. So we don't see joint ventures or anything like that diluting tha t definition . I mean, if at all the JVs happens , they might be regarded as a facilitated business in India. But as far as true blue Make-in-India is concerned, I don't think that the current rules will enable that for technolog ies which may be imported or based on technology transfer from somewhere else.
Prabir: Okay. So my last two questions are, if you can help us understanding the potential of data center business, and the margin that you have reported this quarter, which is around, EBITDA margin, I am talking about, around 15%, will this be a sustainable marg in going ahead? Thank you, sir.
Arnob Roy: So the data center, as I said, the growth of data centers enables our business, because even though we do not sell inside the data centers, the data center interconnectivity is what drives our business. So with th e growth of data centers, with the growth of traditional data centers, as well as the AI cloud centers and so on, the interconnectivity gives us an opportunity for our communication equipment. And as far as EBITDA margins are concerned, I think Sumit clari fied earlier, we don't

give a guidance of margins and profitability. And I think we have to really make our estimates on the trends that we see, right?.

Prabir: Thank you, sir.

Arnob Roy: Thanks Prabir.

Moderator: Thank you. Next question is from the line of Abhishek, an individual investor, please go ahead. Abhishek, your line is unmuted, please go ahead. As there is no response from the current questioner, we will move to the next question from the line of Puvvada Ram Koushik, who is an retail investor, p lease go ahead.

Puvvada Koushik: Okay. Sir may I know, when would the international orders come to the scale of Indian orders in terms of scale?

Arnob Roy: Yeah, so I think, as we mentioned that our ambition is to become a global OEM in telecom, so a lot of our new investments in sales and marketing is happening in global markets. Earlier they were in markets in Southeast Asia and Middle East and Africa, neighbouring countries.

Now we are making a lot more sustained investments in advanced economies like t he US and Europe . There are a lot of opportunities and also relevance for the kind of products and technology that we have in these markets . But the sales cycles are long.

This takes a lot of patience, a lot of trials, a lot of investments and proof -of-concepts before these opportunities materialize . So this will happen o

ver time . Over a period of time, of course, we want to se e our international business to grow to be as large as our domestic business. But that's going to happen over a period of time.

And while that is happening, we do not want to take our eyes off the Indian market opportunities, which is very exciting. I mea n, a lot of investments are happening, a lot of growth is happening. This is our home market.

We want to make sure that we do not miss out on any opportunities in India , while at the same time, growing our international investment s. So long story short is that India is going to remain a key focus market for us as we grow our international business over time. Our ambition is to make it as big as the domestic market, but it's going to happen over a period of time.

Puvvada Koushik: Sure, sir. And also, can I know what is our company doing in order to secure the international orders when the cycle arrives? And what can we do more?

Arnob Roy: Yeah, so what we're doing is we are increasing our presence. We are increasin g our sales offices, support offices, warehousing, building our teams over there, engaging with customers, setting up labs in many different geographies, setting up trials and actively participating in RFPs . So that is what is happening. And that is an integral part of engaging with international customers.

Anand Athreya: Okay, I think it's probably time. I'm ready to make some clo sing comments.

Arnob Roy: Thank you. We want to hand it over to Anand for his closin g remarks.

Anand Athreya: Thanks, Arnob . So thank you, guys, for asking a lot of good questions. So I just want to close that, you know, while we're h appy about this quarter, we are also heads -on focus ed on execution and delivering the rest of the orders and also to see how we can grow the business more. So the team is very focused on making it happen. And again, I want to thank you for your time and questions.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and doe s not purport to be a verbatim record of the proceedings

Call: Oct 2024

October 27 , 2024
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q2 FY25 Earnings Conference Call - Transcript

Please find enclosed the transcripts of the Q 2 FY25 Earnings Conference Call held on October 18 , 2024.

Kindly take the above information on record .

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited
Q2 FY '25 Earnings Conference Call"
October 18, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND WHOLE -TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER – TEJAS NETWORKS LIMITED
DR. KUMAR N SIVARAJAN – CHIEF TECHNOLOGY OFFICER - TEJAS NETWORKS LIMITED

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Tejas Networks Limited Q2 FY25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode and ther e will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is bei ng recorded. I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Thanks, Sagar. Good evening, everyone. Thank you for joining on Tejas Networks Limited Q2 FY25 Results Conference Call . We have Tejas Networks Management on call represented by Mr. Anand Athr eya, Chief Executive Officer and Managing Director. Mr. Arn ob Roy, Chief Operating Officer and Whole -Time Director. Mr. Sumit Dhingra, Chief Financial Officer. Dr. Kumar N

Sivarajan, Ch ief Technology Officer. I would like to invite Mr. Arn ob to initiate the call with his opening remark s, post which we will have a Q&A session. Over to you, sir.

Arnob Roy: Yes. Thank you. So everyone welcome to our quarterly call. I hope you have received the slides that we have uploaded. So I'll take a few minutes to go through them before our Q&A session.

So I'm on the first chart. So our quarterly revenues have been the highest ever in the history of the company, INR2,811 crores, with a profit after tax of INR275 crores, and an order book at the end of Q2 is INR4,845 crores. So some of the significant things that have happened during the quarter for our wireless business, we have significantly ramped up our 4G /5G RAN shipments for the BSNL network. This quarter, we shipped more than 30,000 sites and, cumulatively, we have shipped more than 58,000 sites for the BSNL's network. I think there has been a tremendous improvement in terms of scaling up our manufacturing capacity. We also received addi tional orders for densification of the installed 4G sites in a few c ircles, and by that, what I mean is that to increase the coverage of the BSNL, many of the existing sites, the single band sites, have been upgraded to a dual band with the addition of ba nd 28 . And for the existing deployment, BSNL will get a lot more additional coverage with the installation of this additional band.

From a wireline business perspective , we have been selected for PTN and DWDM equipment from one of the Tier 1 telcos in India for the capacity expansion for the 4G /5G mobile network. We have seen continuing success in the critical infrastructure segment in India, and we have been selected by a leading state power utility company for their captive SCADA network and also been selected in one of the smart city projects in the country.

In the international market, we are seeing good traction for our GPON and WD M products, and we've had a few new customer wins in the Americas and in Africa . We received our initial order for the network modernization win in the U.S., which we had reported last quarter. We have seen the initial orders coming, which will be supp lying this quarter and we hope to follow this up with additional wins in the U.S. From a corporate point of view, we completed the merger with Saankhya Labs in this quarter. And I'll hand it over to Sumit , our CFO, for walking us through the financial num bers.

Sumit Dhingra: Good evening, everyone. For the quarter, we did revenues of INR2,655 crores. This is 1.8x of the

previous quarter and about 6.7x of the year before. After considering the other operating revenue, which is predominantly PLI incentive, the revenue was INR2,811 crores. Against this, we did a EBIT of INR459 crores, profit after tax of INR275 crores, compared t

o INR77 crores of profit in the previous quarter. If we move to the next slide, where we talk about key financial indicators, our inventory at the end of the quarter was INR3,411 crores, which has come off slightly compared to the previous quarter.

And it's ex pected to further come down as we convert this into finished goods. Receivables stand at about INR3,758 crores. The increase is predominantly stemming from higher shipments that happened in this quarter. We also collected about INR1,400 crores during the period. Working capital has gone up by about INR100 crores, and the borrowing position at the end of the quarter was INR2,768 crores, with a cash of about INR583 crores. This slide is handed over back to Arn ob.

Arnob Roy: Thanks, Sumit. So, a little bi t more color of our quarter performance and the business outlook. So, in terms of the revenues that we did, of course, the largest segment has been India private, 93% of that. And as we had mentioned earlier, the BSNL shipments simply go to TCS, a private company. We categorize this as India private revenues. So, revenues were dominated by our shipments for BSNL .

The India government business contributed about 4% of our revenues and declined year -over-year by 5%. That was mainly because of the tail -end of the contracts. And as we know that most of the government contracts are tendered and these are not run-rate business. So, they go in the initial period, there's an increase, and then there's a tail -end, and then there's the next project which happens. Our international business was 3% of our overall revenues and decline d 3% year-over-year because of the timing of the POs and the shipments. The key international shipments that happened were to Africa and South Asia. We had a closing backlog of INR4,845 crores. Most of it in India, the 4,6 27 of that in India, and 2 18-plus in international. From a business outlook point of view, some of the key opportunities, large opportunities that we are targeting is one part of it is the expansion of BSNL' s 4G network on the saturation sites, and also for the 5G upgrades, for which trials are ongoing right now. And we hope to convert this at some point of time.

The Indian Railways tender on the collision avoidance system, we have completed our PO successfully, and we are waiting for the tender to come out and bidding to happen. Third large one is a private 5G application for a large enterprise in India where again, we are undergoing trials right now.

Okay. From a wireline point of view, the big opportunity for us is BharatNet Phase II I, where we have been bidding to the tender s, with multiple partners. I think the majority of the partners have bid our equipment into the tender. The other part is the expansion of WDM backbone network in the utility segment. Most of our utility customers, for their telecom business, they are seeing business growth in their networks and traffic growth. So, all of them plan for major expansion in their networ ks.

And thirdly, for the international operators, we see major opportunities in FTTH or GPON and also network modernization deals with multiple operators both in India as well as in America s. So, I also wanted to add that I mentioned a few of t he large deals that we have been targeting . But at the

same time, there are many other smaller deals that we are working on, and especially there are many other opportunities in wireless that we are targeting with initial POCs or design proposals etc. And I can say that we are finally starting to see a lot more engagements with our wireless products, both in India as well as the international markets.

So, from a long -term business outlook point of view, we still see the outlook as being very positive in all the factors that we have mentioned earlier, which are driving growth of traffic in the networks, and leading to tracti

on for our business. All of them continue to be positive and continue to show growth, whether it's enterprise digital transformation, AI data centers, long runway of 4G and 5G deployments, not only in India but also globally . And the backhaul networks for those as well . Moreover there are large investments happening in broadband connectivity throughout the world including for digitalization of cities, smart cities, safe cities and applications such as these . The moderniz ation of utility networks and the modernization of other legacy TDM -based network infrastructure is a large opportunity as well .

So, all of the se applications we are target ing with our 4G/5 RAN and backhaul products, multi - terabyte optical and packet transport product s, and our F TTH GPON/XGS -PON products. We see a lot of traction for most of the applications that are driving this network traffic growth across the world. So, with that, I'll stop over here, and we can take some questions.

We can do a Q&A session right now. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the Aman Soni from Nvest Analytics Advisory LLP .

Aman Soni: Congrats for a good set of numbers. Just one question on the kind of execu tion that happened in this quarter. It is quite significant, right? So, my question is, do you see like this kind of execution is going to sustain in the upcoming quarters for next, say, three to four quarters, sir?

Arnob Roy: Execution in terms of our RAN shipments for 4G/5G shipments to BSN L?…

Aman Soni: Execution in terms of top line and bottom line kind of margins you reported in this quarter?

Arnob Roy: Well, as you know, we do not give revenue guidance, quarterly guidance kind of things. But I think people are fairly knowledgeable and I think understand our business quite well, as well as our business pipeline and order book. So we really cannot give any business guidance about that.

Moderator: The next question is from the line of Sohan Joshi from ASC Consultants.

Sohan Joshi: Congratulations for a great set of numbers. My first question is, in the previous con-calls, you said that BSN L is going to come up with a nationwide tender for 5G in high -speed performance back of 3.5 gigaher tz band. Can you please share any update whether any proof of concept is going on with regards to this?

Arnob Roy: Yea, yes, there are. So, not for the 3.5 gigahertz band yet, but for the 5G upgrades . The POCs that we are doing right now is for the 5G upgrades in the 4G band that we have shipped.

Sohan Joshi: Okay, so that is for the 40% sites under 2100 megahertz, right? Basically, the proof of concept is going on currently.

Arnob Roy: Yeah, not only in that band , but also in the other bands as well.

Sohan Joshi: Okay, so the tender is out? I mean, when the tender will be through this part of the project?

Arnob Roy: No, no, this 5G upgrade is part of the current contract that we are executing right now. But not for the 3.5 gigahertz band, which is going to come later.

Sohan Joshi: My second question is, the CG Power have acquired the radio frequency components from Renaissance Electronics. So, can you please explain what will be the implications of this on our partnership with Renaissance for desig ning and development of semiconductor solutions for 4G, 5G RAN?

Arnob Roy: See, we are users of those semiconductor components. We are not designers of the semiconductor components that goes into 4G, 5G RAN. So, I think whatever partnership that you're tal king about is going to be supplies for the radios that are being designed for 4G, 5G. And so that's what the implication is. It's not that we are not in that business of semiconductors for radios.

Sohan Joshi: So, is it right to assume that going ahead, si nce we have already done loc

alization of most of the components, going ahead, there won't be any major imports from our side, and since majority of

the components will be localized?
Arnob Roy: No, many of the key semiconductor components are still imported, because they come from Tier 1 semiconductor vendors across the world and a lot of it is in the US . But there are other components of the radio. A lot of it is actually localized and for those p arts we source from India. But I think the key semiconductors are still imported components.
Sohan Joshi: One last question.
Arnob Roy: Which are not yet manufactured in India. I think at the time, I mean, you hear a lot of noise of semiconducto r fabs coming up and all this kind of thing. I think when they become real and when the production starts over there and relevant chips that we use for our wireless and wireline products, when they start getting manufactured in India, I mean, of course, we will definitely source them, b ut that's still going to take some time.
Sohan Joshi: Okay one last question. Now since a lot of talks are going on with regards to satellite communication and BSNL has also started testing direct -to-device solutions, are we in talks with BSNL or any other Tata group companies or any other internet service provider for satellite communication devices of Saankhya ?
Anand At hreya : Yeah, we are talking to few potential customers , but again these are long lead times. These things don't happen overnight. So we are talking to a few of the other providers and see where we can take the satellite communication product, the vehicle tracking system that we have built and see if we can use this for other applications.

Sohan Jo shi: So proof of concepts are going on with regards to these devices ?
Anand Athreya : So the vehicle tracking system is deployed. I mean , it is actually not proof of concept, it is actually shipped.
Sohan Joshi: Okay, got it. Thank you. All the best for the upcoming quarters.
Moderator: Thank you. The next question is from the line of Advait Lath from Nippon India Mutual Fund. Please go ahead.
Advait Lath: Yes, so congrats on a great set of numbers. Am I audible?
Moderator: Yes.
Advait Lath: Yes, so just wanted to ask how has our international order pipeline grown or declined year -on-year or what is the color there in terms of what you think and how it has shaped up?
Arnob Roy: Yeah, I think this quarter has been a bit soft for international business espe cially from many of our run rate customers, but they also come in cycles. But importantly I think we've been able to win a few more logos, a few more new customers which are strategic wins in international territory. So we're looking at that as a very positive sign as we expand our international customer footprint . So that's how it went during the quarter.
Advait Lath: Right, sir. And on actually two components Kavach. So Kavach is a big opportunity. So do you think we are well placed in it because of the wireless aspect of it?
Arnob Roy: Yes, so as of now, given that we've had a very successful PoC. I think we are well placed over there. O ur products do meet the requirements that the cust omer wants.
Advait Lath: Got it, sir. And just last question from my side, the 5G upgradation you said it's already baked into the current tender. What about the incremental 5G deployment that would have to be tendered again a nd th at timeline is not clear?
Arnob Roy: Yeah. So that timeline is not clear. I mean, we are expecting it to happen in the later quarters, b ut right now the first part of it is the 5G upgrade in the current networks in the existing bands. An d that's in the current tender a nd we don't yet have that PO. So we're doing the P oC right now.
Advait Lath: So that would be implemented in FY25 itself or that will take a bit longer?
Arnob Roy: Yeah, I don't th

ink all of it is going to be executed in FY25. I mean, we think that there is still some time for the PoC to get completed and orders to come and the execution to happen. So I think it will be a few quarters.
Advait Lath: Okay, got it. Thank you, sir.
Moderator: Thank you. The next que stion is from the line of Sanjesh Jain. Please go ahead.
Sanjesh Jain: Yea. Thanks for taking my qu estions. I got a couple of them. First on this Kavach project, are we

involved into the equipment for anti -collision or the 4G or LTE deployment on 700 MHz which is the same band we are putting for BSNL for the railway as well? What is the part within the Kavach are we playing the role?
Arnob Roy: Yeah, it's only the wireless communication network.
Sanjesh Jain: Got it. That's very clear. Second on the closing backlog which stands at close to INR71 billion . Can you just help us in breaking what is the BSNL 's component within the 71 billion and how has non-BSNL component has grown Q -o-Q and Y -o-Y?
Arnob Roy: Yes, we actually don't disclose customer -wise or any of the segment -wise orders . So, I think the

closing backlog is actually INR4,845 crores you may have seen in the presentation. So only split it between India and international and don't disclose it customer -wise or project -wise.
Sanjesh Jain: Got it. That's not a problem. And o n the last question how has been t he performance of the network because we have been on now probably at a risk of deployment. How has been the performance of the network, which has been rolled out on our network? Has it been same as what was proven during Po C?
Anand Athreya : The performance actually has been pretty good. So, I mean, as I said, we've shipped close to 58,000 plus sites. And a lot of it is actually being installed and commissioned. And also, I think you must have seen on the press that there are a lot of – BSNL is getting a lot more customer traction . A lot of folks are coming back. So far, so good. I mean the radios have been performing very well. We are clo sely monitoring. So, again we've been shipping now for more than a year. So far, so good and we'll continue to monitor.
Sanjesh Jain: Got it. Just one last question. Are we anyway also looking into getting into the maintenance or O&M part of the network o r we will restrict ourselves to supplying equipment?
Arnob Roy: No, I think maintenance and support is part of the tender. And after three years we have the support agreement which is there. And that will come after the three -year period of time after deployment.
Sanjesh Jain: So when we say closing backlog, do we include the O&M part as well?
Arnob Roy: No, not as of now.
Sanjesh Jain: That is only the equipment part of it. So O&M will be a recurring business and it will kick in from year 3?
Arnob Roy: That is correct.
Sanjesh Jain: Got it. That's very clear. Very helpful, best of luck a nd thanks for taking the questions.
Moderator: Thank you. The next question is from the line of Ashish Shriram Thavkar from JM Mutual Fund s. Please go ahead.
Ashish Thavkar: Thanks for the opportunity. So, with this Cisco, they're setting up a facility in India and

simultaneously we also have a center of excellence for wireless communication. So, at any point in time could we get engaged with Cisco or how should we relate?
Arnob Roy: No, I think these two are unconnected . And this doesn't connect us in any way with Cisco. Our wireless lab, our center of excellence is for our research and development efforts in wireless. And Cisco is more of localizing their manufacturing over here and these two issues are not connected .
Ashish Thavkar: Yeah, fair enough. And on Kavach , I guess there's some shift in timelines from the government side. So how long do you see before in

vestors g et to see some revenue traction? Is it a delayed opportunity?
Arnob Roy: Yeah, I think it is . The tender itself is running a bit behind schedule, even though I think the testing and PoCs and all are done . It is still scheduled for the present financial year as of now.
Ashish Thavkar: And wh at about BharatNet Phase 3 then, the tenders are closed, any timelines w hen can the outcomes come o ut?
Arnob Roy: Well, BharatNet Phase 3 is definitely far more advanced compared to Kavach since all the bidding has happened . So, I mean, we expect to see from what we know, I think that there's a lot of background work happening in the tender evaluation. So, maybe a few, several weeks from now, depending on how the evaluation goes, we'll probab ly see the results coming out.
Ashish Thavkar : Okay, fair enough. So, lastly on Vodafone, we were also engaged in a dialogue with Vodafone. Any success there or potentially any business could come our way?
Arnob Roy: I don't think we have disclosed any pa rticular customer by name where POCs are going on, except for BSNL and maybe Railways. But, yes there are Tier-one operators in the country where the POCs are going on. And these POCs are going through a little extended cycle, because there are additional feature requests or some improvement requests and we keep updating . And so it's a longer POC cy cle. And it is going well, and we hope to see business coming at the end of it. It is going to be a little long er process.
Ashish Thavkar : Perfect. Just one last, if I may. This i nternational business, if you could share your perspective, like three years out, where do you see international business? Is there anything in terms of quantum of order books that you want to build for those markets? Is there some number which is there in your mind?
Arnob Roy: For international business?
Ashish Thavkar : Yes.
Arnob Roy: International business in general or for wireless or what was your question?
Ashish Thavkar : It is in general, for wireless, for our RA N equipment and the equipment that we supply.
Arnob Roy: Yes, I mean, it's hard to quantify and we don't give guidance, but we are starting to see a lot of good traction and bidding opportunities and POC opportunities coming up. Initially our focus was

mainly making BS NL successful and doing some of the local trials and POCs and opportunities in India, whether they're private operators or government . But now we are starting to engage a lot more outside of India as well and seeing a lot more opportunities opening up for bidding and for POCs . But it's hard to quantify numbers at this stage.

Ashish Thavkar : Perfect. That was helpful and all the best.

Moderator: Thank you. The next question is from the line of Jinesh Shah from RSPN Ventures. Please go ahead.

Jinesh Shah: First of all, congratulations on your numbers. So, my first question would be that as of end of quarter two, we had a major order book from BSNL and right now we are targeting a couple more opportunities like Kavach, BharatNet and everything. So , I just wanted to understand that what might be the expected time from all the opportunities that we are targeting? And also positively, if we get the contract, then what will be the expected execution time that we wil l be starting the equipment supply and everything, if you can provide guidance on that?

Arnob Roy: I think it's hard to establish opportunity sizes across all of them. For the tenders that have come out for BharatNet and all, I think you've seen a lot of public reports on the tender size and also that information is available in public. For other opportunities, since we really yet do not know the scope of the tender, we have this high -level guidance on the number of sites, the number of stations and things like that. It's a rough idea, but again, it's hard to speculate

and we don't speculate on those numbers. There was a second part to your question.

Jinesh Shah: Yes, so my second part was that hopefully, if we get the opportunities, then what will be the execution timeline?

Arnob Roy: They all depend on when the tenders get awarded and the supply timeline that they set up. And since many of these are very large tenders, I think there will be a process and it will take some time in terms of tender initiation , bidding and evaluation. And also, I think we expect that many of these deals will actually roll over to the next financial year.

Jinesh Shah: Okay, exciting . So, my second question would be regarding the borrowings that we have in our balance sheet. So right now, if I can see that it's around almost 3,000 crores . Now that Tejas has been getting good numbers. And even if in last conference call that we had discussed that probably by the end of this financial year, it will start to get eased out. So right now, are you planning to just reduce the pressure on the working capital cyc le?

Sumit Dhingra: So, I think the point we made in the last call also, I think it broadly continues . As the project execution picks up or moves towards completion, we'll see the working capital intensity coming down. This obviously is also linked to other projects and as and when they get added to the order book. So, till the time we have clarity on some of those projects , it is h ard to comment on how the working capital cycle plays out.

Jinesh Shah: Okay, fair enough . nd my last question would be that if I'm correct, that BharatNet order is around a INR65,000 approximate budget. And Tejas is specifically in supplying of equipment. So, can I

conclude that specifically with respect to this particular project, it's around INR6,000 crores that will be eligible for bid, right?

Arnob Roy: So I think you're calculating at INR 65,000 crores officially for this phase, and then maybe you're taking 10% of that. So I think, I would say it’s in the ballpark but it could be lower . I mean, based on the combination of that and also depends on there are many other equipment . I mean, all of it is not addressed by our portion of the equipment in the network. There are other equipment also . But the ballpark, you can say 8% to 10% of the overall spend comes into it, the rest of it is fibre and other infrastructure.

Jinesh Shah: Okay, okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Aditya Mehta from GK Capital. Please go ahead.

Aditya Mehta: Hi, sir. And congratulations on a great set of numbers. So my question is with regards to private players in the domestic market. So there has been a lot of news flow regarding network upgradation deals being awarded to our global competitors. So just want t o understand what is it that we are missing and we are not able to get a share of that pie from the private players?

Arnob Roy: I think most of them for their upgradation have gone with their existing vendors. And as I said, that until now we were focuss ed on the execution of the BSNL project. At the same time, we started POC last quarter with some of the other opportunities, operators and private industries as well. So I would say, because they are in a hurry to expand, most of them have gone with the existing vendors with existing networks and so on. But at some point of time, later on after we complete our POC successfully, we certainly expect to get some opportunities into these network s. So, this will still have a long tail of deployment.

Aditya Mehta: So, what is the winning point we have over them? Because if you see it will be easy for them to integrate the existing equipment with the existing brand only. So, what is the winning point that we might slice in a share from private players?

Arnob Roy: Our equipment will be quite competi

tive. And it will support most of the bands, almost all of the
bands that are getting deployed in India. We have a variety of single band, dual band, triple band radios, and a wide range of radios . And also, from an architecture point of view, our RAN which has the BBU with integrated transport and features like tha t, will help reduce the overall cost of the solution. I mean, those are some of the features that we think will serve as differentiator s with respect to global competition.

Aditya Mehta : So just one point, whether cost wise we are efficient from our competitors, global competitors or not?

Arnob Roy: Let's put it this way, that it is not an apples -to-apples cost comparison. But the total cost of ownership of the overall solution, if you combine our multi -band radios and our BBUs with integrated transport and a single B BU doing both 4G and 5G, it's an attractive proposition for our customers I mean, the product is architected such that the total cost of solution would work out better for them .

Aditya Mehta : Okay. So any timeline for this POC when it will be completed?

Arnob Roy: It is going on right now. So I think it will take som e time, maybe another quarter or two. …

Aditya Mehta : Got it, got it. And secondly, looking at our current order book, it seems that we will exhaust it within this financial year itself. So till now, after the BSN L order wh en we haven't seen any major addition to our order book. So how do we see maintaining our revenue flow going ahead in the absence of any major addition?

Arnob Roy: Well, as I said, we don't give guidance, but we have share d a flavor of the various opportunities, large opportunities that we are targeting that are in front of us, which look positive for us. And those are the ones that are going to fill the backlog in our order book. And that's where the future business is going to come from. But it's hard to pinpoint a particular number and how the business is going to get replicated.

Aditya Mehta : So do we see any major addition in order book in the next six months or within this financial year?

Arnob Roy: Again, it's hard to give timelines, but I'll just go back to the slide where we talk about the key opportunities targeted, which is the expansion of the BSNL 4G network, 5G upgrade in the current band, Kavach , BharatNet Phase 3, the expansion of DWDM backbone . All of them are fairly large projects .

So once they materialize, I think that's the time we'll see our order book really expanding in terms of large numbers. But again, I just want to tell you that we're not giving any guidance over here. And these are also all opportunities that we are well -positioned, but we have not re ally won in our hand to really, give guidance about.

Aditya Mehta : Got it. And just last question, over our tax rate, our tax rate is a little higher, if you see. So, why is it so?

Sumit Dhingra: Sorry, did you say higher? How are you lookin g at that?

Aditya Mehta : So, looking at new tax regime, compared it with new tax regime, it seems a little bit higher, 2% or also.

Sumit Dhingra: We have not migrated to the new regime. We have losses accumulated over the past. So, we're still in the old regime of taxation.

Aditya Mehta : And when do we plan to shift to the new regime?

Sumit Dhingra: That will depend on various parameters, including how and when we absorb our losses.

Aditya Mehta : Got it. Sure. Thanks and all the best for the future.

Moderator: The next question is from the line of Krishna Heda from T he Investment Forum.

Krishna Heda: First of all, congrats on the excellent set of numbers. How does the company plan to accelerate international business given that international revenue contribution remains small, small at 3%?

Are there any new geographies or
contracts in the pipeline?

Arnob Roy: I said, we have been investing and continue to invest into our sales channels and partnerships in the targeted geographies, which is North America, Europe, Middle East , Africa, Asia and so on.

So, our strategy for growth is investing in more and more sales channels and partnerships and participating in a lot more trade shows for building our brand . And getting more notice d and winning whatever customer news comes along to build our reference in those geographies, right?

So, this is a little long process which goes on. There have bee n significant engagements, significant opportunities that have also come up, which we are going through the process right now. But yeah, it is a long way, is a long process of building your brand, building your channels and getting to success . So, and we are going through all of that right now.

Moderator: The next question is from the line of Komal Iyer from NBG CFO Services.

Komal Iyer: Good evening, sir. I want to know, you have mentioned in your press release that you have made record delive ries of 30,000 plus 4G sites. So, will you be able to maintain these kinds of deliveries for the next two quarters or exceed them?

Anand A threya : So, yes, we have actually -- we have increased capacity, so we will have the ability to deliver.
Komal Iyer: So, we will be able to exceed th is 30,000 plus number for the next third and fourth quarter.
Anand Athreya : I can't reveal the exact numbers, but let's just say that we have the ability to execute.
Moderator: The next question is from the line of Rajesh K hattar from RK Capital.
Rajesh K hattar : I have two to three small questions. So, you have shared your order book. Can you also share your pipeline numbers as in like how many tenders you have bid for? What is your confidence level in bidding the tenders and pipeline closing cycle?
Arnob Roy: No, unfortunately, we don't do that.
Rajesh K hattar : Then my next question, like historically, the business has been quite up and down in the last four years. In one quarter or year, suddenly there are operating losses. And then in one quarter, suddenly you have bumper numbers. So, going forward, I know you don't give guidance and I'm not asking for numeric guidance. But going forward, like, will it be more consis tent and less volatile? What will be the business trajectory going forward? Like, you can just give a qualitative answer without getting into specific numbers. So, as investors, how should we model the business?
Arnob Roy: Well, if you see our business is still dominated by large projects. So, when that comes in, and large projects are still -- in terms of a total business component, they're still dominant. So, there will be periods when you see business wins coming for large projects and they get executed over multiple quarters . And the run rate business will become -- whatever comes from the private and the international kind of a thing.
So, while big projects dominate, there is a possibility of seeing a spike in terms of revenues. And that's the nature of our business as of now.

Rajesh K hattar : Okay, like, is it possible to give any base case scenario or you will like to avoid that also?
Arnob Roy: No, not data. I think the way we should probably see the business is from an overall annual point of view, right? Quarter by quarter, while if our business is dominated by large projects, there will be spikes. But I think overall, year -over-year, the busin ess is what you always speak to in model s.
Rajesh K hattar : So my last question, like when you have the capacity, like you -- the previous participant asked you about your capacity to do to deliver 30,000 sites. And when you do have the capacity, you said, so what can stop you? What could go wrong? Like, let's say in the next quarter, or the next to next quarter,

where let's say you don't do 30,000 sites, what can go wrong?
Arnob Roy: In terms of manufacturing, there is no issue, as long as the order keeps c oming the way we have anticipated and the way we see it. I don't think we have any issues in terms of being able to manufacture them.
Rajesh K hattar : So in terms of delivery or revenue, what could go wrong? Just trying to understand, why will it not transl ate into the numbers? What can happen there?
Arnob Roy: If what could go wrong in terms of manufacturing supply chain? If we have the order book , we don't, I mean, unless the unforeseen events in terms of supply chain or any other thing that happens in an abnormal business cycle . I don't think any other factor really comes in, because we have really worked hard in setting up this kind of a manufacturing capacity, manufacturing line, where we can ship large numbers with high quality. So as far as what we can see, as far as the business is there, I don't really see any issues in terms of not being able to deliver, barring any unforeseen events that I really can't predict.
Rajesh K hattar : Okay, that's helpful. Yea. Thank you.
Moderator: Thank you. The ne xt question is from the line of Agam from Raj Trading. Agam, your line is unmuted. Please proceed.
Agam : So most of my question and answer the quick thought. You might have said, but I'm not clear. So can you share your thoughts in your closing order book is already INR4,400 crores. So I believe that a lot of projects will take time and so whatever thoughts you can share. So what can we expect in next 6 months to 1 year, whatever you're looking at, po tential, whatever you can share? Just some color on it.
Arnob Roy: Yea. So I talked about some of the key opportunities. I think that should give an idea of the business being targeted and how the order book is going to get filled up and, even around BharatNet Phase 3, exp ansion of DWDM b ackbone network, BSNL 4G/5G network upgrades and things around that. Most of the large opportunities I've highlighted. So that's, those are the projects that are going to come into expanding our order book going forward.
Agam : Do you see all things progressing well going ahead? In the next 6 months, we should learn a few things from you currently from where we are?
Arnob Roy: Yes, these opportunities are all real. And apart from that, I think, as I mentioned at the end of my

presentation, all the other driver s for our business, which are causing expansion of network, growth of data traffic in networks such as growth of 4G /5G networks , broadband expansion and data

centers and stuff like that. All those factors are showing no signs of slowing down. They are still going at a very fast level. So all the drivers for business indicators still look good. So, that's why we are bullish about it.
Agam : Thank you so much and wish you the best.
Moderator: Thank you. The next question is from the line of Dhruv Shah from Ambika Fincap . Please go ahead.
Dhruv Shah: Yea, thanks for the opportunity. And congratulations on a really great set of numbers. My question is for Anand sir. So you have come from Juniper, who is a leader in enterprise business. So my question pertains to, are we seeing a big opportunity in the enterprise side of the business? Because I couldn't see tha t on the business opportunity side? So if you can just allude to that part, because the cap tive requirement s for Tata Group companies would also be in a sizable portion for us?
Anand Athreya: So look, while we don't talk about a roadmap, what I really want to say is that we want to build a portfolio that's going to serve both service providers and enterprise s in both wireline and wireless. And that's the vision and mission of Tejas. Aga in, we want to build the next global networking OEM from India. And we will serve any and every marke

t including the group.
Dhruv Shah: Fair enough, sir. But are we trying to replicate the products which are there in Juniper in Tejas as well?
Anand Athreya: Look, I can't comment. As I said, I can't comment on the roadmap. When we launch it, you will see.
Dhruv Shah: Fair enough, sir. Thank you for the opportunity and all the best.
Moderator: Thank you. The next question is from the line of Pratap Maliwal from Mount Intra Finance . Please go ahead.
Pratap Maliwal: Hi, sir. Thanks for taking my question. So, I heard you said that the operations and maintenance part starts after a period of 3 years. So, assuming we complete the supply of equipment, may be by FY '25 end or Q1 FY '24. So, when does the contract for O&M come in?
Arnob Roy: So, it will come in 3 years after they are commissioned. So, it is not that it starts right at the end of the last deployment. It's, for every different circle or ev ery different deployment. As long as after their 3 year period, their maintenance cycle will start.
Pratap Maliwal: And so, you said that one particular tender was running a bit behind schedule. I just missed that part. Was it the Kavach tender or the Bhar atNet tender ? Which one is running a little bit behind schedule?
Arnob Roy: Yes, the Kavach tender is running a bit behind schedule.

Pratap Maliwal: And so, just one last thing. So, I see in the presentation that we received some additional orders regardin g that network densification part. So, was this part of the original INR7500 crore s, order or is it, something additional in case of that? And do we foresee maybe some additional sites that BSNL would require for which we can get further orders as well?
Arnob Roy: Yea, so, this is part, as I said, part of the tender scope, but not exactly part of the original planned network, right? This is kind of an add -on to the original plan or the network, because as and when the network is deployed and they are seeing more opport unities and, more customers, they are enhancing their plans, as I would say, to upgrade the existing sites from the original plan to add more bands to increase their coverage and capacity. So, that's what is happening.
So, technically, it is part of the same tender that we have won, but the specific plan in terms of the deployment of a particular band in a particular site, I think that is something which is evolving and is adding to our business as these additional bands are coming up. But this is not connected to the additional sites or the saturation sites for the additional coverage.
Pratap Maliwal: Okay. So, is there any timeline, because there's one prevailing line of thought that, maybe 100k sites mi ght not actually suffice for BSNL to have a nationwide 4G rollout looking at the kind of network that maybe some of the other players have. So, is there any plan in the pipeline for some additional sites maybe to kind of have a proper network rollout for t hat?
Arnob Roy: Yes, I think that's what we mentioned in terms of BSNL, our future opportunity, a large opportunity is the expansion of BSNL's 4G network. So, that is exactly what you're talking about . Beyond the initial 100,000 sites, BSNL is looki ng at least 20,000 plus sites for expanding their footprint across the country.
Pratap Maliwal: Okay, sir. Thank you for taking my questions and congrats on a good set of numbers.
Anand Athreya: We h ave time for 1 last question.
Moderator: The next question is from Pankaj Kumar, who's an Individual Investor. Please go ahead.
Pankaj Kumar: Yeah. So, I wanted to know what is the amount of order won in the last quarter ? What is the order mix in terms of India government, India private and internati onal? And can you give some color on what kind of orders have been on the company in the last quarter?
Arnob Roy: Are you talking about the new order s won during t

he quarter?
Pankaj Kumar: In Q2, I'm talking about Q2, the orders won.
Arnob Roy: We don't really disclose at that level. The orde rs won and the backlog w e categorize as India and international. We don't disclose the individual booking s through a quarter but we kind of give a picture of the overall backlog and some color regarding domestic and international.
Pankaj Kumar: Okay. Thanks a lot.
Anand Athreya: So look, as part of closing, again, I want to thank the team. The team has executed really well.

We've delivered a lot on our orders. And we will continue to stay focused and execute as we deliver and also as we build our portfolio. And in the process, hopef ully gain more customers, expand to more markets, and build a healthy business. Thank you very much. Have a good night.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

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NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers, Dalal Street,
Fort, Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q3 FY25 Earnings Conference Call - Transcript

Please find enclosed the transcripts of the Q 3 FY25 Earnings Conference Call held on
January 23, 202 5

This is for your kind information and record.

Yours sincerely ,
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited
Q3 FY '25 Results Conference Call"
January 23, 2025

MANAGEMENT : MR. ARNOB ROY– CHIEF OPERATING OFFICER AND WHOLE -
TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS
NETWORKS LIMITED
DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY OFFICER -
TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Tejas Networks Limited Q3 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a

touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mohit Mishra from I CICI Securities. Thank you, and over to you, sir.
Mohit Mishra: Good evening, everyone. Thank you for joining on Tejas Networks Limited Q3 FY '2 5 results conference call . We have Tejas Networks management on the call represented by Mr. Arnob Roy, COO and Whole Time Director; Mr. Sumit Dhingra , CFO; and Dr. Kumar N. Sivarajan, CTO. I would like to invite Mr. Arnob Roy to initiate with opening remarks, post which we will ha ve a Q&A session. Over to you, sir.
Arnob Roy: Thank you. Welcome, everyone, to the Q3 FY '25 earnings call . At the outset, I'd like to mention that our CEO, Anand Athreya is not doing well and he is unable to join today's call. So we will be taking the ca ll between me, Sumit, the CFO; and Dr. Kumar Sivarajan, our CTO. Just to get started, I hope you got a chance to look at the slides. I think we took some time to upload.
So I'm on the first slide . Our Q3 net revenues were INR2,642 crores, which is a sign ificant growth over FY '24. The Q3 PAT was INR166 crores and the order book at the end of the Q3 was INR2,681 crores.
In terms of the highlights for the quarter, some of the significant events that happened are the following :
For the wireless business, we have completed RAN supplies for 27,000 plus sites in this quarter, leading to a total of 86,000 plus sites delivered till date in BSNL's 4G /5G network. I want to take a little bit of time over here and kind of share the incredible magnitude of this achi evement that we have accomplished with our team. So these are radios developed over 5 different bands from 700 Megahertz to 2.6 Gigahertz and include both single ban d and dual band offerings. Design ing such a complex product and ensuring volume manufacturing with reliable supplies at scale for such a large network is a remarkable achievement.
And as you all know, BSNL themselves have reported that more than 65,000 sites have been deployed and are radiating and they are getting increased customer traction and adoption in the network. So all in all, it has been a tremendous achievement by the company, and we're all proud of the customer success that has come along with this.
So apart from BSNL , with our end products, we have a few ongoing POCs with domestic operator s for 4G and 5G. Since they are new products, the se POC cycles will usually take time because they may need additional functionality development, additional KPI parameters requiring a product evolution during the POC cycle. So th is will take some time.
Apart from this, in Q3, we had started major engagements with multiple international operator s for our high -power 5G radios. And we've seen a lot of interest in our high -power radios, and we see

interest in doing country - specific band customization for these radios for both mobility as well as fixed wireless access applications.
For the wirel ine business, one of the highlights has been signing a 3 -year contract with Vodafone Idea for supplying equipment for their pan-India 4G and 5G mobile backhaul network. This win was a result of very extensive testing and qualification of the equipment, both in the lab as well as the field. And this has been mainly our packet transport as well as our optical DWDM equipment. So we have already s tarted the supplies and

the deployment is happening as we speak. And this is
a very significant achievement for the company and the success can mean a lot of replication of this business and not only in Vodafone, but in other customers as well.
We have b een selected as a broadband equipment supplier for state -led BharatNet Last Mile Connectivity in Tamil Nadu. And this has been another significant win, and this is mainly around our FTTX equipment based on GPON technology .
We also successfully completed the POC and received the initial purchase orders for a network modernization win in the US. We had earlier reported the solution win, and then we had a successful POC and first office application in the network. And based on that, we have started receiving the orders for the larger deployment into the network. We think that successful deployment of this network can lead to many other opportunities in the US with similar network modernization opportunities.
From our existing c ustomer in Asia, we received, again, major orders for the expansion of the mobile backhaul network, and this has been for, again, our packet transport and WDM equipment.
From a corporate update point of view, as you've seen from our press release, Sanjay Malik, who was former India Country Head of Nokia has joined the management team as EVP, Chief Strategy and Business Officer.
Sanjay comes with a very extensive experience in our industry, and he has led Nokia's business successfully in India over a long period of time, and we are really very excited to have him on board and really leverage his experience and skills in taking the company's business forward.
I have been elected as the Chairman of TEPC, the Telecom Export Promotion Council for '25 to

'27 a nd succeeding NG Subramaniam , our Chairman, who was the past Chairman of TEPC.
We have won the Global Connectivity Award for Best Hardware Innovation at the Capacity Europe Conference in London, and this has been for our ultra converged broadband access equipment.
We have significantly expanded our office and manufacturing facilities in Bangalore, in line with our business and headcount expansion and we have almost doubled our floor space capacity, both for our R&D as well as for manufacturing. And as part of this, we have set up the center of excellence for wireless communications in our new facilities for advanced research in frontier technologies and stand -alone architectures for next -generation wireless networks.
I will now hand it over to o ur CFO, Sumit Dhingra for walking us through the financials for the quarter.

Sumit Dhingra: Thanks, Arnob. Good evening, everyone. For Q3FY '25 we did a revenue of INR2,497 crores and other operating revenue, which is mainly the PLI incentive of about INR145 crores. So total revenue from operations is INR2,642 crores, which is roughly about 4.7x of the previous year.
Q3FY'25 EBIT was INR260 crores, PBT of INR211 crores and PAT of INR166 crores.
The margins or profitability a re a bit lower than the previous quarter, and that's mainly on account of change in product mix. And also, there are certain provisions for old inventory and higher depreciation for certain R&D equipment that we've taken in this quarter.
Moving on to the next page, our inventory levels stand at INR3,127 crores, come down marginally over the previous quarter. Inventory continues to be high mainly due to the ongoing project execution and also certain procurement for high lead time items that we do on an ongoing basis for future projects.
Trade receivables of INR4,730 crores, again, there's an increase in receivables, but this needs to be also looked at in context of our revenues that we've done over the last couple of quarters in particular. And as we go along, as the collections go up, we would see the receivable numbers coming down.
We've collected abou

t INR2,000 crores during this quarter. And the other thing I want to highlight is this receivables are essentially gross of the advances that we received from customer. So while the advanc es are in current liabilities, corresponding receivables are covered under trade receivables.
So as and when the milestones occur - the receivables will get adjusted against those advances, that are there in the current liabilities. Closing borrowing posi tion was around INR3,157 crores and cash of INR643 crores. Borrowings are mainly for working capital purposes. With this, I'll hand it over to Arnob to take over the rest.
Arnob Roy: Thanks, Sumit. Moving to the next slide. I'd like to give some color abou t the 9M business. So in terms of revenue mix, in the India government business has been 3% of our revenue, and there has been a year -over-year decline of 40%. And as you know, government business is tender -driven and lumpy. So there are seasonal variation s of revenue based on where we are in a project cycle, and this is a reflection of that. India business has been the dominant part of our revenue.
But again, I would like to mention as in the past that this is dominated by the 4G shipments for the BSNL ne twork to TCS, who are the final system integrator. The other parts of the private business also has been Vodafone Idea and a few other private operator s in India . The international business has been 3%. It's still a small percent share of our overall busi ness and we have a lot of focus in growing in terms of business .
I mean, this is still something which is going to take some time to really mature. A lot of really good engagement, a lot of really good trials happening. There is a slow and steady increase in the business traction that we see, but we see longer cycles of business conversion into revenue.
Our closing backlog was INR2,681 crores. As you can see, a relatively small er portion for the international business. And we had anticipated a larger back log over here driven by some of the

large opportunities that we were targeting, one of them was the expansion of BSNL's 4G network and 5G upgrade, BSNL's 5G SA network build out.
This is for the 5G bands. And in Indian Railways, the collision avoidance sy stem. Private 5G application for a large enterprise in India, where we have done extensive trials and we've done successful trials and discussions are in advanced stage. And then the band customization that I talked about for 5G radios for a few tier 1 int ernational operator s. Those are some of the large opportunities that we are working on in wireless.
For wireline, BharatNet Phase 3, which has been in the news recently, where the results for the tenders have been announced and are still getting announced and the system integrators have bid.

I think most of the tender results have been announced and for some of them, the orders have also starting to get placed. And this is at a stage where the SIs are going to start engag ing with us , with the OEMs in terms of the product supplies, and this is the phase that we are in right now.
And over this quarter and early next quarter, we expect this to happen. Then the expansion of WDM backbone for the utilities segment, we expect significant in vestment to happen over here but the large tender opportunity over there ha s got delayed. And then we talked about FTTH and network modernization deal with multiple operator s in Middle East, Africa and the Americas and the Metro network expansion for priva te operators in India for mobile backhaul and enterprise services. These are the key opportunities that we're targeting.
Some of the large tender -driven opportunities such as the BSNL e xpansion network, 5G , Power, BharatNet etc., are all live opportunitie s, which are maturing as we speak, and we expect them to convert in Q4 of FY'25 and Q1 of FY '26.

And that should contribute to our business for FY '26.
So at the end, I would also like to kind of recap. We still see very strong drivers for our business, both in India as well as internationally. We see continued investments in fixed and mobile technologies worldwide.
The drivers remain the same that we discussed, mainly the cloud enterprise, digital transformation, 4G and 5G have a long deployment cycle. T here's a long runway of 4G deployment also, long tail of 4G and 5G deployments globally. Massive investments in broadband connectivity, both in India as well as worldwide in Europe, US and all other geographies. Modernization of utility networks across the world, digitization of cities and economies.
And on top of these, I think the new -- the new major investment that is happening is setting up AI data centers and the networking within the data center as well as the connectivity. This is going to be a maj or driver for networking business for us. You may have heard about very recently, the announcement of about $500 billion of investment in building AI infrastructure in USA . So similar kind of investments are happening across the globe in all geographies. S o that's also expected to be a major driver for our business. So what it means to us is our investments in line with those .
As for wireless, of course, developing state -of-the-art 5G RAN equipment, supporting diverse bands, which are the spectrum, which is available across the world, including massive MIMO radios, fixed wireless access solutions for the N78 /3.5 gigahertz as well as the millimeter wave bands .

Support for both 3GPP and ORAN standards in our products and product architectures to support any kind of configuration or architecture that the operators choose . We are starting to see a lot more traction happening for ORAN -based applications for 4G and 5G radios and all products are designed to support both architectures.
And by leveraging a lot of the technology that we have from Sa ankhya Labs in satellite communications, we are building advanced non -terrestrial communication capabilities in our 5G RAN equipment. And a lot of this is going to be part of 5G advanced as well as 6G standards. And we h ave a layup in terms of the access to the technology that we can have for evolving our RAN products.
From a wireline perspective, it just means higher speeds and higher capacity. So the state -of-the-art of 400 gig and 800 gigabits per channel has to evolve to 1.2 terabits per channel, and that's going to come out in this calendar year.
We're evolving our gigabit GPON to 10 gigabit and 50 gigabit PON standards. We are seeing a lot of adoption of FTTX PON technologies for enterprise and mobile backhaul applications because they offer a much more cost -reduced architectures for large - scale networks, and we are seeing the evolution from not only for residential broadband, but also for enterprise and mobile backhaul applications.
And that requires buildin g additional technologies and protocols for our PON equipment, which we are investing in. And then evolving our converged broadband product, which is one of our flagship products, which provides a convergence of multiple access technologies providing broad band capabilities.
So these products we are upgrading, to support LTE for fixed wireless application. We're evolving it to support 5G, and we are upgrading our GPON to XGS -PON and higher speeds. So these are the initiatives that are going on in terms of s upporting the business drivers and the growth that we see, the growth drivers of our business worldwide.
We are also investing significantly in our business development and sales . One of the key initiative over here has been bringing Sanjay Malik on board and leveraging his experience in our field and his relationships and experience and to drive strategy as well as bu

siness development within the
company.

We expanded our sales teams in North America and LatAm regions, which is a special focus area for us, and we are seeing quite a good success that we can build on. We have also expanded our partner networks in Europe, Asia and AN Z regions as we build our business in this region incrementally.
So with this, I come to the end of our presentation, and I'd like to open the floor for Q&A.
Moderator: First question from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited.

Vimal Gohil: Congrats on a good quarter. My first question is for Sumit sir. Sumit sir, if you can just hel p me understand on the gross margin front, while you've highlighted what are the levers that have impacted the margin this quarter. But if you can just help me understand what was the change in mix like in the wireless piece? My assumption is that when you say mix change, it would be the increase in the wireless equipment sale that would have happened this quarter.
So if -- and most of it would be coming from BSNL. And given the fact that BSNL would be at the fag end of execution, should our gross margins be much better going forward? That's question number one. The second question is on -- if you could help us with an update on how is the overall business piece or the pipeline looking like ex cluding of the BSNL deal, both in India and abroad.
I do underst and we have won some deals, but if you can just help us with some timelines, etc., that will give us better clarity. And lastly, just one data point. If you can help me what is our headcount like at the end of the December quarter?
Sumit Dhingra: So I'll t ake the first question on gross margin. And so basically, like I think we've mentioned also in our earlier conference calls, while it's difficult to comment specifically on project -by-project, but what it means by changing product mix is that even as part of one project, there could be various types of products, different configurations that we ship . And depending on the product -- depending on the margins of the products that get shipped within a particular quarter, whether it be one project or across mult iple projects, that would drive the margin movements up or down.
And the other point related to your BSNL project as again, mentioned this in the past, given that this is a first wireless project, margins were slightly lower than what you would see, let's say, in typical wireline business. As we go along, as our international business picks up, as we're able to widen our order book, we expect margins to improve over the next few quarters. On your second question about the business pipeline, I think I'll request Arnob to comment
Arnob Roy: Yes, yes. So -- our business pipeline has 2 portions. One is, of course, the run rate business from existing customers, which have long - term contracts . The Vodafone -Idea deal is an example , where it's a 3 -year contract fo r supply. So with most of the private operator s, I mean that's what we have, and that's not there in our order book, right? We don't show that in our backlog order book. But the major components that we are banking on in our order book are the projects tha t we talked about for the expansion of BSNL's 4G network and 5G upgrade.
And as we speak, there is a lot of movement and progress happening over there. This is also something that is going to be one of the significant opportunities that we are planning to close in this quarter and next. The other one is, if you are aware, BSNL is also planning on building their stand -alone 5G network in 3.5 gigahertz band. So that's another area where we have a very strong opportunity.
And the third one was the Railway's Kavach, the coll ision avoid ance system. We did a successful POC over there for our 4G products, and we also wanted to try out 5G

. And that testing has also
been done successfully. We are waiting for the tender to come out and bid over there. Then I talked about private 5G application.

This is also a deal where we have completed the POC and we are in commercial discussions. The other one, we're talking about is the engagement with a few tier 1 international operator s. That's a little longer sales cycle because we are currently in advanced technical discussions and there will be some amount of R&D work required for the customization of these products. And for the wireline, the BharatNet Phase 3, I think that's been in the news and you're aware of i t, and we have an opportunity for these projects.
We're also expecting very large deals for the utility segment for the power and rail segment where they are significantly investing in growing their nationwide WDM backbones to address their telco business . And a lot of that has been built using our equipment. So as they upgrade it from 100 gig to 400 gig and above, this is another major opportunity that we are lining up for. And the others, of course, the run rate, the Metro network expansion and similar o pportunities . So that will happen

consistently quarter - over-quarter over the year.
So these are some of the key deals in the pipeline that will go into adding to our backlog that we have and w e expect to contribute significantly to our FY '26 business. T he first question was about headcount. So as of today, we are upwards of 23 50 people, and more than 60% of them are in R&D, that is part of our engineering team.
Vimal Gohil: And sir, one last question. On the BSNL deal, given the fact that our initial dea l that we had with BSNL was for 1 lakh towers for their 4G equipment. We have already completed 86,000. Would it be fair to assume that next quarter, we'll see this execution being complete for the 4G part and post which in FY '26, we should see the 5G par t ramping up. Is my understanding correct?
Arnob Roy: That's correct. I think this initial 1 lakh site order should get executed in this financial year. So what we expect to see is, again, an expansion of this 4G network because I think there is still some way to go for them to get coverage across the country wherever their plans are. So there will be expansion of this 4G network and upgrade of this network to 5G as well.
And the re are separate opportunities for 5G in the n78, 3.5 gigahertz bands. So there are multiple opportunities. One is the 4G expansion itself. There's a 5G upgrade of the existing network and then the 5G build -out in the n78 band.
Moderator: The next question is from the line of Ritesh Poladia from Girik Capital.
Ritesh Poladia: Sir, on BSNL, can you comment how is the working of this 86,000 sites? I assume substantial would be already operational. So are they working as per your expected parameters and managing peak process?
Arnob Roy: Yes. As you can see, we only report what we supply, which is more than 86,000 sites. But BSNL themselves have reported, if you see yesterday or day before that 65,000 of these sites are operational and live. Field i nstallation is a little more than 65,000 but 65,000 are actually live and radiating a nd actually serving customers. So as far as we are concerned, I think BSNL is quite happy with the performance and quite happy with the customer acquisitions that they are doing.
So yes, I would say it has been quite successful as far as we are concerned, both in terms of the equipment supplies as well as the ir performance in the network.

Ritesh Poladia: So the product doesn't need much of tweaking. In terms of also feet traffic, it's working as per the parameter...
Arnob Roy: Yes, yes, yes absolutely. I t hink performance has been tested extensively during the POC that happened before

we got awarded the contract. There was almost a year -long POC that happened where every aspect of our equipment's performance got compared with the state -of-the-art that has been deployed in the country. So only after that, we got awarded the contract. So I think there is no concern on that front at all.
Ritesh Poladia: So POC and reality is same?
Arnob Roy: Sorry, what and reality?
Ritesh Poladia: POC performance and real perf ormance is same.
Arnob Roy: Absolutely. And by the way, I mean, just to let you know, POC was not just a small -scale lab test. POC was done across many sites in Chandigarh for more than a year . It was built across the Chandigarh City, across many sites and testing has happened extensively over th ese sites. So with that kind of rigorous field testing , it's not surprising that the real -world performance and POC performance are at par .
Ritesh Poladia: Second question on R&D spend. I think roughly company is spending about INR600-odd crores on R&D. Now if the company doesn't win substantial contract in next few months, so there is a possibility of revenue decline. So in that scenario, do you think in FY '26, the R&D spend can be curtailed? Or will you still maintain your R&D as whatever are your plans?
Sumit Dhingra: So I think without commenting on the revenue visibility and outlook, from an overall long -term investment perspective, I think we'll continu e to build our products, continue to invest in R&D. As I mentioned in earlier conversations as well, it's an important part of what we do in terms of the industry that we operate in and our overall plans that we continue to build on the products . While we would always look at optimizing and controlling the overall spend in general , but at an absolute level the investments in R&D will continue.
Ritesh Poladia: Then lastly, sir, what would be your import content in the materials? Or now is the domestic sourci ng is higher?
Arnob Roy: Yes. So we have localized a lot of the components that go into our products, especially in our 4G, 5G radio. But having said that, I think most of the electronics -- active electronic components are imported and it varies from prod uct to product. The amount of it can vary between 40% to 6 5%, in terms of the active electronics that gets imported especially for the semiconductor chips. But a lot of the key ingredients in terms of enclosures, accessories, cables, connectors, mechanical items , Passive components, a lot of that has been localized in India . In addition the entire manufacturing and assembly process including the PCB assembly as well as system assembly and testing are

localized . So a significant part of the entire manufactur ing operations are actually done in India.
Moderator: We have the next question from the line of Rishab Gang from Sacheti Family Office.

Rishab Gang: I want to understand on the international order front, I think we target tier 2 and tier 3 vendors. So how do we ensure that we win the orders from these kind of customers and the order does not go to the foreign players like Cisco, Ericsson and Nokia. Also, what kind of cost advantage do we really have? Because these players also have Indian R&D and manufactu ring setup, right? So what is the cost advantage we have? And what can be the reason for maybe not winning an order and maybe Nokia, Cisco, Ericsson winning it? Like I want to have some granular insights on it, sir.
Arnob Roy: Yes. So the same equipment fr om different vendors are not identical. Each vendor builds their product with their unique thinking in terms of the network applications they want to optimize it for and want to serve well. So what usually happens is that based on the application s a partic ular architecture wins. For example, as we've spoken before, if you compare our equipment with other wi

reless equipment, it is differentiated by the kind of technology integration that we have done in terms of combining the baseband unit with the transport or backhaul f unctionality.
So in a typical RAN equipment, an operator would need to have the radio, the baseband unit and a separate backhaul unit in terms of a router or some other transport equipment at the tower to really backhaul the mobile traffic. And we have implemented a very unique architecture where we integrated the entire backhaul functionality in our RAN equipment thereby giving the operator significant savings in terms of his network deployment cost.
Similarly, our baseband unit is also a converged network product where you can also plug in additional modules, which can do broadband services for enterprises and homes . So given a footprint in a particular area , say under a tower, by adding th ese modules, the operator with a very incremental cost can actually reach out to many more customers in that area by deliv ering broadband services .
So while the technology still remains 4G or 5G from a radio perspective, but the total cost of ownership, the total cost of the solution for building the network and the other applications that come along with it gives our implementation and architecture, a unique cost advantage for the operator .
So the cost advantage is not in terms of using a cheaper component than my competitor for a specific functionality . It is in the novel architecture of the product, how we have designed it and what kind s of applications it serves more cost -effectively. So I just g ave an example of that.
And so similarly, we have many other such examples even for our wireline products . So I hope I've been able to answer this question. And that when actually operator s value that kind of cost optimization that we get in the network, that's the key reason that we win.
Rishab Gang: So what kind of lifetime value, right, maybe a customer saves, right, because of all this integration and all? Like can you give some more granular insights on that, like some numbers or some percentage?
Arnob Roy: Well, it depends on the application . The integration of radio with transport is one kind of optimization, the access to transport, that's another kind of optimization. And so the cost savings are not o nly in terms of the cost of the equipment, but also in terms of the operational expenses .

Being able to deliver multiple services from a single equipment with a single management software gives them a lot of operational savings in terms of their own traini ng costs , power etc.
So you may get a cost of goods advantage of maybe 20% -25% to that extent, but you get a larger benefit in terms of the opex also in terms of running a converged or integrated equipment . So it's like it really varies, and these are jus t kind of indicative of where the benefit really comes from.
Rishab Gang: Very helpful. what would need to happen, right, for us to win India wireless orders, right? So I wanted to understand what is the status of ongoing POCs, right? When do you think the outcome of these POCs will come through? Also, if such POCs are happening for international orders, what do you think about that?
Arnob Roy: Yes. So as I mentioned that live POCs are going on for operator s in India, and we think probably in this quarter o r in Q1 FY'26 , we should be able to see some success in that in terms of additional orders and additional deployment. For international customers, we have a lot of ongoing engagement. Obviously, our success in BSNL has given us a lot of visibility globally. And people see our equipment and see our architecture and the efficiency of our product, and they are very interested.
And there's a lot of discussions which are going on in terms of how do we customize it for their specific bands, which are there in

th eir countries, right? So that's what is going on. So those will
take a little longer to really convert because that will require some amount of customization as well. But that's the kind of engagement that is happening in the international market for our w ireless equipment.
Rishab Gang: Just one last question from my side. On the international front, right, we have said that we are expanding teams in North America and LatAm region and partner networks in Europe, Asia, ANZ . Can you give some numbers, right, or some insights on how we have performed -- how we have expanded versus last year, right, or maybe 2 quarters before. Some numbers on headcount in the sales team outside India or partner networks outside India like that?
Arnob Roy: Well, with respect to l ast financial year, we have grown our teams by more than 50% in those regions . In the US and LatAm, we've added at least 6 -7 people, both in terms of system architects, senior sales, marketing people as well as account executives. That's a significant incr ease in headcount. In every region, we've added 1 or 2 partners based on their geographical territories. So that's roughly an example or quantification of how we have invested in terms of sales.
Rishab Gang: And how does this partnership work? Like do they -- how do they help you in getting the orders? Just if you can give some insight on that?
Arnob Roy: So the sales partners, basically, they are people who have operations local to the region. And there are many countries where the business is done in the local language, right? So they are people who are set up over there who have the expertise of building telecom networks, who have the expertise of supplying in that region . They understand the technology well. They have the customer relationships.
They ha ve the experience of building networks using these technologies. We have countrywide

presence in those countries, whether Indonesia, Malaysia, maybe in the Middle East and all, where we need on the ground presence and country presence for building networks because that's how our equipment is deployed. So we need that we need local language support for dealing with the customers as well as for handling business at remote locations within the country.
So those are the nature of the partners who are there, people with significant in -country presence, significant local language support and significant customer relationships in those regions. So those are the people we work with in terms of partnering, in terms of sales and supplies and deployment and s upport.
Moderator: The next question is from the line of Advait Lath from Nippon India Mutual Fund.
Advait Lath: So just congrats on a solid set of numbers. Just picking up from the previous question. I just wanted to know what is the environment we are de aling with in the North American continent and LatAm in terms of the regulatory environment, especially because of regime changes, etcetera , and also the tariffs that we might be getting incurred upon us because of this and how we are going to deal with it and also the lead times within these continents?
Arnob Roy: Yes. So in terms of regulatory environment , there are really no issues. I think the only regulatory thing we need to meet is the performance of the equipment because these are advanced equipment, and they have to meet the global or country -specific standards in terms of their performance, safety, radiation etc., certified by agencies such as TUV and UL.
And we have to have our equipment certified against those standards before we ship to those markets. And when we design our equipment, before we take it to production, we make sure that we have tested for those standards in various markets. Many of them are very, very similar. A few of them may have one -off extra features but we make sure that the equipment are up

front designed
to meet th ose regulatory requirements and we get the necessary certifications before we ship the equipment to these countries . And that testing happens actually in India because all those global certification labs like T UV, U L actually exist in India . So that's as far as regulatory compliance is concerned for global standards. Now as far as tariffs and all are concerned, it's still an open question. We really do not know. I mean nothing has been announced, so nothing has come up. So until that time it comes up, it's all pure speculation on this front.
In terms of lead time it's very similar for customers everywhere. There is a process of lab testing, there is an initial technical engagement, we make presentations, go through extensive technical discussions on what is the value that we're providing to the customers.
We then enter into a cycle of product testing . Sometimes they do remote demo followed by testing in their labs. The customer actual ly deploy s our equipment in their network in the field to see its performance, so this stage often takes some time. And after that we engage in commercial discussions and get into an agreement. So that's how a deal progress.
That's the reason why from the start of investment of a particular opportunity cycle to closure , it usually takes a long time. But when you are selected, and if your performance is okay, the supply cycle is also a long one. It's at least a year, if not a m ultiyear cycle or it's a major project deployment

that happens because the operators also invest a lot in going through the testing process in selecting a particular vendor.
Advait Lath: Got it, sir. And just a follow -on question. This has to do with our V odafone and Idea -- Vodafone Idea deal. So just wanted to ask what are the terms of the agreement, if you can share some detail on that?
Arnob Roy: Yes, yes. It's a very standard agreement like we have with any other private operator , which is to do with s upplies of our equipment in a few set of states for a set of circles. So we are building the entire network for the state across multiple states. And the contract includes supply and deployment and commissioning of the equipment, including supply of networ k management software and making the equipment live and connecting it to their mobile 4G, 5G networks and getting the traffic running. So there's the entire scope of the equipment and we are getting paid as we do the supplies.
Advait Lath: Got it. And this will be in tandem with TCS or this would be an independent contract?
Arnob Roy: No, th is is an independent contract with us directly.
Moderator: The next question is from the line of Sunny Gosar from MK Ventures.
Sunny Gosar: Congratulations on the very q uick execution for the BSNL project over the last 3 or 4 quarters. My first question is related to the PLI incentive. So we have booked about INR500 crores plus of PLI incentive in the last 4 quarters. Have we been receiving the money on a regular basis? O r is this still completely outstanding as on December?
Sumit Dhingra: We received the PLI incentives for FY '23 in FY '24. And typically, the payment happens in the subsequent year. So what you would see in recognized as revenue in FY '24 is what we would expect to receive this year. The process for that is on. We've submitted documentation. There is back and forth with the nodal agency and thereafter with the ministry. So we are hopeful of getting the incentive for FY '24 soon. And then for FY '25, the cor responding incentives are something that we would expect to get in the next fiscal .
Sunny Gosar: Got it. That's quite helpful. In the earlier part of the call, you alluded to a few opportunities like the Kavach program, the 5G -- private 5G application, the BharatNet Phase 3 project. Will you -- like if you could give some color on t

he quantum of some of these opportunities, some ballpark numbers or some indicative color on how large some of these opportunities could be? And like on an annual basis, how much revenue opportunity that could lead to over the next few years?
Arnob Roy: These are very significant 5 projects. For the BharatNet Phase 3 project the overall budget has been public information for some time . And I think in all of them, t he equipment opportunities for us ranges from a few hundred crores to several thousand crores as well. There's a wide range and a lot of it, but each of them is a fairly significant size d opportunit y. And what it will turn out to be for us depends on how m uch of each of those opportunities we win. But each of them is of a very significant size.
Sunny Gosar: Got it. And in terms of the conversion of these opportunities or proof of concepts into actual orders and then eventually into revenue, can you like giv e some kind of indicative time lines or which of

the projects are more closer to conversion as compared to some of the others? So some indicative color because the order backlog now is about INR2,600 crores and most of it is related to BSNL, which would me an that post Q4, assuming that no new orders come in, there could be a temporary dive in terms of the revenue.
So how should we look at this in terms of continuity of revenue and the future outlook in that sense?
Arnob Roy: Yes, yes. So first of all, back log right now, a lot of the BSNL backlog rundown -- order book rundown has happened. And a good part of the backlog is also the non -BSNL business. But having said that, you're correct in the sense that it is still significantly small compared to what we ha d at the beginning of the year. So yes, most of t hese opportunities that we're talking about -- whether it's BSNL 4G network expansion, 5G or the Kavach or BharatNet , we expect to see conversion in these in Q4 and Q1 FY’26 and a significant part of that sho uld be executed in FY '26. So if we are successful in most of the se opportunities, it could lead to a significant bump or refilling of our order book.
Sunny Gosar: Got it. And one last question.
Arnob Roy: I would also like to make it the last question of this session, if you don't mind. I think we're running out of time. So please let's take this last question.
Sunny Gosar: So one last question from my side. Basically, the BEAD program in US, which is like a multibillion -dollar government program and also the Rip and Replace initiative that the US government has announced. So are we likely to be beneficiaries of those programs? And what kind of opportunity do we see in the North American market?
Arnob Roy: Yes, both of those programs we are trying to addres s with our local partners . BEAD is about the

expansion of broadband rollout in the rural areas of US where there is a significant amount of investment. And a lot of the investment is happening in phases, and we are working actively with our sales team as well as partners over there to win a part of this business.
The same holds for Rip and Replace. Rip and Replace, doesn't really imply that there is some equipment to be replaced. It typically happens when customers and operator s expand their network in those regions. And along with that, the replacement of equipment and expansion of the network also happens .
Besides BEAD and Rip and Replace, another significant opportunit y that we ar e targeting in North America is network modernization . Most telecom networks in North America have been built over many, many years using old T DM technology which were optimize d for voice. And as they modernize the network to a more modern packet -based inf rastructure, they cannot really replace all of their endpoint connectivity so easily.
So they require a special technology called circuit emulation over pa

cket networks for being able
to modernize the heart of the network and slowly transition their older networks to more modern interfaces. And that is something that we are able to address with our products , along with BEAD and other optical transport opportunities. Our dense circuit emulation solution is seeing a lot of

traction in these markets .
Sunny Go sar: Got it. That's quite helpful. And thanks for the detailed answers on all my questions.
Arnob Roy: So with that, I would like to thank everyone for joining the call . Thank you for your questions and hope we've been able to provide a good insight on our business and look forward to talking to you all again the next quarter. Thank you very much.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: May 2025

May 02, 2025
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q4 FY25 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 4 FY25 Earnings Conference Call held on April 25 , 202 5.

This is for your kind information and record .

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

“Tejas Networks Limited
Q4 FY'25 Earnings Conference Call”
April 25, 2025

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY– CHIEF OPERATING OFFICER AND WHOLE - TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER - TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY25 Earnings Conference Call of Tejas Networks Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the con ference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you and over to you, sir.

Mohit Mishra: Good evening, everyone. Thank you for joining us on Tejas Networks Limited Q4 FY'25 Results Conference Call. We have Tejas Networks Management on the call, represented by ; Mr. Anand Athreya, CEO and Managing Director ; Mr. Arnob Roy, CEO and Whole-Time Director; Mr. Sumit Dhingra, CFO and Dr. Kumar N. Sivarajan, CTO.

I would like to invite Mr. Anand Athreya to initiate with opening remarks, post which we will have a Q&A ses sion. Over to you, sir.

Anand Athreya: Thanks, Mohit. Good evening, everyone. So thanks for joining the Q4 FY25 Earnings Call. I'm here with Arnob, Kumar and Sumit in this room. So I would like to give you a very key update. The first one is, as of yesterd ay your company completed 25 years. It was incorporated on April 24, 2000. So I have the Founders here, Kumar Sivarajan , Arnob Roy and Sanjay Nayak, who was our previous CEO. I want to thank them and congratulate them on this fantastic milestone. Thank you , guys.

So one key important update I would like to give you is that , we shipped 100,000 sites on the BSNL 4G project, that's something that we were on for the last one and a half to two years. So that it's a great milestone that we have accomp lished as of last quarter.

In terms of revenue, Q4, we landed up at INR1,907 crores. It was 1.4x year-over-year. And for the financial year, FY25, we hit INR8,923 crores, which is more than $1 billion and it's 3.6 x year-over-year. In terms of profit after tax, we were negative INR72 crores for Q4FY25 and FY25 profit after tax, we ended up at INR447 crores. The order book at the end of Q4 was INR1,019 crores.

And some of the key business highlights is, as I just said, we shipped close to more than 100,000 sites for the BSNL 4G/5G network. This is one of the largest single -vendor RAN network in the world ever delivered in record time. So I think I'm very proud of the team and also the consortium of TCS, C-DoT and also our customer BSNL for actually helping us make this happen.

We also signed a very strategic technology collaboration agreement with NEC Corporation Japan. And this is for the development of advanced wireless technologies, RAN technologies, and a lso the Core and EPC and also a joint go -to-market. So as two companies, we can take it to our customers.

We also have had several key wins for our leading -edge optical platforms, both on the PTN and FTTX, mobile backhaul and also for broadband services and power utility networks. And we also are expanding our sales footprint in Americas and EMEA and ANZ .

In terms of corporate update, on the occasion of 25 years completion of registering the Tejas Networks, and considering the performance of the company in the last fiscal year , the Board has recommended a dividend of 25%, which turns out to be INR2.5 per share, subject to the approval of the shareholders. We also received around INR123 crores of PLI incentives for FY24 and the first tranche of INR189 crores for FY25 . We won the best mobile technology breakthrough award from ET Telecom recently.

From a summary point of view, I'm really proud of what T ejas has accomplished. In fact, this is the largest revenue that we've had in 25 years and it's a major milestone and a big number. So I want to thank our shareholders, our investors and also our employees and our customers for helping us achieve this fantastic milestone.

I'll hand it over to Sumit, who will go through the financials and other details. Thank you.

Sumit Dhingra: Thanks, Anand. Good evening, everyone. For the financial year FY25, we had revenues of INR8,923 crores, EBIT of INR905 crores, profit before tax of INR698 crores, and PAT of INR447 crores.

Looking at the fourth quarter, the revenues were INR1,90 7 crores which is 1.4x year-on-year. EBIT for the quarter was INR18 crores and PBT of negative INR45 crores. The profitability for the quarter and to that ex tent the full year is partly impacted because of the provisions for inventory obsolescence and write -down of about INR117 crores that we did in this quarter, Q4. The number for the full year was INR181 crores. We also wrote off certain expenses related to intangible assets under development during the quarter, so that suppressed the profitability for the quarter.

Moving to the key financial indicators , inventory at the end of the quarter stood at INR2,367 crores. This will get converted to finished goods and get shipped over the next few quarters. Trade receivables at the end of the quarter stood at INR4,884 crores. The increase is mainly because we had higher shipments, particularly for the BSNL 4G project during the quarter.

We collected about INR1,9 00 crores during the quarter and we expect to make further collections over these receivables over the next few quarters as the milestones get completed. Cash position at the end of the quarter was INR827 crores and borrowings of INR3,269 crores, implyi ng a net debt of about INR2, 442 crores.

I will hand it over to Arnob to take over the business update.

Arnob Roy: Thanks, Sumit. I just wanted to add a little bit of color to the business of FY25 and the upcoming year. So for FY25, the revenue mix was the following. Indian government was 3% of our overall revenue. This is a year -over-year decline of 66% and t hat's primarily because, as you're all aware, the Indian governmen t business is very tender -driven and d epending on the timeline of the tender and the timeline of the execution of the tender i.e., d epend ing on the particular time and the quarter and the financial year in which they get executed , this par t of the business tends to be very lumpy .

India Private grew significantly and had the dominant share. Of course, as we have mentioned earlier , our BSNL 4G shipments through TCS is considered as part of the India Private business. But apart from that, I think we saw a good amount of growth of our wireline business in the India Private segment among the private mobile operators.

Inter national business had a year -over-year increase of 18%. In the overall scheme of things, it's still a small number. It was like 3% of our overall business. It was driven mainly through key shipments to the US, Africa, South Asia, both our existing cus tomers, and a few new strategic logos as well. We closed the year with a n order backlog of INR1,019 crores, where INR900 crores plus of that was from India and INR100 crores plus from International.

Moving on to FY26, as you can make out FY25 was a milestone year for us in terms of our revenues and was driven by the large BSNL 4G project . So obviously, FY26 will be different in terms of revenue, revenue profile, and so on. And our business of FY26 h as to be seen in the perspective of the revenues of the previous years, such as FY24 .

So, the good thing is that our portfolio got expanded significantly in FY25 and has increased our addressable market. During the year, we invested significantly in R&D and sales to support the development and execute on the roadmap for our products, especially

in wireless where we have significantly enhance d our product offerings . So, now we support 5G over multiple bands, and that gives us a really good opportunity to upgrade 4G networks, not only in India but worldwide. We enhanced our portfolio with advanced 5G Massive MIMO Radios. Moreover, we have now a portfolio of n ot only our own 5G radios, but also the ones available through our partnership with NEC. We will be able to leverag e some of the advanced beamforming technolog ies to support more sophisticated and advanced features in our radios as well. We also acquired a field -proven 4G -5G Mobile C ore, through the NEC partnership.

A lot of future development in the Core is going to happen with the basel ine of this core software, which has seen a lot of international deployments. We also expanded our IP and wireless router family. As you know, we deployed a very large network in the BSNL network for the 4G -5G backhaul.

And over the year, we completed the commissioning of that network, which is carrying a significant amount of their mobile traffic as well as their broadband services . We also added to the family an additional set of products, both i n the modular as well as fixed platforms.

We enhanced our optical portfolio from 400 Gbps to 800Gbps and 1.2 Tbps per channel DWDM systems. This is kind of absolute state -of-the art in terms of what's available across the world. And with this, it puts us in the league of leaders in the optical networking space . We also enhanced our FTTH portfolio with XGS -PON or basically the 10G PON products and shipped a few initial customer orders. And with this, we expect to see a lot more traction coming for our 10GPON products internationally. Apart from that, I think the markets for our product segments, all the product segments, as you know, we ha ve a wireless product segment with a RAN and Core. And in the wireline segment, we have products for R outing and Switching , FTTH or fixed -line broadband services, and for Optical Networking including Packet -Optical and WDM transmission. These are the three product lines in wireline. And all of those product segments are projected to

grow globally, not only in India, but also in the international market. That gives us a great opportunit y, especially with the expansion and the maturing of our existing products .

The domestic opportunity pipeline that we have includes large projects in the government sector, which we have discussed before. Many of them are in a very advanced stage of negotiations and hope to continue for the next one or two quarters. We've had several new customers and new application wins in both private and government sectors, many of which we announced during the year.

And we have deployed, executed these projects very successfully. And those businesses , we expect to expand in FY26. We had a significant event in terms of the partnership with NEC, which not only gives us access to advanced technologies, but also access to global customers, which includes NEC's existing and prospective customers , which helps us in joint go -to-market opportunities with NEC. So we expect our international wireless business to get a significant boost with this partnership.

We also invested in expanding our global sales footprint. So we set up more offices in Southeast Asia, in AN Z, and expanded our sales operations in the America s. And on the back of a few strategic wins in those markets, we believe we have a strong momentum for increasing our international business in FY26. So that concludes our presentation of the results of Q4 and the outlook for FY26. And we'd like to open up the floor for questions.

Moderator: We have our first question from the line of Vimal Gohil from Alchemy Capital Management.

Vimal Gohil: Firstly, a question for Sumit sir. Sumit sir, on this inventory, obsolesc

ence, and various other write -
downs of intangibles, which is amounting to roughly INR140 crores, in this case is there any spillover expected in FY26?

Sumit Dhingra: I think evaluation of inventory for obsolescence, write -down, etc etera , or even charging of certain expenses, i s an ongoing evaluation that the company does every quarter whenever we offer our results. So that, in various shapes and forms, it keeps on getting evaluated. I think as we completed this project and we were coming towards the end of this year, this initiative was taken and we took these obsolescence and write -downs and provisions.

It's an ongoing exercise, so there'll always be certain provisions that we'll continue to make every quarter . But this is also sort of a one -time significant effort that we have put in at the end of this large project .

Vimal Gohil: So basically what you me an is there can be, these provisions will happen, but the magnitude may not be as large as this one?

Sumit Dhingra: Yes, inventory evaluation is a regular ongoing exercise, on a quarterly basis, that any organization would do.

Arnob Roy: This is A rnob. I'd like to add that, you know, given the nature of our business and being a product company, we have to continuously invest in newer products in anticipation of technology changes or building in newer innovations in our products. And all of them don't often come to commercial

fruition .

So from that point of view, I think this is expected that some amount of our effort that we put in or the investment that we put in, may sometimes be needed to be written off for inventory which is out there, which is not sellable.

So it is the nature of our business , given that we are a product company . And as Sumit said, we do this determination at the end of every quarter and every year to see what kind of provisions we need to do.

Vimal Gohil: Sir, is there a chance that this particular quarter, because we finished a large contract, a mega -sized contract, is there a chance that this particular quarter, the expenses would have been particularly higher? Because I would have imagined that this kind of a provision would have been scattered over four quarters or maybe more, or over the year rather, which has happened in one single quarter almost. So how should we look at this?

I mean, INR140 crore s, of course, it will depend on how much is expensed out or what is the kind of revenue we build for FY26. But my point is that if we continue to have such large provisions going forward, it is going to hamper our profitability when we are entering FY26 at a significantly lower revenue base.

Sumit Dhingra: I think typically at the end of the year, always this exercise is undertaken. And given that this is one of the large provisions that we've taken, we wouldn't expect such large numbers going forward.

I think p rogressively as we continue, normal provisions will continue to happen. So to some extent, I can say that this is a one -time initiative.

Vimal Gohil: Fair enough. So the next question is, I need a bid on four specific contracts that we've consistently spoken about in our previous calls. One is on the follow -up contract from BSNL for 4G and 5G. The second one is on the VIL order win that we had last quarter. The third one is on Rail Kavach . And the fourth one is on BharatNet. If we can briefly touch upon each of these, where are we in terms of either tender or execution?

Arnob Roy: Yes. So for the add -on on BSNL, I think we are in advanced stage of discussions and will hopefully close in this quarter . But as you can see , these opportunities often take time beyond what you can plan for.
Regarding VIL, we won that last year. We did our shipments for Phase 1 and successfully executed the project. We got an add -on business as well. And that business is expanding and we h

ope to
expand that business going forward in FY26 as well , as their networks expand.
Rail Kava ch, I think the tender is getting delayed. We've completed our POC successfully. But I think they are taking more time for issuance of the tender and finalizing the specifications.
BharatNet, as you know, in most of the circles, the SIs have been assigned the tender. Many of them have the P Os and there are ongoing discussions with the system integrators on the particulars of the products and the quantities that will be shipped.
They are also in the part of the OEM selection process and finalizing the quantit ies. So we are

again at a ver y advanced stage of discussions with them. And this is also something that we hope to close in this quarter.
Vimal Gohil: Fair enough. Arnob sir, in your commentary, in your notes, you mentioned that FY26 will have a different kind of a revenue structure, which is understandable coming from this kind of a base.
However, for FY24, we had closed the year at a revenue growth of close to INR2,500 crores. With an order book of a INR 1,000 crores, how do we expect to beat INR2,500 crores in FY26?
Arnob Roy: Well, as you know, we don't give revenue guidance. But if you look at our opening backlog and the business pipeline that is in front of us, I want to give you a flavor of that, both in terms of the large projects as well as the run rate projects from the privat e sector.
If you look at all of that, I think there is a very good opportunity of having a pretty significant business in FY26 as well. And there is a good amount of business pipeline built out there. And especially with our expanded set of products, I t hink we are looking at FY26 very positively.
Vimal Gohil: And sir, just one clarification on what you mentioned here. Some of the orders that you got are expected to execute for the newer products. Will it be fair to say that this will be a bit more short cycle in nature as compared to what we've done for BSNL? Some of the order intake which will come within FY26 will get executed within FY26 and which is why the order book for Q4 may not give you a correct picture of what is to come in FY26. There could b e a positive surprise.
Arnob Roy: Let me put it this way without getting into any specific guidelines. I think most of the opportunities that I talked about, we do expect them to close and a large part of them getting executed in FY '26.
Of course, in the case of the larger orders, there will be some overflow onto FY '27 also, but a significant part of the opportunities we expect to get completed in FY '26.
Vimal Gohil: Just one last data point, if you can help me with the number of employees that will be closed in FY '25 and the employee cost which is capitalized this year.
Sumit Dhingra: Roughly around 2 ,370 employees at the end of the year. Sorry, what was the other question?
Vimal Gohil: Sir, your employee cost that is capital ized this year? Last year it was around INR250-odd crores.
Sumit Dhingra: Yes, so about INR289 crores of cost was capitalized.
Moderator: We have our next question from the line of Akash Mehta from Canara HSBC Life. Please go ahead.
Akash Mehta: So my ques tion is, I mean, in continuation to the previous participant. So just wanted to understand in terms of the order book, which is at about INR1,019 crores, we are expecting. So what kind of addition we are expecting from the major projects that are there in terms of Rail Coverage, the Vodafone Idea One, additional BSNL and BharatNet and other projects that we could see over the next, I mean, getting executed probably over the next couple of years. If you could just help with that.
Arnob Roy: Yes, I think we don't share specific numbers with respect to each and every deal. And many of them are yet to materialize. We are very close. Since we don't give specific numbers,

it is very hard

to say what FY '26 is going to look like and what are the numbers that we are expecting from them.
But as you know the sizes of the projects and the opportunities you can probably make an estimate about those. And we look forward to a fairly successful F Y '26, but not comparing it with F Y '25.
Akash Mehta: But any broad, I mean, if you could just help us with any broad opportunity size from that perspective, that would be kind of helpful. I mean, not guidance in terms of revenue, but wh at you are internally targeting in terms of these projects.

Arnob Roy: No, I don't have any specific numbers to share for any of them. I mean, each of those large opportunities of BharatNet and the BSNL add -on and others are like several hundred crores and some of them upwards of a thousand crores also. But beyond that, I don't have any specific number to share for each of them. But these are large opportunities .
Akash Mehta: Understood. Fair enough. And second is on you mentioning that there are certain large projects in government sector that could come through in the next couple of quarters. So can you help us in terms of what kind of projects this could be?
Arnob Roy: Yes, so those are the ones that I think Vimal was referring to, the add -on BSNL, the Railway Kavach project , BharatNet and so on, both at the central and the state level . So each of these opportunities is fairly large. Some of them are several hundred crores, some of them are several thousand crores as well. So those are the large projects where we are hoping to win a significant share of.
Moderator: We have our next question from the line of Manish Osw al from Nirmal Bank Securitie s.
Manish Oswal: I have a slightly longer -term question. From last couple of years, we have expanded capability, product basket and the geography and we have built teams in different markets also. And you said in FY '26 outlook, our addressable market is e xpanding. So if we take a three to five -year view on the business, where the size of opportunity -- can you quantify the size of opportunity which we are targeting to capture or participate in?
And secondly, in terms of performance evaluation internally o f delivery against our budget, what are the key metrics you look at internally to judge the performance benchmark? So can you share details around these two things?
Arnob Roy: Well, outlook over the next few years is good because overall in all the product segments that we operate in, they are all expected to grow significantly anywhere between 3 %-4% to going up to 6%-7% globally. In India, the investments are also growing substantially. India is one of the fastest growing markets.
So from an overall environment point of view and and the relevance of our product s point of view, I think we are in a very good position right now. We hav e, especially in India , incumbency in many of the customer a ccounts. Our key challenge is really growing our international business as well. And it's mainly a question of execution of successful business in a growing market for us. So I think the market growth and opportunity is not a challe nge. It's a question of being able to execute successfully, especially with the newer products and the enhanced portfolio that we have.

So the second part of your question was regarding KPIs. I think it's very simple. The KPIs are again just the f inancial numbers in terms of revenues, margins, profits, cash flows. So I think all of this has to work out to the numbers and the financial performance of the company. So those are the key parameters that we monitor and we evaluate ourselves on.
Manish Os wal: Sir, the NEC tie-up which we have, so as per some credit rating notes, we have to pay certain royalty yearly basis. So can you quantify the amount

? And secondly, from this tie -up, what is the size of opportunity we can invest for Tejas Network? And corresponding to this question, when you say we have increased the size of opportunity from this different aspect .
But in terms of competitive landscape for participating that opportunity, can you talk about the competition level i n terms of cost structures, in ter ms of where we are losing bids? Can you name a few competitors also in this pitch where we are competing one -on-one?
Arnob Roy: So as Anand mentioned the NEC agreement is for development of advanced wireless RAN and core t echnologies. And as part of that also licensing of their products and for joint go -to-market. So this gives a lot of access to NEC’s customers worldwide who are deploying their products as well as some of the newer opportunities that they're looking at glo bally. So this gives us a significant boost to our joint branding and joint go -to-market with their existing as well as the newer customers in the international market.
So that's the big value coming out of that. Quantifying the number is not possible rig ht now. I mean, we don't share that, but we are looking at, o f course, significant revenues. And most importantly, these are going to be international business. That's something that we are very keen to really grow, and it's very important for our business to increase our footprint globally. And this gives this initiative a significant boost.
Second part is the competitive landscape. One of the reasons that we invested significantly last financial year and continue to support that is for a ccelerating our product roadmap. I think right now, over the last 12 months, all the different initiatives that I talked about, all the product portfolio expansion that I talked about, has now placed us in a very good competitive s ituation compared to the leading -edge product manufacturers across the world.
And they are the people that everybody is familiar with. In wireless, there ar e Nokia, Ericsson, and others . In optical, these are Ciena, Nokia, and so on. And in routing and switching for the service

providers, Nokia and Cisco, and so on. So all of them are global competitors against whom we compete not only in India, but also in international markets. And with all the investment that we've made, all the development that has happened, we find ourselves in a very good competitive position with respect to them.

Moderator: We have our next question from the line of Advait Lath from Nippon India Mutual Fund.

Advait Lath: Yes, so just congra ts on a great year. And just wanted to ask, what is the tariff -related news flow, or what is the impact of that on us, and how are we looking at that risk in the long or medium term?

Arnob Roy: Yes, so the full impact of the tariffs and how varied lands fi nally is yet to be determined, as you know, there are discussions that are going on between the different countries. But the way we see

it is that we see it with respect to our competitive landscape. You know, most of our competitors also manufacture outsi de of the US, right? I mean, in different geographies, including Asia and various countries in Asia.

So I think whatever the tariff impact on India is, they're going to have the same tariff impact as well. So from that point of view, I believe the impact is going to be neutral . Because I think they're also going to get affected by that. I think the part that could potentially impact is that if there is a negative sentiment in terms of business, global business, and the investments from our customers go down based on the negative sentiment .

If there's a conservative approach that happens in terms o f the investment in the network. I think that secondary impact probably has a -- could be a larger risk than the exact tariff by itself.

Adva it Lath: And just a

follow -on question on the PLI schemes, when do you think we are eligible till which year?

Sumit Dhingra: Till FY27.

Advait Lath: And after that, that will cease to exist, right?

Sumit Dhingra: Yes, that's right. Current scheme is for five years, so it will end in FY27 .

Moderator: We have our next question from the line of Sugandhi from Fed ex Securities.

Sugandhi: I wanted to understand in terms of the write -off -- if I see over the last, since FY22, our i nventory levels were around INR200 crores. And then since then, because of the BSNL contract , we significantly expanded. We also added because ther e are some component shortages. So the write - off, what kind of equipment does it pertain to?

Because it shou ld be very significant, in proportion to the FY '22 base. And also in terms of intangibles, can we talk about, what kind of projects these are related to? That's my first question.

Also on the BharatNet contract, we've seen a lot of announcements from syst em integrators, from other companies in the value chain, fiber optic companies. So and as for marketing, we've made an announcement for Tamil Nadu for ourselves as well. So, are there any other companies on the electronic equipment side that we are competi ng with?

And, what's holding back, an announcement coming from Tejas on, the scope and involvement in the BharatNet project? So just, in terms of how much of the market share, in the project is, whatever the estimate be on the total magnitude of the proje ct, but what is the market share that we are targeting for this contract?

Arnob Roy: Well, specific to BharatNet, as I said, the announcements have mainly come from the system integrators, who have won the deal. And those projects are a combination of a lot of services, a lot of supply and deployment of fiber and all those kind of things. And then a significant portion is also about the equipment, right?

So this is where I think the system integrators are working with the OEMs in finalizing the

equipment. All the OEMs, including us, are going through the testing and certification process, which are part of the process , you know, without whic h you cannot be deployed in the network. So all that is happening in parallel, the discussions and negotiations with the system integrators as well as testing and certification of our products. So I think they will, as I said, they will probably close in Q1.

And whether or not we announce it will depend at that point of time . Since this is a deal between private entities we'll need to see what can be announced or cannot be announced. However, their announcements is because it's like a public tender and that's what has got announced over there.

Regarding your first part of the question, regarding inventory and write -offs, as I said, that's the nature of our business, that we have to do a lot of experimental development, a lot of trying out new ideas, new inventions etc. And some of them may not lead to fruition, may not lead to products

getting commercially released .
Since we develop a significant amount of hardware as part of our products, there will always be some amount of inventory which goes obsolete or which becomes unus able in terms of business because of products that we couldn't take to production and so on.
And similarly, with projects as well. So this is the nature of the business, right? If you are in a very direct services kind of business where we are only execut ing customer contracts and business was based on that, then there is a very direct connection to the business as well as the customer business and the investments in the company.
But for us, being a deep tech company, there's a lot of investment that goes on into innovation. And, while many of them are successful, some of them are not . And that's the nature of the product business . And this happens. I mea

n, I think this quarter, it has been a large one.
And as Sumit said , we don't always expect it to happen to the tune of th is amount . But, this is the nature of the business. This is nothing unusual. I think the number is maybe a little bit higher this quarter.
Sugandhi: Is it fair to say that on the inventory side also, there was some time with the experimental products that we were doing and for that reason, there was an inventory write -off? I mean, I'm just trying to understand the age, how old this in ventory is on our books. I mean, because most of the build -up has happened over the last two years in inventory?
Arnob Roy: No, I think the development is ongoing, right? That never stops. It's not always connected to a particular business kind of thing. A s you can see, while we were executing the BSNL 4G network, a huge amount of investment kept happening in 5G as well, in terms of looking forward for business. So some amount of inventory is connected to that, right? I mean, maybe one particular approach you tried, you tried multiple design and finalized on one of them, the one which gives the best performance and, kind of a thing, right?
So those are experimental stuff that comes into the picture. Some of it is maybe inventory built over to some cu stomer, to some business forecast and may not have got consumed or kind of thing, right, and or got end of life kind of thing. So it's like a combination of these.

As long as you're in the hardware business, these kinds of events do happen , especially in the hardware product business. But maybe not always to the tune that you've seen right now.
And same thing to do with the project right now. There will be experimenta l projects which may not reach commercial success and we write them off. And this has been one of large numbers this year.
Sugandhi : And just on my other question, what I was trying to understand, are we competing with international vendors as well in the BharatNet contract? And, if you could give us, any light on the number and the size of these other OEMs. I mean, how, what kind of pe digree of OEMs are we competing against? You know, just to understand what is our right to win in the BSNL contract?
Arnob Roy: Yes, I think you have to realize that any business that we do, any customer opportunity that we compete in, are with the same in ternational vendors. So it's not something new for us . When we compete in a private operator like, Vodafone India or Airtel or Tata Communications, we are always up against international vendors and we always have uniqueness and differentiators in our products, which help us win whenever we compete against them .
So it's the same in the case of BharatNet . We have won the MAAN business for routers against global competition that included all the vend or names that you know of and it's a similar situation over here. So just because international competition is there, it doesn't mean our chances are any less, we do that on a regular basis, not only internationally, but also in India because all those global vendors also operate in India. It doesn't increase or decrease our chances of success in any meaningful way, because that's what we do ev ery day.
Sugandhi: Sure. It’s helpful. Thank you.
Moderator: Thank you. We have our next question from the line of Deepak Sharma, an Individual Investor . Please go ahead.
Deepak Sharma: Hello. Sir thanks for the opportunity. As a retail investor, just my concern is as Tejas is not covered by any research analyst. So from the retail investor point of view, we are looking for some numbers or at least a broader idea about the sector opportunities, b ut without numbers, very hard to judge where we are and will be next two, three years. And after all, from stock price to salary or capex or revenue, everything is numbers.
I'm not saying yo u give me th

e numbers of quarter -on-quarter or even the year, but c an you pleas e give the hint w hat are the exact opportunity sites for the sector in India for Bharat Net, Kavach and Vodafone so and so a nd what are the opportunity sites g lobally you are looking for at FY 26?

Arnob Roy: So as I mentioned, we cannot discuss s pecific numbers and for specific customer opportunities. For the large government tender s, as I said, they range from several hundred crores to several thousand cror es. So those are fairly large deals. I mean, may not be as big as the BSNL 4G deal, but significant nonetheless. And so those are some of the significant projects based on whi ch we took on the base for our FY 26.

But at the same time, a lot of our investment and focus is also on the private operators, both in

India as well as internationally. And with respect to these opportunities, I would say that the small -to-medium sized opportunities typically range from several million dollars, going up to $5 to $10 million . The larger opportunities could go up to $50 million to $60 million or sometimes even bigger than that .

But it would be spread around a lot of customers, a lot of different operators in different parts of the world as well as in India. And the combination of those woul d work towards making our FY 26 numbers.

Deepak Sharma: Now, sir, can you put some highlights or any idea about what is the correlation with the capex of telecom companies and your revenue, not even the sectoral revenue?

Arnob Roy: Well, yes , I think their capex spend has a direct relation to us. Of course, a lot of the capex spend goes into passive infrastructure such as fiber or towers or power etc. But roughly 10 % to 15% of their overall capex budget goes into active equipment, the types of products that we sell. So when you look at their capex spend numbers and projections, that's typically the factor applicable to the active equipment space.

Deepak Sharma: Okay. Now, sir, one more question. What is the capex growth rate you are expecting from the domestic and international market from the telecom companies in the next one or two or at least three years?

Arnob Roy: So as I mentioned, I think the overall industry reports show a growth, a projected growth in all the product segments that we address , ranging from 3% to 4% going up to 7% to 8%. And our addressable market is fairly large over here. With reference to the service provider market , the wirel ess market is multiples of tens of billions of dollars and the same with wirel ine also. It's upwards of $30 to $40 billion globally which is a pretty large addressable market and growing at a fairly good clip. So from that point of view, I think we are very bullish and encouraged about our prospects going forward, not only in FY26, but also beyond that.

Deepak Sharma: Okay, sir. Just a part of this question, this last question. Sir, BSNL, you have computed the 1 lakh sites of BSNL. So if, suppose you are a BSNL, if you are competing with Bharti Airt el, Vodafone, or even Jio, then, at least, how many towers means how many 4G expanded towers required by the BSNL to compete with at least these three companies?

Arnob Roy: So roughly from what I know the BSNL has 100,000 towers, but many of the private operators have upwards of 200,000 tower s. So we do look forward to a lot of the expansion of BSNL network for them to be able to compete with those operators. And that is a significant opportunity for us, both in terms of expanding the 4G network as well as upgrades to 5G, which is p art of the tender that came out.

I mean, there's a significant number of 5G upgrades as well. So a lot of work is going on in that area, a lot of trials and testing and POCs are going on. And hopefully we should see some good business coming out of that, out of that incumbency that we have in th

e network.

Deepak Sharma: Okay, sir. T hank you.

Moderator: Thank you. We have our next question from the line of Hiren Kumar Desai, an Individual I nvestor. Please go ahead.

Hiren Desai: Thank you for the opportunity. My question was regarding employee benefit expenses. For l ast three, four quarters, it's around INR100 crores to INR110 crores. I'm assuming that this is all fixed costs. So what kind of revenue and E BITDA is required to have break -in on a quarterly basis?

Sumit Dhingra : Yes, so employee cost is predominantly fixed in nature. I think as we progressed over quarters, there has been an increase in the e mployee cost, mainly coming out of investments that we need to do in R&D and sales and marketing and other functions. So a part of our employee cost is also capitalized based on R&D projects that we are working on. So I think from the perspective of quarte rly revenue and the revenue required to break even, I think a large part of this cost, our general cost structure, other than the material cost is fixed in nature.

So depending on the - well, not giving the exact number, but depending on the margins that you assume, which is basically between 20 % to 30% range, that could give you the implied revenue required to be recovering the fixed cost that we have.

Hiren Desai: Okay. Yes , that answers my question.

Moderator: Thank you. W e have our next question from the line of Vimal Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Yes, thank you for the follow -up, sir. Sumit sir, can you help me with one more data point? For this particular year, what was the ESOP cost that we recorded in our P&L ? Last year, I think we were at INR107 odd crores. What would be that number for this year?

Sumit Dhingra: Vimal, it would be roughly around INR80 crores. We can give the exact numbers later.

Vimal Gohil: No problem. But this run rate is expected to be at this level or will reduce?

Sumit Dhingra: Look, I think it's a function of how we choose to reward employees over time . I think over the last couple of years also because of RSUs that were part of the transaction and otherwise, I think the expense s may have been a bit higher. But I think it would generally continue to be broadly at similar levels as well .

Vimal Gohi l: Fair enough. A nd sir, this NEC capital outlay?

Anand Athreya: Finish. Why don't you finish?

Vimal Gohi l: Sir, my question was on the NEC initiative. The capital outlay has been recorde d in our balance sheet already a nd which line item can we see that in?

Sumit Dhingra: No, it is not yet recorded. I think as we go along, as the project delivery milestones g et completed, you would see that progressively over the coming year. It will show up in intangible assets under development to begin with. Right now o nly a small portion has been recognized in the books.

Vimal Gohi l: Right. S ir, I interrupted you in betwee n. You may complete your response?

Anand Athreya: It's time for one last question, please.

Vimal Gohi l: No, I'm done. Thank you so much.

Moderator: Thank you.

Anand Athreya: Okay, can we close the call?

Moderator: As you see, sir. If you want to take another question, I will take another. If you want to close, you can close.

Anand Athreya: Okay, we'll take one more.

Moderator: The next question is from the line of Manoj Shah from Lexcorp Investments . Please go ahead.

Manoj Shah: Thank you for taking my call. I just wanted to check on this BSNL 4G upgrade order. Does that involve any contrac t for the maintenance part also o r it was just the one -time up gradation?

Arnob Roy: No, the BSNL contract includes mainten ance. There's a period of seven years after the network is commissioned. In fact, in general, any business anywher e we supply and deploy our equipment always co mes with multi -year maintenance and sometimes they get renewed year -over-year. But in this par ticular case, it's over multiple years. I think seven years of maintenance, which comes along with the contract.

Manoj Shah: And what will be the run rate per year for the maintenance?

Arnob Roy: There's no specific number that we can share for this.

Manoj Shah: Okay. And regarding this BSNL 5G, there is a news item that says that the government wants to upgrade it to 5G. So your company will get a first priority of some part of th e order will be reserved for you for that . Can you elaborate on that o r it wi ll be on a competitive bidding basis 5 G?

Arnob Roy: It's a combination. I think a lot of the 5G upgrade, which is going to happen in the same existing bands in which 4G is deployed, that will come through the upgrade of our equipment. And our equipment is designed for that. And even the original tender which we executed has scope for this 5G upgrade in those bands.

So those upgrades will come through our equipment . But there will be newer bands, some of the performance bands of 3.5 gigahertz and so on. So there we expect new tenders to come out. So 5G upgrade is going to be a combination of these.

Manoj Shah: What could be the size of this 5G order that you expect to get from this BSNL order?

Arnob Roy: Again, no specific numbers and it all depends on the number of sites they upgrade . But obviously it will not be as large as a fresh 100,000 site deployment, but based on th e number of sites the cost will be a fraction of the total base cost since these will be 5G upgrades. And it depends on the number of sites that get upgraded. That will determine our revenue. Bu t again, it's definitely significant in terms of several hundred crores for sure.

Manoj Shah: So it will be like for the 1 lakh sites which you have upgraded to 4G, so those will get upgraded to 5G, those 100,000 sites?
Arnob Roy: No, I don't think that al l of those sites will get upgraded to 5G.
Manoj Shah: It will be a fraction of that.
Anand Athreya: Okay. G uys, its 8.30. S o I want to thank everyone for participating in this call . Have a good evening. Thank you.
Moderator: Thank you, sir. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Jul 2025

July 21, 2025

The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET
The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595

Dear Sir/Madam,
Re: Q1 FY26 Earnings Conference Call - Transcript

Please find enclosed the transcript of the Q 1 FY26 Earnings Conference Call held on July 14, 2025 .

This is for your kind information and record.

Yours sincerely ,
For Tejas Networks Limited

Anantha Murthy N
Company Secretary & Compliance Office r
ICSI Membership No. A -1713 4

"Tejas Networks Limited
Q1 FY26 Earnings Conference Call"
July 14, 2025

MANAGEMENT : MR. ARNOB ROY– EXECUTIVE DIRECTOR AND CHIEF OPERATING OFFICER – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER - TEJAS NETWORKS LIMITED
MR. SANJAY MALIK – CHIEF STRATEGY AND BUSINESS OFFICER – TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Tejas Networks Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you, and over to you, sir.
Mohit Mishra: Good evening, everyone. Thank you for joining on Tejas Networks Limited Q1 FY '26 Results Conference Call. We have the management of Tejas Networks on this call represented by Mr. Arnob Roy, Executive Director and CEO; Mr. Sumit Dhingra, CFO; Dr. Kumar N. Sivarajan, CTO; and Mr. Sanjay Malik, Chief Strategy and Business Officer.
I would like to invite Mr. Arnob Roy to initiate with opening remarks, post which we will have a Q&A se ssion. Over to you, sir.
Arnob Roy: Thank you. Good evening, everyone, and welcome to the Tejas' earnings call for Q1. So first of all, just a quick update on our financials for Q1. We had a net revenue of INR202 crores, which was lower than our Q4 revenue s of INR1,907 crores. We had a loss of INR194 crores, which was was higher t han our losses in Q4 of FY '25.
And the order book at the end of Q1 was INR1,241 crores, which is higher than our closing order book in Q4 of FY '25. We also expect and we have be en intimated for winning an order of ~INR1,500 crores for the deployment of the BSNL expansion sites of 18,000 -plus in BSNL's 4G network, and we expect to be in receipt of the order shortly.
The revenue mix for Q1 was 81% of the revenue came from India an d 19% from international. And the mix of our order book, closing order book was 92% India and 8% international, still dominated a lot by our India business. So one of the key reasons for the shortfall of revenue in Q1 was the delayed receipt of PO and ship ment of ~18,000 sites of BSNL 4G network, which we were expecting to do in Q1 but has got delayed a bit.
For a few other customers, we also had delays in shipment, getting shipment clearances and also arrival of inventory. And in this quarter, our revenue was led by key shipments to several India Private and international customers.
Some of the key highlights for the quarter was that BSNL's 4G expansion project has got started, and they have TCS, our systems integration partner, has received the APO for a dditional 18,000 -plus sites. And they have intimated to us that the expected value of PO or supply of RAN equipment will be in the range of INR1,500 crores.
We also received an initial order for a private 5G deployment under BSNL's Captive Non -Public Network initiative. And while this is a small order, this is an important first order for us for this particular application of building private 5G networks.
We also signed a strategic partnership with Rakuten Symphony for developing integrated 5G Open

RAN s olutions and also take our combined solutions globally. We also entered into a partnership with Intel for integrating our SL -3000 Direct -to-Mobile (D2M) chipsets in their laptops and also partnerships with mobile manufacturers, such as Lava and HMD to launch D2M -enabled mobile phones using the SL -3000 chipsets.
We also started several POCs and engagements with multiple domestic and international o perator s for 4G and 5G radios, both in India as well as internationally. For our wireless business, we received our first order for BharatNet Phase -III with an SI partner for the supply of IP routers, and we are in engagement with other partners as well for othe r circles .
We supplied our GPON equipment for BharatNet La

st Mile Connectivity project in Gujarat. We received several run -rate orders for our DWDM equipment from a few Tier 1 Indian telcos for their 4G/5G backhaul capacity augmentation. We won several ten ders in the critical infrastructure sector also and for supply of wireline equipment to railway s, oil, gas and defense mainly for our optical products.
And from our existing customers, the international customers in Africa and Europe, we won network expan sion business for both our DWDM as well as our GPON equipment. We also launched our 1.2 terabit per wavelength DWDM solution earlier this year during Bharat Telecom event, and it was launched by the Honorable Union Minister of Communications of India .
A few other updates for the quarter are Parag Naik, our Execute Vice President, he was conferred the prestigious Pandit Deendayal Upadhyaya Telecom Excellence Award by the Ministry of Communications. We were recognized as the Supply Chain Leader of the Year f or Technology and Electronics at the SCM Middle East Conclave & Awards in Dubai. And we received PLI incentives of INR122 crores for Q3 of FY '25.
I'll now hand it over to our CFO, Sumit, for giving you details on our financials.

Sumit Dhingra: Thanks, Ar nob. Good evening, everyone. For the quarter ended June 30, 2025, the revenue for Tejas Networks was INR202 crores compared to the previous quarter's revenue of INR1,907 crores. Revenue is lower mainly due to delay in purchase orders, delay in certain inve ntory arrival s and shipment clearances for a few customers.

I think as Arnob briefly mentioned in his statement, our profitability for the quarter at EBIT level was negative INR232 crores. This is mainly driven by lower revenue s against which we have significant fixed cost s even though there was an improvement in material margin d uring the quarter, and also lower variable costs during the quarter helped partly offset the impact.

At PBT level, our profitability stood at negative INR297 crores, and the main difference is essentially finance cost of about INR75 crores. And PAT for th e quarter was negative INR194 crores. On the balance sheet side, inventory at the end of quarter was INR2,537 crores, slightly higher than the inventory for the previous quarter. The increase is mainly to cater to some of the purchase orders that are expec ted to get executed. And as we've been talking about in the earlier quarters, we've taken some advanced inventory actions for certain select components.

Our trade receivables stood at INR4,453 crores. We had collections of ~INR650 crores during the

quarte r. The trade receivables are on the higher side, but at the same time, against these, we have advances of about INR1,460 crores that are correspondingly also sitting in other liabilities. So on a net basis, the trade receivable number is lower to that exte nt.

Our cash position at the end of Q1 was INR545 crores and borrowings stood at INR3,990 crores. The increase in borrowings is mainly on account of working capital purposes as well as for certain capex -related investments that we have been doing over the quarters.

With this, I'll hand it over to Arnob .

Arnob Roy: Thanks, Sumit. So in summary, as far as our business outlook is concerned, driven by the continuing growth in data consumption, we see continued investments in fixed and mobile networking technologies worldwide, which is driving the growth of our business. And the key applications are the data center connectivity led by many of the new AI data centers, which are getting established, the continued digitalization of cities and economies, modernization of utility networks, the huge investments that are continuing to happen for broadband connectivity and the expansion of 4G and 5G networks globally.

So these contribute to our business drivers. And in line with those applications, we continue to inv

est in developing our portfolio. And over FY '25 and in Q1 of FY '26, we have exp anded our portfolio significantly and increased our addressable market. We continue to evolve our 5G solution s developing multiple 4G/5G radios over multiple bands.

We enhanced our portfolio with advanced 5G Massive MIMO radios, both our in -house ones an d with the partnership with NEC. We acquired a field -proven 4G/5G core with the licensing agreement with NEC, expanded our IP/MPLS router family to cover multiple access aggregation networks, including BharatNet.

We enhanced our optical portfolio with sta te-of-the-art transmission technology of 800 gigabits and 1.2 terabits per channel DWDM systems and enhanced our FTTx portfolio with 10 -gig PON products.

So the addressable market segments for our products are projected to grow globally. And our domestic opportunities include large projects in both private and government sectors, where the investment in networks continue in response to the huge demand in bandwidth. We have signed up several new customers and registered new application wins in both private and government sectors, which are set to expand in the current year.

Our partnerships with NEC and Rakuten are expected to give us access to global customers and expand our joint go -to-market opportunities in the international markets. And our continued investment in expanding our global sales footprint and strategic initial wins will give us strong momentum for increasing our international business.

In summary, we are bullish about our growth drivers, and we continue to invest in R&D and sales investment s and go -to-market as we look forward to growth in our business in the coming years. So with that, we will open the floor to questions.

Moderator: Our first question comes from the line of Vimal Jamnadas Gohil from Alchemy Capital Management.

Moderator: I'm really sorry to interrupt you. Sir, your line is breaking in between. Sir, still your line is breaking.

Arnob Roy: Should we move on and let him join again?

Moderator: Sure. Definitely. Our next question comes from the line of Pranav Kshatriya from Emkay .

Pranav Kshatriya: I have a few questions. Firstly, can you give some breakup on the India revenue? How much is that India Private and how much is the India G overnment revenue?

Arnob Roy: Okay. From this quarter, we've kind of stopped giving th at breakup because what we realized was that those numbers didn't have the clarity because a lot of the India revenue that we claimed as India Private based on the end customer, the direct customer was a private entity. But sometimes there are government as the end c ustomer and a private end customer as well. So that number was not very clear. That's why we kind of left it as India and International.
Pranav Kshatriya: Okay. Fair enough.
Arnob Roy: In general, as far as the past criteria is concerned, the way we used t o report, the India government revenues were around 16% of the total and 65% was India Private.
Pranav Kshatriya: Okay. Second question is that we've seen the quarter -on-quarter decline in employee costs. I mean how should we look at the employee costs goi ng ahead? And is it because of larger -- I mean, capitalization of some of the expenses?
Sumit Dhingra: I think there's a decrease in employee cost in this quarter, mainly on account of certain provision reversals that happened on account of certain exits in the company. And also, there were certain other variable pay provisions, which got reversed. In general, our employee cost is in line with our investments that we've been talking about, particularly on the R&D and international sales side. And we expect it to continue to increase going forward.
Pranav Kshatriya: Okay. One more question is, you talked about 4G and 5G proof of concept being employed with various international a

s well as domestic private customers. So my question is that how long should we see this culminating into the revenue?
Because if I look at -- you have in the previous call, very categorically clarified that FY '24 should be seen as a base and not FY '25. So from that point of view, how important is scaling up the 4G/5G proof of concept for revenue? And will that revenue come in this year? Or it's more likely to come in next year for - if at all this rectifies?
Arnob Roy: We are engaged with several POCs and other engagements with customers, both in India and internationally. And especially our partnerships with NEC and Rakuten was for addressi ng a lot more of the international customers in conjunction with them. And we hope to see some of the new business closures in 4G and 5G this year . We are in fairly deep discussions with multiple operators globally.

Pranav Kshatriya: Okay. And my last ques tion is that you used to provide the number of patents which are issued to Tejas Networks. Is that number updated – I mean, updated number is available? Or how should we see this trending?
Arnob Roy: Yes. The total patents that we have today are 548.
Moderator: Thank you. O ur next question comes from the line of Ritesh from Girik Capital. Please go ahead.
Ritesh: Thanks for the opportunity. A couple of questions on accounts. What does this pertain to allowance for expected credit loss of INR18 crores? Is this on BSNL or any other project?
Sumit Dhingra: It is across our customer base. And basically, every quarter, we do expected credit loss provisioning based on our metrics and as per accounting standards. And this is a combination of movement in the cr edit loss through the quarter. So it is not necessarily linked to any one particular customer. If you see our historical data, I think every quarter, we report this number, capturing the movement in the credit loss through the quarter.
Ritesh: And this INR 4,500 crores receivables , this would be more on a BSNL and what is his typical payment cycle on this?
Sumit Dhingra: A large part of it is on account of BSNL 4G project and there are other receivables as well. And the collection cycle on this is linked to certain milestones, which are related to project delivery and project execution and installation commissioning and thereafter, certain other steps leading up to the closure of or completion of the network rollout. So more than the timeline, it's linked to completion of those milestones.
Ritesh: Sure. So by September balance sheet, the majority of these receivables will be collected or it's a long duration?
Sumit Dhingra: We expect a reasonable reduction in these receivables over the next couple of quarters through the year.
Ritesh: Also, on the operational side, now this -- the 4G 1 lakh site is done. How is the review of the performance of this 100,000 sites a nd is there any fine -tuning needed or the project is as per the expected, your parameters?
Kumar Si varajan: This is Kumar. Yes , so the radios over 90,000 sites are deployed and functioning and the performance of the network is satisfactory. There's always some optimization needed in all mobile networks for improving coverage and reducing call drops and things of that nature. That continues, but the product performance is quite satisfactory.
Ritesh: Okay. That's great to know. Also, if you can comment on this initial order of the BSNL CNPN Captive Non -Public Network initiatives. So what kind of ord er size one can look at once this initial orders are happening?
Arnob Roy: Well, as I said, this is our first win and deployment of a private 5G network. It is a small order for

one of the utility companies. And as we complete our deployment over here, this could be a good

reference for us for many other applications like this in

India as well as globally.
Ritesh: So can we say that what you were doing for the government as a government business now can happen on this totally on captive power -- captive network ov er the next, say, 3, 5 years?
Arnob Roy: I didn't understand the connection with the government. It is our same standard products, which have a different application for the private 5G networks. And it's not connected with the government. Kumar, do you want to add?
Kumar Sivarajan: Yes. So the CNPN is just the term for what is normally called private 5G networks. So this is a network within an industrial complex or a mine or campus, which uses the spectrum of an operator because India hasn't auctioned sp ectrum specifically for private 5G. But then the network is built and operated by the private entity. So this is what is normally called private 5G and we're just making a beginning in that business.
Ritesh: Sure. That's all from my side. Thank you, sir.
Moderator: Thank you. O ur next question comes from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.
Pratap Maliwal : Yes, my line got cut in between, so I apologize if these are repeat questions. But just a couple of questions here on the BSNL expansion order, INR1,526 crores that you pointed out. So do we expect to receive it and then execute it within this financial year?
Arnob Roy: Yes, that's what the expectation is.
Pratap Maliwal: Okay. And just a follow -up here. So there was a news article where there was a statement by the Minister of State for Communications, who said that after successfully installing 100,000 towers on 4G, we'll approach the cabinet to approve another 100,000 towers. Probably a little premature to ask it, but then is there any detail or any color you can give me on this?
Arnob Roy: No. We have also read th is article. We've heard about it. And as of now, we have not received any intimation of the process of how that will go through, but we do expect to participate i n that if that comes and compete favorably in this opportunity.
Pratap Maliwal : Sure, sir. And regarding the BharatNet order, did you call out the order size that we are winning here in BharatNet?
Arnob Roy: What was the question BharatNet? What was that?
Pratap Maliwal : The order size, the order sizes that we are competing for here?
Arnob Roy: Okay. No, we don't disclose the order values per customer or per order. We don't do that.
Pratap Maliwal : Okay, sure. Thanks for taking my query.
Moderator: Thank you. Our next question comes from the line of Vikash Baid an Investor. Please go ahead.

Vikash Baid : I wanted an understanding of what is the total order book right now. And if you can give the breakup between BSNL and others because largely we are doing the work for BSNL. So the current order book as it stands and what is the expected in the current fin ancial year? What kind of order book are we expected to have in terms of our visualization of the work that may come t o us later ?
Arnob Roy: Yes. So the current order book is INR1,241 crores as we mentioned and this does not include anything from BSNL. It i s mainly our wireline business and some wireless opportunities, but this does not include any orders from BSNL. And as I said, we are expecting the add -on business of 18,000 -plus sites. And that's going to be a separate order. The value is going to be roug hly INR1,500 crores for us. But that's not what is mentioned in the or der book of INR 1,200 something crores.
Vikash Baid : Okay. And this is expected to come in the next couple of quarters, the BSNL order?
Arnob Roy: Yes, it's supposed to come and get execu ted in this financial year.
Vikash Baid : Okay. And are we also expecting such similar or larger orders from entities other than BSNL?
Arnob Roy: As I said, we are engaged with several operators in India as well as global

ly for our 4G/5G products.
So in ter ms of size, I mean, what we saw last year of 100,000 sites, a single order. I don't think we'll have something of that size, but we're looking at multiple opportunities and multiple operators with smaller size network s.
Vikash Baid : Okay, sir. Thank you.
Moderator: Thank you. O ur next question comes from the line of Khush Gosrani from InCred Asset Management. Please go ahead .
Khush Gosrani : Hi, sir. Thank you for the opportunity. I f you could just highlight more on the recent Rakuten, the partnership that w e have done. And what kind of products we could cross sell and what kind of -- just if you could give more flav or on it, that would be helpful?
Kumar Sivarajan: Yes. So Rakuten is a well -known provider of one component of the Open RAN solution, what is

called the CU /DU. So we are working with them to offer a joint solution with Rakuten CU /DU and Tejas radio units to customers worldwide. So that's the nature of the collaboration.
Khush Gosrani: Sure. And so how Rakuten equipmen t have been used, so where majo rly what my understanding was in Japan. But outside Japan, how has been their performance?
Arnob Roy: I believe they are used in Japan and Europe and other places around the world. I'm not aware of all the countries they are used in.
Khush Gosrani: Sure. G ot it. And in terms of our balance sheet, the inventory, would we n eed to invest more post the INR 1,500 crores for the 18,000 sites? Would we require more debt to increase our inventory to procure the inventory, or the debt level should remain around INR 4,000 crores?
Sumit Dhingra: I think we've made significant procurement for that order, but we may need to still do some

incremental orders, particularly where the lead times are not as high. Regarding your question on whethe r this would increase the debt or would it come down, I think it's a function of when the orders materialize vis -a-vis some of the other working capital movements. So difficult to comment on the debt levels from that perspective.
Khush Gosrani: Sure. And l ast question would be, what is your capex plans for this year, if you could highlight on that?
Sumit Dhingra: I think we continue to invest on the R&D side and also to some extent on developing our supply chain for the increased product portfolio or expand ed product portfolio as we go along. In addition to that, as we announced a couple of quarters back, we had technology collaboration with NEC. So some of these aspects are essentially what are going to drive our investments in capex over the next few quart ers. Beyond that, I think it will be difficult to give a number around that.
Khush Gosrani: Okay. But it should remain similar to last year's level of INR 650 crores? Or...
Sumit Dhingra: I think progressively, it may increase a little bit. And in addition to that, there would be an impact of NEC -related investments that we've talked about. So all that would cumulatively impact the capex for the year.
Moderator: Thank you. Our next question comes from the line of Ritesh from Girik Capital .
Ritesh: Yes. The q uestion is on BharatNet . Several people have announced a huge order win, but we haven't got many orders or is the PO getting delayed on that? Your comment, sir?
Arnob Roy: No. As I mentioned, we've also started receiving orders for the BharatNet project fo r our routers. I think the people who have announced the large orders are the system integrators (SIs) who have won the tenders in different circles. And their order consists of not only the equipment but also fiber and deployment and services and building NOCs etc.
So the SI s who have directly participated in the tender, they have made those announcements for the projects. But as an OEM, we are going to be suppliers to those SI s. And we are working with them for supplying -- for signing up ag

reements for the supply of our rout ers. And we got our initial orders, which I talked about.
Moderator: Thank you. Our next question comes from the line of Khush Gosrani from InCred Asset Management .
Khush Gosrani: Just on the receivables side, you mentioned it would be on milestone basis t hat you will receive on the previous BSNL order. But these milestones should get completed in next 1 year or it will take more time to reach these milestones? How should we think about it?
Sumit Dhingra: A large part of it should get collected during this financial year. There will be a small portion, which could go beyond that as per the milestones, but significantly large part should get done this year.
Moderator: Our next question comes from the line of Karan Raja from 54 Ventures .

Karan Raja : Sir, to pr evious participant, we spoke about the 2 circles where we have been considered and been awarded the PO for the BharatNet deployment. Would you be able to share the number or perhaps a range for the circles where we may not be considered?
Arnob Roy: No, there is nothing like that. There are multiple SIs who have won different circles. And most of them have bid our equipment as one of the OEMs for their router supplies. As of now, we are in discussions with many of them, and in some cases we are going thro ugh testing, certificatio n and related activities .
So w e are in discussion with many of them for supplying our routers for their circles. And that's where things are at present . So it will not be possible to say where we are going to be finally deployed.
Karan Raja : No, that's fair. Thank you for that clarification. Another question, and perhaps this was discussed in the past. In our previous calls, there has always been an option or a prospect for Kavach deployment. Can you please speak about that? Is tha t an opportunity we are still considering or not?

Sanjay Malik : No, I think Railways also is going to go for this captive network, and they are considering various technology options as of now. So we are definitely engaged with th em. And yes, the tender ha s got delayed a little bit. But once it is released, we would be one of the strong contender s for it.
Karan Raja : All right. So a couple more questions. One, considering the recent geopolitical actions, my assumption is that telecom equipment now becomes c ritical and especially indigenous telecom equipment becomes critical as part of national security. Have we received any interest from the Ministry of Defen ce or any other undertakings for any form of project?
Arnob Roy: So we are engaged with the defen ce sector for their upcoming opportunities. As you know, in the past, we have supplied to defen ce networks for multiple projects and for various applications. So we remain engaged right now. As of now, there is no major specific project to really talk about, but there are several discussions ongoing for multiple applications.
Moderator: Our next question comes from Ritesh from Girik Capital .
Ritesh: The question is on NEC collaboration. So the entire investment will happen in this year itself? Or will it be ove r FY '26 and '27?
Sumit Dhingra: A large part of it will happen this year. I think maybe a small portion could trickle down to the next year as well.
Ritesh: Okay. And what are the -- when do we see the revenue flowing out of this investment?
Arnob Roy: Yes. As I said earlier , we are engaged with multiple customers, including the existing customers of NEC. And we hope to see some wins and project closures in this financial year.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Arnob Roy: for closing comments.

Arnob Roy: Thank you. So I would like to close by saying that our global business opportunity

and market
driver s still look quit e strong based on the demand for data and bandwidth growth. So we remain bullish about our future, and we continue to invest in R&D for developing, expanding and evolving our products as well as invest ing in partnerships and sales growth globally in line w ith the opportunities that we see. And over a period of time, we do see significant growth in our business as we continue to execute on our business plans.
So thank you, and thanks to everyone for taking the time and attending the conference. And with that, I'd like to close the call. Thank you.
Moderator: Thank you. On behalf of Tejas Networks Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Nov 2025

October 28, 2025
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q2 FY26 Earnings Conference Call – Transcript

Please find enclosed the transcript of the Q 2 FY26 Earnings Conference Call held on October 17, 2025.

This is for your kind information and record.

Yours sincerely ,
For Tejas Networks Limited

Anantha Murthy N
Company Secretary & Compliance Officer

Encl: as above

“Tejas Networks Q2 FY'26 Earnings Conference Call ”

October 17, 2025

MANAGEMENT : MR. ARNOB ROY - EXECUTIVE DIRECTOR AND CHIEF OPERATING OFFICER , TEJAS NETWORK S
MR. SUMIT DHINGRA - CHIEF FINANCIAL OFFICER ,
TEJAS NETWORK S

DR. KUMAR N. SIVARAJAN - CHIEF TECHNOLOGY
OFFICER , TEJAS NETWORK S
MR. SANJAY MALIK - CHIEF STRATEGY AND BUSINESS
OFFICER , TEJAS NETWORK S
MODERATOR : MR. PRANAV KSHATRIYA - EMKAY GLOBAL
FINANCIAL SERVICES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Tejas Networks E arnings Conference Call Hosted by Emkay Global Financial Services Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Pranav Kshatriya of Emkay Global Financial Services Limited. Thank you and over to you, sir.
Pranav Kshatriya : Good evening. I would like to welcome the Management and thank them for this opportunity.
We have with us today Mr. Arn ob Roy – Executive Director and Chief Operating Officer ; Mr. Sumit Dhingra – Chief Financial Officer ; Dr. Kumar N. Sivaraj an – Chief Technology Officer, and Mr. Sanjay Malik – Chief Strategy and Business Officer.
I shall now hand over the call to Management for the opening remarks. Over to you, sir. Thank you.
Arnob Roy: Hello. Good evening, everyone, and welcome to Tejas Networks ' Quarter 2 Earnings Call .
I am on the first slide. Our Q2 revenue was Rs. 262 crores as opposed to Rs. 202 crores in Q1. Profit after tax was a loss of Rs. 307 crores as opposed to a loss of Rs. 194 crores in Q1. And this loss included inventory and warranty-related provisions of Rs. 190 crores, and we will be discussing the details later on. We ended the quarter with an order book of Rs. 1,200 crores as opposed to Rs. 1,241 crores in Q1. Our revenue mix for the quarter was again 79% of our revenues were in India and 21% international. Our order book mix was largely India, 93%, and 7% international.
So, in summary, in Q2, one of the reasons for the smaller revenue and bookings was the delay in the receipt of BSNL 4G add-on PO of Rs. 1,500 crores for 18k sites. As we had mentioned earlier, TCS has received the APO, but it has not yet got converted into PO. And we are waiting for BSNL, who has just launched this service across 97,000 sites. And as soon as they are ready to take in the additional equipment for deployment, that's the time when we expect the POs to be issued.
The quarter's revenue was led by key shipments to our India private customers and international customers. And Rs. 190 crores of additional provisions included the provision due to contract manufacturing process losses, which happened during the large manufacturing that we do, and as well as additional provisions for warranty and inventory obsolescence. So, a total of Rs. 190 crores was additional provisions that were done for the quarter.

A few highlights for the quarter :
For our wireless business, the big event was the inauguration of BSNL's nationwide 4G network by the Honorable Prime Minister. And as of today, 97,500 cell towers are running on our 4G RAN products. So this has been a very significant achievement. In launching this network, we have become the fifth country in the world to have a complete 4G /5G technology stack. This network is carrying four petabytes of data traffic daily and has 26 million active subscribers. So it is carrying network traffic to scale and has been performing extremely well in all metrics, in all comparisons that you can think of.
We recently had the Indian Mobile Congress event. And during that event, we launched our new 64T 64R massive MIMO radio. And this was launched by the Honorable M oC. We also successfully completed our first 5G RA N deployment under BSNL's captive non-public network program in a coal mine in MP. We also successfully completed 4G /5G RA N POC in a mobile operator 's network in South Asia. And we expect to convert this into a successful commercial order for this network.
We also started multi

ple POCs, which are ongoing, and other engagements with domestic and national operators for our 4G and 5G radios. And finally, our SDR chip, the SL3000, has been integrated into multiple smartphones, feature phones, and laptops. And this is going to be a boost

for the D2M, the direct -to-mobile application that we are pioneers of, both in terms of end devices, as well as the radio transmission equipment.
For the wirel ine business, we won the additional BharatNet Phase -3 orders from multiple system integration partners for our IP /MPLS routers. And we now are going to be the supplier of the largest number of packages for BharatNet Phase-3. We launched our state -of-the-art 1.2 Tbps DWDM transmission system product at the Indian Mobile Congress. We won multiple 400- gig deployments for customers in India, Europe, Cambodia, Ghana, Nigeria. We deployed our first 10-gig CPON or combo PON solution in Europe. And we continue to receive expansion orders from private telcos in India.
A few other updates. Dr. Randhir Thakur joined our Board as non-executive and non-independent Director. Dr. Thakur is the CEO and MD of Tata Electronics, with over 40 years of experience in the semiconductor industry. He was the president of Intel Foundry Services and Corporate VP and Chief Supply Chain Officer in Intel Corporation. He has held leadership positions in Applied Materials , SanDisk, Micron Electronics , etc. , and we hope to leverage his extensive industry experience in guiding us in our product strategy, in our semiconductor strategy, as well as in evolving our supply chain strategy.
One of the other highlights was Tejas was shortlisted as the finalist of the “ 2025 Network X Awards” in Paris, in the category of the “ Most Innovative Optical Transport Use Case” for our “Intelligent Alien Wavelength Solution ”, with which we have won multiple customer network

opportunities based on this technology. During the quarter, we filed 39 patents and the total number of patents s tands at 587.
I will now hand over to our CFO, Sumit, to walk you through the detailed financials.
Sumit Dhingra: Thanks, Arn ob. Good evening, everyone.
Our financial update for the quarter is as follows :
For the Q uarter 2, we did a revenue of Rs. 262 crores compared to Rs. 202 crores in the previous quarter, which implies a quarter -on-quarter growth of about 30% .
EBIT for the quarter was negative Rs. 394 crores compared to negative Rs. 232 crores in the previous quarter, and PBT of negative Rs. 473 crores compared to negative Rs. 297 crores in the previous quarter.
I think some of the profitability figures are impacted with the provisions and charges that we have incurred during the quarter, as Arno b briefly mentioned in the initial section. Adjusting for those expenses, EBIT would have been negative Rs. 205 crores and PBT would have been negative Rs. 284 crores . These expenses that we are talking about primarily consist of two buckets. One is provisions for inventory obsolescence and write -down of about Rs. 145 crores, which is mainly on account of c ontract manufacturing process losses, design changes, and other related matters. And warranty expenses or warranty provisions amounting to Rs. 44 crores for the quarter determined on the basis of potential fault rates, repair requirements, etc. based on what we see in the field.
Moving on to the next slide, which talks about key balance sheet items :
Inventory for the quarter at the end of the quarter stood at Rs. 2,383 crores. It has come off slightly compared to the previous quarter, and it will be converted to finished goods and shipped in the upcoming months. As we have explained in some of the earlier calls, we have taken advanced inventory action in anticipation of some lar ge orders and hence the inventory number is high. And as those orders materialize, we will sort of be able to convert into fi

nished goods
and ship them out.
Receivables for the end of the quarter stood at Rs. 4,026 crores. We collected Rs. 700 crores during the quarter and receivables continue to be on the higher side on account of BSNL 4G order -related collections that are linked to certain milestones, which will get completed over the next 2 to 3 quarters. We expect to get a significant amount of these collections through during this year.

Payables have come down from Rs. 580 crores to Rs. 355 crores. And borrowings for the quarter at the end of the quarter stood at Rs. 4,166 crores. A large part of these borrowings is for working capital purposes, mainly because of higher inventory and receivables. And is expected to come down as we realize the working capital. Partly, this borrowing is also on account of CAPEX that we have been incurring in ramping up our product portfolio.
With this, I will hand over to Arno b to continue .
Arnob Roy: So, to conclude, our long-term outlook is positive. We are very bullish about the Company's

future business. The driver for our business still remains strong. And there are rapid technology transitions that are happening, which give us the opportunity to enter new customer accounts and new territories as we evolve our product portfolio in line with those changes. So, from a trend perspective, the data consumptio n, both fixed and mobile, continue to grow rapidly. New AI applications are driving traffic growth across the network. 5G deployment is predicted to continue till 2030, when 6G standardization comes in. And 4G deployments are still expanding in emerging markets. So, both of these give us a good opportunity to grow our wireless business in international markets. There are massive investments happening in AI data centers, driving huge connectivity requirements, which will drive our networking business. 400G WDM is growing rapidly, and there is early adoption of 800G WDM, which is happening, and our products are in time and proven to leverage this growth that is happening in the backbone, connecting to business. 10G PON is starting to pick up in emerging markets, and 50G PON is getting deployed in advanced markets. So, our product portfolio, which has the 10G PON products, and as we are working on a roadmap for developing 50G PON products, these are in line with the emerging growth of these products in these markets. And we continue to invest in our product development and sales expansion. There's a lot of activity which is happening on the wireless front, and I will hand it over to Kumar to talk through our wireless plan.

Kumar Sivarajan: Thank you, Arno b. So, we have completed deployment of the 4G network and BSNL. Arno b talked about that, and those radios are upgradable to 5G in whatever bands they are. However, since that, over the last two years, we have been working on a brand new portfolio of both the radios and the baseband unit that goes at the bottom of the tower for 5G. So, we have developed radios in the entire frequency band, going from 450 megahertz at the low end to 4.9 gigahertz at the highest end. The radios in 3.5 gigahertz and 4.9 gigahertz are massive MIMO radios. We exhibited some of them at IMC, and the massive MIMO radio in particular that we have at 3.5 gigahertz, which is also the India band for 5G, is 64TR, 64 transmitter, 64 receivers, has 320 watts of power, and matches the best in industry that is available today. In addition, in order to be able to address the global market for 5G, we are developing variations for every continent that we are engaged in. So, for example, for 700 megahertz, we have the radio for India, which is in ba nd 28. We have a variation of the radio for Africa, which is in band 20, as well as one for

Latin America, which is band 12. They're all nearby. So, we are investing in products, especia

lly

radios, to address the entire market worldwide. We are also ensuring these are state-of -the-art and competitive with the best available. There are also two schools of thought when it comes to 5G. One is the traditional 3GPP approach , where the entire radio network comes from one vendor. There is also the Open RAN movement, there's an O -RAN alliance, where you try to separate the radio from the rest of the access network, which is called the CU /DU, the Centralized Unit and Distributed Unit. So, we are investing in both. We are O -RAN compliant. We can also deploy as per the 3GPP architecture. When it comes to O -RAN, in order to be able to interoperate with multiple other partners, we have partnered with both NEC and Rakuten to address the O -RAN market. Particularly with Rakuten, we can supply our radio units and their CU/DU software, and with that, we can address customers worldwide who are looking at O - RAN.

While we are deploying 5G today in most markets, we are also deploying 4G in markets such as Africa, where there is a lot of 4G yet to be deployed. The world is also looking at 6G, and in particular, India is looking to lead in 6G. The government has made announcements that we should lead the world in 6G while we are marching with them in 5G. So, to participate in this, we have been active in the standardization bodies around the world for 6G, primarily 3GPP, but also the O -RAN Alliance, something called TI P. We also participated in ITU along with the rest of the India delegation. And here, we are trying to understand the thinking around 6G from the rest of the world, including other OEMs, other operators. We have our own contributions to achieve the goals of 6G that have been set out, which includes ubiquitous connectivity, use of artificial intelligence, integrated sensing, and we are also developing our own intellectual property in these areas. And our goal is to have a 6G product as early as possible in l ine with the rest of the market and not lag there. So, on international engagements, we are engaged in markets, particularly in the developed markets, as an open RAN architecture with our RUs, with our partners. We are also engaged in developing markets for a full 4G and 5G solution, which includes Africa, Asia, rest of Asia, and Latin America. And we are seeing traction for our solutions, 4G, 5G, and O pen RAN in these markets.

Arnob Roy: Thanks, Kumar. I also mentioned the huge data growth that is happening, which is driving the expansion of the backbone networks. And as I mentioned, we are winning a lot of 400 gig deployments, which are peaking right now. And as we speak, we also expanded our portfolio with 800 gig and 1.2 terabit product launches and we look forward to leveraging the transition and growth in that market as the technology evolves to 800 gig and 1.2 terabit. We are also investing in evolving our data center interconnect products to leverage the interconnect growth that is happening because of the massive investment in AI data centers. And in our optical products, we had several strategic wins in Europe, Africa, and Asia for our optical products. And this gives us momentum for our international business expansion.

So, in summary, we continue to invest and remain bullish about our future based on the trends that we see across the business, across customers and technology trends that we see.
So with that, we come to a close of our opening statements, and we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Hiren Kumar Thakurl al Desai, an I ndividual Investor. Please go ahead.
Hiren Desai: Hello. M y question really is the fact that now I think we are pretty much done with the BSNL order, although the add- on is likely and maybe 5G upgrade is likely. But in the absence o

f the
business, do you have an estimate of what is our run rate rev enue required for the breakeven given that we have larger R&D investments, etc. ?
Arnob Roy: As of now, we don't have the data to discuss the breakeven revenue number.
Hiren Desai: Okay, the second question is , are we likely to get these orders in current financial year or mostly likely to spill over?
Arnob Roy: I think, as you know, we have taken a lot of proactive action in building the inventory and in the components as well as some of the finished goods. And we know that the TCS has received the advance purchase orders. And we expect that as soon as BSNL is ready to expand the ir network, these purchase orders will be issued and we are expecting them in this financial year. All of these may not get shipped in the current financial year based on when the PO comes. But yes , we are expecting the PO to come in this financial year.
Hiren Desai: And now that we have deployed 4G, are we sort of in the stage of POC or something of that sort either with private operators or outside of India?
Sanjay Malik : So, with the current portfolio which we have and whatever we are developing which Dr. Kumar covered, yes, we are engaged with quite a few operators in India and a lso in the international market s. And definitely, yes, all these engagements go through multiple technical discussion s and maybe POC s. So, with that, we are expecting some closures with the international operators also going forward.
Arnob Roy: Also what we are seeing is that it is a little longer cycle from the time of initial engagement through the technical discussions and POCs . But quite a lot of engagements are in fairly advanced stages as well.
Hiren Desai: So, one last question is, this quarter and last quarter, previous quarter, we had some of this write down of, I don't know, some manufacturing related losses or inventory as you mentioned. Are we pretty much done with it or it might go on for another quart er or so?

Sumit Dhingra : I think some of these aspects related to inventory evaluation for realizable value, for obsolescence and marketability, etc., these are ongoing efforts that keep happening for us and for everybody else in the manufacturing domain. So, to that extent, I thin k whether it is related to obsolescence, whether it is related to scrap or design changes, all those evaluations are an ongoing affair . I think to some extent they are contract manufacturing related or process related losses.
These typically would be on account of the large manufacturing that we undertook over the last few quarters , and I think is something that we don't expect to have recurrence of that in large numbers. But other than that, I think the ongoing efforts on ensuring that we reflect the true picture of inventory is something that as a policy would continue going forward.
Hiren Desai: Okay. Thank you. That's it. I am done.
Moderator: Thank you very much. The next question is in the line of Vidhan Kumar from Chanakya Capital. Please go ahead.
Vidhan Kumar: Just wanted to ask, is Tejas capable enough or does it plan to make itself relevant in the whole process of value chain of data center building? And on the lines of the same question, TCS announced a $4 billion to $5 billion of investment in data centers. So, can we assume that Tejas is going to get some of the revenue slice from there?
Arnob Roy : So, I think first of all, let me explain where are we, which part of the data center business is connected to our products. So, we don't build data centers. We don't build the equipment that goes inside the data center, whether it's the AI data centers con sisting of GPUs or high-end servers and all. But what we do is these data centers that are distributed across nations, globally, and they require a very high bandwidth connectivity between data centers and also fr

om users to those data centers. And what we are also seeing is that the AI data centers, given the amount of consumption of power and other infrastructure, I mean, they are kind of getting built in a distributed fashion in clusters, and they also require very low latency, high bandwidth connectivity between data centers. And that's where we come in. We build the connectivity equipment, the networking or the transmission equipment, which provide this low latency and very high bandwidth connectivity between data centers. So, yes, as the dat a center market grows, our business will benefit not because we build the data centers or the equipment inside, but the connectivity that is required between data centers or between the users and data centers . That's where our business will grow as a result of the expansion of the data center market. So, the question of TCS investing in data centers, yes, I mean, a similar kind of opportunity will come our way but we have to obviously compete for those opportunities . As TCS builds those infrastructure, yes, the connectivity requirements will create an opportunity for our products and business. And yes, we have to compete for it, but that's going to be a strong opportunity for us as well.

Vidhan Kumar: Okay. Just a follow -up question. So, in case of TCS awarding this communication, , is it a chance that you need to compete with the likes of Cisco or is it something that is automatically understood that this will directly go to Tejas Network ?

Arnob Roy : No, fo r the TCS investment you meant?

Vidhan Kumar: Yes, in that part of it. Ye s.

Arnob Roy : It's not, no, this business will not come automatically . We are all independent companies and on top of that we are related parties. We will have to compete for it and we have to make sure our solutions are on par or better than competition. But yes, you know, the thing is that we will have the opportunity to engage, because they are part of the group and that's where it would really end. We will get a fair chance at bidding for those and getting an opportunity to compete.

Vidhan Kumar: Okay. That's all from my side. Thank you.

Moderator: Thank you very much. The next question is from the line of Thadava rthi Sai Surendra , an Individual Investor. Please go ahead.

Thadavarthi Sai Surendr a: Hello, sir. This is Sai Surend ra, an investor. Congratulations on the launch of the Ojas64 M assive MIMO radio. It is a great achievement for Tejas and for India. But Q2 is a bit soft. So, can we expect some visible improvement in Q3?

Arnob Roy: Actually, as you know, we don't give guidance on our quarter to quarter or yearly performance in terms of actual numbers. What we try to do is give you a general outlook of the business environment, the drivers for our business and our own opportunities, our own inve stments in these areas to really leverage the opportunities that we see. So, from that point of view, yes, Q2 has been soft, as you said. But the business, the macro business environment remains strong and continues to grow . And on the basis of that , even today, we continue to invest very significantly in R&D and products and also sales expansion because we are bullish about our future and what we can leverage from the opportunities that we see. So, I think that probably gives you an indicator of what we see, where we see the future of our business, without getting into any specific quantification of future quarters or yearly performance.

Thadavarthi Sai Surendr a: Okay, sir. Thank you.

Moderator: Thank you very much. The next question is from the line of Gaurav, an Individual Investor. Please go ahead.

Gaurav: Good evening, everyone. So, my question is about our future plans . So, as you know, we have been making negative profit last couple of quarters. And I heard you talking about the future plans, the POs and all the ties

and businesses, very optimistic plans. So, I want to understand

from your risk assessment, what are the top two risks you see, maybe, let's say next one year, which may hinder your plans? And what is the mitigation plan you have for those risks?

Arnob Roy: I think the risk would be if you are not able to execute on our plans of our product development. And, if our products don't succeed in the opportunities in the trials, and the opportunities that we have in hand, I would say that is the only risk that we see of not performing. The opportunities are clearly there. And it is for us to execute with our expansion plans in the international markets as well as our product development. So, as long as we beat our product roadmap, and our products perform well in customer networks, in trials and in POCs, I think that is where the risk mitigation really comes in. And that's the only risk that we see. And that is re ally under our control as well.

Gaurav: Okay, thank you.

Moderator: Thank you very much. The next question is in the line of Amit, an I ndividual Investor . Please go ahead.
Amit: Good evening, sir. My question is that, what margins we play? This write -offs and all the things which are coming after the execution, we are in profitability or loss?
Sumit Dhingra: Sir, you're talking in context of this quarter? Or is that a general question? I am not able to follow.
Amit: Every order, in every order when we execute, what margins are coming, and after all costing, and on net profit, I am asking over the net profit, the last three years, you are having good profits, but in last three quarters, you're right down around Rs. 600 crores -Rs. 700 crores . So, you are talking about the inventory, after inventory countdown, that's why I am asking this question.
Sumit Dhingra: So, for all the projects that we bid for they are with an underlying assumption of reasonable profitability, I think we don't get into specific project level profitability disclosures. But if you look at our material margins, as per the disclosed statements, that would give an indication of where the project level profitability, or if you look at gross margin disclosures, that will give you an idea about the project level profitability. I think what I can share also is that the profitability for international deployment or international projects are typically higher than what we see from the Indian customers, but at the same time, for all the customer segments that we have, we are able to manage good profitability levels at all the customer segments. I think that the point on the recent quarters where the provisions and charge offs have been made, I think this also has to be looked at in context of the large magnitude of orders that we executed in the previous year. And also, some of the initiatives that we undertook, as we explained a couple of quarters back also, is that as we are coming off from that large project execution, I think w e undertook reviews of inventory, we undertook reviews of the manufacturing arrangements with our contract manufacturers, and some of these are s temming out of that initiative.

Amit: My question is that in large orders, after completing all the things and all the provisions, we are in negative or profitability?
Sumit Dhingra: No, generally we don't have negative profitability for any of the projects that we execute.
Amit: Okay. And second, for the future, it's like coming 2 to 3 years, you are going to achieve good big numbers. I am not asking about the guidance, but do you see bullish nature coming, continuing or 3 to 4 quarters languishing?
Sumit Dhingra: Look, I think without getting into specific quarter level guidance, I think we continue to remain positive and bullish about the opportunit ies that we are participating in. What you see over the last

2 to 3 quarters or even a longer period, we have demonstrated our capability of our product s and our execution over a large project in wireless, which was the first project that we were executing of this scale and of this nature, and also the large orders that have been executed in the previous two years on the wireline side. So, I think what I am trying to say is that we have all the ingredients and all capabilities in place to benefit from the opportunities that we have in front of us.
Amit: No, as an investor, I am asking that your past is very good, very excellent. And future, you expect double, triple or less than past?
Arnob Roy: Yes, see, as Sumit said, we do not quantify our future.
Amit: No, you quantify the market, what big market you are, means 10,000 crore, 20,000 crore, 50,000 crore, which type of market you are, means 4G deployment, 4G stack, in international India market, what volumes will be in the market and how much you can capture?
Sumit Dhingra : So, I think, broadly speaking, both wireless and wireline segments are upwards of $ 25 billion to $30 billion of annual opportunity globally. And over time, we would wish to participate in a meaningful manner in this market and have a reasonable market share. Beyond that, I think it will be difficult to give any specifics.
Amit: You can elaborate this 30 b illion into 1 ,000 crore, how much Rs. 1,000 crore market is there?
Sumit Dhingra : US$ 30 billion is, INR 2 lakh crores roughly.
Amit: And you can, you have expectation of 10% to 20 % or 30% whichever scenario you take, can we have 25% market share ? We are using, well, there are six companies, like Tejas, Nokia, Ericsson and we are a very new company, but we are in, what share we can get and what marketing is set, so we can get this type of percentage of market ?

Sanjay Malik : Yes, so basically there is a large addressable market size for the wireless and wireline equipment that we make. Now, on the wireless, basically, as you know, that the BSNL project, we started about two years ago, and we have entered into that, and then now we are into kind of some of the global opportunities also. So, I think maybe difficult to give a specific numbe r of market share as of now, but definitely we will be growing in the international area.

Amit: Actually, as an investor, we want to stay invested or not, we have to decide, in 3 or 4 quarters, I am not saying that one quarter, two quarters, three quarters, four quarters, in next two years, three years, we remain invested and we want to go through that we would be there . If we would be not there, why we are invested. So, we have to take a chance. So, some numbers, some data, that this is the market like 2,000 crores -50,000 crores . When we have executed, we are very good in the execution, we are very good in 4G stack, 5G stack, you are launching new products, but why selling is not come, that is the main motto, our company sells, our company get 20%, 30% share, that is an achievement, and so inve stor can be sticking to your company and ownership maintained. E very quarter we have lost, we are not having any percentage of market share, what is the exact pipeline for next 2 or 3 years any data you have to share with us, as investor s.

Arnob Roy : Yes, so we don't give 3 -year pipeline, we all share the order book as it is, as it exists, and that's the number.

Amit: In the previous call, you have given that order book, which has a TCS PO, but nothing you have shared, . As a company investor, as a minority investor, we want to know what is going on in the company . We are only seeing the data in the share market, in the anticipation that company is going to be Rs. 200, Rs. 100 in data, the future is very bleak, you are saying future is very bullish , but numbers are not presentable . These write offs are very late, not at the manufacturing stage, you have a

fter completing project, 3 quarters, you are writing off, it is not a good thing.

Arnob Roy: Yes, I think, thanks for your question, I understand your frustration.

Amit: Corporate governance is very necessary . As minority investors are there, there is no words, no guidance, nothing you have, your management is giving us, we are in the black only, what is the white, we don't know what is going on, every quarter write downs, every quarter finance cost, every quarter government's money. comes late, but you have to follow up, and timeline is there, when milestone will be coming, in third quarter, fourth quarter, fifth quarter . Why every quarter interest is paid, you have to get the investor to know, in fourth quarter, in this financial year, we will close our debts . So we have to get a complete guidance on this.

Arnob Roy: Yes, I understand, we try to be as transparent as we can.

Amit: As a Tata Group company, if disclosures are not made, it is not good, sir. I am also an accounting professional, if I am not giving my numbers to my owners, or anybody, and I am, if I try to hide

it in papers, then truth will come out sometime when the company has failed completely. You are doing research, that does not mean anything. Your R&D and everything is good, you got good things from Prime Minister, but money is everything and EPS, nothing else. A nd the last is EPS, what is company, the net worth is eroding or still there? Y ou are in the stage of, starting the stage of, means your reserve surplus is Rs. 3,300 crore, from this Rs. 500 crore is minus, and at what quarter you will, you are multiplying, or decreasing the reserve surplus ?

Arnob Roy: Yes, so thank you for your questions, I think we have disc losed whatever we can disclose.

Amit: Not in a fair manner sir, today many listed companies are giving, like, Zomato whichever is the listed company they are giving very fair practices. As Tata Group Company you are not giving full guidance.

Arnob Roy: No, I think we have right from the beginning, we have not been, we do not give guidance, except for the environment.

Amit: Why you don’t give guidance?

Arnob Roy: I think, it is really time that we give to other people who need, who will also have questions, so I really request you to.

Amit: Okay, thanks, sir, please, quarter -on-quarter guidance needed .

Arnob Roy: Sure, thank you. C ould you give a chance to the others in the queue, please ?

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Arnob Roy: So, once again, thanks everyone for participating in the call, and I look forward to interacting with you all, at the end of Q uarter 3 as well. Thank you very much.

Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

N
ote: This transcript has been edited for clarity and readability and does not purport to be a verbatim record of the proceedings

Call: Jan 2026

January 16, 2026

The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G, Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET
The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595

Dear Sir/Madam,
Re: Q3 FY26 Earnings Conference Call - Transcript

Please find enclosed the transcript of the Q 3 FY26 Earnings Conference Call held on January 09, 2026 .

This is for your kind information and record.

Yours sincerely ,
For Tejas Networks Limited

Anantha Murthy N
Company Secretary & Compliance Officer

"Tejas Networks Limited
Q3 FY '26 Earnings Conference Call "
January 09, 2026

MANAGEMENT : MR. ARNOB ROY– EXECUTIVE DIRECTOR AND CHIEF OPERATING OFFICER – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER – TEJAS NETWORKS LIMITED
DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY OFFICER – TEJAS NETWORKS LIMITED
MR. SANJAY MALIK – CHIEF STRATEGY AND BUSINESS OFFICER – TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Tejas Networks Limited Q3 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the con ference call, please signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you and over to you, sir.

Mohit Mishra: Thank you, Sagar. Good evening, everyone. Thank you for joining on the Q3 FY '26 results conference call of Tejas Networks Limited. We have the management of Tejas Networks on this call represented by Mr. Arn ob Roy, Executive Director and COO, Mr. Sumit Dhingra, CFO, Dr. Kumar N. Sivarajan, CTO, and Mr. Sanjay Malik, Chief Strategy and Business Officer. I would like to invite Mr. Arno b Roy to initiate with opening remarks, post which we will have a Q&A session. Thank you and over to you, sir.

Arnob Roy: Thank you. Welcome, everyone, to our quarterly earnings call. In Q3, we had a revenue of INR307 crores and the revenue was driven largely by the sale of wireline products to India private operators and to international customers.

We have multiple trials ongoing for our wireless products, both in India and international markets. Many of them started in Q2 and many of them have progressed to the commercial negotiation stage and are expected to close in the coming months. Before we go to an extended commentary on the quarter, I would like to hand over to our CFO, Sumit, to walk you through the details of our financial numbers.

Sumit Dhingra: Good evening, everyone. Wish you all a very happy new year. Our results for the quarter Q3 FY '26 were revenue of INR307 crores compared to INR262 crores of revenue in previous quarter. This is a growth of about 17 %. Profit after tax for the quarter was negative INR197 crores and order book at the end of the quarter stood at INR1,329 crores compared to INR1,204 crores in the previous quarter. Revenue broadly comprises from Indian customers about 85 % and international about 15 %.

The order book is predominantly India as of now with about 9 2% from the Indian customers. The EBIT for the quarter was INR239 crores negative compared to INR394 crores of negative EBIT in the previous quarter. I think expenses for this quarter mainly include provisions for past service costs related to gratuity and compensated absences on account of the new labor code that was notified recently and warranty ex penses of INR24 crores based on potential fault rates, repair requirements and the warranty claims.

A bit on the balance sheet side, our inventory for the quarter broadly was at a similar level as compared to the previous quarter at INR2,363 crores. Trade receivables at the end of the quarter were INR3,284 crores versus INR4,026 crores in quarter two. Our net debt at the end of the quarter was INR3,349 crores versus INR3,738 crores in quarter two.

This has come down mainly due to lower working capital which gets partly offset by the capex during the quarter. And the gross debt is put at INR3,885 crores. I think with this , I will hand it over to Arno b to take it forward.

Arnob Roy: Thanks Sumit. So over to some of the key updates for the quarter as far as our wireless business . While we have not closed some of the deals as of yet, but we are seeing an increased number of international engagements for our 4G and 5G RAN equipment including multiple ongoing POCs which many of them have moved to the commercial negotiation stage. And as I mentioned that we expect some of them to close over the next few months.

We have been selected as a 5G RAN supplier on a section of the Delhi -Mumbai railway corridor for a pilot on the Kavach project that you are all familiar with. It is a network for enhancing the safety of our railway operations. We have multiple wins for our private 5G deployments in India for applications in ports and mines.

And finally for the big BSNL 4G add -on PO for the 18,000 sites that we have been working on for quite some time, we have a delay in the receipt of this PO. And from what we know, from what we hear is that those are still in the works and the expansion order will come to us at the appropriate time f or BSNL. For our wireless business, as I said, the quarter was driven largely by shipments for our wireless wireline products.

We won additional packages for BharatNet and we have become one of the largest suppliers of IP/MPLS routers by the number of packages and we won the maximum number of packages that have been announced so far. We received expansion orders from leading private telcos in India for both our WDM as well as our GPON equipment. And then a couple of significant international wins have been winning of WDM backbone network for the build -out order from a broadband ISP in Africa and a network transformation project for our MPLS -TP products for a power sector company in Southeast Asia.

Another significant one was the first win in a sovereign data center networking application in India for our switching products. This is the first time we won a networking application inside a data center where most of our data center business has been thr ough the interconnect application . So, from that point of view, we look at it as a significant first win.

Now, the other updates for the quarter is that our converged broadband product won the Excellence Award for the most innovative product in the conference in a great show in Dubai. We received INR85 crores as PLI incentives for Q4 FY25 and cumulatively INR397 crores of PLI for FY25 . We filed 26 patents in Q3. Cumulatively, we have filed 613 global patents of which 370 have been granted.

In summary, our long -term outlook remains positive. There are strong drivers for our business are caused by rapid transitions, technology transitions, as well as the demand data growth which is driven largely -- a lot of it is driven by AI applications which are driving a massive growth in traffic in the networks.

We see a lot of expansion of 4G networks and new deployments of 5G networks in emerging markets and which are most of our engagements and POCs that I referred to. Investments in AI data centers are driving huge connectivity requirements, which are driving business for our optical products. We see increased traction for our new products in India and in international markets. The wireless products are starting to lead our international engagements in Europe, Latin America and Africa.

We are seeing increasing adoption of our wireline products in private telcos in India. And apart from our direct engagements, we are seeing increasing engagements with international customers for our wireless products through partnerships with NEC and Rakuten and strategic wins in Europe, Africa and Asia for our optical products gives us a good momentum for expanding our internat ional business.

So with that summary, I'd like to open the floor for questions.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Rajakumar Vaidyanathan from RK Invest . Please go ahead.

Rajakumar V .: Hello?

Moderator: Yes, sir. Please go ahead.

Rajakumar V.: Can you hear me?

Moderator: Yes, sir. We can hear you now.

Rajakumar V.: Yes. Sir, my question is, what is the path to profitability? Because you have been reporting significant losses for the last two quarters. And even if I se

e your last five years, bottom line
numbers, you still not made money in the last cumulatively. So, what is the path to profitability if you could just elaborate on that?

Arnob Roy: Yes. As you can see from our financials over the year, we've made significant investments in growing our business, right from investments in our products in R&D and expanding our portfolio with a large set of wireless products . So all of that investment as well as our investments in supply chain and sales have been with the intent and with the expectation and anticipation of growth of our business internationally.

And as you know, last couple of years, a lot of focus has gone into developing the product and execution of the BSNL 4G project. And with that, we have scaled up our systems and processes in our company. So what we expect is on the back of the new products and the success that we've had.

It's like this is the kind of the time when we are kind of, I would say, refreshing our overall business in terms of with our new set of products going to international market and the path to profitability will be when that business really scales up, both internationally as well as in India led by our wireless and wireline products and getting to the critical business size, which would be able to

support the investments that we have made in our business.

So that is really the path. I mean, just growing our business and we see the opportunity for doing that over a period of time . I mean, it hasn't happened as fast as we would all expect. But that was a period of execution of this large project, and it's like kind of, I would say, replanning our business for the next few years.

Rajakumar V.: Yes. Sir, if you could also indicate a timeline, is it like two years, three years? When do you think you will reach a positive bottom line? Because what we want to know is in the last five years, we have not made any positive bottom line cumulatively. So, are you still in an investment phase or the investment phase is over and now the focus is on, you know, improving the profitability? So, where exactly Tejas is standing?

Arnob Roy: Yes. So we are in a technology business. So continued investments never stops, right? I mean the technology is a treadmill and it keeps on evolving. So we cannot stop our continued investments in R&D. I mean the growth in investments will be, of course, be tempered based on the business that we realize. But we are not going to reduce our investments over here because of the nature of business that we are in.

But I think when we talk about when we'll achieve that business growth, I think that's going to happen over a period of time. I think all efforts and investments in growing the business are ongoing . And it will be a period of time, but all of us are keen to get to that stage as quickly as we can. And we believe all of that will happen. So that's the reason why we continue to invest and focus on what we are doing.

Rajakumar V.: Okay. Sir, the second question is with regards to your inventory and the orders in hand, I mean, your inventory is almost twice the amount of orders in hand. So, I just want to know what is the idea behind holding so much of inventory . And also, if you can also comment on when do you think that the d ebt will be brought to the normal zone?

Arnob Roy: Yes. So as we have spoken earlier, a lot of this inventory has actually been procured for executing on the BSNL 4G add -on order for which our partner, TCS has received an APO and they've also communicated the LOI to us for that project. And so a lot of this procurement really happened for that. That's why we are sitting on this large inventory.

But since we know that this order is going to come, as you can see in so many announcements from BSNL as well as the Ministry, so we have to hold on to the inventory with the interest of

being
able to execute on this project as quickly as we can once we r eceive the PO. So, this inventory will deplete very rapidly once we receive the PO and start executing on that project.

Rajakumar V : So, the worry is, you have a very long cycle because you are holding inventory for so many quarters and then after that you bill and then the government takes their own time to pay you. So, you have a very long working capital cycle. So, I mean , by design, I mean, Tejas , is not currently the way you guys are executing it. I mean, the shareholders will never see a return in the near future. That's how it's been, I mean, that's how what I, as an investor, I can make out. So, correct me if I'm wrong.

Sumit Dhingra: I think the current inventory, obviously, as we mentioned, is in context of the additional expected order, which does not get reflected in the order book. And while this was expected, I think there have been delays in sort of getting the purchase orders and hence this has led to the accumulation of this inventory.

If you see the years prior , over the last year or the last few quarters, there was a corresponding execution that was going on for the BSNL project and hence the inventory levels continue to be high. Now, to your point on whether the working capital cycles or the inventory cycles are high, yes, they're currently high for this specific reason.

I think, as Arn ob earlier pointed out, I think it is important from various points of view that we have an increased share from private and international customers where the overall working capital cycle may be better. And that would lead to improvement in working capital in general. And I think we're also taking steps to continue to improve on the working capital or the inventory management in particular to get this down. So, it's a focus area for us as well and we continue to work on this.

Rajakumar V : Okay, sir. But I think it's a big concern. I mean, I'm not sure whether we're articulating it.

Moderator: Sorry to interrupt, Mr. Rajakumar, for any follow -up questions, may we request?

Rajakumar V : No, I'm not asking a follow -up question. This is just a comment. So, let me, just give me one minute. I will just complete it. So, the concern is this is kind of happening for many quarters. And I don't know what model Tejas has because this model has to earn money for the shareholders at the end of the day.

And you are executing such a big project and still the bottom line is bleeding. And that is really a concern, sir. So, I hope the shareholders are also taken into consideration. Their interests are also taken into consideration when you execute such big projects. That's my comments. Thank you so much for the opportunity.

Moderator: Thank you. Our next question comes from the line of Pranav Kshatriya from Emkay . Please go ahead.

Pranav Kshatriya: Yes, thanks for the opportunity. I have a couple of questions. Firstly, you talked about in the first quarter of this financial year that you would sort of be looking to reach where you were in FY ‘24 and that is what you would be looking to reach. So, that number and if I compare nine -month number, I think there is a fair bit of gaps. So, how should one look at it?

I understand that Tejas Network s business tend to be very lumpy. But do you think it should be

possible to reach that kind of level in this year or that can possibly reach next year? That's my first question.
Second question is that there is a good increase in the number of patents filed and I would like to know a little bit more about in which area are these patents more on the wireless product side or more on the wireline product side? So, those are my two questions. Thank you.

Arnob Roy: So, I will take the first question and for the second part I wi

ll hand over to our CTO, Dr. Kumar
Sivarajan . So, FY ‘24 levels this year, as you can see, our expectation was the execution of the add-on project from BSNL and while that happens we build on our international business for wireless. Since that order got delayed , and we have built the inventory for it , that's the reason why we would see that we have not been able to reach the level of FY ‘24 yet.
And in this year, I don't think we'll be able to execute the project also because when the add -on order comes, it takes time to build and ship . So, this project, whenever that comes, is going to be executed in the next financial year. So, that delay has really affected our business this year and the transition that our business is going through in terms of really transitioning to a lot more of the Indian private telcos as well as the international operators.
I think that part is going well and we expect to see and I only think that this takes time. So, that's the reason why we are seeing a longer period of time for closing on all those opportunities. But on the positive side, we see all those opportunities to our engagements and we see we are in a market which is growing.
The customer demand, network build -outs, capacity build -outs, I mean all of that, we are in a globally growing market, including India. So, we do see the opportunity of getting to that growth level at some point of time. And I think we have, from an investment point of view and the readiness point of view, we are kind of there for leveraging every opportunity that comes our way.
So, that's the first part. And regarding the patents, I'd like Dr. Kumar to take over.
Kumar Sivarajan : So, while we file patents in both wireline and wireless areas, the majority of patents are related to 5G advanced and 6G technologies. Specifically, even within that field, these are what are called standards -related patents. So, we closely follow the upco ming standards in 3GPP for 5G advanced and 6G.
Currently, like release 19 is being discussed in 3GPP. And in anticipation of what's going to get standardized, we file patent applications. So, the majority of these patents are in that category. It's mostly 5G advanced and 6G -related patents that are being filed.
Pranav Kshatriya: Sure. Thank you so much. This is useful. I just have one follow -up on the first part of the question. So, how would you put the performance of Tejas Networks for ex of that BSNL contract? Because I understand that that was one of the main things which is getting derailed. But overall, if you look at whatever plan you had laid out for FY ‘25, for non -BSNL part of the business, especially given there is a strong rollout, which is happening on the data center where your products could be usef ul. How do you see that panning out for this year and also going forward?
Arnob Roy: Yes. So, apart from the BSNL project, which we were planning to execute this year, there were two major initiatives or targets for the business. One was growing our wireline business to the Indian private telcos as well as internationally.
So, that transition is happening well. We are seeing a lot of the business growth this year.
Whatever the business that we had this year has been driven by mainly our wireline products. And

we see good adoption of that and good growth of that. So, that part of the business is going very well.
The other part of the plan was, during the year, get ready for a lot more international business, especially for wireless, by getting into the trials and POCs and get to some business closure during the year or early next year, because this is a long cycle and we are a new player in this market.
So, even that part of the thing, I would say, is going very well . Also, if you see, based on the credibility of our performance in BSNL, that's where we got a lot of international p

artnerships
going with NEC and Rakuten and so on. So, those opportunities came to us because of the credibility we built over there.
So, yes, I understand that the BSNL project last year was a huge sharp spike in our business, resulting in a lot of revenues and required a lot of investments from us that gave us the platform to really mature our products, build new products, and take it to the international market.
So, that part of the story has played out pretty well. I think we are quite satisfied with that. The

part that has not played out to expectation was the BSNL expansions which is going to happen. We know that's going to happen. That's why we have all the inventory. And also, that is the part that got a bit delayed, and that's kind of showing in our financials.

But once we get past that phase, I think we expect the rest of the business plan to play out as we were hoping to do and planning to do. It's just that the transition phase has been taking a longer period of time than we expected.

Pranav Kshatriya: Okay. Thank you so much for your answers and wish you all the very best. Thank you.

Moderator: Thank you. Thank you. Your next question comes from the line of Karan Raja from 54 Ventures . Please go ahead.

Karan Raja: Yes. Hi. Good evening, and thank you for the update. I noticed that it's been about three quarters since Mr. Anand Athreya resigned from his post as CEO. So, I wanted to understand if there is any urgency in filling that CEO spot and what we can expect from the Board and coming out with a resolution with regard to that?

Arnob Roy: I think the board is working actively on appointing a CEO going forward. And I think at some point of time soon, there will be a CEO appointment for the company.

But independent of that, I think our business goes on as planned and our regular business operations are not really affected without the filling of that position. So, I think the Board will take its time and is on the project and will be appointing a CEO at some point of time.

Karan Raja: So, can we expect that in this financial year or is this something that would be in the next financial year?

Arnob Roy: Yes, it's not in my place to answer that question right now. But obviously, as you can understand

that there would be an active work going on in filling this position. So, I'm not aware of the exact timeline.

Karan Raja: Understood. T he second question that I had was with regard to the delay in the 4G expansion. A couple of calls we had so did know that this delay. Is this delay attributed to the customer side? Is that thing with the system integrators or something to do with TCS?

If you can give us some color on what this delay is attributed to. Because obviously, answering the previous question, you did mention it was a big disappointment for you all as well that this order has not come into execution in this financial year. So, what exactly is this delay attributed to?

Arnob Roy: Yes, it is mainly to do wit h the operational readiness of B SNL for rolling out the network. They also had to be prepared with their sites, with site readiness and related aspects . So, that's what is basically holding up the rollout of this project.

And as you know, in multiple forums, both BSNL management as well as the DOT or the Ministry has commented that the expansion is going to happen very soon . So, the only reason right now is the readiness of BSNL to take the equipment and deploy it in the network.

Karan Raja: Understood. So, is it safe to assume that there is no issue with our products or any integration efforts by our system integrators, which is TCS?

Arnob Roy: Yes, those are not the constraints in this project.

Karan Raja: Understood. I think one other question that I had because we had spoken about some of the other wins, the 5G, private 5G across mines and some other locatio

ns and also the data center opportunity. Can you please share some light on the market opportunity in these two? What is our right to win there? And what kind of market share are we hoping to achieve in the next maybe 3 years?

Arnob Roy: Yes, so it's hard to answer the market share part, but we see these new application wins are very encouraging because we're seeing a lot of private 5G wins for deployments in mines and ports and some campuses . So, and having a few set of reference wins in India can help us in marketing and selling this globally as well.

So, our right to win is the products that we have. As you know, our current BSNL product is a 4G upgradable to 5G. So, both our review as well as radios a re software and hardware are upgradable to 5G services. So, it's basically the same set of products which are getting deployed for 5G applications because the bands in which they're getting deployed are same or similar to what we have right now.

So, with small adaptations, we're able to meet those bands in which the private 5G rollouts are happening. So, that's one part of it. I talked about the data center application also. As you know, we have our enterprise switching portfolio of products and which we have scaled up a lot to larger products for data center switching as well.

And even though that was not an initial target segment, but now with our new set of products and with those data center opportunities opening up, we saw a good reference win for the networking inside a data center. While the interconnect of data centers, t hat's the market we are playing all along and our optical products have a very strong play in that kind of applications.
This is the first time we have been inside a data center with our switching products and that's a very encouraging sign for us. So, we are going to try to replicate this win, this solution in as many applications that are accessible to us.
Karan Raja: Understood, Mr. Roy, but I will have to push the envelope here because obviously, internally, you all would have certain targets that you all would want to hit with private 5G and with data centers.
So, if you can share some light as to what even the estim ates are because obviously, you all have had a few deployments, you all would know how many such accounts c an be achieved in a given year.
So, something that gives us at least the direction in which the company is going or what we are chasing, where we are fighting, at least something that gives us a sense of what are the internal metrics ba sed on which we can judge sales?
Arnob Roy: So, as I said, we don't have any specific target in terms of how many wins and all those kinds of things. In most of our -- every product line that we have, we go by the engagement that we have, the customer opportunities that we see, and where we find opportunities and how we can pi tch our products and solutions.
And we set targets more from overall business growth and business win , not specific to any particular application. And these are new markets that we are getting into. I mean, as you know, our wireless play has been mainly in the macro area for mobile operators, and that's where the larger deals are. The private 5G applications are many in number.
Each of them are relatively small deployments. That is because you can understand the territory or the area over which it is deployed those are fairly small, right? So, the larger deals are, of course, for the Macro, but the good thing is that with this, it opens up a new applicatio n for us, the private 5G space.
So, from th at point of view, it gives us mileage, credibility, and visibility in this space. So, that's probably the largest benefit. And as I said, as of now, we don't have any target which says that we have to achieve th ese kind of numbers for using this particular application or the other one.

I mean,
these are initial wins, and that's the reason why we'd like to share it with you all, saying t hat these are new applications.
Because on an ongoing basis, the standard applications of mobility or FWA for wireless or for broadband or data center interconnect or metro aggregation, which are ongoing and are driving our business. We thought that these are new significant events that have happened that can open up opportunities. But right now, at this time, we don't have the opportunity to really size up and set targets in this area.

Karan Raja: I understand. I would hope that over the next perhaps couple of quarters, once there's more clarity on this, we do have something more concrete. Obviously, a big risk factor for our company is the heavy dependence on a single anchor customer and that ancho r customer being a government sector undertaking.
So, obviously, I would expect that in a couple of quarters when we have a little more experience in these realms, we would have more realistic targets or expectations of our market. Thank you so much for taking my questions. I'll go back in the line.
Arnob Roy: Thank you.
Moderator: Thank you. Our next question comes from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.
Pratap Maliwal: Hello. Hi. Am I audible?
Sumit Dhingra: Yes, Pratap, you are.
Pratap Maliwal: Yes. Hi, sir. Thanks for taking my question. I just had a question regarding the BharatNet order that we calle d out that we've won about 7 out of the 12 packages announced so far. And I believe the company's notification said that it will be deploying over 50,000 plus routers. So, I just wanted to understand what would be the approximate order size of the BharatNet cumulatively and over what duration do we see this being implemented?
Sanjay Malik : Sorry, what was the last sentence?
Pratap Maliwal: Over how many years, yes?
Sanjay Malik : So, this particular order is for BharatNet Phase 3 and for all the routing products . I would say implementation peri od is over next two years. With regards to the o rder size, I think it's again because it is multiple circles coming from multiple SIs . So, it's a large order size, but difficult to give the numbers.
Pratap Maliwal: I understand the point, but see if we called out that we'll be deploying over 50,000 plus routers, I

mean, you know that at what rate we'll be supplying, surely you'll have some idea. So, if you can just give us some ballpark figure, not an exact figure, but just some ballpark idea of where the order size could be so that we have more clarity of how much business we can actually expect to come in, how the order book can build up?

Sanjay Malik : So, actually there are a few of th ese, for which we have received the orders and then a few which are in the negotiations still. But because we are working with multiple SIs, it is not from one particular company . So, yes , I'm sorry that it would be difficult to share the numbers on the deal size. Normally, we don't do customer -wise deal size announcements.

Pratap Maliwal: So, does that order book currently involve any orders from BharatNet?

Sanjay Malik : Yes, the current order book, which was shared by our CFO Sumit, that includes BharatNet orders also.

Pratap Maliwal: And we expect a significant ramp up or is it like we've got the initial orders and we expect a large ramp up or it's just some color on that, even if it's purely qualitative, just so we can understand the direction?

Sanjay Malik : So, we got the orders for seven packages as we mentioned and a fe w more are still expected.

Arno b Roy : So, I also wanted to add that this is for connecting the network at the block level. And this is forming the b ackbone of the BharatNet Phase 3 network. So, there's the last mile of Bha

ratNet,
which is to be built and that will largely be built using G PON equipment and so on. So, for the Phase 3 rollout, some parts will happen and some parts will be happening later. So, there is a lot of build o ut that in BharatNet Phase 3, which will be connecting the last mile, the villages, basically. So, but that will be another part of the project a nd this is mainly for building the backbone connecting the blocks.

Pratap Maliwal: Okay, understood. And just one final clarification regarding our international expansion, you said that we're in the final stages of some commercial negotiations. So, is this including the one, the deal that we may be pursuing through our partnership with Rakuten or is it more in th e nature of G2G deals, just some color around that and if possible then what could be the expected size of the deal?

Sanjay Malik : So, on that, again, as Arno b was mentioning, that previous quarters, we were involved in some of the trials which were happening and those are moving towards commercial negotiations. And the deals are basically the mixed kind of deals. There are some of the deals where we are positi oning our equipment directly.

There are a few of the deals where it is in relationship with either NEC or with Rakuten. So, it's a combination of, I would say, all the three kind of solutions whi ch we have. Closures should be -- yes it should be happening in coming months. Again, varying kind of deal sizes, varying kind of number of sites, multiband, single band, those kind o f variations are there. But yes -- so th ose are expe cted in the coming weeks.

Pratap Maliwal: And would we be considered for any networ k expansion from Vodafone side b ecause I believe that there was a news article where an official from Vodafone had said that they are trialing Aegis equipment. So, is the re any news in that sense?

Sanjay Malik : So, this was basically a comment from Vodafone Idea management . Yes, we have been trialing . But again for the news on that, we will be able to give only after discussions with them.

Pratap Maliwal: Okay , sure . So, thank you for taking my question.

Sanjay Malik : Thank you. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Dhruv Shah from Ambika Fincap. Please go

ahead.

Dhruv Shah: Hi, sir. Sir , is it possible to quantify the opportunity size of the POCs or the commercial discussions?

Sanjay Malik : Overall. See, as I said , from a geography perspective these are some of the deals which we are working on across Asia Pacific, then in Latin America, in Africa and in Europe also. So, varying size, different stages of negotiations are there. And I would say significant number of sites also, but difficult to quantify the number as of now.

Dhruv Shah: But do you expect anything to come from next year onwards? Is it possible?

Sanjay Malik : As I said coming in it would be expected in coming months. Because what happens is that in all these discussions, there is number one from the proof -of-concept itself, it has to integrate with the existing environment, we have to show all the parameters etc. And even from negotiation perspective, it always depends upon their deployment plan. So, when exactly it will get closed, I think, again, difficult to say that, but expected in the coming months.

Dhruv Shah: Thank you, sir. One question for Sumit. On a current cost run rate, have we thought that in how many quarters runway do we have before we actually start thinking of fundrais e considering our current cost piece is almost, you know, we are making almost INR150 crores of EBITDA loss. So, have we thought of any fundraise? Do we need or you think that we have sufficient cash and we will not need any further fundraise?
Sumit Dhingra: I think the evaluation of capital structure is a sort of an ongoing exercise. And right now

there is
no proposal of fundraise that we've discussed or that is in discussion at the Board level.
Dhruv Shah: And there's no discussion on cost -cutting as well ?
Sumit Dhingra: Now, I won't say cost cutting, but a lot of cost optimization, cost rationalization efforts have happened through the year. And we've also actively looked at optimizing or planning the capital performance in line with the product development. And that's an ongoing effort. A lot of it has happened through the course of this year.
But at the same time, I think, as Arnob also alluded to earlier, a lot of this cost is on account of investments that we're doing in this product development. And we've come to a certain stage over the last 2-3 years in terms of making this investment. So, while we continue to focus on investments, but at the same time, with a lot more prudence and a lot more optimization in terms of how we go about it.
Dhruv Shah: Okay, because if I do a rough math on our reverse calculation basis, Sumit, x of, let's assume BSNL, 4G, whenever it comes, we need almost a INR3,500 crore s annual turnover x of BSNL just to have a EBIT break even , if my calculation serves me right on a higher gross margin. So, that's why my question pertains that do we need a fundraise? Because our order book stands at 1,300 x of BSNL.
We are nowhere close to that 3,000 figure for an EBIT break even.

Sumit Dhingra: Yes. Dhruv, I think , I mentioned this in one of the earlier calls as well. I t's a function of, yes, you rightly mentioned revenue, but also to some extent, margin expansion that with the international business in particular, we would expect to see. And that would essentially lead to the corresponding revenue requirements for profitability to come down.
Dhruv Shah: Okay. Okay. Great. Thank you so much and all the best.
Moderator: Thank you. Our next question comes from the line of Hirenkumar Thakorlal Desai , an Investor. Please go ahead.
H T Desai: Yes, my question is mainly for Sumit. A few clarifications on the income statement. So, I see depreciation and amortization as a fairly sizable expense, INR104 crore s in current quarter. Is it correct to assume that most of this is actually amortization on the R&D capitalization?
Sumit Dhingra: Yes, a significant portion is on account of amortization.
H T Desai: And one more question is on the other expenses line. So, that number also seems pretty significant. So, can you throw some light on some kind of a breakup?
Sumit Dhingra: So, see, I think we mentioned over the last couple of quarters, there have been certain one -offs that have come in, particularly related to certain repair -related provisions, etc etera ., which get reflected in the warranty provision, which becomes part of these other expenses.
And then, they're also related to part of the inventory or the consumables provisions that we had to do with the previous quarters. Some of that is coming under other expenses, and hence, you see a bit of a higher number there.
H T Desai: Okay. These numbers are pretty high, even during, let's say, year -ended, I mean FY '25 , and I mean, it has been there for many, many quarters. So, I mean, do we have some sight, some time in future where these numbers can come down to some reasonable numbers and where this can be?
Sumit Dhingra: So, I think, I just want to clarify on that FY '25 numbers being high. I think it was also on account of the higher revenue at that time. So, one part of these other expenses is related to shipment, logistics -related expenses, and travel -related expenses. Some of these are variable in nature, which were higher during the last year as we were going through the execution of the contract, the BSN L 4G contract.
H T Desai: Okay. The second question is on the side of gross margins for wireless POCs that we are engaging.
So, fo

r example, as you mentioned, this quarter was largely wireline, and I can observe that gross margins are pretty good compared to what they were during t he wireless business.
So, whatever we are trying in international markets or Indian private markets, can I expect that the margins on those whenever they materialize will be quite a bit better than what we had seen in BSNL business?
Arnob Roy : Hi, this is Arnob . Yes, as you know that for the BSNL deal and the India market, because of the

size and the ARPU challenges, it's a very, very competitive market. So, the price levels in India are quite different and quite challenging as compared to international markets.
So, yes, in the international markets, wherever we are engaging and whe rever we are in commercial discussions, the prices are at a much different level and the margins are also at a different level.
H T Desai: Okay. Yes, thanks. Yes, that answers my question s.
Arnob Roy: So, we have time for one last question.
Moderator: Sure. We'll take the last question coming from the line of Venkat Suresh Kumar from Bra hma Financials . Please go ahead.
Venkat Suresh Kumar: Yes, sir. Good evening, sir. Sir, I am the investor of Tejas from the 3 years. I'm sorry, 2 years. Actually, continue three quarters is loss making. Only for at the time of BSNL 4G, you will see good profit.
In future, that type of business will come or it will be continued to losses in so many quarters. I have purchased share s around INR1,300. And I lose a lot of money at the investor point of time. But I am not asking, but you can consider shareholders are a concern.
Arnob Roy: Yes, I understand your question. And as I said, so the BSNL project, while it was a big spike in our revenue and I also heard a comment about BSNL being an anchor customer. I don't see BSNL being an anchor customer for the company. I would say the BSNL project was an anchor project to really develop and mature our products and scale our operations to a large extent and being a really good platform for building our wireless business.
And this is the business that we also see a lot of international opportunities for and we want to take it out there. And as you can see that we have made some progress. Of course, the proof of the pudding is w hen we actually convert these to business. But the way I would look at it is that in this transition phase , our strategy was that while building on the BSNL business , with the add -on order and so on, we use this year to do the transition and be able to build a lot of wireless business globally. So from that point of view, I think we have made a lot of progress. Yes, this transition is taking a lot of time and in the meantime, our financials are not showing up the way we would all like it to because of the delays in receiving some of the add -on orders and all.
But we don't see that BSNL and BSNL projects are the lifeline or the anchor for Tejas. They were an excellent platform for us and we are very grateful for having got that opportunity. But I think now the plan for the company is really to take this global to private telcos, to international operators and so on.
And we are on the way to doing that. And we are all very bullish about reaching there at some point of time. And th at’s the reason why, we continue to invest, put our head s down and basically try to execute and take our business forward in all that direction. So with that, I'd like to thank you all for attending the call.

Venkat Suresh Kumar: One question, last question. So actually, you 5G upgraded in BSNL contract , that size of order is huge or small. And question, you r data-center business, you can do single company, you company doing only for your Tejas products, you do for Valiant communication, cybersecurity and data

center products, your marketing or your own products? Your tie -up with Valiant cybersecurity data center products, your own or Valiant products? And BSNL 5G, how much size of order is upgraded? Please tell me.
Arnob Roy: So, okay. First of all, I'll answer the Valiant question. So the data center switching products are our own. Whenever you see we are selling with Valiant products, those are mainly in the utility networks, where we are doing the communication part of the optical fiber, and they are on what is called the teleprotection application. So both of these two come together, our products and Valiant products come together for building solutions for, sorry?
Venkat Suresh Kumar: Cybersecurity products, Valiant cyber security, so you are marketing?
Arnob Roy: No, no. We don't market Valiant’s cybersecurity products, mainly the teleprotection products. So this combination works for the utility market for smart grids and all those kinds of things. The other part about BSNL 5G, there are two parts to BSNL 5G. One part is the upgrade of selective sites to 5G, which is part of the existing tender. And we have done trials and there are some ongoing trials as well, so that we don't have visibility when that upgrade will happen on the selected sites.
Venkat Suresh Kumar: Size of 5G business?
Arnob Roy: Yes, that's what I was talking about. There is a part called the 5G upgrade of the BSNL network of a select number of sites, which we do not know. And that's going to be an upgrade on our existing equipment. We do not know the siz e or the timing of that kind of thing, how many sites they're going to upgrade. But BSNL is also looking to build a nationwide 5G network at some point of time. And when that comes, there will be fresh bidding and new opportunities for us, and those will be another nationwide build -out when that happens.
Venkat Suresh Kumar: This is the 4G size of business? This is the 4G size of business in 5G upgrade, not a little...

Arnob Roy: Well, a ny nationwide rollout will be of the size, and it depends on... As you know, the last project had 100,000 sites, 1 lakh sites. So it depends on the number of sites they're going to roll out 5G on, and you can estimate what will be the size. So if there's a nationwide rollout of so many sites, then Yes, the project size will be of that magnitude. It could be more or it could be less, depending on how many they roll out.
Venkat Suresh Kumar: You take seriously, try to develop a business. Actually, you see shareholders also...
Arnob Roy: Of course, we are all here because of our shareholders. We really appreciate your support for the company. And thank you for being with us. I understand that this is a difficult time because of our business and the stock price and all, but all I can say is that we are bullish about our business. We are doing everything that we can to execute on this, and we are confident that we'll get there. It's a transition period, which is taking longer than we would have liked. So thank you very much.

Thanks, everyone, for attending the call and look forward to interacting with all of you at the end of next quarter. Thank you.
Venkat Suresh Kumar: You can expect next quarter positive. Hello? Hello?
Moderator: Sir, the line for the management has been dropped. Please stay connected while I reconnect the line for the management. Ladies and gentlemen, we have the line for the management reconnected. Yes, sir, please go ahead.
Arnob Roy: No, as I said, I made my concluding remarks thanking all the shareholders.
Venkat Suresh Kumar: Actually, next quarter will be coming positive, sir. Next quarter will be coming positive ?
Arnob Roy: We don't give guidance on future performance, unfortunately. I'm only giving you the outlook, the guidance for our future ove r a period of time, but quarter -to-quarter guidance,

we do not give. We are not in a position to give right now. So thank you, once again, to everyone for attending the call and look forward to interacting with all of you at the end of next quarter.
Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines.

Note: This transcript has been edited for clarity and readability and does not purport to be a verbatim record of the proceedings

Call: Apr 2026

April 21, 202 6
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q4 FY26 Earnings Conference Call – Transcript

Please find enclosed the transcript of the Q 4 FY26 Earnings Conference Call held on April 15 , 202 6.

This is for your kind information and record.

Yours sincerely ,
For Tejas Networks Limited

Anantha Murthy N
Company Secretary & Compliance Officer

"Tejas Networks Limited
Q4 FY'26 Earnings Conference Call"
April 15, 2026

MANAGEMENT : MR. ARNOB ROY –MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER – TEJAS NETWORKS LIMITED
DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY OFFICER - TEJAS NETWORKS LIMITED
MR. SANJAY MALIK – CHIEF BUSINESS AND STRATEGY OFFICER – TEJAS NETWORKS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tejas Networks Limited Q4 FY26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, plea se signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Mishra from ICICI Securities Limited. Thank you and over to you, sir.

Mohit Mishra: Yes, thank you. Good evening, everyone. Thank you for joining on the Q4 FY26 results conference call of Tejas Networks Limited. We have the management with us of Tejas Networks on this call, represented by Mr. Arnob Roy, Managing Director and C EO; Mr. Sumit Dhingra, CFO; Dr. Kumar N. Sivarajan, CTO and Mr. Sanjay Malik, Chief Business and Strategy Officer. I would like to invite Mr. Arnob Roy to initiate with opening remarks, post which we will have a Q&A session. Thank you and over to you, sir.

Arnob Roy: Yes. Thank you, Mohit. Good evening and welcome everyone to our quarterly earnings call presentation. At the outset, let me sincerely apologize for the delay. We have a delay of an hour. We had a lot of technical problems uploading other materials to the SEBI site and that largely caused the delay.

So, once again, I profusely apologize for the delays for the start of the conference. So, let me begin by walking you through the Q4 financial numbers. So, in Q4, we had a revenue of INR333 crores as opposed to INR307 crores in Q3.

And for the year, we had revenues of INR1,103 crores. We had a net PAT loss of INR211 crores in Q4 as opposed to INR197 crores of PAT loss in Q3. And for the entire year, we had a PAT loss of INR909 crores.

We had a growth in order book at the end of Q4. We ended with INR1,514 crores at the end of Q4 as opposed to INR1,019 crores at the end of Q4 of FY25. So , from a revenue mix, India once again dominated our business, 88% was from India.

And from order book also, it was very similar where it was dominated by the India business as far as bookings are concerned. So even though we made initial wireless business with customers, our quarter revenue was driven largely by the sale of wireline products to India private and international customers. And as I mentioned, we had a significant order book year -on-year growth.

So I would like to now hand you over to our CFO Sumit for taking you through the financial numbers and details.

Sumit Dhingra: Good evening, everyone. The revenue for the quarter 4 was INR333 crores compared to INR307 crores in the previous quarter, a quarter -on-quarter growth of 8%. EBIT for the quarter was negative INR219 crores as against negative INR239 crores in the previous quarter.

And profit after tax was negative INR211 crores compared to negative INR197 crores in the previous quarter. The full year revenue was INR1,103 crores and profit after tax of negative INR909 crores. Inventory at the end of the quarter stood at INR2,438 crores compared to INR2,363 crores in the previous quarter.

Receivables at INR3,258 crores and payables at INR478 crores. The cash position at the end of the quarter was INR505 crores and a net debt of INR3,531 crores. At gross level, the borrowings were INR4,035 crores at the end of the quarter.

And I'll ask Arnob to take over the next few slides.

Arnob Roy: Thank you, Sumit. I'd like to add some color to the business that has happened over Q4 and also review our business during the year. So during the quarter, some of the significant things that happened in our wireless business was signing an agreement with NEC to manufacture and supply our 5G Massive MIMO radios for a global customer.

The other significant thing was that we received an initial order for the expansion of 4G networks from a customer in South Asia. And we have multiple ongoing field trials for our 4G and 5G RAN products across South Asia and the Americas. And we recently successfully completed a 5G POC in South America.

For our wireline business, in the quarter, we completed the shipment of a significant number of IP/MPLS routers for BharatNet Phase III. As you know, we are the largest supplier in terms of number of circles for BharatNet Phase III. And several sites are now carrying live traffic.

We supplied a major amount of 100 gig and 400 gig WDM systems to a Tier -1 telco in India for their 5G backhaul network, for the enterprise services, and also for their services for hyperscaler data center connectivity. We were selected to build a nationwi de, multi -terabit DWDM network for a hyperscaler data center application in India. And it was a proud moment for us when w e implemented a multi -country backbone network for a fam ous global sporting event using our state -of-the-art WDM products .

This was a global sporting event which happened recently. Other highlights during the year, our products got recognized at ET Telecom for our innovative Satcom IoT solution.

And we also won the prestigious Golden Peacock Awards for our 5G RAN solutions. We launched our state -of-the-art ultra -compact and hyperscalable data center interconnect product at MWC, at Mobile World Congress in Barcelona. It was launched by the Honorab le Minister of Communications.

We filed 63 patents in Q4, bringing the cumulative count to 676, out of which 371 have been granted. We also received PLI incentives for FY25, an additional INR69 crores, reaching a total of INR469 crores for FY25. A few corporate updates for the year. We had some changes at the Board as well as our senior management. So we appointed Mr. Srikumar Vijayasekharan as Additional Director, Non -Executive and Independent Director of the company, with effect from April 15th, subject to the approval of shareholders. Mr. Srikumar is a Chartered Accountant with over 40 years

of experience, covering audit and assurance services, including eight years as COO at Deloitte. Mr. P. R. Ramesh, who was an Independent Director of the company, resigned effective closing business hours of April 18th. And Mr. Srikumar has taken over his spot as the Independent Director of the company . I am currently the Executive Director and Chief Operating Officer, but I've been appointed as the Managing Director and CEO of the company effective today till 2028. And this is subject to the approvals of t he shareholders of the company.

Few more updates. Mr. Preetham Uthaiah , who is currently the Vice President of Product Line Management of the company, has been appointed as the Chief Operating Officer of the company with effect from today. Mr. AVS Prasad, who is currently the Financial Controller of Tejas, has been appointed as the Chief Financial Officer of the company with effect from 16th of May. Mr. Sumit Dhingra, our current CFO, has resigned from the services of the company, and it will be effective from the close of business hours on May 15th.

So a quick review of FY26. So this year has been a year of consolidation for us. A lot of the technology and products that we developed over the last 3-4 years achieved commercial scale and deployment at a global scale. The BSNL 4G/5G network went live across 100,000 sites and was launched by the Honorable Prime Minister in 2025. We deployed our largest indigenous router networks in the country through the BSNL 4G backhaul network, or the MA AN network, as well as for the BharatNet Phase III networks.

We had a very successful global rollout of our WDM products with 400 gig and 800 gig wavelength services, both

in India as well as internationally. And we also continued the deployment of the world's largest satellite IoT network with our vehicle tracking system solution. We continued the innovation journey with our new products and technology launches.

We launched our 5G 64 TR massive MIMO radio during IMC at Indian Mobile Congress, and it was launched by the Honorable MOC. We launched our WDM system, our C+L band capable WDM system, which transmits over 76 terabits of data over a single pair of fiber. That was also launched by the Honorable Minister of Communications .

We launched our cloud -native converged 4G/5G core also during the year, and it is undergoing trials at multiple locations across the world , across multiple customer networks. And at MWC during last year, we launched our hyperscalable data center interconnect platform, which over a very compact form factor launches over 50 terabits of data in a single footprint. And we also talked about the pa tents filed during the year . 147 patents are filed in FY26, with more than 150 contributions to the evolving 3GPP standards.

Last year, we announced strategic partnerships with NEC and Rakuten, and in the last financial year, we developed these partnerships further. So we signed our first contract for the supply of massive MIMO radios with NEC for an international deployment. A nd with Rakuten Symphony, we have partnered with Open RAN Solutions, and we have multiple ongoing POCs across the world, and one of them was completed successfully very recently.

A significant achievement was expanding our wireless footprint, both in India as well as internationally. We covered new geographies, and the two deals we talked about are the 5G massive

MIMO radio for the global customer and the Open RAN deployments. We also signed up several new applications. We did successful POCs for 5G private networks, and also the 5G RAN pilot for the Kavach network.

So looking forward from a future business outlook, we see that AI is going to be one of the killer applications which are going to drive the mega trends for a network transformation, both in terms of the traffic in the network as well as transformation of the network architecture. So with the rapid adoption of AI applications, by 2033, AI traffic is predicted to be more than 60% of the total network .

We'll have more than 100 million physical AI machines connected to the network by 2035. The profile of traffic is going to change dramatically from today's downstream -heavy traffic to upstream traffic, where upstream traffic will outpace the downstream tr affic and that will require significant network transformation. Most enterprises will adopt AI heavily with running GenAI workloads off the cloud, and this is also going to drive from the traditional compute cloud -based traffic that they access is going to get transformed to an AI -based access from the cloud.

So, with this trend, AI is going to drive a network infrastructure build super -cycle, which basically means that the current communication service provider networks, the CSP networks, will not be sufficient to handle the traffic growth in the coming years . And the other transformation that will happen is that close to 50% of the new AI traffic will be processed at the edge nodes, where edge inferencing is going to play a big role in the architecture of the global AI networks.

There will be significant investments in new networks with 400 gig, 800 gig connectivity, even at the access and at the edge to cater to the significant traffic growth. And AI is also expected to accelerate the adoption of 6G, and AI technology will be natively embedded in the RAN and edge and core of the network.

From a business impact, we'll see a lot of convergence of not only access and backhaul, but also it will converge with compute at the network edge to support the edge AI infrast

ructure and the edge
inferencing workloads in the network. There will be signif icant scaling up of our optical solutions and packet switching and routing and converg ence with the edge compute in the edge and access networks.

And the data center connectivity will go to multi -terabit scale, which is already scaling up to that level, but is going to scale up significantly to provide for the AI cloud interconnect. So we have built our current platforms to scale very efficiently for the networks of the future , to handle the traffic capacities as well as the traffic characteristics of future networks. Our new generation 5G products are being designed to scale and evolve into 5G -Advanced and 6G products with much higher uplink capacities.

Our high -capacity optical, which supports 1.2 terabit per channel, is going to scale to 1.6 terabit and beyond to support the terabit -scale data center connectivity of the future. Our multi -terabit

edge node is going to again scale in capacity and interface and also going to integrate with compute capacity and compute infrastructure to support edge AI applications.

And our next -generation access will evolve supporting further convergence of wireless and wireline access solutions. And AI will be adopted in our network management all across for driving automation, for driving network management and fault prediction and network configuration and driving a huge amount of automation and optimization of the network.

So the key takeaways for FY26 is that it has been a year of consolidation and transformation for us. The technolog ies that we have developed in the past reached commercial scale of deployment in very large networks. We expanded our portfolio significantly and launched several state -of-the-art products in wireless and wireline.

We had several international wireless wins. They were the starting point of our international expansion for wireless business. And we made progress with the initial strategic partnerships that we had launched with several global partners. So we are well -positioned for long -term success.

From an industry point of view, we see AI that will drive a lot of demand for network build -out and as a result for our equipment as well.

We have a product roadmap which is well -positioned to leverage the future opportunities that we see. And we have strong partnerships in place to expand our global customer footprint. So before I end the presentation, I do want to make a few comments about the financial results in FY26. As we mentioned, this has been a year of transition for us after the execution of the massive BSNL project in FY25, which gave us a significant amount of revenues.

We needed a runway in FY26 to consolidate and transition our business beyond BSNL. And several large customer projects that we were actually planning for, both for wireline and wireless products have got delayed, which resulted in significant revenue shortf all and the resulting financial loss. However, we had not cut down on the investments during the year because of our outlook for the future and the industry trend s that we see. Based on our FY27 business outlook, we believe that

with our current investments and cost structure, we will be able to achieve better financial results.
And net -net, while it has been a tough year for us business -wise, much has been achieved to set us on a path for the future. With that, I come to an end to our introductory remarks and open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the li ne of Shailesh Jahagirdar from InvestYadnya. . Please go ahead.
Shailesh Jahagirdar : Hi, am I audible?
Management: Yes, you are audible, Shailesh.
Shailesh Jahagirdar : So, my question is that in February we got a M assive MIMO deal for 5G networks and a

lso a deal
for 4G network in Sout h Asia. So, is there any data for quantify these orders or deals so that we can consider the future outlook of this deal, how it will affect the revenue and the overall financials

and the timeline of this project?
Arnob Roy: So, Shailesh, typically we do not go into specific deal numbers and all, but a lot of 5G Massive MIMO business will actually get revenue over this current financial year in FY27. Some of the revenue of the 4G deal happened in the past financial year and w e expect more expansion on that during the current financial year. But beyond that, we do not share any deal -specific numbers for any project.
Shailesh Jahagirdar : Okay. And my second question was the BSNL additional PO of 18,000 sites . So, the same PO is delayed and is ther e any upgrade on that ?
Sanjay Malik: Yes, this is Sanjay Malik here. So, thanks for this question. So, yes, it is the same add -on PO which has been there. So, active discussions are still going on with the BSNL team on the sites at which they have to have these 4G sites and the ir configurations. So, that discussion has been happening and quite active discussion. We are still keeping our inventory here for delivering to these sites in a quick turnaround once we get the PO, b ut yes, as of now the discussions are definitely on.
Shailesh Jahagirdar : So, just to add on so we have inventory. So, the timeline for that order will be pretty much less than the previous BSNL orders ?
Sanjay Malik: Sorry?
Shailesh Jahagirdar : So, we have the inventory for the upcoming PO of BSNL. So, the timeline, I just want to ask that the timeline would be much lesser than previous PO?
Sanjay Malik: That's right. So, because one thing is that now the sites are commercial. So, it's already tested out. So, once we receive the order, we have the inventory. So, definitely the delivery time would be much faster.
Shailesh Jahagirdar : Okay. T hank you. That's all from my side.
Sanjay Malik: Thank you.
Moderator: Thank you. The next question comes from the line of Pranav Kshatriya from Emkay. Please go ahead.
Pranav Kshatriya: Hi. Thank you for the opportunity. My first question is regarding the order book. I mean, this INR1,500 odd crore s order book, you said almost 83% of that is coming from the India business. Does that include the BSNL 4G project as well?
Arnob Roy: No, that does not include the BSNL 4G project.
Pranav Kshatriya: So, this is purely BharatNet and other private Telco whatever you might have?
Arnob Roy: Yes. This is from our customers, both in India as well as international , for our wireline and wireless business, but doesn't include the BSNL 4G at all.

Pranav Kshatriya: And should we assume that most of this will be sort of executable in this year itself? And hence, potentially the revenue should be somewhat similar, if not higher than this number. I'm asking directionally, not the exact number?
Arnob Roy: Yes, a good portion of this will be converted to revenue s in this current financial year.
Pranav Kshatriya: Okay. And the second question is regarding the cost of goods sold. So, the memory prices have gone up? Does that impact the margins for your product at all?
Arnob Roy: Yes. The cost of memory does impact the cost of our products, even though it's a small component of our product cost. Usually, those are much smaller compared to the much more expensive class -
A components that we use for network processing, for optics and all those kinds of things.
But yes, the cost and also the lead time is also a challenge for us. And we are addressing this in multiple ways, because there are new er products, newer technologies which are out there. And we'll be addressing that. And also, as a part of the increase, we are also renegotiating our costs, our prices

with customers as well as for the new opportunities which are out there to make sure that we protect our margins.

Pranav Kshatriya: Okay. Because, I mean, the purpose to ask this question was to understand how much should we expect the margin compression at the contribution margin level, because it's not only the memory, even the chip prices have sort of inched up because that demand for chips has also been higher. So, can you give some qualitative or quantitative number that how much could be the impact on the margins?

Arnob Roy: Yes. As I said, as you asked the specific memory where the increase has been the largest, right? I mean, other increases selectively have not been as dramatic as memory. But thankfully, memory is only a very small portion of our use. As you know, it's like hi gh-volume components. So, even large memories, the cost of those are not very high compared to the several thousand dollars of BOM cost that we have of our product, upwards of many thousands of dollars.

So, it's a very small component. But nevertheless, I think we are kind of making sure it is accounted in our cost and basically renegotiating and re -offering our new prices with the escalation to make sure that we protect our margin. And the same holds fo r other cost escalations which are there, which are far more controlled and also in a very controlled way.

In the sense that we also have long -term pricing contracts with our suppliers also, right? So, those transitions happen very slowly and we have the window of negotiating prices on any new deals that we sign to account for the cost escalation.

Pranav Kshatriya: Sure. Last question from my side. Since you're not giving any revenue guidance as such -- I mean, last year you did give revenue guidance. How should we look at the revenue growth for FY27 and margin given various -- I mean, any quantitative or qualitative color will be helpful?

Arnob Roy: Yes. Pranav, we've never given revenue or any other financial number guidance in the past. And so, I think we will stick to that. I mean, we are not in a position to give any new guidance. However,

as I said, we have a stronger business outlook and that's why I talked about that with all the investments that are made and with our positive business outlook, we have continued the investment s during the year . Even though business didn't materialize because we figured out that the investments in product evolution and building the new technologies was very important for our future business growth. So, we continued on that. So, obviously, our outlook is positive, very positive for the future and we expect to see growth. But as a practice, we never quantified in terms of numbers.

Moderator: Our next question comes from the line of Ritesh Poladia from Girik Capital.

Ritesh Poladia: Question is on balance sheet. There's a good increase in intangibles under development from INR400 crores to INR960 crores. What does that part of it is?

Sumit Dhingra: Yes. So, I think intangible under development commonly consists of our product development effort and also related to the IP or the technology license or the technology transfer that we did with NEC early part of or towards the end of the previous year. And that is partly getting reflected in the intangible under development.

Ritesh Poladia: So, that investment was about INR550-odd crores. Everything has been done or still it is to be done?

Sumit Dhingra: A large part of it is done. I think it is linked to milestones and I think balanced milestones we expect to get done within the next one or two quarters.

Arnob Roy: With the commercialization of all the investments that we made, which are as part of the intangible assets, all of them will get capitalized as and when we have commercial feasibility and commercial adoption of all the new technolog ies and products that we develope

d, including this licensing.

Ritesh Poladia: Sure. And from that IP only you got this first order from NEC customer?

Arnob Roy: Well, that was part of the agreement with NEC that we licensed some technology and we built radios for the future.

Ritesh Poladia: So, is this part of the same agreement where you got the first order because your order book is INR1,500 crores and 80% is India. So, that would be very small amount, right?

Arnob Roy: Yes. As I said, we signed the contract for the supplies and so the revenue for that business will actually happen in FY27. So, it is part of the same partnership even though the two contracts are separate. The technology licensing contract and this supply con tract are different completely.

Ritesh Poladia: Okay. So, when do we see the revenue from this technology agreement?

Arnob Roy: Yes, no, no. From this new contract with NEC, we will see the revenue for that in FY27. During the current financial year.

Ritesh Poladia: Sure. Sir, as this becomes a bit complex, could you at least give us some sense that what kind of or

what amount of opportunities you are chasing right now and by what times this will get fructified

or what are the milestones which we can look for it?
Sanjay Malik: Again, on this, definitely, we have been chasing quite large opportunities . Again, from wireless perspective, quite a few of those are international opportunities which we have built over last one year. And if you would have seen that we have started quite a few trials also. So, again, difficult to give the overall size of the funn el number, but it is substantial. And those will be getting again ordered in the coming year and revenue booking also should happen from that in the coming year.
Ritesh Poladia: Sure. I understand your constraint in commenting further, but just to take it a bit forward, will this opportunity be multiples of what you got in BSNL?
Sanjay Malik: Multiples of what we got in BSNL ? The original one, no it would not be that 100,000 sites kind of thing. But because those numbers outside India are a little bit smaller as compared to BSNL. But I think from our product perspective, reference building perspective, and coming to the international wireless area, I think that would be very, very significant.
Ritesh Poladia: Sure. And regarding R&D spend for FY27, will it remain? Is there any cut down or are you still going strong on your R&D investments, whatever you are looking for?
Arnob Roy: So, we will continue our R&D investments, but obviously we will tailor it to the business outlook that we have and how we see the business maturing. So, as I said, we will be optimizing it to make sure that we get much better financial results. But as of now, we plan to continue with our investments because the business outlook that we see in FY27, we should be able to achieve better financial results even with our current investments and cost structure. But we will keep optimizing that as we see the business progress during the year.
Ritesh Poladia: Sure. And one final question on receivables, where do we see this number going in FY27?
Sumit Dhingra: I think on receivables, two points . One is the number that you see needs to be looked at in the context of the corresponding advance that we have received as part of the BSNL 4G order, which is currently showing up in current liabilities. Having said that, we expect the remaining collections from BSNL to significantly happen during this current financial year. So, we expect the receivables to progressively come down over the next couple of quarters. Obviously, this will also increasingly be a function of also the incremental business scale -up that happens over the next few quarters.
Ritesh Poladia: Yes, that I understand, but the entire BSNL 4G will be collected in this year?
Sumit Dhingra: A significant porti

on of that should get collected this year. Okay, that's again also linked to milestones, and those progressively are getting complete. So, we expect that to lead to collections over the next few quarters.
Moderator: Your next question comes from the line of Avnish Kumar from Ritu Financial Services . Please go ahead.
Avnish Kumar : So, first of all, I had a complaint like the timing for the con call was 7:15 and we started around

8:15, and the results were -- I mean, the presentation was out at 8:13 or 8:12. So, we didn't get any time to read or analyze the presentation before the con -call. And this has been repeated for the past seven, eight quarters. I requested four, five quarters earlier also that time should be given to the investors to analyze and read the report at least, but still the same story.
Arnob Roy: Yes, I think this time, especially, we had a lot of problems in uploading, and that took a lot more time. So, we had to postpone a little bit. And once again, I apologize for the entire delay and the short window between the upload and the start of this call. We'll make sure that it doesn't happen in the future.
Avnish Kumar : Thank you. And secondly, sir, congratulations on the patents that you've got in this quarter and the developments that you've got on the third side. Well, the presentation that you gave was too technical for a layman like me. So, it sounded like Greek and Latin for me, but whatever you said, I mean, congratulations for that. But as an investor, if we see the financials, I'm pretty disappointed with the way Tejas is going. And I believe the shareholders' money is being taken for granted. I do not see any progress in the financials. Even now, you're not able to give any kind of clarity on the future that we hold. Pretty bad situation that we are in right now. I'm very disappointed ?
Arnob Roy: I agree, Avnish . I think, of course, as part of the company and its management, I mean, it's been disappointing for us also as well. There w as a lot of business that, as you said, as I mentioned, that we had planned for, based on which we had made investments that got delayed.
And Yes, so we think that after this BSNL project, this has been a year of transition for us. And going forward, with everything that we have done and invested in, we should be looking at a much more better and predictable financial results going forward.
Avnish Kumar : I just wanted to say, like, see, our share price has come down from the lifetime high of INR1,495 to it came down in the range of INR300 also. I understand that market forces are there that drive the share prices apart from the financials. But you know, y ou should take care about the shareholders' money also. And some guidance should be given about the future. This is just my recommendation. Rest, I leave up to your wisdom ?
Arnob Roy: Sure. We'll take this into account.

Moderator: Thank you. The next question comes from the line of Pratap Maliwal from Mount Intra Finance Private Limited. Please go ahead.
Pratap Maliwal: Yes. Hi, sir. Thanks for taking my question. I just wanted to have a clarification regarding that earlier participant's question regarding the NEC deal for the supply of the massive MIMO radios.
So is that part of our current order book of INR1,500 crores, or is that yet to come in? As you said that it will be revenued out in FY '2 7. So is that already part of our order book?
Sanjay Malik: Okay. So for this deal, actually -- so that basically means that we are entering this account with NEC. So that is the first PO which has been received, which is part of the INR1,500 crores. And as we go along, purchase orders would come as the rollout progresses through the year.

Pratap Maliwal: Okay. And this would be -- can you give us any idea of how we kind of understand that this will scale up? Because, you know, as you're saying that the outlook FY '2 7 is that we get some better results this, you know, because FY '26 has been a year of transition. So can you give us some idea on how this is expected to scale up?
Management: You mean this particular deal or the overall business in general?
Pratap Maliwal: Both, sir. But in particular, the NEC deal, because as you're saying that we get some follow -on purchase orders as well. So, what can we expect the scalability to be?
Sanjay Malik: Yes, so it all basically depends upon the rollout which the customer does. So as the rollout happens, then the new purchase orders will keep coming. So difficult to, again, give a number projection on it. But I would say, I think the follow -on orders would be, again, better than whatever we have as of now.
Pratap Maliwal: Okay. Now, just one thing, when I look at our FY '26 , we've had a PAT loss of approximately INR900 crores. Now, FY '2 7, as you're saying that, you know, it'll be a year of transition and we get better results. What is our path back to profitability? Can you give us some understanding on that front?
Arnob Roy: Yes, I think we expect much better business in FY '2 7 based on the opportunities that we see. And with that and with we will also manage our costs at the current level and optimize as required to make sure that we have a path to profitability because, you know, this has, as I said, this has been a one -off year where business got delayed, but we didn't want to compromise on our investments for the future opportunities.
But going forward, I think we will ensure that, you know, one part of it is the business which is out there and our cost structure which is there, they are in line. And we do expect that, you know, from the business outlook that we see in FY '2 7, we should end up with much better financial results. And as the business progresses, we will monitor and optimize our costs accordingly.
Pratap Maliwal: Are we expecting to be PAT positive in FY '2 7?
Management: Yes, we don't give the financial guidance, but yes, that's the goal.
Moderator: Thank you. The next question comes from the line of Darshil Jhaveri from Crown Capital . Please go ahead.
Darshil Jhaveri : Hello. Good evening, sir. Thank you so much for taking my question. Sir, as I understand, you're not going to give any guidance, but with regards to just our inventories and receivables, so that's putting a serious strain on our, you know, balance sheet. What is the company's aim regarding that? I understand even if we -- if I net off the other current liabilities for receivables, that still is like nearly double the revenue than what we've done in FY '26 .
So just wanted to understand, like, what do we expect out of this? And what is -- has company, you know, modeled out if, you know, BSNL order is even delayed by another year, because that's

not in our hands, right? So the PO -- so what is the inventory level? Will there be deterioration? Will there be some other write -off that we need to take? So what do you feel is the, you know, realistic outlook that we can have with regards to our inventories and receivables, sir?
Sumit Dhingra: So I think on receivables, I broadly clarified in response to the earlier question. We are expecting to get the balance collections from BSNL significantly during this year, and that should lead to improvement from a receivable standpoint. On inventory al so, I think, as you alluded to, I think a large part of this is also coming from the advanced procurement action that we took for the BSNL add-on order.
Now, right now we continue to be in discussions with them with respect to getting the order, and, you know, obviously the inventory here is something that gets used in the radios that we sell, and those can potentially also be sold to other customers.

So that's where it is. For now, I don't think
we have any further clarity with respect to the BSNL add -on order.
Arnob Roy: See, the inventory for these products -- the BSNL 4G products -- are not unique to BSNL. I mean, they are like a wide range of radios for 4G and 4G upgradeable to 5G, which are applicable for customers , for any kind of customers, right? So many of the opportunities that we are positioning ourselves internationally in the private 4G networks and all those kinds of things all use the same products.
So, the inventory will also be used for many of those opportunities when they convert. So it's not very unique to BSNL. However, I mean, as you have noted that most of it had been procured for BSNL, so a significant part of it will go along with BSNL add -on order . But independently, they will be consumed along with other business opportunities that we have globally.
Darshil Jhaveri : Okay. Fair enough, sir. And just another question regarding like a cash generation ability, sir. So even in the current year, I think we've been able to only generate around INR135 crores of cash. So that takes into account all the change in inventory adv ances that we've gotten. And on base of that, I think we have invested, I think, around INR700 crores in intangible assets, right, sir? So majorly, if I'm not wrong, our investment in intangible is debt funded. What is the rationale behind that?
Because I don't know if this is sustainable at a certain level, right, sir. If we are not going to be PAT positive in FY27, we might be -- our funding are intangible with debt, but it will take time to get traction, we'll get orders, we'll get minute orders. But in that time, I don't want that our company's balance sheet deteriorates so much that, we have bigger issues than research and development. So any comments on that, sir?
Arnob Roy: No, I agree with your observation. The point is that since we are in the deep -tech space, being in a situation where you don't invest in technology evolution is a bigger risk for the future of your business than the other way around, right? So from that point of view, in FY26, we took the call that even with the business shortfall that we see, with the transition that is happening and with the technology that we needed to develop to leverage the future, that we will continue with our investment.

And we have done that. And as you see, we have launched many products, which will help us for the business of the future. But I think going forward in FY27, as I said, the financial diligence of investments versus returns and revenues and all will be far more tighter because I believe the significant investment has gone in and we have achieved much of the goals that we had in mind. So in FY27 and beyond, it will be a much more, you know, well -balanced investment that will happen in line with the business outlook, which we will continue to evolve and monitor very closely.
Darshil Jhaveri : Fair enough. So just one last question from my end. So right now we are at around INR1,500 crores of order book. If you may , is there any kind of target of the order win that we want ? I'm not saying specifically for this year, maybe with the new technologies over a period of 3 years , what is the target that we can have in terms of order wins? Because even if some kind of direction we can get like, in this, that would be really helpful , sir.
Arnob Roy: Well, as I said, the investments have been made with an eye on significant growth, because and this significant growth will be, of course, year-over-year numbers, if you leave out the one -off BSNL project, those kinds of projects will come and there will be spikes in our business when they happen. But if you look at the business trend, without those one -off projects kind of thing, whatever you see, we will hopefully see business growth on top of

what we've seen earlier in FY24 and so
on. So that's all I can say.
I think the overall growth in our opportunities , there will be significant growth in our opportunities, there will be a lot more investments happening from operators, from enterprises, from ISPs, and so on. And we are well -positioned over there. So obviously this investment has been made with a business which is several multiples of what we have done in FY26 , right. So that's basically the outlook based on which we have made all the investments.
Darshil Jhaveri : Okay, fair enough. That's it from my side , sir. All the best.
Arnob Roy: Thank you.
Moderator: Thank you. The next question comes from the line of Shailesh Jahagirdar from Invest Yadnya. Please go ahead.
Shailesh Jahagirdar : Hi, sir. I was in queue again. So I had a question about data center connectivity business. So TCS is actively building the data centers, actively participating in data center building. They have a plan of when we go to. Do we have certain benefits of being a Tata Group company and we can get a CEO from TCS in some way? Do we have a benefit, not in terms of amount, but in terms of being a group company? That's what my question was.
Arnob Roy: Well, I mean, independent of being a group company, we are engaged with not only TCS, but other data center builders for our products. And a lot of our success in Optical has been as part of those

data center build -outs.
So TCS is, yes, one of our important customers as well for that, for data center applications. And

yes, we are closely engaged with them on their future business plans. But I'd like to highlight that they are not the only one for our data center business related growth.
Shailesh Jahagirdar : Okay. Thank you. That was my question.
Moderator: Thank you. The next question comes from the line of Arpit Jain from Wallfort Financial Services Limited. Please go ahead.
Arpit Jain: Hello. Can you hear me?
Arnob Roy: Yes, we can hear you, Arpit.
Arpit Jain: Yes. Hi, hi, hi. So over the last year, we filed on a couple of patents. I just wanted an idea regarding when do these patents generate revenue for us? And what is the rationale behind filing so many patents? So what's the future outlook regarding these patents?
Arnob Roy: Yes, see, as a deep -tech company, we need to file patents to one is to protect our inventions so that our innovations are not replicated easily. The second part of this is that especially in the wireless space, there is a lot of the patents that go into what are called the standard essential patents. These are patents which are used for building wireless products as per the new standards of 5G or 5G - Advanced or 6G based on 3GPP standard s evolution.
So as a wireless company, and also from our other business, we need this patent portfolio to be both from a point of protection of innovation as well as a defensive portfolio where you would be cross -licensing patents from other companies which are absolu tely essential in nature as far as developing your wireless products and technology are concerned.
So in summary, both in terms of protecting your innovations and also for giving us a solid base for being able to cross -license patents and technologies with other technology developers.
Arpit Jain: Okay.
Arnob Roy: And this is more than a direct monetization of the number of patents that we have. It is monetization in a little indirect way.
Arpit Jain: Okay, thank you.
Arnob Roy: Yes, we have time for one last question.
Moderator: Sure, sure. Thank you. Our next question comes from the line of Rajakumar Vaidyanathan from RK Invest. Please go ahead.
R. Vaidyanathan: Yes, good evening. Can you hear me?
Management: Yes, we can hear you.
R. Vaidyanathan: Yes, thanks for the opportunity. So just a couple of questions. So the first question is, is it

reasonable to expect a breakeven in FY ’27 and a PAT positive in FY ’28?
Arnob Roy: That's the goal. I mean, we do not give guidance, but that's really the goal. As I said, FY ’26 has been a year of investment and FY ’27, we expect to see far better financial results in terms of the business outlook that we have and with the investments and the expense control that we will have within the company. The expectation is that, yes, financial turnaround as quickly as possible, starting with FY ’27.
R. Vaidyanathan: Okay. And the second question is on this elongated DSO that you have with the BSNL order. So do you expect that elongated DSO even for the order that is under execution because you still not collected about INR3,000 crores. So will the same issue happen with the current order as well?
Arnob Roy: No, you're talking about the collections from the upcoming order, kind of thing there -- for add -on order. Is that what you're talking about?
R. Vaidyanathan: Yes, there are two issues. The one, whatever AR that is outstanding that we have shown in as of March 2026 that you said that you will be able to collect significantly in FY ’27. So my question is the order that you are executing, whi ch is about INR 1,500 crores -- the orders on hand that you mentioned, right? So there also the DSO will be elongated DSO or there do you expect the collections to happen much faster?
Sanjay Malik: Yes, so two things. So number one, out of this INR1,500 crores of order book, BSNL purchase order is still not part of that because as we said that we are still in discussion to get that into the purchase order. Second, the collection for this should be faste r than the original order because first time we kind of delivered the product, tested it, then there is acceptance testing , and then there is kind of rigorous testing against integration with their existing elements and all that.
So those things will not be there when we go for this add -on PO because these add -on POs would be same technology, similar products to be integrated or to be installed. So the delivery time and installation time and acceptance time would be much faster.

R. Vaidyanathan: Okay, got it sir. So the last question is, can you give me what is the total headcount as of March '26 vis -à-vis March '25?
Sumit Dhingra: Total headcount is roughly about 2,300 employees and that has broadly remained the same compared to the previous year.
R. Vaidyanathan: Okay, thank you so much.
Moderator: Thank you. Ladies and gentlemen, with this, I now hand the conference over to the management for closing comments.
Arnob Roy: Yes, so thank you Mohit. So thanks everyone for attending the call and for all your questions. You know, again, once again, first of all, once again, my apologies for starting this an hour later than the scheduled time.

And secondly, as you've seen the results of FY ’26, the key takeaway I want you gentlemen to have is that yes, the results have been quite disappointing . But at the same time, we are positive about our future based on which we have made substantial investments during the year to make sure our products are ready , and technologically ready and capable for the business and the technology transition that we see.
So we look forward to a much better future , and with that mindset, the investment s have been made and I hope to work with you all and connect with you all in future again and deliver a much better FY’27. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Note: This transcript has been edited for clarity and readability and does not purport to be a verbatim record of the proceedings